Yes Bank Ltd. (YESBANK)

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Call: Jul 2022

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July 26, 2022

National Stock Exchange of India Limited
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Plot no. C/1, G Block,
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
Tel.: 2659 8235/36 8458
NSE Symbol: YESBANK BSE Limited
Corporate Relations Department
P.J. Towers, Dalal Street
Mumbai – 400 001
Tel.: 2272 8013/15/58/8307
BSE Scrip Code: 532648

Dear Sirs,

Sub.: Transcript of Earnings Call for the un-audited Financial Results of the quarter ended June 30 , 2022
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") for the un-audited Financial Results of the quarter ended June 30 , 2022. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link :

https://www.yesbank.in/pdf?name=q1_fy23_analyst_call_transcript.pdf

You are requested to take the same on record and acknowledge the receipt .
Thanking you,
Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

Encl: As above

"YES Bank Limited Q1 FY 23 Analyst Conference Call"

July 23, 2022

M
ANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR &
CEO
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL
OFFICER
MS. ANITA PAI – CHIEF OPERATING OFFICER
MR. RAJAN PENTAL – GLOBAL HEAD (RETAIL
BANKING)
MR. AKASH SURI – COUNTRY HEAD (STRESSED ASSET
MANAGEMENT)
MR. RAVI THOTA – COUNTRY HEAD (LARGE
CORPORATES)

Moderator: Ladies and gentlemen , good morning, and welcome to YES Bank Limited Q1 FY23 Analyst Conference Call.
On the management panel , we have with us today Mr . Prashant Kumar – Managing Director and Chief Executive Officer , YES Bank ; Mr. Niranjan Banodkar – Group Chief Financial Officer ; Ms. Anita Pai – Chief Operating Officer ; Mr. Rajan Pental – Global Head (Retail Banking); Mr. Akash Suri – Country Head (Stressed Asset Management); and Mr. Ravi Thota – Country Head (Large Corporates).
As a reminder , all participants' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Kumar from YES Bank Limi ted. Thank you , and over to you , sir.
Prashant Kumar: Thank you and very good evening to all of you, and thanks for joining YES Bank Quarter 1 Financial Results Call.
With me, I have the top management of YES Bank , Rajan, Anita, Niranjan, Ravi, and Akash.
Let me start with the key updates available on Slide #3 of the Investors Presentation :
The Bank has successfully come out of the reconstruction scheme after the shareholders approved formation of alternate board with effect from July 15th. And presently , the board consists of seven independent directors , two non-independent directors and MD and CEO .
During the quarter , Bank or I would be saying on the 15th of July, the Bank has signed a binding term sheet with potential ARC partner towards sale of stress ed assets . Pursuant to an objective board-run process , the binding term sheet was signed with partner JC Flowers to acquire an identified pool of Rs. 48,000 crore of stress ed assets of the Bank .
A Swift Challenge auction has been launched with JC Flower 's base bid of Rs. 11,183 crore , which is roughly 135% of carrying value on the balance sheet as of March 31st 2022 . Pursuant to successful closure , this is s et to be the largest sale of stress ed asset in domestic markets .
Coming to Quarter 1 Financial Results :
We are pleased to report consistent improvements across all our core operating metrics as well as the strategic objectives . In the quarter gone by , the Bank has achieved the following :

On the profit and loss front – during the quarter, the Bank has reported a net profit of 311 crore , which is an increase of 50 % YOY. The net interest income of the Bank at 1,850 crore has increased by 32 % YOY. The Bank 's NIMs stand at 2.4%, which is again up by 30 basis points on Y -o-Y basis.
The non-interest inco me excluding the treasury income is up by 35 %. The core fee income driver s continue to show significant traction with sustained momentum in retail banking fees , which is up 43% Y-o-Y.
Corporate trade and cash management business and increased digital transactions have also resulted in higher interchange income on YOY basis .
The operating profit for the quarter stands at Rs. 590 crores. Excluding the treasury gains , operating profits have increase d by 33 % YOY. The total provision cost at 175 crore is lower by

62% Y-o-Y and is the lowest quarterly provision cost since the reconstruction scheme .
The Bank 's operating expenses are at 2 ,042 crores , which is a n increase of 6 % Q-o-Q. The increase in operating expenses is due to increase in loan sourcing fee on account of a strong business momentum , step up in IT investment , and employee increment and increased welfare expenses including health insurance .
On the advances front , the advances have grown by 14 %, of which retail have grown by 42%, Medium enterprise at 33 %, SME at 15 %, whi

le the corporate book has shown a decline of 9%.
Retail , MSM E and Corporate mix has improved by another 200-basis point now to 62% for retail and MSME and 38 % for the large corporate .
New sanctions disbursement aggregated to roughly Rs. 23,000 crores during the quarter across segments . Despite decline in net advances for the corporate segment , our new business generation continues to be strong with wholesale disbursement of Rs. 5,237 crore s during Q1FY23 .
The Bank is confident of meeting the 15 % loan growth guidance for F Y23.
On the deposit front , as on June 30th, our total deposits are at Rs. 1, 93,241 crore s, which is showing increase of 18% YOY. The CASA ratio stand s at 30.8% with CASA and retail term deposits together constituting 62 % of total deposits .
The customer acquisition momentum continues with more than 3 lakh CASA accounts open ed during the quarter .
Growth in liabilities has come despite reduction in interest rates , which is a reflection of our superior customer service and stakeholder confidence .

Our cost of deposits continues to reduce and is now at 4.8 %, which is down 60 basis point s Y-o-Y.
Saving account balances have grown by 39% Y-o-Y, while current account balances have grown 25% Y-o-Y. Average daily current accounts have actually grown 50 % Y-o-Y, mainly on account of our digital solutioning to the e -commerce and fin tech players .
On the asset quality front, the gross NPA number has improved to 13.4 % against 13.9% as on March '22. Similarly , net NPA ratio has also improved to 4.2% from 4.5 % as on Ma rch 31, 20 22.
The slippage at Rs. 1,072 crores , of which corporate slippage s stand at Rs. 619 crore s, retail at Rs. 368 crores and the rest is for SME and Medium Enterprise . Slippage out of the restructured pool at roughly Rs. 126 crore s, which majorly consists of one large exposure . The increase in the overdue loan of more than 30 days by Rs. 1,700 crore s Q-o-Q, predominantly on account of one large infrastructure group fully backed b y strong and highly valued collaterals .
Resolution momentum continues to be strong with total recoveries and upgrades of Rs. 1,532 crore s and we remain on track to achieve our annual guidance of recovery and upgrades of more than Rs. 5,000 crores.
On the capital front , the Bank continued to accrete capital organically with CET I ratio at 11.9 % and total capital adequacy at 17.7 %. The risk w eighted asset to total asset has improved to 73 %.
Bank has seen a net ad dition of 802 employees during the quarter . During the quarter , we have taken initiatives for welfare of employees and also for upgrading the skills of our employees along with taking some special measures for our women employees , including the training for both top leadership as well as for the middle and the junior management .
We continue to focus on new customer products an d propositions and we have launched a first of its kind floating rate fixed deposit linked to the RBI repo rate . This is an intelligent fixed deposit with dynamic returns and we already have acquired more than 14 ,000 customers through this product .
All the above points demonstrate a strong momentum in the buildup of a good quality franchise .
Our slides from 20 to 41 in the Investor Presentation provides a detailed update on the entire franchise of the Bank .
As we complete the first quarter of F Y23, we are confident of achieving our strategy guidance provided to you earlier , which I would like to reiterate :
1. 35% CASA ratio,
2. further improve ment in the retail corporate advances mix by at least 400 basis point ,

3. more than 15 % advances growth where the grow th in retail, SME and medium enterprise would be more than 25 % and 10 % loan growth in corporate segments .
4. We would sustain the CD ratio belo

w 100 %,
5. the recoveries and upgrades to be more than Rs. 5,000 crore s,
6. ROA targets of 0.75 % and 1% - 1.5% over the medium term .
With this, I want to thank you all once again for taking the time out for joining this call and wish all of you and your family good health and prosperity. We can now open the floor for your questions . Thank you.
Moderator: Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Edelweiss . Please go ahead.
Mahrukh Adajania: Sir, I had a few questions on earnings . But before that , I just ha d a question on the ARC . So basically , you did mention about the transfer, which is the gross value of assets , but newspaper reports talk about this same gross value and the se say that the net value of assets is around 83 billion or something like that , 8300 or 8500 crores . So what I wanted to check is that basically 85% of that 8300 in the worst -case scenario , if there is no recovery , will come as provision . Is that the correct understanding? And what will be the aging profile means over what period , if at all there are no recoveries , of course , there will be , will these have to be provided for ?
Prashant Kumar: So one way I think the first point that 15% or 85 % is not out of that Rs. 8,300 crores . The assignment value which is around Rs. 11, 100 crores , we would be getting 15 % cash out of it . And since the net carrying value is lower than the assignment value , this cash would further bring down the value of the S ecurity Receipts ("SR") which we are going to carry in our books . As per the current regulation, the provisioning on the SR would be in accordance with the provisioning on the NPA. So it means the SR would also continue to attract the provisioning as per the aging of the NPA. But today we are carrying a net value of around Rs. 8 ,300 crores . We would be getting 15 % of the Rs. 11,100 crores which would further bring down our SR net carrying value . So it means , fundamentally , the impact for us would be only the aging provision for the net carrying value for the SR which we would be carrying in our balance sheet .
Mahrukh Adajania: So the net carrying value will be Rs. 8,300 crores minus cash that way ?
Prashant Kumar: Right .
Mahrukh Adajania: Got it, sir. 83 minus full 15 % cash?
Prashant Kumar: Yes.
Mahrukh Adajania: And sir, given the profile of these assets , they'll age over how many years ? Over one year , two years according to RBI guidelines ?

Prashant Kumar: So this is a mix . This is a mix between one to three years .
Mahrukh Adajania: Sir, my next question is that you did give growth guidance , which looks strong, retail , corporate . So what are the risk to this growth given that, in general , investors remain concerned about a global slowdown or do you think the base is low enough to generate this kind of growth?
Prashant Kumar: I think as of now we are not seeing any impact on the demand side either on the corporate side or also on the retail and SME . But we need to be absolutely cautious in terms of how things should move , because things are very uncertain with respect to how the interest rate would move not only in India but globally , and how it would impact the Indian economy . So I think everybody is very cautious about this , but currently, we are not seeing any impact on the demand side.
Mahrukh Adajania: And sir, you think deposit gathering will not be an issue not only because of rising rates but also possibly because of HDFC Bank ?
Prashant Kumar: No, I think the issue is more in terms of , yes, liquidity has come down as compared to past but still getting deposits to support the loan growth currently is not a challenge . The only thing is the pricing for all the banks would go up in l ine with the movement in the rate of interest .

Mahrukh Adajania: And sir, any outlook on margin ?
Prashant Kumar: So currently our NIMs are at 2.4%, and we are expecting NIMs for around 2.75% for the full year.
Mahrukh Adajania: Sir, was there any mark -to-market loss in the quarter ?
Niranjan Banodkar : Mahrukh, t hat's about Rs. 37 crores .
Prashant Kumar: Yes. Just 37 crores .
Mahrukh Adajania: That's it. Okay , sir. Thank you so much. Thanks a lot.
Prashant Kumar: Thank you.
Moderator: Thank you. The next question is from the line of Jai Mundhra from B&K Securities . Please go ahead .
Jai Mundhra: Hi, sir. Good evening and thanks for the opportunity, and thanks for the detailed presentation also. Sir, firstly , on this alternate board , so the proposal wa s there would be two SBI directors and two RBI directors . So as of now , there are two SBI nominated director , which are these two non-independent director , and there is no RBI director . Is the understanding right ?
Prashant Kumar: Absolutely.

Jai Mundhra: And sir, now that you have an alternate board , I mean what is the significance of this ? Does this change ? I mean , of course , it's a good milestone that you have achieved and you have completely come out of this restructuring scheme, but does this sort of changes anything in terms of business or in terms of your ability to do business ?
Prashant Kumar: No. I think the formation of alternate board would not be impacting any of these kinds which you are mentioning. I think it was more like a large financial institution was put up under a reconstruction scheme, which was brought in by Government of India under consultation with RBI. I think, at least we are not aware and w e have not seen any parallel that a large financial institution is successfully able to come out from the reconstruction scheme. So I think that is something which is very important , and that has been possible on account of the performance, the delivery in the last two years where the Bank has successful ly come out of the reconstruct ion scheme, n ew Board has been formed , and now it's a growth path for the Bank .
Jai Mundhra: Understood, sir. And second thing , sir, on this ARC deal, I mean , I just want to understand the mechanism . So let us say the base value, let us say it is finalized hypothetically at Rs. 12,000 crore s just to keep the numbers , calculation easy . You get 15 % of that as cash which is Rs. 1,800 crore s. The rest you get all in security receipts , right ? So you have a carrying value of let's say 8,000 crore , which reduces by 1, 800 crore . So the net NPA only declines by 1, 800 crore in the first tranche, in the first leg . The second leg would only be as and when you redeem the security receipts . Is that understanding correct?
Prashant Kumar: So I think just one clarification which I thought . Then we would be carrying the SR to the extent of 6,500.
Jai Mundhra: Sorry . What is that ? 5,500?
Niranjan Banodkar : So I think in your example you took a Rs. 8,000-crore carrying value . Is that correct ?
Jai Mundhra: Yes, sir.
Niranjan Banodkar : And you said Rs. 1,800 crores is the cash . So Rs. 6,200 crores is the post transaction net carrying value . The only minor , I would say , from a classification standpoint , the change would be the NNPA from the 8 ,000 crores will move into a security receipts of Rs. 6,200 crores. Investment in security receipts.
Jai Mundhra: So let us say your security receipts in not an aggregate basis but for a particular exposure is zero , right , let us say , and you have got security receipts of Rs. 10. Hypothetically , you are in the money on security receipts , right ? But you cannot book that notional profit anywhere , right ?
Niranjan Banodkar : Yes.

Jai Mundhra: And the third thing is , sir, just on this recovery of 5, 000 crore , the ta

rget that we have, and I
think we have done fairly well in this quarter also. You have already included this ARC transaction , right , which will, let us say , give you roughly around 2, 000 odd crores as cash , right ? So this 5 ,000 crore includes that already , right ?
Prashant Kumar: No. Jay, this Rs. 5,000 crore is separate from ARC Transaction .
Jai Mundhra: Understood. And sir, there was a media mention of one film exhibitor having gone into NPA that was some sizeable amount . Has that been already N PA in first quarter or that could come in second quarter ?
Prashant Kumar: It was a NPA in the last financial year.
Jai Mundhra: That was already an NPA in the last financial year.
Prashant Kumar: Yes
Jai Mundhra: And the last question is , sir, you have given a detailed guidance and of course , you have given milestone and we are on track on most of them or maybe almost all of them . On the cost to income, right , so this looks clearly bloated at 71 or 75 % plus. So in your guidance of over 75 basis point ROA, how should one look at the cost to income for the full year ?
Prashant Kumar: No, even for the full year our guidance on the cost to income is around 70 , 71%. And the reason for this is also since we have started on the growth phase and since there is a higher focus on the retail and MSME , I think at this point of time , it is important to help those kind of investment, which would start giving you the revenues over a period of time. Similarly, I think not only for us, for any Bank , it is important to keep on investing in the IT infrastructure . And since we are very strong , we also have a responsibility of supporting the digital transaction of the country. So I think we would continue to make investment in to our IT infrastructure . We would continue to expand our business and in the initial year , the cost to income would be definitely higher , but as the revenues would increase, it would start coming down.
Jai Mundhra: Understood, sir. Thank you so much for your time , sir.
Prashant Kumar: Thank you.
Moderator: Thank you. The next question is from the line of Somya Jain from Emkay Global . Please go

ahead .
Somya Jain: Congratulations , sir, on the results . Sir, I was going through the presentations . I wanted to know what is the breakup of SMA -1 and SMA -2 that if you could give the numbers for the same ?
Prashant Kumar: I think in the presentation we have given the number s.

Niranjan Banodkar : Yes. We have shared the number. Page 17 If you can go to page # 17 of the presentation that we have the breakup between 31 to 60 days and 61 to 90 days overdue .
Somya Jain: And one last question , sir. Initially , you had mentioned the guidance that you have given a s 35% CASA, 15% advance book. So I missed on the breakup in the segments advances . What is the target for advances growth in the retail and corporate ? If you could just repeat that , that would be very helpful .
Prashant Kumar: So on the retail and MSME , we are targeting it more than 25 % loan growth and on the large Corporate 10%.
Somya Jain: Thank you, sir.
Moderator: Thank you. The next question is from the line of Saurabh from JP Morgan. Please proceed .
Saurabh: So just on the drivers for NIM at its margin , sir, are you just forecasting an increase basis the improvement in mix or would you also be looking at some kind of funding cost reduction once you raise capital ?
Niranjan Banodkar : So Saurabh, on the NIMs, a, t o begin with , when you look at this quarter , I mean , we should have basically already seen some increase in the loan yields . We have not seen the commensurate increase because a lot of the repricing which was linked to either the EBLR or the MCLR is actually yet to kind of fully play out . So assuming on an as is basis , I mean , there is already a 7 to 8 basis points of margins , which will

come through in the next quarter or two . So I think that's one element .
The second is in ter ms of how we look at deploying our excess liquidity . I think C D ratio we're already at about 96 %. So I think we will continue to improve on our loan spreads . I think that's really the focus and that is a function of how we get our cost of funding lower . So we are using every event to kind of continue to compress the spreads that we offer on our deposits to competition and that's been a very historical Journey for us post March 2020 . So whenever we are seeing interest rates or let's say cost of depo sits actually go up in the industry today, we have also increased , but we've not increased with the same intensity as the market . So I think we will use that opportunity to also expand.
The third clearly is the mix in our cost of funding which is on the CASA. Within CASA , you know the proportion of how that kind of also plays out . So it's a combination of these which will play into the net interest margins . The last element is also on the recoveries and resolutions because that also plays in terms of a dra g that I have on the net interest . So it's a combination of these four broad events .
Saurabh: So for the ROA guidance of 0.75 %, the NIM on that , I mean , to achieve that should be around 2.9 odd percent .

Niranjan Banodkar : So we should be exiting at about 2.9%. For the full year we should be at about 2.7 to 2.75%.
Saurabh: But the Q4 exit should be around 2.9.
Niranjan Banodkar : That's right . Upwards of that .
Saurabh: And what will be the average cost of savings right now ?
Niranjan Banodkar : We should be in the 5% handle , Saurabh.
Saurabh: 5%.
Niranjan Banodkar : Actually, it's 5%. Yes .
Saurabh: And just one last question , sir. On this large infrastructure account , which in your SMA -2 book, what's your expectation that this could potentially slip in forward quarters ? And where are you exposed? Are you at the group company or in the SPVs ?
Prashant Kumar: No, I think, we don't see any possibility of this account slipping into NP A category , and this account remains under SMA -1 or SMA -2 for a very , very long time , and the issue was more in terms of mismatch between the revenues and the obligations for this . But it's a strong company backed by strong security , and we don't see any possibility of slippage at al l.
Moderator: Thank you. The next question is from the line of Kunal Shah from ICICI Securities . Please go ahead .
Kunal Shah: So first question in terms of this impact o f ARC sale on GNP A and net NP A. So the way to look at it is in terms of the carrying value which is there that will directly go out of the GNP As, corporate GNP As of 25 odd thousand crores which are there. So maybe minus 8 ,800 and at the

net NPA level , how would be the impact ?
Prashant Kumar: No. So Kunal, I think if we try to see in a slightly different way , the 48 ,000 crores of stressful asset , which we propose to transfer to ARC is excluding of the slippage happens in the Bank after 1st October , 2021, right . And similarly , some of the category of loans like foreign currency loans , which are regulatory , cannot be transferred to ARC , would remain within the Bank . So it means when we would be exiting the FY23, we would be having the slippage after 30th September 2021 in some of those category of loans . But we would also be seeing a recovery and upgradation from that pool also. And since our slippage guidance for The Current financial year is 2%, so we would be expe cting a GNPA number of between 1.5 to 2 % by the end of the F Y23 and the net NPA of something around 0.5 to 0.6.
Kunal Shah: So GNPA would be 1.5 to 2 and net NP A of 0.5 odd percent .

Prashant Kumar: Yes.
Kunal Shah: Of the overall . So this is broadly in terms of we

are talking at the Bank levels .
Prashant Kumar: Correct .
Kunal Shah: So this entire corporate banking piece which is there that would move out . So I just wanted to understand from the corporate banking GNP As which are there, okay , 25,000, so how would that behave post the sale a nd towards the end of the fiscal year ?
Prashant Kumar: So the corporate NPA would be out . Okay .
Kunal Shah: So it has nothing to do with the carrying value on the balance sheet . So it will directly in the larger part of this file .
Prashant Kumar: Entire pool will be out.
Kunal Shah: Okay . So that would be out in the same way you are talking about the net NPA . And in terms of this restructure , so, again , when we look at the COVID related restructuring , I think decline was almost 210 odd crores and I think that's the number you highlighted in terms of slipping into NPA as well . So to direction try to assume that maybe t here has been no recoveries which are coming in from the restructured pool , and if we really look at it , when do we expect this pool to move out ? And maybe what would be our estimate of the further slippage going forward on this 3,700 crores of COVID related restructuring ?
Prashant Kumar: I think the behavior of the COVID restructured pool has given us a positive surprise . The retail and SME COVID structuring pool is behaving very well . The customers are repaying as per the restructured plan and the co llections have been good. We have seen only one reduction on the corporate side from this COVID restructuring . Otherwise , the pool is behaving very well . But definitely , we can't expect the similar asset quality trends in the restructured pool also as compared to the remaining part of the loan book. There will be definitely some incremental delinquencies out of the restructured pools , but that would not be meaningful or significant.
Kunal Shah: And when does this actually move out ? So when should we see is reflecting ? Maybe it will be September or it will be till March ?
Prashant Kumar: No, actually, because as per the COVID restructuring, they have been given a timeline . Ravi , any idea ? Two years or what ? So I think it would take some time , because as per the restructuring , they need to continue to serve and completely repay the FITL . Right . Once they would make the FITL as zero, then they would be considered out of the COVID restructuring .
Kunal Shah: Got it. And in terms of the overall expenses , so I think maybe when the Bank was under this entire restructuring scheme, I think that was the place wherein there would have been the cost

cuts and some ROI management through the operating efficiency but , in fact , that's growing. It seems to be pretty much into the investment phase and given the growth guidance which is there , how should we really look at this number ? In fact, when we look at it maybe 30 % still seems to be low and we will be investing it much higher getting forward into the next 18 to 24 months or it should stabilize ?
Prashant Kumar: Kunal, I am not able to get you very clearly on this question. Can you please repeat?
Kunal Shah: No, sir. I'm just saying that, see, one, two years have been the year of consolidation and maybe not too much of an investment . So definitely we have been building up the retail and the SME and disbursements are going up, but to what extent we are done? If we have to look at it in terms of our objectives , targets , how much of that Investments is already done in the franchise ? And we should now see more of a stabilization of the OpE x or maybe we have just started off maybe Q4 whatever numbers we are seeing , 33% rise, 6% quarter -on-quarter rise , that's just the start and we should see the buildup over here in terms of the overall operating expense other than the employees ?

Prashant Kumar: So, Kunal, I think most of the inves

tments would happen during the current financial year . And
that's why we would be seeing a expense ratio of around 70% -71% for the year F Y23, and next
year onward , this expense ratio would start improving. Though there would be a continuous
investment , which we will require , but I think the kind of investment which we are doing would
also give us the proportionate increase in the revenues , and we are also bringing the overall
efficiency into the entire system which would also bring a lot of improvement on the expenses
ratio.
Niranjan Banodkar : Kunal, I think just one more point I also wanted to add is if you look at the cost to income thought
process for the retail business is clearly higher than corporate , right , just a cost income, and over
the last two years what you have also seen very subst antially is that the mix on the balance sheet
or the assets is actually also mo ved in favor of the retail . So while in isolation if you look at
retail , you would have seen them on an improving trajectory from a cost efficiency standpoint ,
but just the shee r mix moving into retail has also meant that some of the cost to income ratios
have been at 77 , 78% for this quarter , but largely, we should be 71%, right ?
But I think just coming to the point , this year , if you look at our cost to assets , we were at about
2.4%. I think that we have allowed to expand to 2.6% in June and possibly for this particular
financial year , and that is coming on the back of multiple things , right , that Prashant just
mentioned for this year . But we will see that offset coming in from the revenue to assets as
compared to fiscal 22. We will see margins which expanded from 2.1% to 2.5 % in fiscal 21 . We
should see the 2.4 that we are right now to expanding to exiting to 2.9 %. So you will see NI I to
assets actually offset that cost . One.
Number two, there will also be because June was in some ways coming off the back of a very
good March quarter , also, it was not a very comparable one from some of the retail business

standpoint . I think we should see a good momentum sequentially also pick up. So the fees to
assets should also do better . And if this coincides with also the contribution from corporate
growth because on a YOY basis , corporate growth has been lower . So that also will start
supporting the cost to income quite constructively .
Kunal Shah: So I understand it from the income perspective, but purely on the cost side , would we allow this
2.6% to further expand or it should stabilize ? Maybe income, I think , yes, there would be levers ,
but broadly , in terms of the cost , is there the investment mode which is still on and we'll further
allow it to expand beyond that as well ?
Niranjan Banodkar : So Kunal, as I said, we will not allow the cost to assets now to go beyond 2.6%.
Moderator: Thank you. The next question is from the line of Sri Karthik from Investec. Please go ahead.
Sri Karthik: Thanks . What would be the capital implication for the ARC transaction ?
Prashant Kumar: What is the possible ? Sorry ?
Sri Karthik: What will be the impact on our cap ital ratios because of the ARC transaction ?
Prashant Kumar: Kunal, the transaction would be capital neutral , but due to some accounting entry, it would be
having an impact on the Capital Ratios. Otherwise, it's capital neutral for us.
Moderator: Thank you. The next question is from the line of Anand Dama from Emkay Global . Please
proceed .
Anand Dama: Thank you, sir, for the opportunity. Sir, if I'm correct , basically , what you said in the earlier one
of the query, is that all of these 48 ,000 Crores of NPA which will move out to ARC is part of
the current GNPA pool, right ? Nothing is already written off .
Prashant Kumar: No, it also includes almost say Rs. 15,000 crore s which has been written off.
Anand Dama: So 48,000 minus 15, 000 cror

es is the gross value which will mo ve out of the GNP A and how
much will move out of the NNP A in that case?
Prashant Kumar: How much of the ?
Anand Dama: So what is the net carrying value which is sitting into the NNPA pool at this point of time ?
Prashant Kumar: Rs. 8,300 crores .
Anand Dama: Rs. 10,300 crores.
Prashant Kumar: Rs. 8,300 crores .

Anand Dama: Rs. 8,300 crores. And , sir, secondly , the cash which you will receive from the ARC certainly
after the switch auction happened , now will that not really even partially flow into the P &L?
Niranjan Banodkar : Sorry . Is the question that will the cash flow into P &L? Was that the question ?
Anand Dama: Yes.

Niranjan Banodkar : No, that the cash will not flow into the P&L. The cash will actually go down to reduce the carrying value of the security receipts .
Anand Dama: Of the security receipts . Okay . So there will be no P&L impact because of this ARC transaction at all . All that it will do is basically optically reduce the NP A ratio. It will move out of the balance sheet . It will go to the ARC . And secondly , there will be no capital impact as well . I mean , there is no capital release as well , right ?
Niranjan Banodkar : Right .
Anand Dama: So in that case, the CET ratio being slightly lower than the piers , what is our capital raising plan?
Prashant Kumar: So, currently , we are sitting with a CET of 11.9% . We would definitely like to increase it to at least 14 % kind of thing . So during the current financial year , we would see when this kind of opportunity would come , but we would like to raise capital in the current financial year .
Anand Dama: Sir, any quantum ?
Prashant Kumar: Arou nd $1 billion .
Anand Dama: Thanks a lot, sir.
Moderator: Thank you. The next question is from the line of Ankit Bihani from JM Financial . Please go ahead .
Ankit Bihani: So I just had one question. I wanted to know what proportion of your loan book is floating rate and of the floating rate , how much would be linked to repo?
Niranjan Banodkar : So we have approximately 36 %, which will be at the MCLR and we'll have about 25 % which will be E bLR.
Moderator: Thank you. The next question is from the line of Sagar Rungta from Anand Rathi. Please proceed .
Sagar Rungta: Just one data keeping question. What were the restructured slippages you mentioned? Thank you.

Niranjan Banodkar : We had about 130 crore that has s lipped from the restructured book into NPA.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from Systematix Shares . Please go ahead .
Rakesh Kumar: Thank you for the opportunity. So just coming back to this stress asset sell to ARC transaction . So please correct me if I am wrong of the total transaction of 48, 000 crore , we have got the bid of 11 ,100 crores . So basically , there is a write down of around 77%, right ? And we approximately have provision coverage of 83%. So we are going to get write -back of the provisions of around Rs. 2,900 crores which you said just now that it will go towards reduction in the SR value instead of provision write back in the P &L. Correct ?
Prashant Kumar: Absolutely.
Rakesh Kumar: And this Rs. 1,600 – Rs. 1,700 crore s number which is part of the cash, this will come into the P&L or like what is that like against the s ale of the stressed asset?
Prashant Kumar: Yes, this would reduce the carrying value of this .
Rakesh Kumar: But this 2900 , which is the difference between the PCR what we carry and what is the write down that JC Flower s is giving , so this 2900 should be rooted into the provision line, right?
Niranjan Banodkar : Sorry , Rakesh . Can we just very quickly start with the numbers , again ? 2900 reflects what ?
Rakesh Kumar: So according to the bid of 11 ,

100 crore , so there is a write down of 77 %. We are carrying the provision of 83%.
Niranjan Banodkar : Understood. Let me just very quickly explain . So the first rule in an ARC transaction is that you have to record the security receipts at the lower of the security receipt consideration or the current book value whichever is lower . So as a thumb rule, if I am selling thes e at 11 ,000, let's say , 11,100 ballpark, the carrying value is 8 ,300. I cannot have a balance sheet carrying value which is more than 8 ,300. That's the first step . Number one.
The second is that I can recognize anything into P&L only if I receive cash. However , because I have a principa l outstanding , the P&L will be used to further create or reduce the value of that security receipt which means on the 11 ,000, when I get the 15 % cash, the 8 ,300 will be further reduced to get the carrying value to ab out, let's say , 6,700.
Rakesh Kumar: And secondly on this slippage ratio number guidance , which we have provided at around 2%, so the Rs. 3,700 crores slipp age we are expecting on a gross basis from the remaining nine months and we have a slippage of Rs. 1,000 crores in the first quarter and 1,500 crore of recovery upgrade . So we have actually net slippage a negative number . So what is the credit cost that we are estimating our expectation that we have?

Niranjan Banodkar: So Rakesh, our actually slippage is the way we are looking at the full year slippage is from a

gross slippage standpoint . We've always said that this year our provisioning write back or the
recovery that will have some bad debts should be quite sufficient to offset any provisioning
requirement that we will have on our existing book either through slippages that we will have or
the aging related provision that we have . So that, let's say last year the provisioning to assets was
about a 55 basis points in FY22. We should actually see a lower reading in fiscal 23 as a
consequence of the recoveries that we will have, possibly in the 25 to 30 basis points range .
Rakesh Kumar: And just coming back to because of this ARC transaction because this net NPA number would
fall, so we would have positive impact on the margin . Correct ?
Niranjan Banodkar: I mean look , from an NII to assets , we should see I would say marginal improvement . That's
because to the extent of cash that we receive will go to improve the NI I to assets , but from a
NIM perspective, it's actually cosmetic . So I would say just from an NI I standpoint , the cash that
we receive is the real contributor to the NI I of the bank.
Rakesh Kumar: Got it. Thanks a lot .
Moderator: Thank you . The next question is from the line of Anusha Rahe ja from Dalal and Broacha. Please
proceed .
Anusha Raheja: With respect to again this A RC deal , you said that reduction in the gross NP As would be to the
tune of 15, 000 odd crore , right ? Am I right there?
Prashant Kumar: Sorry . Again , come up.
Anusha Raheja: With respect to this ARC deal, out of this 48 ,000, reduction of the gross NP As would be to the
tune of 15,000 odd crore.
Prashant Kumar: No, we were saying like 48 ,000 crores includes 15, 000 crore which has been technically written
off and sitting outside the balance sheet.
Anusha Raheja: So 15,000, that is sitting outside the balance sheet. This 33 is the current carrying NPAs because
if I just look at it as on Q1 , the current carrying NPA , gross NP A is 27 ,000. So 15 is technical
written off assets .
Niranjan Banodkar : That just also includes a non -performing investment .
Anusha Raheja: So can you just give up the breakup, like what will be the current carrying value of NP As and
technical written off ? And what co uld be the restructured assets in this 48?
Niranjan Banodkar : Ma'am, the carrying value in the balance sheet as of 31st March which we've explained is 8 ,

300
across the NPA , NPI pool which is going to be transferred.

Anusha Raheja: So that is the net NPA.
Prashant Kumar: Which is going to be transferred to this and the gross is the 48, 000 crores including 15, 000 of
technical write -offs .
Anusha Raheja: Again on this , so what could be the reduction in the gross NPAs? 8,300 was the reduction in the
net NPAs. What could be the reduction in the gross NPA?
Niranjan Banodkar : Gross NPA would be lower by about 26 ,500 crores.
Anusha Raheja: Sorry . Come again .
Niranjan Banodkar : About 26,500 crores. 26,000 to 26,500 crores .
Anusha Raheja: And when is the deal likely to go through? When it's expected to complete?
Prashant Kumar: We have already launched a Swiss Challenge process . It would take like around 75 days kind of
thing . So I think the whole assignment would happen in the third quarter.
Anushka Raheja: And what are the estimates of flows expected post sale of these assets to ARC ? It will have a
pool of Rs. 48,000 crore . Usually , you will be having a 20% stake. So it is pari passu or how is
it?
Akash Suri : So on this structure , the security which is that the banks will hold will be on a say pari passu
basis . Like we said that gross value would be Rs. 11,183 crores, so that is in some sense say
reflection of the pro gnosis that a third party has made and said recovery on the same will happen
over due course of time.
Anushka Raheja: So the estimate that you have given of the NP A of 1.5 to 2%, anything that is built into these
numbers ? The flows of ARC , anything is built into these numbers .
Prashant Kumar: No, I think whatever like what I was sharing that…
Anushka Raheja: That will get reduced from SRs I guess.
Prashant Kumar: Yes.
Anushka Rahe ja: But I did not actually understood why it will not have a P&L impact because whether it will be
received in cash or how the transaction is likely to happen? Because usually , if you get in cash,
that's usually pari passu, right ?
Akash Suri : So the P&L impact will not be there because of the regulatory guidelines . The regulatory
guidelines only allow say write back if in case say cash for that specific asset will be more than
the net carrying value. So because of that say P&L impact will not be there and this will largely

have a impact on the net book value of the security receipts . But the important point is that from a economic perspective, you will see that say a book which has net carrying value of 8, 300 crore that has been submitted at Rs. 11,000 plus. So whatever is the delta, that delta would come back to bank as and when recoveries would happen .
Anushka Raheja: So anything recovered beyond the selling price would add to the P&L. Is that correct ?
Akash Suri : Sorry .
Anushka Raheja: Anything that you receive from the ARC beyond the selling price , that could add to the P&L?
Niranjan Banodkar : So as and when the recovery, not beyond the selling price , the point that Akash mentioned. So let's say , we keep getting the recoveries would mean that we basically keep writing or rather reducing the carrying value in our balance sheet . When the carrying value is effectively , let's say, zero, any recoveries over and above that becomes into P&L. So it's like in this particular structure , the P&L benefit of effectively Rs. 3,000, let's say Rs. 3,000 crores or 2,800 crores that we are talking about is kind of rear -ended from a P&L benefit standpoint , but it is there and it has been basically validated through t he bidding process that has come through.
Anushka Raheja: Okay , sir.
Moderator: Thank you . Ladies and gentlemen , due to time constrain , that was the last question for today. I would now like to hand the conference over to Mr. Prashant Kumar for closing c omments .
Prashant Kuma

r: So thank you so much for attending this call . We hope like we have been able to clarify your queries , but still if there is anything where you require more clarification , you are most welcome to reach out to us . Thank you so much.
Moderator: On behalf of YES Bank, that concludes this conference. Thank you for joining us , and you may now disconnect your lines .

Call: Oct 2022

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October 25, 2022

National Stock Exchange of India Limited
Exchange Plaza,
Plot no. C/1, G Block,
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
Tel.: 2659 8235/36 8458
NSE Symbol: YESBANK BSE Limited
Corporate Relations Department
P.J. Towers, Dalal Street
Mumbai – 400 001
Tel.: 2272 8013/15/58/8307
BSE Scrip Code: 532648

Dear Sirs,

Sub.: Transcript of Earnings Call for the Financial Results of the quarter (Q2) and half year ended September 30, 2022
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") for the Financial Results of the quarter (Q2) and half year ended September 30 , 2022. The same is m ade available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link :

https://www.yesbank.in/pdf?name=q2_fy23_analyst_call_transcript.pdf

You are requested to take the same on record and acknowledge the receipt .
Thanking you,
Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

Encl: As above

"YES Bank Limited
Q2 FY202 3 Earnings Conference Call "

October 22 , 202 2

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – YES BANK
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL

OFFICER – YES BANK
MS. ANITA PAI – CHIEF OPERATING OFFICER – YES
BANK
MR. RAJAN PENTAL – GLOBAL HEAD – RETAIL
BANKING – YES BANK
MR. RAVI THOTA – COUNTRY HEAD – LARGE
CORPORATES – YES BANK
MR. AKASH SURI – COUNTRY HEAD – STRESSED
ASSETS MANAGEMENT – YES BANK
 Moderator : Ladies and gentlemen, good day and welcome to Yes Bank Limited Q2 FY202 3 Earnings Conference Call . From the management team we have with us Mr. Prashant Kumar, MD & CEO, Yes Bank, Mr. Niranjan Banodkar, Chief Financial Officer , Mr. Rajan Pental, Global Head, Retail Banking , Ms. Anit a Pai, Chief Operating Officer , Mr. Ravi Thota, Country Head, Large Corporates , and Mr. Akash Suri, Country Head, Stressed Assets Management .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to a sk questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prashant Kumar . Thank you and over to you Sir!
Prashant Kumar : Thank you for joining YES Bank Q2 financial results call. At the outset, I would like to wish you and your family a very happy Diwali and a Prosperous New Year . With me I have the top management team of Yes Bank. I also realized today is earning s heavy day for the banks and in the interest of time , I will be only highlighting the key points for the quarter.
As you are aware that bank has signed an investment agreement with two marque e private equity investors Carlyle and Advent to invest ~INR 8900 Crores. We are awaiting regulatory approval and expect to receive the capital infusion in Q3. The bank has chosen JC Flowers a global di stressed debt fund to acquire and indentify pool of 48,000 Cror es of stressed pool at a bid 11183 which is 135% of the carrying value on the balance sheet. Pursuant to closure in Q3 this year , this is said to be th

e largest sales of a stressed asset in the domestic market. There have been multiple credit rati ng upgrade by CRISIL, ICRA, India ratings and CARE. Now the bank has the highest short -term rating at A 1 plus and long- term rating has improved to A minus with a positive outlook. Now specifically coming to Q2 financial results , bank has reported an operat ing profit of 790 Crores which is 34% increase quarter on quarter and 17% increase on Y -o-Y basis on the back of NIM expansion of 20 basis points quarter on quarter and 40 basis points Y -o-Y and improving cost to income ratio to 72.8. Our cost to assets ha ve been st able at 2.6% in spite of inflationary pressures and higher technology spend. Bank has reported a net profit of 153 Crores , which has been largely impacted due to ageing related provisioning requirement during Q2. The banks pre provisioning operat ing profit to asset is on track. However , any potential delay in expected recoveries may lower the expected FY2023 ROA. Advances have grown by 11% Y -o-Y of which retail has grown by 43%, SME 19 %, mid corporate 34 and the corporate there has been a degrowth of 18%. T he bank expects the advances growth
 to track deposit growth. The mix between retail SME , mid corporate and corporate has further improved to 54% retail and SME , 12% mid corporate and 34% corporate . Retail advances are seeing good traction across home loans , vehicle loans, personal loans and the bank is also looking to strengthen its gold loan and educational loan portfolio. New sanction disbursement aggregated to 24, 149 Crores during the quarter across the segment s and despite decline in net advan ces on the large corporate, our new business generation continues to be strong with corporate disbursement of more than 3700 Crores. The large repayments in the corporate segment continue in the telecom and infrastructure space with disbursement to better rated corporates.
On the deposit front our CASA ratio continues to improve with potential near term headwin ds to target of 35%. In spite of these challenges , our deposit is more than 2 lakh Crores which is 13% growth on Y -o-Y and 4 % quarter on quarter on the back o f 19% Y -o-Y growth in CASA deposit which is also 4% growth on quarter -on-quarter basis. The bank' s focus is on granulizing the liabilities with CASA and retail term deposit now at 62%. Average daily current account balances have grown by 37% Y -o-Y and aver age daily saving account balances have grown by 29.4% Y -o-Y. On the asset quality front, GNPA ratio has improved to 12.9 % against 13.4% last quarter and net NPA ratio has also improved to 3.6% against 4.2% last quarter. The slippages which is 896 Crores cont inue to be lower quarter on quarter and Y -o-Y. Slippage out of the standard restructured pool are at

303 Crores which primarily consist of one large exposure, 60% of our standard restructured advances are ou t of moratorium. Reduction in overdue loans within 31 to 90 days bucket is down by ~ 3000 Crores. Resolution momentum continues to be strong with total recoveries and upgrade of 1586 Crores. The provision coverage ratio has improved to 84% and the provision coverage ratio of the security rece ipt also stand s at 85%. Bank' s CE T ratio is standard at 11.7% and total capital adequacy at 17. 3%. The risk weighted asset to total asset is improving and is currently at 71.2% . We have also added 434 employees during the quarter. All of the above point s demonstrate a strong momentum in the buildup of good quality franchise. With this , I want to thank all once again for taking the time out for joining this call and wish all of you and your family good health, prosperity and happy Diwali. We can now open the floor for your ques tions.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of MB

Mahesh from Kotak Securities . Please go ahead.

MB Mahesh : Good afternoon Sir. Couple of questions just t o clarify what is no w the timeline for the JC Flower s deal to get completed and what specs are there. As for the Carlyle and Advent capital infusion what more specs are needed.

Prashant Kumar: In case of J C Flower s I think the timeline would be somewhere t he third week of N ovember and in case of equity raise , only RBI approval is await ed.

MB Mahesh : And when the transfer happens of JC Flower s where do you see after that the gross NPA to come in given the current book that you have.

Prashant Kumar: Our gross NPA would be around 2% and net NPA would be around 1%.

MB Mahesh : There will be no provisions that was needed at the time of transfer.

Prashant Kumar: Right.

MB Mahesh : If you just kind of assume that based on the current progress of where the resolutions are happening what is your expectation of credit cost for next year?

Prashant Kumar: Credit cost for next year you are saying?

MB Mahesh : Next year yes because there is combination with ag ing related NP A as well as resolution that could potentially happe n off the book where do you see credit cost heading for next tenure.

Niranjan Banodkar : So Mahesh credit cost will be a function of also some of the recoveries that we will come at a net level we have had non tax provision to assets that are about 40 to 50 basis points I think we will possibly see it remain in the 50 to 60 basis points range.

MB Mahesh : Okay so is it fair to assume that now that you have addressed asset quality and capital issues now it is just a question of your ability to improve the margins that is clearly vi sible .

Prashant Kumar: The ability to …

MB Mahesh : Improve margins that is the only last final hurdle that is now left.

Prashant Kumar: So I would not be saying hurdle . I would be saying this is the direction in which we are moving and after taking care of all of the issues I think we are on the right track.

MB Mahesh : Perfect Sir. Thanks a lot.

Moderator : Thank you. The next question is from the line of Mahrukh Adajania from Nuvama . Please go ahead.

Mahrukh Adajania: Hello Sir congratu lations. Sir there was some disturbance in my line. Could you share the credit cost guidance for next year or this year after the transfer. Sorry if all things go well and as per the recovery as per your assumption that is why I am asking again apologies .

Niranjan Banodkar : No Ma hrukh we are not giving any guidance because clearly there are moving parts what we indicated is that of 40 to 50 basis point is what was the provision credit cost that we have. Non tax provision to assets as a ratio that is prevail ing right now. Our expec tation is that we should broadly be in the same range maybe 50 to 60 basis points next year that is our expectation , but please do not take that as a guidance because that is something also we look at the start of the next financial year.

Mahrukh Adajania: Got it and Sir now some questions on operations. You have also seen 20 basis point Q -o-Q margin expansion congratulations for that first , but how sustainable are these margins say not only the over next four to five quarters becaus e that immediate outlook is essential for anyone to take a bigger call on the sector not only on your type of sector others as well and in general how do you see the sector loan growth and your loan growth sustainable because it has defied global trend so how long will be the de fiance i s my next question.

Prashant Kumar: So Mahrukh on the loan growth I think what we are seeing the industry loan growth around 18% and you are rightly saying that this defied the global environment and we also believe that if the financial institution started pricing the risk properly and I

think the ultimate
objective also in terms of the monetary policy is also to have a control on the loan growth
and I think then only the objectives would be achieved so I think over a period of time I
think we would see this loan growth coming down but at least as and as a bank we believe
this is a time where instead of running after the top line growth , we need to optimize
balance sheet and we see that we do the transaction at the right level so I think for us loan growth has been 11% , but we are expecting that we would be in a position to be around
15% loan growth by the year end, but at the same time there are two things we are not
 going to compromise on quality and we would not do the transactions at a rate which do es
not make a commercial sense.
Mahrukh Adajania: Got it Sir. In terms of your own margin any outlook?
Prashant Kumar: So currently we are at 2.6% and I think the way I have tried to articulate in terms of our
strategy , I would n ot be seeing like margins would continue to improve 20 basis point every
quarter in the current situation because of the issues in terms of rising interest rate scenario ,
but I think in terms of good control on the slippage of the loans and also in terms of taking
a conscious call of doing the transaction at the right pricing, we would be definitely seeing
improvement on the NIM s expansion going further , but to that extent which we have seen
in the current quarter.
Mahrukh Adajania: Got is Sir . Sir but jus t in terms of deposit compet ition likely to get more aggressive in the
second half how will deposit mobilization pan out because already the larger banks have
not yet increased rates and some smaller banks have, so if larger banks start increasing rates
rapidly how does deposit competition pan out and then that impact s everyone 's growth.
Prashant Kumar: I completely agree with you partially that deposit growth is something which everybody is
aspiring but I think what we have seen that even the larger banks have increased the rates significantly , but definitely since all the banks are increasing rates and there is a tightness in
the liquidity , this would continue to be a struggle , but I think what we are seeing is that
there has been a Y -o-Y growth of 11% on the deposit side and we have been able to reduce
our cost of deposit by 10 basis point so I think we are quite confident that with the kind of customer connect, the customer service and the products which we offer in the market , I
think we would continue t o increase our deposits wit h a control on the cost , but yes this will
be in a very, very challenging environment.
Mahrukh Adajania: Okay Sir thank you so much.
Moderator : Thank you. The next question is from the line of Saurabh from JP Morgan Chase . Please go
ahead.
Saurabh: Sir fe w questions. First is if there is a delay in resolution could you just give some colour
on what is your move around the AD AG account. Second is from your deposit and we have
seen 14% quarter on quarter current account growth and 2% DTO savings if you can ta lk
 about that as well and third question Sir is on NIM s so fair to say that you r incremental
margin which is being generated should be hopefully closer to 3.2% to 3.5% mark versus
the 2.6% that you are today. Those are the three questions.
Prashant Kumar: So I think to your first question in terms of delay in recovery because there is always a
timing issue okay some of the recoveries if we are expecting within the current financial
year that is spilled over to the first quarter o r second quarter of next financial year , so we
were talking about that kind of thing and if those expected recovery happen as per our
estimate in the current financial year then there is no issue , but there are always
uncertainties around it.
Saurabh: One

large account or few accounts .
Prashant Kumar: Mainly one large account but I think it is a moving part because there have been numbers of
levels at which the resolutions and the recovery has happened and sometimes there have
been delays in terms of the l egal issue and in terms of act ually money getting into your
balance sheet so we were only talking about this but if all the expected recovery happens as
per expectation then there is no issue , but definitely this is one are a where you cannot be
100% sure t hat is why we were talking abo ut that part. The second question in terms of the
NIMs , so I think NIMs we would continue to work in terms of expanding the NIMs but
reaching to 3.2 or 3.5 is still I think some time away and in the current situation where because of the rising interest ra tes scenario I think we continue scaling, but we would be
improving our NIM quarter -on-quarter.
Saurabh: Sir I was asking the incremental business generating at the bank what will be the incremental margin on the business that you are generating.
Niranjan Banodkar : So Saurabh if you look at actually our net interest margins today and because I think this will require a little bit of a context so there is let us say the drag that we get from the NPA.
If you actually adjust for i t and I am just giving a number where if you look at a yield on

advances of about 8.5% you adjust for the NPA actually the standard advances book is already operating at about 9.5% right so the loan spread is that we are actually running on the stock of the performing book and what we ar e also doing incrementally is actually quite
commensurate so we have not seen a significant differential. What we are seeing is that our drag of NPA is coming down. In the recent times we have also seen deposit rates also pi ck
up a little bit in the recent times so incrementally I am matching the let us say the loan

spread on the stock of book let us say the run rate for the last nine to 12 months actually we
were expanding that which has broadly compressed at this point in t ime but our endeavour
is that we will want that to continue to expand as we go along tiding over this current I
would say tight liquidity situation.
Saurabh: Okay so fair to say that once the capital raise come between the capital raise and the rate
that you will get at least on the borr owing side that will be the bigger driver?
Niranjan Banodkar : Sorry S aurabh I missed the last question. You are saying after the capital rate.
Saurabh: Any upgrade that you get on your borrowing, reduction you get on the bor rowing cost will
be the driver of the incremental assets?
Niranjan Banodkar : No so it is going to be a function of continuing to improve also the mix of your deposits so
for example for the last let us say two quarters we are at about 30% to 31% of CASA ra tio.
I think there is no magic pill here . I think it is a very execution focus ed work of getting the
31% improved to 40% plus number one and number two is that at the end of the day how
do we see the loan spreads actually expanding as I mentioned earlier t hat our loan spreads
were actually expan ding is only briefly given the way the rates have reacted immediately. If
we have kind of seen some amount of I would say slight contraction in the loa n spreads but
we expect that should start expanding again because we will want to keep expanding the
loan spreads as we go along from here on. The only point I made is that right we are going
through a little bit of an aberration in the external environment because of some of the liquidity tightness and the way rates ha ve actually moved up in a very short per iod of time.
Saurabh: Lastly just on this 14% quarter -on-quarter current account can you explain that?
Prashant Kumar: No I think the current account is one where I think we are continuously working and we
would be s eeing ei

ther the similar or better growth in the current account balances because
if you have seen even our average current account balances are doing very well and the
kind of the customers in terms of the solutions which we provide , I think we could cont inue
to get better current account balan ces.
Saurabh: So there is no one off in this current account?
Prashant Kumar: No one off. I think this is a very, very sustained I think the momentum for us, which would
continue to improve.

Niranjan Banodkar : In fa ct if you also look at let us say the aver age balances Saurabh we are talking about actually daily average balances even those have grown by 38% on a year -on-year basis.
Saurabh: Great. Thank you.
Moderator: Thank you. The next question is from the line o f Rahul Jain from Goldman Sachs. Please
go ahea d.
Rahul: Thanks this is Rahul here and good evening everyone. A couple of question, first is, is it
possible to know the retail deposit mix within the term deposits that we have in case I
missed out?
Niranjan Banodkar : So within the term deposits less than INR 2 Crores book that we have is about 31% Rahul.
Rahul: Understood got it thanks. In the borrowing cost that we have on an incremental basis due to the ratings upgrade have we seen any potential benefit pl aying out and even on the stock of
borrowings, etc ., or the whole sale deposits if the benefit already has not played out and by
when do you expect t hat benefit to start playing out?
Niranjan Banodkar : Rahul in terms of the bo rrowing I think we have to look at the progress and the
improvements that we have seen in the ratings and also a very significant I would say
liquidity tightening and increase in interest rates. I think the p ace at which I would say the
external environment has actually evolved has bee n very fast right so there is a very
difficult one o n one correlation to establish in terms of how I can demonstrate an increase
in the space. What we can definitely see is that our deposit growth ability to access deposits
continues to improve. What we ar e trying to focus on is relative deposit, the deposi t rates
relative to competition. I think we are quite confident about that. Yes the liquidity has
tightened , but I think we will continue to work on that. Our access let us say to long term
lines let us s ay for refinancing for example continues to be quite strong. In fact let us say in
September quarter we have looked at refinancing and borrowings in the range of about INR
3500 Crores and we are talking about three to four money as well where we have actua lly
raised so what I can definitely say is there is n o constraint that we have seen. We continue

to see improving pricing relative to what we were about six to 12 months back but I think you also have to juxtapose the recent I would say increase in rates and the liquidity tightening position.

 Rahul: Got it.

Prashant Kumar: Normally the advantage of the rating upgrade in the pricing always happens when there is a normal situation on the liquidity or when the situation would move towards the normal liquidity. I think in the current times it is more about the ac cess to liquidity rather than the pricing.

Rahul: Understood. That is helpful , just two small questions. One is the tax rate currently stays at about 25% odd? Do we expect to get benefit from the defer red tax asset at some stage, which will potentially bring down the tax rates?

Niranjan Banodkar : So Rahul the way the accounting will happen is that we will continue to report tax at 25%. The benefit that you will see is that as and when we have profits , those will start creating directly into my networ th rather than getting adjusted C ET1 because the DTA will start getting released. You are not going to see in our reported earnings. Reported earnin

gs will continue to have a provision for tax at 25% but the ac cretion to our C ET1 will actually be more than what we see at a PAT level.

Rahul: Understood.

Niranjan Banodkar : In a simplistic way if we are looking at let us say PAT of 100 what I am accreting effectively to let us say to the C ET1 is going to be 110% is actually going to be 110% and not 100.

Rahul: That is alrea dy happening as with speak?

Niranjan Banodkar : That is already happening as we speak that is correct.

Rahul: Understood. Sir last question is just a view on the saving rate because I think a large public sector bank or at least both SBI and Canara Bank have raised the rates on saving deposits in certain buckets of deposits ticket sizes any thought that you all have about what your bank terms will be?

Prashant Kumar: No I think this is the volume si tuation okay where like the large public sector banks have started increasing the rates so I think very, very recently. It also shows very, very tight liquidity provision into the market but I think when the function in terms of getting the liquidity is no t always in terms of pricing. It is always also in terms of th e customer connect

 and the customer service okay but yes there are absolutely headwinds in terms of getting the liquidity at the right price but at the same time we also need to appreciate that this is something which is very, very critical for the banking industry for any bank okay.

Everybody was fine and we are also moving in the right direction but I think the whole issue would be in terms of the right mix between the current saving and the te rm deposit so if you are able to provide the solutions to your customers then I think getting a good mix from the current account side that solution is there.

Rahul: Understood got it. Sir thank you so much and wish you and your team a very Happy Diwali.

Moderator: Thank you. The next question is from the line of Jai Mundhra from B&K Securities India Private Limited. Please go ahead.

Jai Mundhra: Good evening. Sir regarding the JC Flowers deal wherein you also intend to acquire up to 20% equity sta ke there what could be the quantum and what could be the implication on your CET1?

Prashant Kumar: I think that 20% would translate into something around INR 300 Crores to INR 350 Crores because it also depends on actual when the portfolio would be transferred. It would be net of the recoveries made subsequent to March 31, 2022 so I think the capital which would be required from our side when we will go for 19 .99% would be somewhere between INR 300 Crores to INR 350 Crores which is not having any significant or mini mal impact on our capital.

Jai Mundhra: That is current 13 to 14 basis points.

Prashant Kumar: Yes.

Jai Mundhra: The second question is on your guidance tracker so you have said that P POP to assets is mostly on track that number if we calculate is around 90 to 95 basis points or less than 100 basis points of asset so ju st wanted to check what is the outlook on that metrics PPOP to assets?

Niranjan Banodkar : PPOP to assets our expectation is that we should see at least about 10 to 15 basis points more expans ion as we kind of go along. If I actually look at let us say the DuPont for the bank excluding let us say the NPA portfolio, the broader structure is we have about a 1.2%

 operating profits on the e x NPA book and actually a provision cost is about let us sa y 15 basis points on those assets. We actually are running about 85 basis points of let us say ROA actually on the good bank. Of course there is a drag that is coming from the legacy book so the point is on the NIM expansion when we look at fees to assets, operating cost like we have been guiding I think we believe we ha ve capped out at 2.6% assets I think about 1% to 1.1

% at the full bank level is where we will basically be for this particular financial year.

Jai Mundhra: Even for your medium -term target w hen you intend to reach ROA of 1% to 1.5% how should the P POP loo k like that is the question?

Niranjan Banodkar : If you look at a long term target the net interest margins of 2.6%. Clearly our expectation is that we should move into a NIM trajectory of 3.2 5% to 3.5% from a medium -term stand point. When we look at Fees to assets which is ballpark at about 1% our expectation is that we should move to about 1.2% to 1.3% fees to assets. That kind of takes to revenue to assets of about anywhere between 4.5% to 4. 75%. If I take cost to asset let us say because some efficien cy will also start building in after having capped out at 2.6% so cost to income ratio assets at 2.5 essentially takes our P POP to assets at about 2% so I think that is really what our expectatio n is in terms of building out but this is not a very near te rm thought process. I think it is a very execution focus quarter -on-quarter where we will have to keep improving on our margins, keeping improving on our cross -sell fees and continue to keep impro ving our cost of acquisitions and running the business to ensure that we are efficient on cost as well so I think that is the combination that will play out on our P POP to assets.

Jai Mundhra: Right sure and then lastly if you can disclose the sector of the exposure that you said that which has slipped out of rest ructuring book and this is a bit chunky that would be it Sir?

Prashant Kumar: So there was only one account on the real estate side okay.

Jai Mundhra: Sure Sir. Thank you so much Sir and all the be st.

Moderator: Thank you. The next question is from the line of Srinivas from Individual Investor. Please go ahead.

Srinivas: My question is in the last one year Yes Bank has gone on a branch expansion spree so now the rising interest rate environment is it giving you the envisage level of growth and

 business or t hose branches are not able to generate the required operations or profits? Is that the reason for increasing the opex ?

Rajan Pental : So as regards to our expansion plan we have opened close to 25 b ranches in this year. The selection of the location and placing of the branches are strategically done to see that it is in the vicinity of a high deposit center as well as a credit center . From that extent all of these branches are actually doing reasonab ly well and as per the plan and we are actually able to see a good traction on the overall deposits and the customer base getting created in and around these branches.

Srinivas: But on the advances side are these branches contributing?

Rajan Pental : As I said most of these branches we are not only going with the deposit center we are also evaluating a good credit market in and around that market and hence on day one these branches are operational on both deposits as well as on the asset generation for SME a s well as on B rating and the size of these branches typically are actually not very large branches but in high potential areas which can give us enough and more custom ers

Srinivas: Sir my second question is actually there is significant interest in the pr ovisioning in this quarter so is it because of slipp ages have reduced then is it entirely because of the agei ng related provisioning? What is the mix between aging related provisioning and slippage related provisioning in this quarter?

Niranjan Banodkar : So just two accounts have contributed to about INR 740 C rores of ag eing related provisioning. Of f course there are more but I am just saying at the headline level INR 740 Crores. If I look at our net provisioning that we have had that is about INR 570 Crore s so clearly more than 100% is actually coming in from the ageing related. I think that is all getting neutralize

d .

Prashant Kumar: But if you see on the gross basis the slippage provisioning is only 10% of the total provision.

Srinivas: As a sequel to this query next quarter because entire NPA is going to be moving out from Yes Bank can we assume that the provisioning will be significantly lower in Q3?

Prashant Kumar: I would not be saying this because the regulations applicable to NPAs and the regulation applicable to security receipt s they remain the same so it is only like 15% cash would come

 and for the remaining 85% of the net NPA , which would be converted into the security receipt s the provision implications would continue to be the same.

Moderator: Thank you very much. I now hand the conference over to Mr. Pr ashant Kumar for closing comments.
Prashant Kumar: Thank you once again everyone and wish you and your family a very Happy Diwali.
Moderator: Thank you very much. On behalf of YES Bank Limited tha t concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2023

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YBL/CS/2022 -23/140

January 24, 2023

National Stock Exchange of India Limited
Exchange Plaza,
Plot no. C/1, G Block,
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
Tel.: 2659 8235/36 8458
NSE Symbol: YESBANK BSE Limited
Corporate Relations Department
P.J. Towers, Dalal Street
Mumbai – 400 001
Tel.: 2272 8013/15/58/8307
BSE Scrip Code: 532648

Dear Sirs,

Sub.: Transcript of Earnings Call for the Financial Results of the quarter (Q3) and nine months ended December 31 , 2022
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") for the Financial Results of the quarter (Q3) and nine months ended December 31, 2022. The same is m ade available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link :

https://www.yesbank.in/pdf?name=q3_fy23_analyst_call_transcript.pdf

You are requested to take the same on record and acknowledge the receipt .
Thanking you,
Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

Encl: As above

"Yes Bank Limited
Q3 FY '23 Earnings Conference Call"
January 21, 202 3

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL
OFFICER – YES BANK LIMITED
MR. RAJAN PENTAL – GLOBAL HEAD, RETAIL
BANKING – YES BANK LIMITED
MS. ANITA PAI – CHIEF OPERATING OFFICER – YES
BANK LIMITED
MR. RAVI THOTA – COUNTRY HEAD, LARGE
CORPORATES – YES BANK LIMITED
MR. SUNIL PARNAMI – HEAD INVESTOR RELATIONS –
YES BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Yes Bank's Q3 FY 2023 Earnings Conference Call. On the management panel, we have with us today, Mr. Prashant Kumar, MD and CEO; Mr. Niranjan Banodkar, Chief Financial Officer; Mr. Rajan Pental, Global Head, Retail Banking; Ms. Anita Pai, Chief Operating Officer; Mr. Ravi Thota, Country Head, Large Corporates; and Mr. Sunil Parnami, Head Investor Relations. Mr. Prashant Kumar will now give you an overview of the results, which will be followed by a Q&A session.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Kumar. Thank you, and over to you, Mr. Kumar.

Prashant Kumar: Thank you, an d thanks everyone, for joining Yes Bank quarter 3 financial results call. At the outset, I would like to wish you and your families a prosperous New Year. With me, I have the top management team of Yes Bank.

Starting with the operating environment during t he last quarter, Indian economy continued the growth momentum with most of the high -frequency indicators like GST collection, manufacturing and services PMI, consumption and the capital spending remaining strong. During the quarter, RBI increased the polic y rate by 35 basis points and maintained its policy stance as withdrawal of accommodation. Within this backdrop, Yes Bank, too continue d to pursue its strategic objectives. And in that, we have achieved two critical milestones of concluding capital raise and the ARC transaction.

We are happy to share with you that bank concluded the capital raise announced last quarter and received a cumul ative infusion of INR 6,042 crores, which is a split at INR 5,093 crores as equity and INR 948 crores as warrants application. We also appointed Mr. Sunil Kaul from Carlyle and Ms. Shweta Jalan from Advent as nominee Directors on our Board. Bank also compl eted successful assignment of largest pool of stressed assets to JC Flowers ARC, the details in this regard have been given on Slide 13.

The bank was selected amongst the first four pilot banks for the prestigious Digital Rupee project on the Central Bank Digital Currency launched by Reserve Bank of India. The bank also received multiple ESG certifications and scoring topmost -highest amongst the bank on S&P Global, CDP rating and Moody's ratings. Now before coming to our operating performance, regardin g yesterday's judgment of Honorable Bombay High Court order, as mentioned in the stock exchange update submitted late last evening, the bank is currently in the process of preferring an appeal before Honorable Supreme Court.

Now specifically coming to quarter 3 FY '23 financial results. Bank has reported an operating profit of INR 914 crores, which is up 16% quarter -on-quarter and 25% Y -o-Y. The reporting NIMs at 2.5%, they are lower by 10 bps sequentially. However, adjusting for interest recoveries

from NPA in the second quarter, the normalized NIMs of 2.5% are flat quarter -on-quarter. The non-interest income at INR 1,143 crores has grew 24% sequentially and 56% Y -o-Y. And this is led by increase across all lines of business, including retail banking fees and one -off gain on investment in this quarter which were fully provided for investment.

Our cost to income, we saw further moderation across most cost heads and came in 70.7% compared to 72.8% in the prior quarter. Our co st to assets remained stable at 2.6%. The Bank reported a net profit of INR 52 crores, largely impacted due to aging -related provisioning requirem

ent during quarter 3. The Bank's pre -provisioning operating profit to asset is on track. However, any potentia l delay in expected recoveries may lower than expected FY '23 ROA target.

On advances side, our reported advances have grown by 10.4% Y -o-Y, of which retail has grown by 43%, SME 19%, mid -corporate, 34%. But there has been a degrowth on the large corporate to the extent of 18%. However, after adjusting for the ARC assignment and Interbank reverse repo transaction, the normalized advances growth is 12%. The bank expects the advances growth to track the deposit growth going forward.

Retail SME, mid -corporate and corporate mix has further improved to 58% for retail and SME, 13% for mid -corporate and 29% for the corporate. Within retail advances, home loans, secured business loans, personal loans and auto loans continue to see strong traction. As you would see on Slide 22, each of them, they are at ~16% of the retail advances, reflecting granularity. New sanctions and disbursement aggregating to INR 27,311 crores during the quarter across segments. Despite decline in net advances for the corporate segment, our ne w business generation continues to be strong.

On the deposit side, in spite of the headwind and the challenges, we grew our deposit by 16% Y-o-Y and 7% quarter -on-quarter to INR 2.13 lakh crores. And this is for the first time, it has gone beyond the Septe mber 2019 deposit figure of INR 2.09 lakh crores. The CASA ratio is 30%. Bank continues to maintain its near -term CASA guidance of 35%. But in the current market environment, we are prioritizing and focusing on maintaining the current CASA levels. Average daily current account and every daily saving account balances have grown by 21% and 20% Y -o-Y. There has been a significant improvement in the NPA ratios post the ARC deal. . GNPA and net NPAs, they are now at the lowest level since quarter 3 FY '19. GNPA ratio for quarter 3 is at 2%, against 12.9% last quarter and 14.7% last quarter, quarter 3. Net NPA ratio for the quarter is at 1%, against 3.6% last quarter and 5.3% in quarter 3 FY '22.

Slippage for the quarter, they are at INR 1,610 crores. Ho wever, out of this, there were recoveries and upgrades in excess of INR 519 crores, resulting in net slippage of INR 1,091 crores compared to INR 896 crores in the prior quarter. Slippages out of the existing restructured pool, they were at INR 19 0 crores. Around 60% of our standard restructured advances are now out of moratorium. The overdue loans within 31 to 90 days bucket, they are INR 4,752 crores as

compared to INR 4,500 crores in the prior quarter. The resolution momentum continues to be strong with total recoveries and upgrades in excess of INR 1,270 crores.

On capital adequacy, the bank's CET ratio has improved to 13%, and the same is excluding accretion due to warrants application money. And the CRAR has improved to 18.2%, and the risk-weighted asset to total asset has improved and is currently at 71%. We have seen a net addition of almost 300 employees during the quarter. All the above points demonstrate a strong momentum in the buildup of a good quality franchise.

With this, I want to tha nk all of you once again for taking the time out for joining this call and wish all of you and your families good health and a prosperous 2023. We can now open the floor for your questions. Thank you.

Moderator: The first question is from the line of Mahr ukh Adajania from Nuvama Wealth.

Mahrukh Adajania: So basically, sir, my question was that shouldn't have the sale of loans had some positive impact on margin in this quarter? That's my first question. What would be the outlook for margin for 4Q and '24? A nd then if you could elaborate any impact that you see from the new ECL circular? And also in terms of SRs. So I know that you had said that the aging continues as if they are your own as

sets. But own assets, I think that it is fee -based on the revaluation of SRs, or I mean, how does it, how will you decide how much to mark down? If at all necessary?

Prashant Kumar: So I think the first question in terms of margins. Since the transaction on the ARC that happened in the second fortnight of December. So I think the impact on the margin because of this ARC transaction would be reflected more in the current quarter, that is the fourth quarter of the current financial year. If you have seen that our retail deposits are growin g much better than the corporate deposit and average current account balances are growing much faster, both on retail as well as on the corporate side. I think you would continue to work to grow our current accounts and reduce our cost of deposit.

Another part, if you see in terms of differential between rate of interest, which we offer on our fixed deposit as compared to the larger banks, both on public sector and private sector has come down significantly. So I think going forward, we would continue to se e a control in the cost of our deposit. And with the loan growth, I think we would be seeing an improvement in the margins, not only in the current quarter, but going forward in the FY '24. At this point of time, because of pricing the pressure in terms of the rate of interest, how things are moving, I would not give any guidance. But definitely, this is one area where we need to continuously work and improve.

The second part in terms of the security receipts. So I think that on the security receipts, the provisioning requirement, one part is because of the aging. So since they have to be treated like a loan in your book, so as per the aging, you have to make the provisions and also as per the valuations of SRs. So I think that currently, the provisioning re quirement would be more in terms of the aging.

Mahrukh Adajania: And any level of margin you can indicate? And also on the ECL circular, please, if you have any feedback?

Prashant Kumar: On the ECL circular, since on half yearly basis, we are also computin g the entire balance sheet and P&L, on the Ind AS system. So currently, we are seeing that there would not be any significant impact on the ECS circular because the provisioning requirement for Category 2 loans would go up. But similarly, the requirement o n the Category 3 would come down. So I think currently, we are not seeing any impact, and it would be by and large neutral.

Mahrukh Adajania: And sir, when you submit right now, you consider lifetime ECL or three -year, four -year, any idea?

Niranjan Banodka r: So Mahrukh, I think what we do is, depending on whether it's in Stage 1, Stage 2 or Stage 3, Stage 2 and Stage 3 actually assume the lifetime LGD. But Stage 1 is actually over one year time horizon.

Moderator: Next question is from the line of Kunal Sh ah.

Kunal Shah: Yes. So particularly on this entire ARC transaction, if you can explain in terms of in those two accounts, we have highlighted that there has been a shortfall and it is spread equally over two quarters, and the realized profit is considered in this quarter itself of INR 512 -odd crores. And overall, in terms of the provisioning, it is highlighted that the impact of ARC transaction seems to be neutral on the provisioning aspect. So if we can really know in terms of how the transactions have im pacted across the provisioning or maybe at the income line item, that would be really useful?

Niranjan Banodkar: So Kunal, so that I think two things we need to get understand here. So we have about, when we sold these assets, the consideration at which we sold was about INR 8,000 crores for a book, which had a carrying value of about INR 5,000 crores in the balance sheet. And on the date of the transfer, the gross exposure against the INR 5,000 crores carrying value was about INR 43,000 crore

s. And I'm jus t rounding numbers for the simplicity purposes. What happens is at a portfolio level, when I have a carrying value of INR 5,000 crores with INR 8,000 crores consideration, there is an unrealized gain that kind of sits, but given the way the accounting work is, we are unable to recognize that in any shape and form, right, in the balance sheet.

But what happens is that we have to look at the accounting from an individual loan exposure level. In the individual loan exposure level, you will have two parts, where customers or rather where the consideration is higher in some cases over the net carrying value. And there will be other cases where the consideration is lower than the net carrying value. So when we look at the first part, when the considerat ion is higher than the net carrying value, given that it is just a consideration not yet fully realized, it's a 15 -85 structure. We are not allowed to book any gain on account of that. However, we received 15% cash against the exposure, to the extent, the 15% cash is exceeding the net carrying value, then to that extent, the bank is allowed to take it into the P&L.

On the other side, when the consideration is lower than the net carrying value, that is an amount that we need to adjust or take to the P&L. So I'm just saying, these are the two separate ballpark figures that kind of offset each other from an ARC transaction standpoint. And therefore, at a headline level, when we say that there has not been any material impact coming in from the ARC transaction. However, in the -- you are referring to INR 512 Crores, So what we have done is that because the 15% cash is a realized cash, it gets accounted for upfront.

What we have done is we have basically accounted the unrealized loss by phasing it over two quarters, which is basically the INR 600 crores and taken the entire hit of that INR 600 crores through capital. So capital has been fully adjusted. So the CET -1 fully adjust that. But from a

P&L standpoint, it has been amortized over two quarter s. So that's really on the way the accounting has worked for the ARC transaction.
Kunal Shah: So that's the INR 609 -odd crores, that is not 15%, that is 100%?
Niranjan Banodkar: So that unrealized yes, absolutely. So for example, if the net carrying valu e per loan was INR 50. And we've sold it at INR 40. So what happens is that the delta INR 10 is something that we have to take up front. And we will basically have to record the 40 minus the 15% cash in our books as security receipts.
Kunal Shah: Yes. So that INR 6, which is there, that is not adjusted in 10. It is…
Niranjan Banodkar: No.
Kunal Shah: Actually 10, which is provided upfront, and 6 is just knocked off. So INR 609 crores is gross, INR 512 crores is equivalent to 15% cash basis, which would be equivalent to INR 3,400 odd crores of exposure, yes?
Niranjan Banodkar: Yes, you're absolutely right, just to complete. So the INR 500 crores is basically where the carrying value is zero, consideration is 10. We get 15% cash, so 1.5 is the cash. So 1.5 is what basically gets recorded into P&L. So that's the P&L on the positive side. There is on the negative side, as you said, we discussed in the earlier example that 10 becomes a loss.
Kunal Shah: So just last thing on this. So when we say final considera tion of INR 8,046 crores, we can assume INR 609 crores is the shortfall, INR 3,400 crores as a gross of INR 512 crores value that is where there would have been some gains. And the balance is something which is just lying in the book, and we would have cre ated some provisioning against it.
Niranjan Banodkar: So, yes. If you actually look at our security receipts, the face value of the security receipts are INR 6,800 crores. And if you actually see the carrying value of the security receipts, I'm just, again , rounding number is

about INR 3,800 crores. So the delta that we are talking about is something that we -- I mean, we are not allowed to take into P&L, only happen as the realizations play out on these security receipts. And I mean, potentially, the reali zations would also be in excess of INR 6,800 crores. But yes, as and -- till the time I basically keep realizing, I will first

keep reducing the value of the SR at an individual level. And once that SR is redeemed, any cash that goes over and above that co mes into P&L.
Kunal Shah: And the overall provisioning, so when I have to look at it, the overall provisioning that has been investment depreciation and the NPA. So all this does it relate to the same ARC transaction or this is different. So any provisioni ng outside of ARC is that is the book which is leading to higher provisioning during the quarter?
Niranjan Banodkar: So again, if you actually look at our slide, which gives a breakup of provisioning, that's Slide 12. At a very substance level, what we hav e is that the INR 3,000 crores was a gross provisioning release coming in from NPAs. And that has actually been used to step up provisioning on the security receipts for INR 3,000 crores. That's the consequence of the transfer of the ARC asset. However, th e reason the provision for nonperforming advances is actually lower and does not entirely correspond to INR 3,000 crores is because of the INR 850 crores of aging -related provisioning that we had to take, there was a provisioning implication on aging as we ll as for the slippages that happened during the quarter, we had to take the provisioning. So a substantial part of that is coming in from the non -transaction -related provisions.
Kunal Shah: So this should ideally have been INR 2,900 crores, but it is lowe r INR 2,000 crores because of this INR 850 -odd crores of aging and fresh slippage provisioning?
Niranjan Banodkar: That's absolutely right. And what you will also see as a consequence of this, there are two elements that get reflected. One is the fact that we've received a cash of INR 1,200 crores that clearly brings down our NNPA. But importantly, also the fact that we have also stepped up the provisioning means that the aggregate net carrying value of the SRs and NPA on a stock basis has come down from 3. 8% to 3. 0% of advances December over September. And that's also something we've put out on one of the slides, which is Slide 13. So this provisioning essentially has helped us get a substantial part of the drag 80 basis points lowered in one quarter.
Mode rator: Next question is from the line of Srikarthik from Investec.
Sri Karthik Velamakanni: A couple of questions. One, continuing on the INR 850 crores slippage and provisioning requirements. Could you break that down into your steady state slippage rela ted provisioning cost? And what was required for a legacy aging? Or is the INR 850 crores entirely steady state as per your current balance sheet growth?
Niranjan Banodkar: So Karthik, the breakup of this INR 850 crores is about ballpark INR 250 crores is on account of the new additions of NPAs that we would have had. The balance pertain to the stock of NPAs that we were carrying. In fact, some of the aging provisioning, we also had to take on account of loans that was eventually sold to the ARCs because th e sale happened sometime in the latter half of December quarter. But the substandard would have moved to a D1 or D1 to a D2 during

the quarter prior to the sale. So the combined effect of that is what we are seeing at INR 850 crores. But as I mentioned, th e slippage broadly have constituted to about INR 250 crores of provisioning during the quarter.

Sri Karthik Velamakanni:: Assuming no assumption changes for next quarter, INR 250 crores for our business as usual and 300 residuals fr

om the ARC transaction, is that how we should think?
Niranjan Banodkar: So Karthik, basically, there is an aging related provisioning that will come up between March and even in the follow -through fiscal '24 as well. So I would say about INR 250 crores was elevated provision cos t for Q3, we would realistically see that in the range of about anywhere between INR 175 crores to INR 200 crores. And on the aging -related provisioning, of course, it is noisy, because what happens is in one quarter, there might be some accounts that migh t just slip into a D1, there might be some security erosion that plays out. So I think it's difficult to kind of model that.
So it's difficult to model. So on a steady state, we will say that INR 200 crores is what the slippage new formation of NPA should give us as a provision. And on the aging related, we are very confident that our resolutions and recovery should be able to offset a large part of those provisions. It's just that many times, it's difficult to be precise with the timing of the aging -relate d provisioning along with the resolutions and recoveries that plays out.
Moderator: Sir, the line for the participant dropped. We move on to the next participant. The next question is from the line of Jai Mundhra from B&K Securities.
Jai Mundhra: Question on this net security receipts book value of like INR 3,772 crores. And you mentioned that the provisioning here would be on, as if this is the loan. So what could be the category of these SRs as of now? Would they be like D2 or, and very quickly, they may be falling to D3, because they should be counted as if they would have become NPA when they were loans, is that understanding right?
Prashant Kumar: No, absolutely. This understanding is correct. But I think on this security receipt portfolio, it is a mix between the service standard D1 or D2. Because there were also accounts which were in SMA -2 category, which have been also sold to the ARC. So there are accounts which have become NPA in the current month only. So they would remain in the service stand ard category. But there are accounts which are there as a D1, because the accounts which are in D2 and D3 kind of things, they have already been technically written off.
Jai Mundhra: But sir, this considering the operating profit that we have and this -- if this is anywhere between D1, D2, the aging -related provisioning could be high as compared to the quarterly operating profit that the bank generates. And so a lot depends on the cash recovery that we do out of the extended pool. So I don't know it would b e very helpful if you have some view on the -- maybe on a four -quarter basis, what could be the aging provisions out of this portfolio may not be every quarter, but four quarters from now and what could be the aging provision for the next four quarters?
Niranjan Banodkar: So Jai, let me just respond that by saying that a good benchmark for what the resolutions or recoveries could be is actually what has culminated through the JC Flowers transaction. So like we mentioned, the actual face value of the securit y received is INR 6,800 crores, and we are

actually carrying them in the books at INR 3,800 crores. Now what this means is that assuming that the resolutions or recoveries happen, there , is a potential P&L write -back that will happen on the underlying lo ans. So just to -- again, I'm taking an example. Let's say, in one of the loans, there is a profit that comes in because of a higher realization. We are not only recognizing the P&L, but also the principle of that particular security receipt will go down.
So what we are essentially seeing is that out of the INR 3,800 crores, I'm just putting a number right now, let's say 50% of the security received, we are able to realize 100% of the profit. That profit will substantially be used to effectively take c

are o f the aging -related provisioning of the
residual 50%. And this, in many ways, is no different from how this has actually played out for our NPA pool as well. Because over a period of time, last two years, various NPAs have aged. We have taken NPA provision ing. I mean from a peak NNPA ratio of 5.9%, we've actually come down to 3% on a combined basis. That's like a 300-basis point reduction.
Now it has had a journey which has seen a step -up through aging -related provisioning. But it

has also seen a journey w here we've seen resolutions and recoveries. We expect that to continue. It's just that we may not be able to be precise about the timing of it.

Jai Mundhra: So maybe the related question is that till last quarter, outside of ARC, we have had a INR 5,000 crores recovery target. And now this SR sits in our bank, whereas most of the portfolio has already gone to JC Flowers. What could be your 12 months recovery target?

Prashant Kumar: No, I think maybe the loans have moved to JCF. But I think last three years, if you see, we are continuously making the recoveries and upgradation to the tune of more than INR 5,000 crores. So I think the FY '24 also, we would be seeing the recoveries and the resolution on the similar line.

Jai Mundhra: And secondly on, sir, Yes Bank reconstruction scheme. So correct me if this scheme or the lock -in is getting lifted somewhere in March, or does it go to April? And then while this would be a secondary market deal wherein at least around 40% of the holders may will have the lock -in lifted. Would you have any comment to an offer at this stage? This is your discussions, or this is your view?

Prashant K umar: So lock -in would be lifted on 13th of March. This is a day, identified day and this lock -in would be lifted automatically. There is nothing to be done from the bank side. I think our discussion with the investor bank s give us that confidence, that th ere would not be any pressure on the selling side of our stock post lifting of the lock -in as on 30th March.

Jai Mundhra: And my last two questions, sir. One is there is a stress telecom exposure and media reports have given any figure from, I don't know, from INR 3,000 crores to INR 5,000 crores. If you can clarify how much is the provision? And if you have any a contingent provisions on that exposure? And what could be the nature of that exposure funded, non -funded, etcetera?

Prashant Kumar: No. I think I have a policy; we don't talk about the individual exposures.

Niranjan Banodkar: Jai, what we can definitely add here is that we've seen a 60% reduction in the exposures over the last 12 months.

Jai Mundhra: And lastly, sir, if you have the RWA number in INR crores that would be helpful. And does just the AT1 treatment, worst case, I mean, what could be the worst case that, you may have to create a P&L liability through P&L? Or this could just be -- I mean, because it's unprecedented, what could be the worst-case outcome on this AT1 bond judgment?

Prashant Kumar: So Jai, I think in the worst case, it would result into actually the CET ratio coming down, CET capital coming down and the AT1 going up by the equivalent amount. We need to see in terms of real ac counting system because this is something where first we are making an appeal in the Honorable Supreme Court. But I think from the accounting side, we need to figure out, but the end result would be coming down of CET and AT1 going up by the similar amount .

Jai Mundhra: And if I can get the RWA number in INR crores. And also, if you have the loan mix by EBLR, MCLR fixed rate, etcetera.

Prashant Kumar: So the RWA is INR 2,43,000 crores.

Jai Mundhra: Sure.

Prashant Kumar: Yes. And mix just be there with a further, we'll just mention that number.

Moderator: The next question is from the line of Srikarthik from Investec.

Sri Karth

ik Velamakanni: My line got cut off. I had a couple more questions follow -up to the earlier one. When I look at our SMA movement i n the non -retail segments along -- and triangulate that with the slippages during the quarter, it appears as though our corporate slippages continue -- I mean, our ballpark INR 960 -odd crores. But the commensurate overdue loans on the corporate side have n ot come down by the same amount. So it looks like we are still adding higher corporate loans to the SMA pool on a sequential basis. Is that the right conclusion from all this?

Prashant Kumar: So I think if you see the SMA 2 has come down. But there has bee n an increase in the SMA 1. So sometimes what happens because of the number of days in a month, that delinquencies goes beyond the 30 days. But when we see the individual accounts, which are coming into the bracket of SMA 1, we are not seeing that kind of the concerns around this.

Sri Karthik Velamakanni: And the second question is to Niranjan. So on the DTA unwinding into the CET, while our internal accruals are not really have been high. But theoretically, are you seeing the accrued tax losses convert int o CET -1 as we continue to remain profitable? Is that happening on an ongoing basis?

Niranjan Banodkar: That's right , Karthik . Given the number of profit that we are seeing, it's a smaller proportion. But as this picks up, we can apply a factor of 1.1 to the pickup.

Sri Karthik Velamakanni: So 150 bps because of full conversion, plus some amount of conversion from the DTA is the eventual likely CET -1 ratio where things once stabilized.
Niranjan Banodkar: That's correct. Just a quick response to an earlier question that was asked on the mix. So the EBLR mix is about 29%. The MCLR is about 23%. So that's the mix of the advances that we have.
Moderator: The next question is from the line of Sankalp Jain from SBI Mutual Fund.
Sankalp Jain: My question is with respect to the judgment that came out yesterday. Now since these bonds are perpetual in nature, can there be a thought about not exercising the first available call option? Or does the judgment require you to redeem immediately ?
Prashant Kumar: So I think we missed the last part of your conversation. Can you please repeat?
Sankalp Jain: Sir, my question is that since these are perpetual bonds, do we need to exercise the first available call option? Or does the judgment require you to rede em these bonds immediately?
Prashant Kumar: No. So basically, the judgment is not talking about any of those things. Judgment is only saying that our notification related to write -down of AT1 is not upheld by the Bombay High Court. But these are the perpet ual bond. And it is not mandatory to exercise that call option.
Sankalp Jain: And sir, second, does the judgment require you to make payment for previously due but unpaid coupons that we have not paying since FY '20? Or can we still use the coupon discreti on clause and not make the payment?
Prashant Kumar: No. So I think, again, judgment is not talking about all those things. But I think as per the regulation, this is again the discretion of the bank for payment of the coupon. And there is no cumulative nat ure of payment of the coupon. And in the financial year, when the bank is in losses, the bank cannot pay the coupon.
Moderator: Next question is from the line of Divyansh Kalra from Shaurya Capital.
Divyansh Kalra: Sir, I just wanted to understand the re duction. So if you could provide little bit from the breakdown of the reduction in GNPA from Q2 to Q3. So from INR 27,000 crores to INR 4,000 crores approx.?
Prashant Kumar: So is the question is, how has the gross NPA come down from INR 27,000 crores to I NR 4,000 crores?
Divyansh Kalra: So if you could help with any breakdown so what was the transfer to ARCs or any contribution with regard to these nu

mbers?
Prashant Kumar: This is substantially a function of the ARC sale, where we have sold NPAs of approxi mately INR 23,000 crores to the ARC. So I think it's a function of that where you're seeing the substantial reduction.

Divyansh Kalra: And sir, my second question was a shareholder -related question. So if you could help us with what's the percentage of our equity held by Index funds prior to 2020, March 2020? So what was the message that was locked -in, if you could help with the number?
Prashant Kumar: We can't hear you. Can you please repeat? I think voice is not --
Divyansh Kalra: Sir, if you could help with the percentage of shareholding held by Index funds as of now which is locked in?
Prashant Kumar: Shareholding? You were talking about shareholding percentage?
Divyansh Kalra: Yes, held by Index funds which is locked -in as of now?
Prashant Kumar : Index funds? What is held by Index funds?
Divyansh Kalra: Yes.
Prashant Kumar: I don't have this answer handy in terms of the precise Index fund holdings but will be happy to get back to you separately.
Divyansh Kalra: Any rough number if you could, a ny rough estimate if you have, its fine?
Prashant Kumar: No, actually, the reason I'm not just putting out an index number is because many times, we will have institutional shareholding names appearing which get clubbed, but the underlying portfolios repre sent Index funds. So at least I don't have the number that carves out the Index holdings.
Moderator: Next question is from the line of Mohit from Individual Investor. Due to no response, we move on to the next participant. Next question is from the line of Suraj Das from B&K Securities.
Suraj Das: Just one question, sir, most of the question has already been answered. You mentioned about EBLR is 29% and 23% is MCLR. So does it mean the rest is all fixed or I mean, there is something else also? Just wanted to clarify.
Niranjan Banodkar: So we have another 4% of floating rate loans, which represent , which are back ed to not the repo EBLR or the MCLR. So that number is about another 4% to 5%. The balance fixed rate book that we have, typically, the fixed rate book is also comprising a 10% fixed rate book, which represents, short -term nature of facilities. So while these are inherently fixed rate, it's just that

they get repriced given the short -term nature of the book. So I think you should also be mindfu l
of that 10% to 15% of the book as well.
Suraj Das: And sir, also, if you can, on the Slide 19 in your presentation, you have explained something
that 60-basis point of impact from ARC transaction. So if you can just elaborate on this. I mean,
is it becau se that you had taken that full impact in capital, as you mentioned in your opening
remarks or inaudible 0:49:12 ?

Niranjan Banodkar: So the impact actually comes from two broad fronts. One is when the NPAs get substituted as
security receipts in the bala nce sheet, albeit, at a lower value adjusted for the cash that you
receive. The risk weights that get applied on NPAs versus the risk weights that get applied on a
security receipt, that is where, A, there is a higher RWA on the balance sheet, on a like -to-like
basis. So that is number one.
The second impact is on account of the deferred tax asset implication on the CET -1. So what
happens is for the loans that we have transferred, we have to undertake a write -off of the residual
provisioning. So it does not have a P&L implication. But because we have to write -off the
provisioning in our books, from a tax perspective, it becomes a tax expense and also results into
a tax loss. So what the color of the deferred tax asset, which is sitting in the balance sheet a ctually
gets substituted from a deferred tax for provisioning to a deferred tax asset for

a tax loss.
And as a consequence, there is an implication on the amount of allowable DTA that we can carry
in the balance sheet for the CET -1 computation. It gets low ered because the deferred tax asset
from provisioning moves to a deferred tax asset for loss. So that combination of the two, the
higher risk weight and the deferred tax asset broadly was about 60 basis points.
Suraj Das: So sir, I mean, all the impact has been done, I mean has been taken once in all? Or I mean there
could be further some impact in coming quarters? Or there could be some reversal due to this
DTA calculation and all that. I just wanted to understand.
Niranjan Banodkar: So, on the C ET-1, very emphatically, the full impact of the transaction has been taken into effect.
However, like we discussed earlier on the call, further security receipts, which are outstanding,
potentially, like the NPAs in the normal case, there will be an aging -related provisioning that
could come through, which will flow into P&L. And therefore have an implication on CET -1.
Or we could also have resolution, which means write -back, which could also be additive through
the P&L. So I'm just trying to be very techni cally correct here to say, that the transaction has got
fully baked into the CET -1. However, the performance of the security receipts will play out over
the next few quarters, years in terms of either a P&L write -back or the aging -related
provisioning.
Mod erator: The next question is from the line of Manhar, Individual Investor.
Manhar: Sir, actually, I look at Page 18 of the investor presentation. So there we have INR 8,853 crores
of security receipts, and this is actually the consideration amount, I t hink in my understanding,
and this is having a net book value of close to INR 5,000 crores. And then against that, it's
mentioned INR 5,000 crores of provisioning. So is this -- that the SR books provision?
Niranjan Banodkar: Sorry. I think we're just tryi ng to be on the same page. Just give us a moment. So can you just
quickly repeat the question? So you were mentioning…
Manhar: So, INR 8,853 crores of security receipts has been mentioned there, on Page Number 18 in other
non-performing assets. And the net book value of this is close to INR 5,000 crores, and again
there is a INR 5,000 crores of provisioning amount. So is this that the entire book to provision?

Niranjan Banodkar: No. So, sir, the security receipts of INR 8,800 crores also include the INR 2,100 crores of
security receipts that we were carrying even prior to this transaction. Post this transaction, which
is a INR 2,100 crores -plus ballpark to INR 6,800 crores of security receipts that we've got
pursuant to this transaction, that results into an aggregate security receipt face value of about
INR 8,800 crores as of December. What we're saying is that the carrying value of this book is
about INR 3,772 crores. And if we were to add this INR 3,772 crores to the net NPA stock of
the bank, which is INR 1,973 crores, that gives us basically a INR 5,746 crores of number, which
we can compare to the September number as INR 7, 242 crores because at that time, we did not
have the ARC transaction.
So the substantial part of the ARC book was sitting in the NPA. So just to make a comparison
with apples -to-apples, we've basically shown the number of INR 7,242 crores in September can
compare with the INR 5,746 crores in December. What we are seeing is that, if you look at that

number as a proportion of the adv ances aggregate number, that has come down from a 3.8% to 3%. So I think that's the sum and substance of what we are trying to communicate.

Manhar: So my last question is just on the restructured book. So we can see continuously there's INR 190 crores of s lippage this quarter, INR 140 crores previous, and INR 120 crores previous. So now that it's come out of morato

rium, is that they move into different buckets of SMA 1, SMA 2, SMA 3 or they remain in the restructured books as it is?

Niranjan Banodkar: Just give us one minute. You're saying restructured book.

Manhar: INR 5,800 crores of restructured book?

Niranjan Banodkar: Yes. So the restructured book, which is split across DCCO, MSME, COVID. So I think that book is holding up quite okay. I mean, there is -- I think we are talking about some nominal numbers that may have moved in or out. There also been some recoveries that have played out for that restructured book as well. But there is nothing substantial or a trend that we are kind of wanting to use to infer that there is any material damage coming in that book.

Manhar: Now my question was that, does this restructured book move into different buckets? Or does this remain as the restructured book? Does this go to SMA 1, SMA 2, or does this remain in restructured book according to the moratorium thing?

Niranjan Banodkar: No. So there is no -- at least a presentation that we have put out, there is no overlap between the SMA and the restructured book. But from a regulatory classification, if the restructured book were to be overdue, that will get classified as an SMA 1 or SMA 2.

Moderator: As there are no further questions, I will now hand the conference over to Mr. Prashant Kumar for closing comments.

Prashant Kumar: So, thank you very much. And I think this has been a very -very significant quarter for us, where we have been able to close two transactions, one in terms of capital raise and another in terms of transferring our stressed -asset portfolio to JCF lower ARC, which results into a very strong

capital ba se for the bank, 13% CET and overall capital of 18%. And similarly, the GNPA number coming down to 2% and net NPA number coming down to 1%.

Now with sufficient capital, a very strong liability franchise, which we have been able to build up. I think going f orward, this would be the growth phase of the bank, and our focus is on the growth with profitability. So I think going forward, we would be in a position to not only continuously demonstrate a good performance both on business and the profitability, but a lso in terms of giving the returns to our stakeholders. So, thank you so much.

Moderator: Thank you very much. On behalf of Yes Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2023

YBL/CS/2023-24/080

July 27, 2023

National Stock Exchange of India Limited
Exchange Plaza,
Plot no. C/1, G Block,
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Bandra (E), Mumbai - 400 051
Tel.: 2659 8235/36 8458
NSE Symbol: YESBANK BSE Limited
Corporate Relations Department
P.J. Towers, Dalal Street
Mumbai – 400 001
Tel.: 2272 8013/15/58/8307
BSE Scrip Code: 532648

Dear Sirs/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results of the Quarter (Q1) ended on June 30, 2023
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") for the un-audited Financial Results of the Quarter (Q1) ended on June 30, 2023. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:

https://www.yesbank.in/pdf?name=q1_fy24_analyst_call_transcript.pdf

You are requested to take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

Encl: As above

"Yes Bank Limited
Q1 FY '24 Earnings Conference Call"
July 24, 2023

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
M R. NIRANJAN BANODKAR –CHIEF FINANCIAL OFFICER – YES BANK LIMITED

M R. RAJAN PENTAL – EXECUTIVE DIRECTOR – YES BANK LIMITED
M R. RAVI THOTA – COUNTRY HEAD, LARGE CORPORATES – YES BANK LIMITED
M R. SUNIL PARNAMI – HEAD OF INVESTOR RELATIONS – YES BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the YES Bank's Q1 FY '24 Earnings Conference Call. On the management panel, we have with us today, Mr. Prashant Kumar, MD and CEO, Mr. Rajan Pental, Executive Director, Mr. Niranjan Banodkar, Chief Financial Officer, Mr. Ravi Thota, Country Head, Large Corporates, and Mr. Sunil Parnami, Head of Investor Relations. Mr. Prashant Kumar: will give an overview of the results, which will be followed by a Q&A session.
As a reminder, all participant lines will be in the listen-only mode. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Kumar, MD and CEO from YES Bank. Thank you, and over to you, sir.
Prashant Kumar: Very good morning and thank you for joining so early for YES Bank Quarter 1 earnings call.
Starting first with the headline view, at an overall level, Quarter 1 was a steady quarter, where we have continued to demonstrate good progress on our strategic objectives. While there was a continued momentum in balance sheet granularity, we also delivered strong growth in our fee income, while containing our operating and credit costs. Having said that, as we undertake the journey of transforming the Bank, few areas remain as work-in-progress, and we look forward to continue our work on those in the coming quarters.
A key highlight during the quarter was the launch of our refreshed brand identity. With a strong foundation firmly in place, we felt that it was an opportune time to have this strategic move of reimagining the YES Bank brand.
As part of the refreshed brand identity, a vibrant new logo has been launched, which carries forward the visual DNA of the Bank and we build on it. This has been accompanied with an integrated 360-degree bank campaign with the positioning – “Life Ko Banao Rich”, which resonates with our deep commitment to empower our customers to focus on their most valuable account called Life, while allowing us to take care of their banking needs. The initial feedback of the campaign has been extremely positive, and we believe that this will not only instil enthusiasm and confidence among our stakeholders but will also enhance the pace of our customer acquisition.
Now moving over to the numbers. As we had already uploaded our investor presentation on Saturday, I will cover select financial highlights for the quarter. Advances growth, adjusting for the ARC transaction was 10% Y-o-Y. That granular segments continued to grow at a faster pace with Retail Advances growing at 31.3%, SME by 24.1% and Mid Corporate Segment growing 28.9%. While corporate advances further contracted during the quarter, the non-fund-based outstanding balances have grown by 12% Y-o-Y and 4% quarter-on-quarter. We expect this good momentum to continue over the coming quarters.
Deposit growth, excluding CDs was 16.2% Y-o-Y. The credit to deposit ratio also improved marginally to 91.3% from 92% in the last quarter. Even within deposits, the Retail segment sustained the growth momentum with 23% Y-o-Y growth.

Net interest margin at 2.5% was up 10 basis points Y-o-Y. However, on a sequential basis, and as guided earlier, there was a compression largely due to deposit re-pricing. In addition, there was strong momentum in non-interest income, which grew 54% Y-o-Y and 13.7% Quarter-on-Quarter, backed by strong traction in third-party sales and trade and remittance fees.
The cost-to-income ratio was at 73.9% for Q1FY24, compared to 71.4% in Quarter 4 FY23. Despite "Retailization”, the cost to assets at 2.6% has remained largely flattish over the last six quarters. Net profit at INR 343 crores has grown by 10.3% Y-o-Y and 69.2% Quarter-on-Quarter. Bank reported

an ROA of 0.4%, as compared to 0.2% in Quarter 4.
Coming to asset quality. In Quarter 1 FY24, the gross slippage was INR 1,430 crores against INR 1,072 crores in Quarter 1 last year and INR 1,196 crores in Quarter 4 last year. However, slippages, net of recoveries and upgrades were at INR 764 crores, which is similar to last quarter

of INR 740 crores. Within large corporates, net slippages were majorly due to one large account. Overdue book between 31 days to 90 days has reduced by almost INR1,000 crores on Quarter-on-Quarter basis. Resolution momentum continues to be strong with total recoveries and upgrades of INR1,201 crores during the quarter.

Overall, gross NPA ratio reduced to 2% from 2.2%. Net NPA and Net Carrying Value of Security Receipts remains flat Q-oQ at 2.4%. And lastly, the CET 1 ratio, including the warrant application proceeds is at 13.6%, against 13.3% in the Quarter 4 FY23.

Now before taking your questions, I would also like to spend some time on Bank's medium-term transformation and ROA improvement roadmap. We believe the focus of the Bank is now firmly aligned towards improving the profitability and accelerating the momentum over the coming few quarters.

Towards this, we continue to work on, to drive improvement in our NIMs and CASA ratio, to reduce the drag of legacy PSL requirement, to intensify cross-sell and product penetration into our fast-expanding customer base and continuing to maintain strict control over operating and credit costs. Some of this has already started to reflect in. For example, in Quarter 1, the share of high-yielding product mix in retail advances improved from 31.5% (in previous quarter) to 32.5%.

The current account balances have grown by 27.1% Y-o-Y but declined 9.3% Quarter-on-Quarter. However, the average daily balance of current accounts for Quarter 1 has grown by 20.3% Y-on-Y and 2% on quarter-on-quarter. While there has been a de-growth of 4% in savings account balances on Y-o-Y basis, which is actually because of a decline in the higher value bucket. However, balances in the lower value bucket of INR5 crores and below at account level has seen healthy Y-o-Y growth.

The bank registered a strong 33% Y-o-Y growth in our rural advances. Our rural disbursement witnessed a strong growth of 34% over Quarter 1 FY23 and 62% over Quarter 4 of the last financial year.

YTD, the Bank has bought PSL certificate amounting to INR 4,300 crores. For reducing RIDF debt, the Bank continues to actively engage with select BC partners for organic growth opportunities, while we simultaneously evaluate the target for potential acquisition as well.

We continue to invest in our branch network and people. We have added 20 new branches and around 1,000 new employees during the quarter 1. While we continue to invest in our physical distribution, in quarter 1, more than 90% of our saving account and 55% of our individual current account were opened digitally, showcasing our commitment to further improve our productivity and response time. All the above points demonstrate a strong momentum in the build-up of a good quality granular franchise.

With this, I want to thank you, once again for taking the time out for joining this call and wish all of you and your families, a good health and prosperity.

We can now open the floor for your questions. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer-session. We have the first question from the line of Avinash Kumar, an Individual Investor. Please go ahead.

Avinash Kumar: Good morning. Good morning, sir. I am Avinash. My first question is few months ago, as I have read somewhere that YES Bank is looking for a few microfinance -- acquiring microfinance, right, sir. So what is the timeline for that? And how that is from internal accrual or YES Bank will raise fund for this acquisition?

Prashant Kumar: So Avinash, first, than

k you so much for joining us. And related to this question, and I think we have given a guidance that we are looking for inorganic growth in the microfinance space. And fundamentally, this was for two purposes. One, we have a drag on our PSL of almost 35 basis points. Second, we don't have any high yielding asset book, as of now. So I think we continue to evaluate some of the assets, which are available in the market. And we would be expecting like within this financial year, we should be in a position to close this acquisition.

Avinash Kumar: Okay, sir. Okay, fine, sir. And second question, sir, is our ROA is 0.4%, right, this quarter and NIMs is slightly above from quarter-on-quarter. I think quarter-on-quarter is declining and year-on-year is improvement by 8% Y-o-Y. So NIMs, if we look at other bank year-on-year results, their NIMs are quite high, NII, sorry, not NIMs, NII. So when YES Bank NII year-on-year is improved, it is not understood, NII is not improving that much comparing to other banks, large banks?

Prashant Kumar: So Avinash, you would appreciate for us, this is a journey, and maybe this is not the right time for comparing with some of the large banks. But I think this is a journey, where we have already started moving on. And like what your first question in terms of MFI, I think there is the drag because of the shortfall in the PSL, that is one part, and strategically, our corporate book has come down. But going forward, I think we would be able to have a better loan growth, which would improve the net interest income for the Bank, and you must have seen like we are doing very well on the non-interest income.

So I think with this, some of those things and with the improvement in CASA ratio, solving the problem for the shortfall in the PSL and growing on the loan book, especially on the corporate side, we believe that in the coming time, both NIMs would also improve, and ROA would also improve.

Moderator: Thank you. We have the next question from the line of Sri Karthik Velamakanni from Investec. Please go ahead.

Sri Karthik Velamakanni: Could you walk through the sequential capital movements in terms of how the CET1 has played out for you in this quarter?

Niranjan Banodkar: Sure, Karthik. So I think one material update we wanted to also provide and that's actually part of the presentation is, we've accreted about 35 basis points to 40 basis points on account of the warrant upfront money that we've received, which is about INR948 crores, as a consequence, the CET1 has gone up. There has been a very marginal consumption of CET during the course of the quarter. So organic movement, marginal consumption, a few basis points, but largely accretion coming in on account of the warrant money, which is 25% of the total warrant consideration.

Sri Karthik Velamakanni: And including the residual inflows, what would be the CET1, Niranjan?

Niranjan Banodkar: So if we were to add the residual 75% of the warrant money, we should be accreting another 110 basis points to CET1.

Sri Karthik Velamakanni: Got it. And the second question is with respect to the general -- the PSP market share that you carry on the UPI front. Any thoughts on how you're looking to monetize that as things are evolving? We are seeing some of them making progress on digital lending and with regulatory clarity also emerging, is there any thought process, as to how you can monetize that particular market share?

Prashant Kumar: So Karthik, on the monetization of this particular, say, area, it is more in terms of whether after using the analytics, we would be able to acquire the customers through this channel. So I think let’s say, over the last 12 months to 15 months, a lot of work has happened in this area. And I think we are in a much better position, as of now for getting the business leads out of this area. But I think this is a journey, it would take anoth

er say, three quarters, four quarters, where we would be able to have a significant advantage of this data from a customer acquisition.

Niranjan Banodkar: Karthik, if I can also add, when we look at, let's say, the UPI for that matter, the entire API banking solutioning, even on a stand-alone basis, it is profitable because what happens is we don't just look at the fee that we charge or we get as a consequence of this transaction. As a consequence of the solutioning that we provide, we also end up getting current account float that remains quite sticky in our balances.

So if I were to just look at our current account balances, more than 50% of our corporate CA actually comes in from accounts, where we are providing these API banking solutioning, right? So the point is what we will look at monetizing is only will further propel the profitability for

this particular solutioning that we are providing. But on a stand-alone, I mean, there is already the NII that we are benefiting from through the free float.

Sri Karthik Velamakanni: I see. Got it. And the breakup of corporate between mid and large suggests that the large segment is down 30% Y-o-Y and 8% Q-o-Q, that would continue just to ensure your PSL compliance? Or is there a floor to which you would take that from a mix perspective?

Prashant Kumar: So Karthik, this is 30% down and 8% down on quarter-on-quarter to be very frank is not in terms of strategy to take it down further. But definitely, there were some high-risk assets, where there have been the prepayment, and there have been some prepayments in other assets, which were not expected.

But definitely, as a strategy, we would not like to take it down further. But depending on the -- our ability to match the pricing in the market, we would be definitely growing on fund base. But if the pricing would be a challenge, we would take exposure on the non-fund side. And you have seen like on the non-fund side, already there is a traction. So I think overall on the exposure on the corporate side, we would not like to bring it down further.

Moderator: Thank you. The next question is from the line of Yuvraj Choudhary from Anand Rathi. Please go ahead.

Yuvraj Choudhary: Sir, firstly, how much of our deposits has already been re-priced?

Niranjan Banodkar: So Yuvraj, in terms of, I would say, pendency for cost of deposits, I would say, we should have about another 20 basis points of cost of term deposits should come through. Just from a margin perspective, we will have about anywhere between 5 basis points to 10 basis points. But that doesn't mean the margins will necessarily only get weighed down by this because as we are progressing, while all of it were not able to express in Q1.

On the retail assets, we are also beginning to see the incremental disbursements happening in products that on the margin is better from a margin perspective, NIMs perspective. So just to respond, we will have about 20 basis points of cost of term deposits pendency from a re-pricing standpoint.

Yuvraj Choudhary: Sure. Secondly, sir, how much would be our total exposure towards ECLGS?

Niranjan Banodkar: One second. One second. We just provided that. So Yuvraj, we will come back specifically on this number.

Moderator: Thank you. We have the next question from the line of Bhadrish Meghani from BEAM Consultancy. Please go ahead.

Bhadrish Meghani: Good morning to all the management people. I would like to know about two things. What are the plan of increasing number of branches and number of employees for this financial year? And the second question is, what is going to be the budget for the advertisement for this financial year. Is there any big way the advertisement are going to come in the market or not?

Prashant Kumar: So Bhadrish, for branch expansion, we have a plan to open 150 branches during the current f

inancial year. 20 branches have already been opened in the quarter 1, and we would be opening the remaining 130 branches in the next three quarters. We have already added 1,000 employees in the quarter 1. And we would be increasing another say, 500 by the end of March '24.

Regarding the advertisement budget, what we have done for our brand refresh, we have integrated our normal advertisement and the marketing with the brand refresh campaign. So overall, there would be a 25% increase in our existing marketing budget. But definitely, brand refresh is something, which is critical, and you must have seen like we have already started doing advertisement around our brand. But overall, there would be an increase of 25% in our marketing budget.

Moderator: Thank you. The next question is from the line of Amit Kumar, an Individual Investor. Please go ahead. Mr. Kumar, I'm sorry, your audio is not clear sir. Mr. Kumar? As the current participant is not answering. We have the next question from the line of Debesh Agarwala from IDBI Capital. Please go ahead.

Debesh Agarwala: Three questions from my end. What percentage of our restructured book are yet to come out of the moratorium?

Prashant Kumar: All the three questions. We will respond then.

Debesh Agarwala: Okay. No. Okay. I'm coming with all the three questions. So first is, what percentage of the restructured book are yet to come out of the moratorium? Second, what is the total slippage from the restructured book till now? And third is, what is the breakup of advances in terms of fixed rate and floating rate?

Prashant Kumar: Repeat the third one, please?

Debesh Agarwala: What is the breakup of advance book in terms of fixed rate and floating rate in terms of MCLR repo link?

Niranjan Banodkar: Okay. I can take the last question first. We have about 60% of our advances, which are floating in nature, about -- actually, the number is 57%. From the balance 43%, which is fixed, we have about 10%, which is actually short term in nature. So if you look at floating plus short term, we would be two-third and one-third is fixed rate book. That's on the entire fixed floating.

I think the second question that you had was in terms of what have been the total slippages from the restructured book, so in fact, that number has been quite non-material or insignificant. In fact, we've seen a good performance of either upgrades or a continuing strong performance in our restructured book.

So for .example, even if I look at my current position of restructuring and let's say, DCCO related, we have about INR1,500 crores. In fact, in almost all of the cases, we either have accounts, where there is a change in management or there are projects, which are almost near completion. So that portfolio is doing well.

If you look at COVID restructured book out of the INR2,400 crores that we have, I mean, I can very clearly say about INR2,000 crores is where we see, continue to see very strong improvement. There is, in fact, also been principal repayment that we've seen in those accounts as well. Very recently, there have been also rating upgrades, not internal, but also external rating

upgrades that we've seen in that book.
So we're quite, I would say, quite satisfied with the performance that we've seen out of our restructured book. And the balance, about INR4,700 crores in our view, will hold quite good in terms of performance in the real time.
Prashant Kumar: And Debesh to your first question, almost the entire book is out of the moratorium.
Debesh Agarwala: Okay. Sir, in terms of floating rated loans, can I get the breakup between MCLR and repo link -- what percentage of your book is linked to MCLR and repo?
Prashant Kumar: So MCLR would be about 18%. We will have a repo at about 26%. The balance will be a mix of CDs and T-Bills as well.
Debesh Agarwala: Sir, the entire MCLR loan book has been re-priced or something

is yet to be re-priced?
Prashant Kumar: See the pendency for re-pricing that will play out, which is typically sitting in the six months to one year time horizon.
Debesh Agarwala: Okay. So it will be re-priced over next two quarters or three quarters?
Prashant Kumar: You can say two quarters.
Moderator: Thank you. We take the next question from the line of Mahrukh Adajania from Nuvama. Please go ahead.
Mahrukh Adajania: Sir, my first question was where do you see margins bottom out? I mean, have margins bottomed out now because we have only 20 basis points more of term deposit cost correction or there'll be still some more correction in the quarters to come?
Rajan Pental: Good morning, Mahrukh. We don't see any further decline in the margins. I think they have bottomed out.
Mahrukh Adajania: Okay. And sir, any -- so how do we budget recoveries from the ARC, right? So obviously, slippage -- in terms of recoveries, will that be smooth, or will there be lumpy recoveries? How do we budget for that?
Prashant Kumar: No, I think what we are looking at recoveries from the ARCs, there is always the issue of the timing, which is outside the control of anybody because there are so many resolutions, which happen through the legal process. But we are not looking for a, say, lumpy recovery. And in the past also after this transaction after December, I think, we are seeing a very consistent or persistent recoveries in the large accounts, as well as small accounts. So I think so far, there has been a very good traction, and we have a visibility that this momentum would continue. For the next two years, I think we are going to see very good results.

Mahrukh Adajania: Got it. So basically, the net credit cost guidance would be how much?
Prashant Kumar: So I think, we continue to retain our earlier guidance of 40 basis points to 50 basis points of credit cost.
Mahrukh Adajania: Okay.
Prashant Kumar: Yes.
Moderator: Thank you. The next question is from the line of Bhanu Arora from Bhanu Roadlines. Please go ahead.
Bhanu Arora: I just wanted to ask if YES Bank planning to distribute any dividends in near future to its shareholders?
Prashant Kumar: No. I think, Bhanu, if you see that we have already moved on this path of delivering on the profitability. But I think once we reach at a stage, okay, where we would be having a good return to our investors, definitely at that point of time, it would be considered for the dividend share.
Moderator: Thank you. The next question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Just one question on strategically from my end, sir, considering our ROA of 0.4%, and also what would be our aspiration for FY '24 or FY '25? And so would it be sir, given that you have already mentioned that margins have bottomed out, so it would be largely driven from margins? Or is there also some scope for a reduction in opex, since we believe that credit cost is largely, where we are expecting and other interest income also has limited scope from here on? So your thoughts on the same, yes. Thanks.
Prashant Kumar: So Chintan, like if you see for us the ROA of 1% in medium term would be a function of three, four different things. One is definitely improving the CASA ratio. The second is also improving our loan growth and along with the improvement in the yield on the asset. The third part is definitely to solve the problem of the drag on our ROA because of a shortfall in the PSL, which is a very large one, almost 35 basis points, I think this is something, which we are working on. And the fourth is definitely our growth in the non-interest income and the recoveries and the resolutions from our budget.
Chintan Shah: Sure. Sure, sir. Got it. And sir, one more thing on our CET1 case, which has been pending. So is there any update on the same on the Tier 1 case, which is pending in the Supreme Court

or
any timelines for the same?
Prashant Kumar: No. I think this is pending in the Supreme Court and the next date is 4th of August.
Moderator: Thank you. We have the next question from the line of Jai Mundhra from ICICI Securities.
Please go ahead.
Jai Mundhra: A couple of questions only. One is sir, there seems to be some restatement of opex and other income in this quarter. What is that pertaining to?

Niranjan Banodkar: So Jai, basically, what we did is we just reviewed the accounting for some of our interchange in digital banking products, and that has been basically, so from -- we've removed it from the opex line, but we are talking about numbers, which are about INR50 crores and INR60 crores. I think the range is about INR50 crores to INR70 crores. That's the broad range we are talking about. And that we have actually netted from the income because these were basically opex, which was very incidental and part of the same transaction, where the revenue was coming from. So just from an accounting standpoint, we've actually netted that from the non-interest income.
Jai Mundhra: Right.
Niranjan Banodkar: But it's not a material number. As I said, on a quarterly basis, we are looking at a range of anywhere between INR40 crores to INR70 crores that we adjusted in this quarter.
Jai Mundhra: Okay. And Niranjan, on security receipts redemption, right, so do we also get AMC fee on managing such a large security receipts portfolio? Or we do not earn any management fee from this SR?
Niranjan Banodkar: So Jai, pursuant to the sale, which we did in December, the entire management is now in the hands of the asset reconstruction company.
Jai Mundhra: Right.
Niranjan Banodkar: So in fact, as part of the structure, and this is quite common in the entire security receipts market that actually, we end up paying a certain management fee to the asset reconstruction company. So the Bank is now no longer part of the resolution of these assets. Of course, we are quite interested in knowing what's happening. But at the end of the day, it is for the asset reconstruction company to drive the resolutions. And whatever resolutions happen, we benefit through the redemption of security receipts.
Jai Mundhra: Right. So this quarter, 442 have been redeemed, so the impact on our financial has been that security receipts, they will convert into cash, that has been the broad implication model.
Niranjan Banodkar: That's right. That's right. Jai. So any redemption results into receipt of cash.
Jai Mundhra: Right. Okay. And in the last quarter, and I think in the opening remarks, I heard that we are -- something with effect to PSL that either they are coming down or we are doing something there. So I recall we had 8% of balance sheet in RIDF, as of last quarter. Has that changed materially, or I had actually missed that comment on PSL?
Niranjan Banodkar: No, Jai. So the RIDF deposits to assets continues to be in the 8% to 9% range. In fact, in June, we did have some increase in those balances because there was a call that we received demand that came through in June quarter. So what Prashant was mentioning is clearly for us to be able to reduce that drag, there are three ways in which you can tackle it. One is from an immediate perspective, accelerate on two fronts, one is organic, organic creation of assets that satisfy the small and marginal farmer and the NCF and weaker section category, but there is a limitation that you will have from an organic accretion, right?

The second is that you could buy PSLCs. So what Prashant was mentioning, is we have already, in June quarter, purchased about INR 4,300 crores worth of PSLCs to fulfil the PSL requirements in these specific categories.
And the third is that we are also evaluating inorganic opportunities for us to be able to comply with this requirement. So it's

a combination of the three, which will ensure and that's really our priority focus is to ensure that from fiscal '24 onwards, we should not have incremental requirements of RIDF come to in subsequent years. Of course, there is a legacy deposit book, which is what we discussed 8% to 9%, which is sitting that will hopefully age and mature over time. But at least from an incremental perspective, our endeavour is that we don't add to this book or burden from hereon.
Prashant Kumar: So Jai basically, whatever we do this year would result into the lower demand for the next year. So whatever we do on the PSL side would actually give us the benefit from the next financial year onwards.
Jai Mundhra: Right. Understood, sir. And lastly, Niranjan, if you have the RWA number for our Bank in absolute rupees crores, that would be the last question?

Niranjan Banodkar: That number is INR2.46 lakh crores.
Moderator: Thank you. We have the next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: Yes. Sir, firstly, is a question on credit yield number, so there is some volatility in the number in this quarter on the downward side. So sir, could you help us understand what is the reason for the same?
Niranjan Banodkar: So just from an advances yield, actually, what also happens is there are certain recoveries that we also get in our NPA stock through the interest line item. One of the -- and that is also what causes some amount of volatility. But at a core performance level, the yield on advances actually has been broadly flattish sequentially.
Rakesh Kumar: So I think it has kind of fallen by around 10 bps. So is that in the corporate book re-pricing or there is some struggle that we are facing on the loan pricing side, especially on corporate book is that the reason or there is other reason?
Niranjan Banodkar: So no, let me respond in different ways. I think if you're comparing on a sequential basis, like I said, there is also a noise that comes from interest recoveries in the -- from the NPAs, which also result into certain noise. So for example, June quarter, we actually had hardly any NPA interest recovery, right? Whereas in March quarter, we did have, right, which has resulted into some compression in the yield on advances.
However, I think the point that you mentioned was on pricing pressures, I think that gets reflected in our -- in the loan spread. So for example, if we were lending at a certain -- a certain rate, even despite, let's say, increase in the cost of deposits, are we able to, let's say, price some of those out.

I think there, yes, we do see pricing pressures in actually various businesses and products. But to be honest, from our vantage point, what we are very conscious about is we are calibrating our growth in products, especially on the retail side, which gives us better margin because we've now built the experience and volumes in those respective product lines.
So just to give you an example, if I were to look at the entire vehicle, as a segment, our incremental disbursement in, let's say, used cars is actually higher than new auto cars, right? And it's not that by virtue of that, we are venturing into higher risk category is just that it's a product, where we are able to get a better risk return profile.
Similarly, when we look at, let's say, areas like home loan and affordable home loans our incremental disbursements in affordable are actually trending higher, right? So we are conscious of the segments that we need to operate. We are conscious of the business that we need to operate, so as to help us maintain our loan spread.
There is one element that has in addition to -- because there was a question earlier also on net interest margins. In addition to deposit re-pricing, there has been certain -- because there's also seasoning that's playing out in our retail book as well. So s

ome of the old retail loans are also --
as they're redeeming, the redemption is because some of these were originated in 2018, '19. So we've seen some reduction in loan spreads, as a consequence of that as well.
But I think broadly, in Q2, we do believe we should have the bottoming out of net interest margins, and that to marginally, we are not going to see the magnitude of margin compression that we saw between June and March. Sorry, a little bit long-winded answer, but I just thought I'll give you the full perspectives.
Rakesh Kumar: Yes. That's quite helpful. And sir, the LDR number is like there is a scope to improve that number. So what is the kind of credit growth that we are anticipating for this fiscal year?
Niranjan Banodkar: Sorry, what number are you referring?
Rakesh Kumar: LDR. Loan deposit ratio.
Prashant Kumar: LDR.
Niranjan Banodkar: LDR, loan deposit ratio.
Rakesh Kumar: Yes. So there is a scope to further improve this -- further increase it. So what is the credit growth that we are looking at for this fiscal year?
Prashant Kumar: No, I think if you see a balance between the loan deposit ratio from the perspective of liquidity and the profitability, we believe that around 90% is the right way, okay? So we are looking for a credit growth between 15% to 20% and deposit growth of more than 20%.
Rakesh Kumar: I was looking at actually -- sorry, I was looking at credit to deposit and borrowing numbers, so that I have 68%. Yes. Okay. Got it.

Prashant Kumar: Sorry, Rakesh can you please just, I think if you can go through the numbers again because we

don't want a gap in understanding. What did you mean by 68?
Rakesh Kumar: No sir. No, I was saying credit as a denominator, deposit and borrowing. So that is the way I was looking at, which is 68% number as per our calculation?
Prashant Kumar: Okay.
Rakesh Kumar: Credit as a proportion of deposit and borrowing. So that number was 68%. I was…
Prashant Kumar: So Rakesh, I think the more relevant metric from our vantage point is actually the CD ratio, which is just loans and deposits. As you see, we were at about -- slightly over 92% for March. That's marginally improved to about 91.3% for June. Our endeavour is, as we go through this financial year to get the LDR below 90%. That's really our endeavour.
Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.
Prabal: Yes. Sir, my first question is on the retail slippages, so that continues to be 3%-plus for us. So first, are these the normalized levels that we should expect going ahead? Or is there a scope for improvement here?
Rajan Pental: So I think we will be able to continue at a current level with some improvement coming in. So one is that we are also going in for some high-yield assets, and anyway, April has its impact with lesser number of days available. So more or less, we'll be able to maintain at the same levels.
Prabal: Okay. And in addition to that, can you highlight your retail strategy, maybe in terms of distribution across various products, how much is done in-house, how much is via DSA or other channels? And what are the approval rates that we have typically across DSA?
Rajan Pental: Yes. So approval rates will actually vary from product-to-product, but just to reflect on the distribution, our approximately 23% of the business is coming from the branch network. And all put together, approximately 37% to 38% is coming from internal channels, including the phone banking and all relevant channels included.
In our overall distribution strategy, we are largely focused on one on the internal business, which is moving very well. And with the increase in the database, and also the branch network now more equipped to handle multiple products is moving well, and we can actually move towards upwards of around 25%.
On the other channels, other than internal are basically

the dealers and the corporate DSAs,
which is approximately around 60%, which is going in. We work on the partnership with the fintechs, but that is not to the extent of approving it online. It's more in terms of a synergetic relationship, which is hardly, which is less than 5%, as of today.
Prabal: Okay. You're saying approval rate is less than 5%?

Rajan Pental: So, no. Approval rate would actually vary from product-to-product, but let us say, the product, where you would be most interested to know around personal loans would be around 60% to 62%.
Prabal: 60% to 65%?
Niranjan Banodkar: Yes.
Niranjan Banodkar: So I just wanted to, sorry, I wanted to also call out for the retail slippages because you had a question on -- and Rajan did mention that we broadly see the trends. I think what I also wanted to call out is, if you look at slippages net of recoveries and upgrades, that number continues to be trending in the ballpark range of about 40 basis points on a non-annualized basis. So I think that, that trend will continue. So while there might have been some increase in the, let's say, slippage for June quarter for the reasons that Rajan alluded, but we also did see a good quantum of upgrades and resolution that played out -- and I'm not talking about write-offs here, just upgrades and recoveries, the core resolutions. Thank you.
Prabal: And sir, last question would be, what is the desired level of provision coverage ratio that you would want to add?
Prashant Kumar: Desired ratio of...
Prabal: Of provision coverage ratio connecting to that 48%-odd?
Prashant Kumar: No. I think this is somewhere around 60% would be the desired level.
Prabal: Okay. And after building this, you expect that we can continue to have credit cost of 40 basis points to 50 basis points?
Prashant Kumar: No. I think the credit cost, when we are talking about 40 basis points to 50 basis points, I think that is taking into account the aging provision, as well as the recoveries and the resolution. So I think we would be in this range. Just to also clarify, when we talk about credit costs, this is non-tax provisions effectively to total assets.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Prashant Kumar: for closing comments. Over to you, sir.
Prashant Kumar: Thank you, and thank you, everyone, for joining the call so early in the morning. But I think we would like to reassure all our stakeholders that transformation of the Bank on the desirable, say,

direction has already started, and we are seeing the results in the Quarter 1. And I think in the coming time, we would be seeing much better execution on our desired strategy. Thank you so much.

Moderator: Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of YES Bank, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

YBL/CS/2023-24/118

October 26, 2023
National Stock Exchange of India Limited BSE Limited Exchange Plaza, Plot no. C/1, G Bl ock, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001 Tel.: 2659 8235/36 8458 Tel.: 2272 8013/15/58/8307
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,
Sub.: Transcript of Earnings Call for the un-audited Financial Results of the Quarter (Q2) and half-year ended on September 30, 2023
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnin gs call hosted by YES Bank Limited on October 23, 2023 ("the Bank") for the un-audited Financ ial Results of the Quarter (Q2) and half-year ended on September 30, 2023. The same is made available on the Bank 's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/pdf?name=q2_fy24_analyst_call_transcript.pdf
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

"YES Bank Limited Q2 FY2024
Earnings Conference Call "

October 23 , 2023

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER - YES BANK
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER - YES BANK
MR. MANISH JAIN – COUNTRY HEAD, WHOLESALE BANKING - YES BANK
MR. PANKAJ SHARMA - CHIEF STRATEGY AND TRANSFORMATION OFFICER - YES BANK
MR. SUNIL PARNAMI – HEAD – INVESTOR RELATIONS
YES Bank Limited
October 23, 2023

 Moderator : Ladies and gentlemen, goo d day and welcome to YES Bank Q2 FY2024 Result s Conference Call. On the management panel we have with us today Mr. Prashant Kumar – Managing Director and C hief Executive Officer , YES Bank; Mr. Niranjan Banodkar – Chief Financial Officer , YES Bank ; Mr. Manish Jain – Country Head – Wholesale Banking, YES Bank; Mr. Pankaj Sharma - Chief Strategy and Transformation Officer, YES Bank; and Mr. Sunil Parnami – Head – Investor Relations . Mr. Prashant Kumar will now give you an overview of the results which will be followed by a Q&A session . As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you sir.

Prashant Kumar : Thank you and v ery good morning a nd thank s all of you for joining us today for YES Ba nk Quarter Two Earnings Call. Starting firstly with the overall macro. The operating environment continues to remain relatively bright with a number of high frequency indicators such as very robust manufacturing PMI at 57.5 and services PMI at 61. The retail auto sales number, like passenger vehicles, up 17.6% Y -o-Y. The two -wheelers have grown by 22% Y -o-Y. Both GST and net direct colle ctions. They are up 10% and 24%. Real estate sales , government CapEx, till August it was 46% Y -o-Y increase. Together with softening of un derlying inflationary pressures, and monsoon season ending with near norm al rains. All pointing to a sustained growth environment backed by active policy measures to support growth and contain the inflation going forward. System wise credit growth continues to be robust around mid-teens level and deposit growth on the other hand remains a key focus. Against this backdrop, we continue to remain focused on driving growth with profitability at YES Bank through a number of

our ongoing initiative s, yield calibration and NIM improvement , the right sizing and OpEx rationalization , leveraging branch as the key fulcrum of our business , and lastly , the productivity and the turnaround time improvement. Several green shoots of these initiatives have already started to reflect at our core franchise level, which is excluding the deposits in RID F, and they a re also evidenced through our product mix optimization within retail assets , acceleration of our SME and E LC franchise, expansion in our incremental loan spreads , sustained acceleration in our core fee growth and lastly in slowing down of the quarter -on-quarter rise in our operating expenses . To further accelerate growth with profitability w e have set up a dedicated strategy and transformation office which i s headed by Mr. Pankaj Sharma, who has recently joined us. Last quarter our retail advances crossed 1 lakh Crore mark and its s hare improved further to an all -time high of 48%. Strong disbursement momentum was maintained across all our

 asset class es. The g rowth in our SME and E LC businesses continue to drive our transaction banking flows and f ees. On the deposit side, despite the challenging environment, our CASA NTB acquisition run rate further climbed up. We opened 3.91 lakh CASA accounts during the last quarter and maintained our CASA ratio at 29.4 % and incremental retail CASA ratio at 34.8 % in quarter two a nd this is despite a very challenging interest rate environment. We garnered incremental deposits of nearly 15, 000 Crores . As Yes Bank of today, we conti nued our strong emphasis on granular retail deposit franchise and strategically focus on acquiring affluent, mass affluent and MSME clients with the strong traction across our Yes First, Yes Premia and NRI segments. 93% of our saving accounts and 85% of the sole proprietorship current accounts have been opened digitally. As a future ready bank, we made good strides in our digital banking capabilities. In August, we launched Iris by YES Bank , a comprehensive mobile banking solution with more than 75
features for all banking needs of our retail customers. We also launched UPI payments through Rup ay credit cards , enabled UP I interoperability on the RBI C BDC app, and we became the first bank in the country to issue an ON DC Network Gift Card .

Also during the l ast quarter, bank launched a Co branded corporate credit card in partnership with Zaggle and collaborated with BriskPe to leverage from its capabilities in cross -border payments and offering the same to our SME cli ents. I would like to highlight that while the impact of many of these initiatives is already getting reflected positively at the core franchise level. However, at bank wide level the same sometimes gets clouded in the net reported outcomes due to drag such as significant R IDF balances. To address this pa rticular issue of large amount of deposits in the RID F the bank has f ormulated a comprehensive PSL strategy which incorporates several organic and inorganic actions including B C partnerships , on lending IBPC or PSL C purchase and acquisition and we expect PSL drag to start reducing over the coming few quarters.

Moreover, we have also made a ver y senior hiring with Mr. Manish Jain and joining us as the Head of Wholesale Banking to drive our growth in our ELC and large corporate business. Recently our Basel III Tier 2 bonds and infrastructure bonds have been upgraded to A from CRISIL India Ratings and CARE.

As regard near -term outlook, we believe that Yes Bank is quite well placed to grow its loans and advances around mid -teens and liabilities a tad faster and m ore granular. As regard margins, we believe that quarter two to be the end or near end of the margin compression and going forward we expect to see beginning of margin expansion from here. As regards asset quality,

our annualized gross slippage are expected to be around 2 % to
2.5% of our loans and advances and our credit cost guidance is maintained at around 50
basis points on the total assets. Also, we expect that the net carrying value of security
receipts will significantly reduce by the end of the financial year.
 So to summarize, as a team, we remain excited about the immense opportunities around us
and at the same time continue to work towards overcoming the challenges. The core
franchise of YES Bank of today is gaining good momentum due to past interventions. This
momentum is expected to be further fueled by our current structural interventions around
PSL and business transformation, resulting in significant contribution to profitability for the
bank and help us render our medium -term ROA target of 1%. Before opening the line for
questions, I would like to take this opportunity to extend m y best wishes to you and your
families for the festive season. Thank you so much and we are now open for your questions.
Moderator : Thank you very much, Sir. We will now begin the question and answer session. We wi ll
take the first question from the line of Srinivas an indivi dual Investor. Please go ahead.
Srinivas : Good morning. I would like to know whether the cost to income ratio is likely to come
down in the near future because I have observed that like over the last few quarters it has
been increasing a nd what is the guidance for this?
Prashant Kumar : Our cost to income remains between 70% to 75% over the last couple of years a nd the main
reason was that we were inv esting for the future like opening of branches, investment in our
technology and the digital capabilities. Now we have started seeing in terms of getting the
benefits coming out from this investment, but I think we would continue to invest in the
future li ke we are planning to open 150 branches during the current financial year. But as I
was sharing with you that we are going through a business transformation and strategic
change in our business direction as well as taking care of the P SL drag, which is alm ost like
a 35 to 40 basis point. So, I think what we are going to see in the coming time, the cost to
income ratio would start reducing. You must have noticed that this time our operating expenditure quarter -on-quarter growth
is 0.5%. We would have a very tight control on the
operating expenses and we would continue to work towards improving our interest income
and we are expecting now going forward our cost to income ratio would started coming
down .
Srinivas : Thanks.
Moderator : Thank you. The next question is from the line of M B Mahesh from Kotak Secur ities.
Please go ahead.
M B Mahesh : Just a couple of questions, one on the NPL line, we continue to see the retail slippage is
kind of on the higher side and the recovery and upgrades being on the lower side. There is
also some initial signs that even the disbursements have started to slow down. If you could
just kind of broadly kind of give your views as to how are you seeing the retail portfolio?
 Prashant Kumar : On the retail portfolio, we started seeing some amount of stress, in the very first quarter,
and then we immediately took some policy steps in terms of c orrections regarding the
underwriting as well as the onboarding of customer. Similarly, we have strengthened our
collection teams. So I think what we are seeing definitely and this is also disclos ed in our
numbers today like two third of our gross slippage is coming from the retail portfolio and
this kind of stress we have seen in both credit card a s well as the unsecured loans. But I
think all the corrective steps have already been taken and we have started seeing the improvement o n this. That is one part,
second since now we are focusing on the
profitability , some of t

he prime retail asset products like the prime home loan or a new car
loan, which in the current times would not make a great commercial sense for us to be very,
very active in these fields. So we have started slowing down on some of those products where the y ields are lower, b ut
definitely in terms of strengthening the policies around how
we u nderwrite and onboard the retail customers have been strengthened and we have started
seeing the positive results o ut of it. But I think this is an industry wide phenomenon which
has also been flagged off by the regulators in terms of the retail portfolio. But I think we
need to be cautious . Already our retail growth has com e down to 27% and strategically we
would like to have a very tight control on the retail side and maybe by the year end we
would see the retail loan growth coming down further to around 25%.
M B Mahesh : And just to clarify this, when you say the unsecured pieces have contributed to most of the
slippages or do you say that it has been a disproportionately large one because the exposure
that we see in the presentation on the unsecured side is much smaller for the amount of
slippages that we have .
Prashant Kumar : No. So, it is disproportionately higher on the unsecured and the credit card . It is not like the

entire slippage is only coming from there.
M B Mahesh : The second question is on the cost of funds, given where we are on the cycle, if you could just kind of tell us how much more is left in terms of re pricing?
Niranjan Banodkar : From a cost of funding perspective which we believe that we at least in last quarter we did highlight that ther e was about pendency of 15- 20 b asis points on TD repricing. We ha ve actually absorbed bulk of that in this quarter. So while if I were to just break the whole deposit repricing into two parts, there might be some tendency of repricing in the retail deposit s because these are slightly long tenures . But on the wholesale it entirely has been absorbed and in fact on the margin , we are seeing some beneficial rate structures already playing out. So, on the whole we believe that deposits have been fully repriced and while we have not spoken about it but we are also now seeing good momentum also picking up in our current acco unt and savings account. So as a mix on the margin we should do
 incrementally better from here on. So you combine all these factors w e do believe the c ost of funding ha s played out at its peak.
M B Mahesh : So that again it is that cost of funds had p layed out, through yields can potentially improve as yo u are moving out of the super p rime segment allowing you for the margin segment . Is that directionally the ar gument that you are making.
Niranjan Banodkar : That is right, absolutely. In fact there is a significant wedge already that has played out between incremental disbursement yield versus portfolio that ha s been happening for some time. It is just that like Pras hant mentioned right at the start, a lot of our report ed numbers get clouded by some other factors, RIDF being one of the most dominant ones to be honest. So on the margin we will keep seeing marginal improvements, but u nderlying incremental business is really focused on improving the margins and cost to income as well. I just also wanted to clarify, what I wanted to add a couple of points on the retail delinquency. So if we actually look at this quarter, there was one change that also happened in our NPA recognition policy. So when we look at the retail portfolio, the financial over dues were not actually getting accrued t ill 30th June. So we have changed that policy where the financial overdues are also getting accrued and getting re cognized for NP A that is the classical penal interest and that has also contributed to some increase in the retail delinquency. I a m not taking away the point that we

are conscious, and we have made the necessary interventions,
but this is also one of the reasons why the delinquency has been slightly higher.
M B Mahesh : You a re saying there ha s been an interest part of it is now gettin g added to this slippages line.
Niranjan Banodkar : So what happens is, there is a financial overdue the interest on that was not getting factored as an accrual and therefore not getting factored as a days past due for the N PA classification earlier. We have actually changed that policy from 1st of July which means that if there are delays in EMI s on the retail portfolio, you are also accruing the interest on those delays and that is also triggering a 90 days past overdue recognition.
M B Mahesh : I will just take this offline. But earlie r the concept was that it will be an interest derecognition item. It i s not a slippage item .
Niranjan Banodkar : No. Let me clarify again. L et us say you have a loan at 11% approval coupon and let us say there is a default in that particular loan. There is a penal interest that used to get levied on that overdue amount. That penal interest earlier was not getting accrued as income. It was getting recognized on cash recoverability. So the re are cases where that penal interest could have been maybe even 60 days overdue, it would have been 180 days overdue, but was not getting recognized as NPA. But with the effect from 1st July, we have changed that policy
 where the financial overdue interest actually gets now becomes, it goes through the overdue counter of one day, two day overdue and gets, if it is not paid for 90 days actually we will have an NPA classification for that particular account. So that has also added to the slippages.
M B Mahesh : Okay, perfect. Thanks for this.
Moderator : Thank you. We will tak e the next question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Hi, S ir. Thank you for the opportunity. Firstly, my question is on the corporate. Corporate growth has been kind of slow. It has been degrowing. So, what would be your strategy on the corporate growth going forward. Since we are also kind of slowing down a bit on the retail? And also are we getting cautious or getting s lowing on the corporate or what is the plan there?
Prashant Kumar : Before I would ask Manish to give a color in terms of our strategy for the corporate side.

Currently if you see our mix is 48% reta il, an other say 15% on the SME and E LC which is the Emerging Large Corporate is 14% and the Large Corporate has come down. I think overall balance sheet construct we would like to maintain this ratio where retail would be around 50% and retail and SME not going beyond 65 % and the ELC and the Large Corporate would be contributing to the remaining 35%, but it i s not like we are not disbursing . We hav e made disbursement in the past also, but there have been some large repayments where we were not willing to match on the pricing side a nd at the same time there were certain exposure where strategically we wanted to bring down those exposures. So that has happened and that is also one of the reason why the overall book on the large corporate has come down. But M anish, would you please like to share what is our strategy?
Manish Jain : Thanks Prashant. So, clearly, i f you see a lot of reshaping has happened over the last few years, our focus is to build a very granular book and that is what we will keep doing in future as well. Our strategy will be to keep reshaping to improve returns. Build scale and positioning in the corporate banking segment where we will grow the client base and also cross sell to our existing clients. There will be a high focus on returns as we ll as risk management, so with robust risk management adding new clients and cr oss selling to existing clients we will start increasing the income while we

continue to reshape.
Chintan Shah: One more thing. In terms of the PPOP , so our PPOP currently like kind of static around 800 Crores odd. So means what are the potential I think you also spoke on the margin s, we are likely to improve somewhat from here and then cost to income is expected to decline. So
 any guidance you would like to give us on what could be the PPOP to assets in the medium -term?
Niranjan Banodkar : So PPOP to assets, I think we ha ve kind of stayed at about 90 basis points, 1% is the ra nge in which we have been moving and just to quickly recap while at a core level we continue to work on improving the margins. Predominantly on account of RIDF there is a drag of almost upwards of 40 basis points on o ur net interest margin side. So, there are three things and before that what we have also faced in the last, three quarters is the fact that deposit repricing has also played out coupled with pressure on the overall CASA mix. So you combine all these factors, cost of funding has been put under challenge and that has meant the P POP to asse ts has been under pressure. But, if you actually break this dow n now you look at these t o assets, we have been actually doing quite well in improving our fees to assets to about 1.3% from 0.9% now about 18 months back and again within that the split is quite strong coming across various retail field lines. We are also seeing good momentum coming on our fee line item from corporate. So trade, FX, cross sells also playing out quite nicely. So fees is looking quite s trong. I think for us we do believe that we will continue to see expansion in the f ee line item. Cost to asse ts, we are currently at about 2.6% we have said that there mig ht be some increase in the near term in the cost to assets only to accommodate PSLC purchases. We have done some of this quarter but we have been quite efficient to manage that by reducing some o f our other costs by being optimal about other costs . But I think 2.6 % PSLC is kind of play out, we might get into a 2.65 % -2.7% range on the outside. If the P SLC's come in earlier than some of our cost initiatives that kick in, but really the work and where we see the maximum expansion is net interest margins. So we are currently operating at about 2.3%. We are alread y at the bottom. Over the medium -term again it is a two to three year at a minimum play that we are kind of looking at. We do believe that we should operate at 3% plus and we have listed out our reasons and drivers for that. We do not see a reason why PP OP to assets should not start working in the range of 2% plus in the medium -term. So that i s really our medium -term outlook and net interest margins on the incremental basis is already visible. But as I said, it is the RIDF and some of the degrowth in the corporate b usinesses has resulted that we a re not able to expect that on the balance sheet. We have also set up, as Prashant mentioned right at the start, he has mentioned a transformation office to make sure that all these execution initiatives that we are talking about are looked at in priority and we are able to deliver the outcomes in a timely manner.
Chintan Shah: Sure. This is very helpful. Just one last question. So now my thanks for the very elaborate answer. Just one thing on the current quarter for the credit cost, it seems a little elevated. I do not know if I have missed any comments, if you have given any comments on why the NPA PCR has been a bit higher, if you could just throw some light on that. Thanks .
 Niranjan Banodkar : So PCR credit cost, I mean, there is a continuous endeavor for the bank to and we have said

this earlier as well, we were a ban k that was sitting on almost 6% N NPA and security receipts as a overall pool actually that was not too long ago, it was al

most in Marc h 2021.
We were almost at 6% , our continuous ende avor has been to make sure that, that pool actually comes below 1%, and it is a function of t wo things. One, the continuous momentum that we ha ve seen in our resolutions and recoveries. So every quarter see recoveries, resolutions coming through. What we do is as a combination whenever we see resolutions recovery is to make sure that our provisioning coverage on the residual book keeps increasing such that, that residual carrying value of thi s pool keep s reducing. So if you look at last quarter we were at 2.4% as security receipts and NNPA to Advances ratio has now come down by 40 basis points both as a function of recovery resolutions we have seen as well as some of the provision ing that we have taken and the bulk of that provision is also a reflection of our intent to continue to work towards improving our N PA PCR. So this quarter if you see 48% actual ly has been increased to 56%. So , both, I mean, these are objectives with which we continue to pl ay and you would appreciate that given that we were dealing with a stock of 2.4% SR plus N NPA, many year times aging related provisioning the timing mis match between aging related provisioning requirements and the recoveries, is not always a very smooth or a linear curve. So it is kind of it is always prudent from our standpoint if I do use this to keep reducing the drag and as Prashant said right at the start, our expectation is by the end of this fiscal year, a bulk of the security receipt carrying value s hould be off our balance sheet and I a m not saying it will be 0, but clearly as a pool of N NPA and SR our endeavor is to see how it can be as close to 1% as possible.
Chintan Shah: And just one last thing, just a follow up on this. So PCR now currently is around 56%. So like are we now sticking comfortable with this or would we like to further range this PCR already we plan to take it further from here on then t hat could also put some pressure on the credit cost.
Prashant Kumar : No, I think by the year e nd we would like to definitely improve the PCR and I think around 70% to 75% is something which we would like to have.
Chintan Shah: But the credit cost guidan ce remains same.
Prashant Kumar : Yes.
Chintan Shah: Sure, Sir. That i s it from my side. I wi ll come back in the queue. Thank you.
Moderator : Thank you. We will take the next questi on from the line of Srinivas an Indivi dual Investor. Please go ahead.
 Srinivas : So this JC Flowers assignment of debt happened almost some ten months ago. So having observed the recovery track record for the last ten months, is it better off as compared to what YES Bank was doing earlier? YES Bank itself was recovering more than 5000 Crores earlier on its own for the last two years or three years. So JC Flowers , has it contributed its part and have we seen any bigger resolutions, I mean, big ticket resolutions under the JC Flowers regime?
Prashant Kumar : As of now i f you see last three years our bank was able to recover more than 5 ,000 crores per year . During t he current year also we are in the same line. I think if you see like every quarter we are able to make the recoveries of more than 1 ,200 Crores including the r ecovery that is made by the JCF ARC.
So I think as of now we are seeing the kind of recovery which we were expecting from the pool of the NP As almost similar recoveries are coming from the JCF . Some of the big ticke t resolutions which they are doing, I think the value out of those resolution would start flowing from the next financial year.
Srinivas : Thank you.
Moderator : Thank you. The next question is from the line of Namit Arora from In dgrowth Capital. Please go ahead.
Namit Arora: Thank you for taking my question. My q uestion to Prashant ji is that historically the bank was an early mover in ter

ms of technology and related initiatives. If you could please give us an update on what has been the continued progress on the front and how you are viewing it into your strategy because this could be a competitive differen tiator for the bank. Thank you.
Prashant Kumar : What you have rightly said that bank was always the front runner in terms of both technology as well as digital side , and last three years despite the challenges we have not stopped investing on both technology and the digital capabilities , and today we are in a situation where like if you see three years back the UPI transactions which were just like 2 to 3 billion transaction a month has already reached 10 billion transactions and we continue

to retain our market share of around 38% on the UPI side. So, it means currently we are
handling almost 3.5 billion transaction per month and this market share would continue to. remain intact that is only one part. Second in t erms of if you see we were the first group of
banks which were identified by the regulator for participation in the CBDC. So that also
demonstrate in terms of the confidence in the bank about the digital capabilities and we
started with the wholesale CBDC and then subs equently on the retail CBDC also. In the
month of August, we also launched our new m obile app IRIS which is having facility for

 customers more than 75 features. So I think this is something which continue to remain very
strong for us and only because of these capabilities. Today we are a preferred banker for the
new age businesses and that is also giving us a very good float fund which is contributing as
a current account to our total liabilities. So today if we see the digital and the IT capabilities
is helping us in getting new age businesses, contributing to current account, contributing to
the fee income and if you see on the large corporate the transaction banking, transaction
banking continues to remain very strong. So even the corporates where we are not the large
participant on their asset side, their flows, transaction flows are happening through the
bank. So I think we continue to rem ain focus on the technology and the digital capabilities
and that would be our key driver.

Nami t Arora : Got it. Thank you very much for a very detailed response and all the best to the entire team. Thank you.

Moderator : Thank you. We wi ll take the next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Yes, hi, sir, good morning. First on your PSLC stock. So as per annual report we had
around 300 billion of deposit. How is that moving and what is the way out, I mean, as long as this remains a significant proportion of the balance sheet your margins will remain under
pressure. So what is the way out of cost and what is the stock right now a nd, just to
under stand how are we moving to the extent.

Prashant Kumar : On the balances in our R IDF, so currently we are 32,000 Crores . There is a possibility that
there would be some more demand coming in the second -half year of the bank and the
32,000 would inch towards around 40, 000 or 41 ,000 Crore s. But like I was sharing in the
beginning, we have taken certain strategic calls in terms of how going forward there should not be an y further demand from the RID F side. So I think we are working on the multiple
strategies, one of the strategy as of now in our strategy is more in terms of what we can do
organically through our branch network, and through the BC channels. Also on lending to
the microfinance NB FCs and also to the NB FCs who deal with certain these kind of
products, but simultaneously we are also looking like I shared last quarter also we are also looking for some inorganic acquisition which can take care of the R IDF balances. S o I think
with these kind of initiatives, we are quite confident that next year onwards we will not

see
any further demand coming because every year it is always for the past year, and we would
start seeing the reduction in our balances in R IDF from the FY 2026 onwards. So currently
our R IDF balances are 9% to our total asset s. I think we would like to take it to around 3%,
but it will take some time, because always there is a maturity profile of R IDF. But
fundamentally what we are looking at that we do not add anyt hing to the R IDF from the
FY2026.

 Jai Mundhra : Just to understand this correct. So maybe in the s econd -half the balances may go up, but
from FY20 25 onwards at least the percentage share should start declining or the decline will
start from FY20 26.

Prashant Kumar : The decline would start from F Y2026. FY20 25 we would be, because it i s always the
average balances for the fourth quarter. So I think the average for FY 2025 and FY 2024
would be almost at the same.

Jai Mundhra : And lastly on the security receipts, s o we are doing a 50 0-600 Crores per quarter
redemption. When do we see that the redemption start accreting to P &L, would you believe
that, I mean, what is the timeline for all these SRs get liquidated and the recovery starts
adding to P &L. When would be that time? What would be the timeline for that?

Prashant Kumar : There are two things around this. If you see even in the current q uarter, the redemption of
the S R has resulted into a P&L contribution, something around say 300 Crores. Niranjan
can give you the exact figure. So even in the first quarter and the second quarter, whatever
redemptions has happened in the security receipt. There has been a accretion on the P&L
side also, but still if you see the current book on the security receipt is 1.1%. We are
expecting if it is not zero, but I think it would come down very, very meaningfully by the

end of the current financial year a nd next year onwards the entire recoveries would add to
our profit. So the current recoveries would be used in terms of making some more
provisions. It would start coming down. But I think in the next quarter also there will be a
contribution on the P&L, but next year onwards the entire recoveries from the pool would
head back to our profit.
Jai Mundhra : And just a technical question. So, I thought our philosophy or the requirement was that all
the proceeds from security receipts would be utilized toward increasing the provisioning
coverage on the other pool. So how is it impacting P& L of whatever 300 Crores this
quarter?
Niranjan Banodkar : So if you look at our P& L and in fact it is part of the investor presentation as well. So if y ou
look at our provision for investment actually would have seen a release of about 290 Crores .
That i s predominantly coming from like Prashant mentioned the s ecurity recei pts reductions
which have resulted in to a provision write back and what that has been used effectively
through P&L flow is for upping the provision for non performing advances and you are
seeing the consequence of that which is the PCR has im proved from 48% to 56%. So again
when you look at the security receipts, the re are two kinds of r edemptions we see. The
redemptions which resulted into a P& L write back and redemptions could also mean that
there is a reducti on in the carrying value. So we have had about 580 Crores of redemptions
of which about 315 Crores has been P& L write back and there is some incremental
 provision that we had to take on the rem aining stuff which is about 30 odd c rores resulting
into about 280 odd Crores of net write back . The balance is where we have seen a reduction
in the carrying value of SR s. That is how the flow happens.
Jai Mundhra : Understood, Sir. That is it from my s ide, Sir. Thank you and all the best.
Moderator : Thank you. The next qu

estion is from the line of Saurav Kumar from JP Morgan. Please go
ahead.
Saurav Kumar : Hi, Sir. Just on page #11 of your presentation. This government banking deposits, is it like
is it a one off there or which would roll off or as yo u would expect this to sustain? That
20,000 Crores which you have .
Prashant Kumar : This is quite sustainable and this is quite granular. So like if you see after reconstruction of
the bank, the bank was not able to get the government deposits. But what we have done, the
entire government banking is working very closely with the branch banking and we are going very deep into the government business and the deposits which are coming to us, they
are very, very granular. So not only these are sustainable, but I think in the coming times we
would see a good growth on the government deposits but the focus would be continuously
on the granular and without offe ring a higher rate of interest.
Saurav Kumar : Got it Sir. And this 2 34,000 Crores how much will be the branch deposit and the retail is
120,000 but this branch oriented how much w ill be the branch contribution? Or should I just
take this whole .
Niranjan Banodkar : All of that because the way our model works is we do render all the deposits through the
branches.
Saurav Kumar : And just one final question, just I know you ad dresse d on the slippage , but just the retail
slippage is this B AU we should think about this net slippage as a BAU or how should we
think about the retail slip pages.
Prashant Kumar : No, I think is the question is in terms of going forward, I think going forward on the net
slippage side, we will start seeing improvement. But I think we are still one quarter away. I
would be saying. I think because whatever corrective actions we have taken, would start
giving result in the December quarter. But I think after 31st December, we would start
seeing a reduction on the net sl ippage on the retail side also.
Saurav Kumar : Okay. Thank you.
 Moderator : Thank you. The next que stion is from the line of Srinivas an Indivi dual Investor. Please go
ahead.
Srinivas : Sir, i f you look at the decrease in the net interest margin, what are the various factors to
which we can attribute this phenomenon? Is it because YES Bank is still in th e process of
acquiring some microfinance business which can contribute, in terms of margins, higher
margins or it has already been done apart from the other factors like the higher cost of
deposits and lower yielding assets like on the retail side and a ll.
Prashant Kumar : Fundamentally I think we have also like Niranjan was explaining there was a repricing of
the existing deposit, it has taken place in the quarter two . So our cost of deposit because of
the repricing has gone up that was one thing. Second, t here was no further improvement on

the yield side. Where one of the factor is definitely the R IDF and other s is also in terms of
the market pricing? But the repricing on the deposit has already been completed now and going forward w e are going to see the i mprovements on the names because there would not
be any further cost p ressure on the cost of deposit and we have also started already seeing
the improvement in our inter est yields on the loan products, which we are offering in the
market. It has no connect ion with any inorganic acquisition of the MFI kind of thing
because it has not happened so far.
Srinivas : So how far are we from that like, I mean, when the last quarter con call like as I understood
like the bank was in the process of acquiring some microfinance busines s. So how far are
we from that?
Prashant Kumar : We are still exploring that, once like anything which would be c onfirmed, I think we would
disclose to the market, but we are still in the process.
Srinivas : Thank you.
Moderator : Thank you. Lad ies and gentlemen, that was the last question for to

day. I would now like to
hand the conference over to Mr. Prashant Kumar for clos ing comments. Over to you, Sir.
Prashant Kumar : Thank you so much for joining us so early in the morning and showing interes t for our
performance in the quarter t wo. Again wish you and your families a very h appy festive
season. Thank you.
Moderator : Thank you, members of the management. This brings the conference call to an end. On
behalf of YES Bank, we thank you all for joini ng us and you may now disconnect your
lines. Thank you.

Call: Feb 2024

YBL/CS/2023 -24/157

February 02, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Tel.: 2659 8235/36 8458 Tel.: 2272 8013/15/58/8307
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un- audited Financial Results of the Quarter (Q3) and nine months ended December 31, 2023
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited on January 29, 2024 ("the Bank") for the un -audited Fin ancial Results of the Quarter (Q3) and nine months ended on December 31 , 2023. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be acc essed at the following link:
https://www.yesbank.in/pdf?name=ybl_q3_fy24_analyst_call_transcript.pdf
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

"YES Bank Q3 FY24 Earnings Conference Call"

January 29, 2024

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ANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , YES BANK
MR. RAJAN PENTAL – EXECUTIVE DIRECTOR , YES BANK
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER , YES BANK
MR. MANISH JAIN – COUNTRY HEAD, WHOLESALE BANK ING, YES BANK
MR. PANKAJ SHARMA – CHIEF STRATEGY AND TRANSF ORMATION OFFICER , YES BANK
MR. SUNIL PARNA MI – HEAD OF INVESTOR RELATIONS , YES BANK

Moderator : Ladies and Gentlemen , Good day and welcome to the YES Bank Q3 F Y24 Earnings Conference Call.
On the Management Panel we have with us today Mr. Prashant Kumar – Managing Director and Chief Executive Officer, Mr. Rajan Pental – Executive Director, Mr. Niranjan Banodkar – Chief Financial Officer, Mr. Manish Jain – Country Head - Wholesale Bank ing, Mr. Pankaj Sharma – Chief Strat egy and Transformation Officer and Mr. Sunil Parnami – Head of Investor Relations.
Mr. Prashant Kumar will now give you an overview of the results which will be followed by a Q&A session.
As a rem inder , all participant lines will be in the listen -only mode. Should you need assis tance during this conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you, sir.
Prashant Kumar : A very good morning and thank you for joining us so early in the day for our Quarter 3 Earnings Call.
On this call I am joined by the senior team members of the Bank .
Before I share the key highlights of the previous quarter , I would like to start with a big picture and take you through our "Core Strategy , its Underlying Drivers and the Critical Business Levers" of our "Profitability Improvement Roadmap."
On Page #5 of our "Investor Presentation" we have tabulated the Balance Sheet Mix and R oA Tree of Fiscal '23 of YES Bank side by side with the average of our mid and large sized peers and from there you would see that fundamentally - there are "5 Underlying Drivers or Anchors" which in our assessment have the maximum bearing in our net income improvement and these are:
"5 Underlying Drivers or Anchors" :
1. Reduction in our PSL S hortfall
2. Improvement in our CASA Mix
3. Improving our Asset Yields through Risk Calibrated Mix Change
4. Increasing our N on-Interest Income
5. Reducing our Cost-to-Income ratio
Our focused strategy to address the above issues has already started to reflect in numbers for the current financial year.

Our organic accretion in PSL sub -buckets of Small and M arginal farmers, N on-corporate Farmer and Weaker Section is already up by 1.6x, 1.4x and 1.2x from March '23 levels. Together with the other inorganic interventions , the Bank has seen a meaningful reduction in the above subcategory shortfalls.
We have also made our branches become the key fulcrum of our entire business strategy.
By Q3 the share of our Branch Banking Deposits in our Total Bank Deposit has increased to 55% from 52% in beginning of the year. Despite a challenging environment in 12 months , our branch banking CASA has grown ~18.2% compared to ~ 12.2% at YES Bank and ~7.2% for peers .
In Retail Advances , the share of internal sourcing has improved to 43% from 37 % at the beginning of the year. Since March '2 3 the share of higher R oA accretive products (within Retail Asset Products) has improved by 8%.
In all 3 quarters of the current fiscal the Y -o-Y Core Fee Income growth has been between 23% to 35%, a s a result of which C ore Fee as a percentage of total assets has increased from 1.1% in March to 1.2% in December '23 quarter.
Strong focus on a SME and mid-market segment which are growing at ~25%+. Both are high quality book with significantly low NPA levels across business cycles. Both the bus inesses are good source of f ee income and low -cost liabilities.
Our strategy to build an agile orga nization through review of org structure, process improvement and cost optimization have already started yielding results. Quarter 3 is the 2nd successive quarter of < 1% Q-o-Q growth in operating expenses.
Now let me quickly take you through the " Highlights of the 3rd Quarter" :
Deposit Growth:
O

ur Y-o -Y Deposit growth (excluding Certificate of Deposit) is at 15 .0% and which is higher than our Y -o-Y advances growth of 13.6% after excluding the I nterbank Reverse Repo which was there in the 3rd Quarter of the last financial year.
Within Deposits in Quarter 3 , our CASA ratio sequential ly improved to 29.7% from 29.4% led

by a 7% sequential growth in saving accounts and marginal improvement in the current account. We added nearly 4.0 lakh new retail CASA accounts during the quarter . 80% of individual and sole proprietor current accounts and 96% of eligible saving accounts were opened digitally. Despite the persistently challenging environment in the trailing 12 months , we have continued to see an outperformance in T otal Branch Banking Deposits , which have grown by 22% Y -o-Y.

The outperformance was even more in the case of Branch Banking CASA deposit and the incremental Branch Banking CASA ratio is coming at 30% + over the same period.

Advances:

Within Advances , we saw sustained momentum in our SME and mid -market segments both up 24.0% and 26.4% Y -o-Y respectively.

CD Raio:

Our CD ratio at December Quarter end w as 89.9 % nearly flattish on Y -o-Y and Q -o-Q basis.

Liquidity Coverage Ratio :

The average liquidity coverage ratio for the quarter was healthy at 118.4 %

CET Ratio:

The CET 1 ratio for the quarter was at 12.6 % vis-a-vis 13.0% in Quarter 3 and 13.1% in Quarter 2 of the Current Financial Year . The impact of Regulator ily mandated increase in risk weights was ~40 basis points which was fully offset by organic CET 1 accretion including profits of ~ 50 basis point. As communicated earlier, we expect another ~100 to ~110 basis point of accretion in CET 1 ratio post t he conversion of outstanding warrants.

Moving over to Margins , Operating Expenses , Asset Quality and the Profitability:

Margins:

Despite headwinds on D eposits and Funding Costs - our Net Interest Margin s expa nded by 10 basis points Q -o-Q and came in at 2.4% against 2.3% last quarter which is largely driven by efficient Balance Sheet Management , even as the A dvances Yield and the Cost of Funds remain ed largely flattish.

In Quarter 3 , our Non-Interest Incom e was at INR 1,195 crores a nd adjusting for realized /unrealized gains on the investment s, the Core Non -Interest Income grew by 23.4% Y -o-Y.

Operating Expenses :

As I was sharing earlier , December q uarter was second successive quarter of < 1% Q-o-Q increase in the O pex. Operating expenses were at INR 2,347 crores , up 10.6% Y -o-Y and only 0.6% Q-o-Q. Adjusting for the PSLC cost , operating expenses are up only by 7.2% Y -o-Y and have actually declined by 0.8% Q -o-Q.

Provision cost came in at 0.6% which is flattish Q -o-Q, despite 0.5% aging related provisions on the S ecurity Receipts during the quarter. AIF related provisions have been fully absorbed at INR 12.5 crores.

Asset Quality :

There was an all -round improvement in asset quali ty with 30 basis points Q-o-Q reduction in Net NPA + net car rying value of Security Receipt as percentage of Advances which i mproved to 1.7% in Quarter 3 against 2.5% in the corresponding quarter last year and 2.0 % in the previous quarter.

Strong resolution m omentum continued with recoveries and resolution with INR 1,316 crores i n the current quarter. Since the ARC transaction in December ‘22 there has be en cumulative redemption of INR 2,836 crores in the Security Receipts .

Slippage , GNPA & NNPA ra tios have been flattish Q -o-Q.

The Provision Coverage Ratio marginally improved to 56.6% and including technical write -off, the Provision Coverage Ratio is at 71.9%.

Profitability:

Our Quarter 3 Net Profit at INR 231 crores is up by 349% Y -o-Y and 2.8% Q-o-Q.

The other Key Highlights:

• Last quarter we went live on Inter Operable

Cardless Cash Withdrawal Framework
which allows withdrawal of cash from ATM via UPI without using any card.

• We also integrated with the leading discount stock broker age firm to offer secondary ASBA services to our customers.

• We also made new strides in Responsible Banking and our Bank has topped amongst all Indian banks with highest S&P Global ESG scores in 2023.

• We have been included in BS E Next 50 and BS E 100 Indices .
• In January ‘24, we achieved yet another feat of being certified as a “ Great Place to Work ” second year in a row.
• During the quarter, we were also join ed by Mr. Tushar Patankar as a Chief Ris k Officer and Mr. Rajat Chhalani as a Chief Compliance Officer.

Thank you once again for joining us so early in the day and now we can take your questions.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Deepak from Aryan S hare and Stock Brokers . Please go ahead.

Deepak: So, I just want to know is there anything in future for the AT1 bond s, any provisions to be made?

Prashant Kumar : Deepak I think this issue has been discussed in detail earlier and at this point of time since the matter is pending in the Honorable Supreme Court , we would not like to make any comment on this.

Deepak: Is there any p rovisioning to be made on that sir?

Prashant Kumar : What I am saying is that the entire clarification on this part has been done, but at this point of time, to make an argument , why there is no need to make a provision, would not be correct as the matter is pending in the Honorable Supreme Court.

Moderator: Thank you. The next question is from the line of Amey , an Individual Investor . Please go ahead.

Amey: Just a quick follow up question on A T1, do we know when is the next date in the Supreme Court and how do we know when is the date , in fact I try to know, but I don't find a way t o figure out when is the next date?

Prashant Kumar : Actually, this was slated to appear today, but it has not come in the final listing as of date and I think we would come to know from the registry of the Honorable Supreme Court when it will come on the next date.

Moderator: Thank you. The next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.

M B Mahesh: Two questions from my side sir. The first one is on the Cost of Funds the increase has been for this quarter relatively smaller as compared to the last two quarters. If you could just tell us at your portfolio level g iven the kind of maturity that you're seeing in your term deposit s, how are you seeing the C ost of Funds kind of moving ove r the next couple of quarters ? This is the first question.

The second question pertains to the slippages that we are seeing on the r etail portfolio - this quarter has been on the higher side. If you could just kind of give us a context into what is driving these retail slippages?

Niranjan Banodkar : On the Cost of Funding to the first question that you asked , Mahesh , if you'll recall we've been saying that the bulk of the repricing I think has been absorbed till September and since then at least in terms of what we are observing as a pendency in deposit re pricing we're looking at not any material i mpact over the next one or two q uarters.

Having said that Mahesh , what we also are conscious about are the industry and the liquidity landscape- could mean that there could be room for us to continue to work on rates, although

our conscious effort is relative to the industry, we need to keep performing better relative to the industry.

But as of now, when we look at the repricing or pendency of portfolio there is a very minimalistic impact from a TD re pricing on Cost of Funding .

M B Mahesh: Just to add on this question, let's say

in the month of January so far the situation on the deposit mobilization has been at par to las t quarter worsened or it has improved w here would you kind of put this situation today?

Niranjan Banodkar : At an effort level , I have to say efforts are higher for mobilizing the deposits that we would have otherwise take, but from our perspective it is th e momentum in Jan continues to be similar to what we typically observe around this time of the year.

M B Mahesh: The second que stion on the retail slippages?

Rajan Pental : So, on the retail slippages obviously there has been little bit of concern in the last couple of quarters brewing . So, we took some measures in terms of the revision in the scorecards , BRE s, also in terms of I think the credit process. So, I would say that more or less we h ave now re ached a plateau and from there we see that in the coming quarter we will see this getting in a stable state.

But good part is that bucket -by-bucket there is an improvement in the resolution. So , we see a better resolution in the coming quarters from this level. So , our expectation is that the slippages

will continue for one or two quarters it will not rise f rom here and then it will start declining.
M B Mahesh: Sir, just to understand what is driving these slippages which part of the pro duct portfolio within retail?
Rajan Pental : So, largely the unsecured assets and also some of these segments few here and there, but those were minor, b ut largely we have seen that the unsecured portfolio needed a lot of c orrections and very timely corrections which have actually happened and no w it's showing the results.
Moderator: Thank you. The next question is from the line of Sri Karthik Velamakanni from Investec. Please go ahead.
Sri Karthik Velamakanni: Question on the risk weight asset s - you have not disclose d the number, could you 1) disclose it, 2) walk us through the movement to CET1 today this quarter particularly in the context of the DTA unwind and the consumption due to unsecured risk weight increases ?
Niranjan Banodkar: So, the risk weight number is about INR 2.7 trillion , which was about INR 2.58 trillion in the previous quarter. So, we had about INR 12,000 - 12,500 crores of increase in the risk weighted asset s. Almost INR 7,800 crores did come in from the new RBI circular. Now i f I were to just

split this from capital consumption like Prashant also mentioned in his opening remarks, we had ~ 40 basis point of burn that came in because of the new RBI Circular. Outside of that, we had about a net 10 basis points of consumption which was a function of both growth that we had as well as the profitability, the DTA and some amount of continuous work that we keep doing on the rating profile plus like retail portfolio comin g to, a combination of that w e had at 10 basis point s of net consumption, but both profits and DTA release would be ~ 20 basis points , of that book.
Sri Karthik Velamakanni: And the 10 -bps declined due to the P SL shortfall is an implied profitability hit, is it, Niranjan ?
Niranjan Banodkar: No, it’s just if you look at the balances increase that we've had about in net INR 10,000 crores of increase in the PSL shortfall deposits between September and December quarter and as a consequence we also end up allocating capital on that because it does attract Risk Weighted Assets. So, it's a function of that.
Sri Karthik Velamakanni: So, despite sovereign guaranteed in nature there is capital hit also due to PSL?
Niranjan Banodkar: That’s right Karthik absolutely.
Sri Karthik Velamakanni: The other question in our CA and SA growth. So, generally I think it was part of your opening remarks also that the CASA growth has been faster than system and I see that the branch additions ha ve not been that high what's contributing to this t he higher CASA growth relative to

our estimate?
Niranjan Banodkar: So, Karthik from our vantage point so there are there are two things really. One for us we are operating at a 29. 7% of CASA ratio. So , we clearly have a priority to continue to im prove our both current account and savings account - number one. Number two, when therefor e we look at an execution plan clearly there is a higher amount of focus that is given to mobilizing the curre nt account and savings account.
Number three is we are looking at loan growth which has been in the range of ~ 13% and as a consequence we are also looking at a deposit growth of 15 % - 16%. In that context , we do find that delivering a growth of CASA which is higher than our dep osit growth is something which we are all working towards.
So, it's a very focused execution plan and consequence of those execution plans are discipline around productivity efficiencies at the branch level, monitoring profitability of each and every branch , making sure the incentive structures are rightly aligned not only for just acquiring customers, but making sure that they maintain balances over the M3 M6 period as well.
So, it's a f unction and culmination of all of those elements which we've been investing over t he last two to three years - we are finding outcomes of those and we're quite actually satisfied that I know ~ 29.5% is not a very high CASA ratio, but we are quite satisfied that a lot of the SA that

is also coming through, if I just l ook at over the last one year , it's not that our blended SA rate would have actually increased. So, it's not that we are throwing rates to acquire the savings account. It's a function of very hard -core execution in retail to drive the balances.
Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.
Mahrukh Adajania : I have two questions . The first is on Personal Loans that was discussed a bit. So, why were tightening measures required in P ersonal Loans? What was your ticket size - most of it would be salaried . So, what was your ticket size and i n general is there some read through for the sector on that bit?
And secondly , on just the realization of S ecurity Receipt I know it happens as and when, but is

there any path you can guide us to build better estimates?
Rajan Pental : Now first comment on the first que stion on the Personal Loans . So, our average ticket size remains around INR 2.5 lakhs. However, the segments which were a topic of concern for the entire industry were - one was the NTC , the New -to-Credit which was contributing to almost 25% of the industry debt position.
I think which was showing a very good behavior for two years started showing some stress. So, at our industry level t here is a c oncern and there is a cut on that particular segment.
The second one obviously is where th e income levels were less than INR 30,000 a month. So , these are the two segments which have been cut and this is not just for us, but this is at our industry level. So, having said that I think most of the concerns which we have tried to capture and try to bring the portfolio back on track are around these two segments.
Mahrukh Adajania : And on the realization of SR?
Prashant Kumar : So, basically when we started like when this transaction happened, we had the S ecurity Receipt s of INR 8,853 crores on gross basis which has already come down to INR 6,393 crores in one year. So, fundamentally if you see out of INR 8 ,853 crores almost INR 2,500 crores have been redeemed. Very, very difficult to predict when the remaining Security Receipts would be realized.
But I think with the track record , we have not seen in one year , more than 25% of the Security Receipts have been redeemed and actually we have als o seen t he recoveries over and above the Security Receipt s.

And if you see the other part , we are continuously making the provisions on the remaining Security Receipts and today the N et Carrying Value of Security Receipt has come down to 0.8% and our Provision Coverage Ratio on the Security Receipt is 73.2 %. Our objective is to bring down the Ne t NPA + the Net Carrying Value of Security Receipts to below 1% in the next few quarter s.
Mahruk h Adajania: Sir, just one more question I know that your LDR has kind of stood steady, but in general in the whole debate on LDR for the industry where you think you stand because in general for everyone it appears that now LDR's need to come down. Do you think that that's the case for you as well?
Prashant Kumar : So, Mahrukh, we are quite happy with the LDR of around 90% and this 90% is important for us in terms of both profitability a s well as keeping those kinds of margins , but if you see that we are continuously focusing on the deposit growth, higher than the loan growth.
So, at no point of time we are allowing our LDR to go below 90 %. It means higher rather than 90% and going forward also our strategy would be continuously deposit grow th higher than the loan growth, but 90% for us it's quite satisfactory especially when you see very large amount is being parked in the RIDF to tak e care of our shortfall in the P SL.
So, today 11% of our Total Assets are sitting actually in the RIDF . I think if you take into account this part then 90% LDR is quite satisfactory.
Mahruk h Adajania: So, this is something that even the regulator would be comfortable with because there is now a sudden talk t hat the regulator may not be comfortable with LDR's of some banks, not spec ifically yours, but some banks t hat's why asking?
Prashant Kumar : Yes.
Moderator: Thank you. The next question is from the line of Chintan Shah f rom ICICI Securities. Please go ahead.
Chintan Shah: So, sir firstly on these unsecured fees , that we are seeing a kind of some high slippages in the retail segment. So, as you clearly mentioned that is largely from the new-to-credit customer and not from the existing customer base. So, usually means just wanted to understand the underwriting which we are doing so that there is no concern on that on the CIBIL score or on the based on the past track record of your underwriting. So, that should be okay and only this is from the new -to-credit where the stress is coming up. Is that a fair assumption?
Rajan Pental : The retail business which you fully understand goes through its own cycles over a span of 5 years to 6 years and whenever there are any signs of stress appearing the foll owing actions are usually taken. O ne to take the entry scores up , to tighten the criteria a round the income levels and F OIR, and third one is to look at the c ustomers where y ou have a limited understanding.

Your internal customers will always behave better because not just y ou have information on their scores, but you also have information on their transaction history. So, that will always make more stronger and they will always behave on a rel ative scale better.
The concern always will be the N ew-to-Bank customers and within N ew-to-Bank , the new segment which income ban ds you want to purchase or where do you see stress you kind of again

dissected between the credit scores and then Bureau scores a nd then you again segmented between the profiles, the locations, the demographics.

So, you get into full detail when you have to review to tighten the criteria. So, I would say instead of and what I alluded, to was some of the segments which largely have shown signs of stress, but whenever you get into this cycle and I would not say that we are actually into the cycle, but there was a bit of correction required at the industry level and in line with that we have taken actions across this.

So, it is not just cut

ting one segment you have to take multiple actions to control and fortunately the signs are qu ickly seen in terms of your N ew-to-Bank population which is coming into as an inflow to the Bank . So, that is a positive sign.

Chintan Shah: And si r usua lly the FOIR for this below 30 k customers would be where t here is some stress. So, what will be the FOIR for that 40 %, 50% or even more than that?

Rajan Pental : So, today it is not as simple as it used to be a couple of years back. Today you segme nt the customer and then decide , (for a customer working with) Cat -A company or Cat-B company or a Cat-C company would all have a different approach to underwrite .

So, I would say there are multiple factors which is a fo r sophisticated scorecard w hich today is applied as compared to the erstwhile file . So, this is I would say the tightening on various fronts not just the income to the loan ratio, but to the E MI ratio, bu t also to the thresholds of what is your entry level for income even that is into the consideration including putting the Cat -A, Cat-B categorization of the company from where the employee comes .

Chintan Shah: Secondly on that profitability part thanks for that f or the levers, the improvement in profitability. So, we have ment ioned that increase on organic PSL. So, there were some talks earlier of acquisition, some inorganic acquisition to boost PSL. So, is that still on are w e still working towa rds tha t and on the PSL s o first ly it is on that and then I will come to the last question?

Niranjan Banodkar : Yes, there is work happening to find ways to accelerate the PSL journey for us, but having said that clearly when yo u look at creating or acquisi tions it obviously is time consuming. You need to have the right fits and there are multiple criter ia that go into the evaluation. So, it does take time, but I think having said that I think it ’s important to note that it ’s not that we are just waiting for that lever to express itself in our balance sheet.

We continue to work on o ur own organic channels, we c ontinue to work on other means of inorganic acquisitions into the balance sheet for complying with the PSL and a gain I will again refer to Prashant opening remarks where he said that if you look at our problem in PSL which is in sub categories of Small and Marginal Farmers , Non-Corporate Farmers and Weaker Section -across these three sub categories if you look at our compliance to PSL we h ave only been improving quarter -on-quarter and it ’s actually part of our presentation as well.

So, it’s not that we are just waiting for this inorganic acquisition as a lever to come in and express itself. Yes, it will further propel a nd accelerate the acquisition machinery, b ut having said that we are now looking at very nominal numbers of non-compliance in Fiscal’24 across these subcategories.

Chintan Shah: And sir one lastly is that 1% RoA mark as piration so do we envisage th at to come in FY 25 or probably in FY 26 what could be the rough timeline , any sense on t hat?

Prashant Kumar : I think that we need to be very realistic, and I think one of the big drags on our profitability is 11% of our assets sitting in the RIDF. Though we are working very hard, and we are quite confident that this year there will not be any shortfall in the PSL, but I think the PSL book coming down to a normalized level would take som e time and I think this is the biggest drag .

So, 1% RoA we d on’t see happening in FY25 , but I think the way we are executing our strategy we may see this 1% Ro A in FY 26.

Niranjan Banodkar : And then if I also add to that , see 1% ROA f or us is very important from the perspective of getting it delivered through core operating profits and you would have seen that we continue to have go od momentum resolution P&L write back to the S ecurity Receipts portfolio,

but you would appreciate that what we have been doi ng very consciously is actually using that to keep reducing the drag on our Security Receipts and continue to work on improving the PCR right.

So, I think just to mention that ROA 1% target is being though t about from a core operation and not just for a number from a profitability because ultim ately , we want to get our NNPA and SR also b elow 1% from the recoveries of the SRs .

Moderator: Thank you. The next question is from the line of Dinesh Jain, an Individual Investor . Please go ahead.

Dinesh Jain: So, my two questions on basically every quarter you guys are disbursing about INR 30,000 crore of loan a nd in annual report also you ’re disclosing that you have about INR 1,00,000 crore of

disbursement in a particular year w hich amounts to 50% of your portfolio.
So, despite doing that, your growth is at about 15%. So, it means is it your average loan size is somewhere about 2 years or something like that w hy it is not translating it into the growth that' s point number one. Point number two is in the provisions on this time the default on Personal Loan is about INR 1,000 crore. Your total N et Interest Income for the year is INR 2,000 crores .

So, if 50% of your portfolio is towards P ersonal Loan which is about INR 1,000 crore and your default s are INR 1,000 crore s in a quarter, does it mean that 100% of your Personal Loan net interest income is getting defaulted? So, is it something bigger underlying thing is there which we are not understanding or is it the earlier YES Bank which is returning now to the fore?
Niranjan Banodkar: Dinesh ji on the first question of disbursement s so when disbursements happen there are also repayments that keep happening in the book. So, I will give an example of the L arge Corporate Business where clearly we have pivoted aw ay from the kind of L arge Corporate Business that we should do prior to Marc h '20 this is more working capital transactional in nature.
And yes, we do have a significant amount of fresh disbursement, fresh lines that get set up, yes utilizations could have its motions of some quarter, the utilizations are higher, some quarters utilizations are low, b ut I think the momentum on new bus iness acquisition is very high.
But h aving said that, in the L arge Corporate book despite the new disbursement and you would have als o observed that we do have, we have seen de growth in that book over the last two years to three years t hat's because of our legacy book that we had in the Large Corporate . We've seen the repayments a lot of those we were consciously triggering those exits so that we continue to reduce the legacy assets that we have in our Balance Sheet. It was also one of the strategies for us to reduce those ex posures because they were also coming in from let 's say real estate or hospitality.
So, that journey also coincided with the new acquisitions that were happening in the L arge Corporate and as a result what you see is net function on the loan growth that's number one.
Number two is if you look at similar comparison on the retail side on retail what we are seeing is a disbursement run ra te of about anywhere between INR 10,000 crores to INR 12,000 crores let's say that we might be doing per quarter, but equally we would be having about INR 6, 000 to INR 7,000 crores of let 's say repayments and maturities that happen every quarter.
So, what again you see as a net result is pushed the repayment. So, what we are seeing is 13 % to 15% loan growth I think is fairly reflective of new business origination as well as old. The last point I wanted to make i s when we look at disbursements it 's about making sure that you
are p enetrating into the relationship of clients.
What we are quite confident about is that now that we are entering and acquiring large scale customers acro ss when I s

ay large scale customer s across Corporate , Mid Corporates and MSME
we have a good hook now on these custome rs and as and when utilizations pick up you would also start seeing those on the loan growth. I think that 's just a simple explanation. I thought I should provide t hat was the first part of the question.
I think the second questi on you asked was on provisions and NII which we have about INR 2,000 crores of NI I, and I think the question was you were correlating that with INR 1 ,000 crores of slippages.

So, the first point there is , when you look at the NI I, we are looking at NII also has multiple elements of drag, and I think we spoke about Prashant mentioning again and again that there is a significant drag coming in from the existing stock of our RIDF which is sitting today at about in excess of INR 40,000 crores on our balance sheet, 11% of the T otal Assets.
So, I just want to contextualize that INR 2,000 Crs is in the firs t place not in normalized run rate of NI I that we should be looking at t hat's number one. Number two is like Rajan mentioned when you look at a INR 1,000 crores of slippages you do go through cycles where there will be certain uptick in performance or delinquencies in certain products, in certain geographies, in certain segments, b ut I think that is where management intervention comes in , to say have y ou identified the p roblem and ha ve you taken course corrective action to make sure that incrementally you are kind of not repeating those geographies from a disbursement perspective.
And I think we 're quite pleased to see that we have taken the necessary actions to p lug the new slippages and like Rajan mentioned we do believe that the run -rate should start normalizing or reducing from here on.
I think the third thing which you also have t o look at is it 's not just the gross slippages. There is also a run r ate of recoveries and upgrades that we see. So , while for the full Bank if my

annualized Slippage Ratio is let's say 2.3% actually the net of recoveries and upgrades the ratio would be about 1.1%. So, it's not that the whole block of 2.3% goes into a loss. T here are recoveries and upgrades that do happen over a period of time.
The last par t I wanted to mention is again w hile the impact of this , was acute in September, but we did see some element of that also play out in December is we also had an accounting policy change where and we did go through some explanation in the last quarter. So, I'm not going to spend a who le lot of time, but that meant t hat because of the accounting change in penal interest that delinquency was sli ghtly higher on the ret ail book, but as to summarize we do believe that the relevant course-corrective actions have been taken and the delinquencies s hould start stabilizing to reduc e from here on.
Dinesh Jain: One last point I wanted to say on this whole priority sector thing a nd all which suddenly got popped up into this particular slide. So, were you guys not aware last 3 - 4 years that this particular thing is, you didn't see it coming and suddenly this has popped up this particula r quarter or you were knowing 3 years, 4 years b ack and you were working on it and nothing happened and therefore this quarter it has popped up that this has become a now a new rea son on the block?
Niranjan Banodkar: So, Dinesh ji , if you go back to our commentary also about a year back, we did mention that we are keenly evaluating acquisition of an MFI entity or e ntities that might be the MFI business. This was all keeping in mind that the Bank needed to solve its P SL subcategory acquisitions side.

So, we were aware, we have been talking about the drag that RIDF is causing i t's just that we have brought that out explici tly so that because we were getting these questions time and again and we were explaining on calls through a commentary . I thought it was just important that as an entity we put that out in absolute clarity as to what would be the drivers on improving the PSL drag and what is the drag. So, we just put that out in black and white that's the only difference. It's not that we were not aware nor that we have not been guid ing as to whether this is the problem statement for us or not.
Moderator: Thank you. The next question is from the line of Narendra Porwal an Individual Investor . Please go ahead.
Narendra Porwal: Sir my question would be for CASA sir you have already answ ered that, but our CASA till now compared to other banks it is growing very less and my opinion is that my account is already with YES Bank , but at this time many IPOs are coming and many HNI investors apply IPOs aggressively and they are maintaining balances , but still in our Bank cut off time is at 3 o'clock, but in other Bank it is at 4 o'clock. Sir why are we not becoming aggressive in compared to other banks . They are very aggressively doing the marketing that we are giving 7%, 6% and we are also giving 6% saving account we are giving interest, but in spite that our CASA is not increasing the way it should and in some way we also face problems like system s downtime . So, plan in a way and it is the time of technolo gical advancements and by increasing the timing (for IPO), and doing aggressive marketing , our CASA will improve, and once customer open an account in our Bank then definitely they will not go to other Bank ?
Prashant Kumar: If you see our whole Bank 's focus is o f being customer centric that how we can give our customers much more benefits. Now you have the suggestion that instead of 3 o'clock we do it 4 o'clock it is very valuable, and we will see. I want to say one thing in CASA deposit that as you know that 4 years back the Bank faced challenges and at that time our deposits dropped to half. So, it takes a little time on deposits to grow , but in the last 4 years the deposit s have increased by more than two times and if you see in the entire Bank ing Industry CASA ratio is decreasing , but at least we are able to protect our CASA ratio , our CASA ratio has not decreased and it has happened because of the customers support and it is our commitment and assurance to you that for the customers , either in technology or in aggressive marketing , the suggestion which you have given for we will pay close attention to it.
Narendra Porwal: When Bank were facing challenges that time also and already now also there is no disturbance in balance maintained by me in the account and sometimes it does happen that when the system has downtime , we have to fill the physical form (for IPO) and Bank (branch) gets pressure for bidding at the last minute . So, because of that , we face problems. See you all are very aggressive, but tell your team also to be more aggressive?
Rajan Pental: For your suggestion and the feedback which you are giving for that thank you so much for that and with I will call you separately and understand your problem so that we can resolve that.

Narendra Porwal: Sir many customers are my close relative they have around INR 2 crore balance they are trying

to shift to another Bank , in that way our CASA will rise aggressively?
Prashant Kumar : Your suggestions are very valuable. So, we will work on that and Rajan ji will talk to you personally on that.
Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.
Mahrukh Adajania : Sir, I had a follow up question aga in on the Personal Loan bit. So, basically we have weeded out all the customers which were probably looki ng a little discomforting and because of closure of lines to them these slippages have occurred o r because anyway they were on the lower income

side these slippages have occurred as in that were some of these BNPL customers given may not be right given tha t your ticket size is high or how do we look at the whole piece?
Ranjan Pental : First of all, BNPL came as an experiment, and it failed. So, fortunately we never tested waters into that particular segment. Two is once the customer has come in you hav e to bear him for 36 months. So, it is not that you can beat him out in between unless you proactively go back and insist that you close the account which generally is not the likely situation.
In our internal database proactively when you are looking at acquiring a c ustomer, obviously we have weeded out that set of customers which we potentially were putting up to our teams to acquire. So, from that extent, you're right.
Also, from the customers who are coming o ut from the outside market since we have tightened the criteria , so, these customers will automatically get rejected. So, from that extent for new to the Bank or from existing customers certain segments have been eliminated, but this is no where close to the BNPL model. These are the normal P ersonal Loan customers .
Mahrukh Adajania : So, going ahead will growth in Personal Loans be slower than earlier only?
Ranjan Pental : I think growth is not that issue because there are lot of customers and Personal Loan is growing at a particular pace, but whenever you will do any kind of policy cuts , temporarily t here will be a dip in the business and then you again ramp up because you ha ve a large distribution out which also then alters their way of acquiring and bringing back the customer to various banks.
Mahrukh Adajania : So, the key reason for the slippage would be what then as in it's just that the income levels did not support or what would it be in general for the 36-month lapse for many this quarter?
Ranjan Pental : I will give you an industry level answer to it a nd obviously these things do reflect in overall across portfolios. One is that c ustomers taking more than one loan after they have taken from you, that tends to be one of the bigger reasons.

And secondly it can be around the income levels not going up or the inflation being high, the disposable income coming under stress. So , there could be various ranges and the retail portfolios throw you a lot of opportunities to get insight into the portfolio in various squares which you have to then cut and then kind of look at what is going to be your new acquisition strategy.
But having said that even in P ersonal Loans, even if I dissect the quarter between the three months we have seen a very good month, December month where the resolution rates have really gone up to upwards of 87%. So, the resoluti on rates have become better. So, these customers who were even who have default ed their resolution rates are getting better.
Moderator : Thank you. The next question is from the line of an Individual Investor . Please go ahead.
Mrunal Shekhar: There is too much deviation from the listed security house analysis and why there is too much negative number in retail segment?
Sunil Parnami : Can you repeat your first question deviation in which element you want this to clarify?
Mrunal Shekhar: Because market has expected too much profit in this quarter , means from the securities house analysis like ICICI Securities has expected the figure around INR 500 crore p rofit at this quarter, but we have got something INR 281 crore Net Profit and Emkay Capital also analyzed too much profit, but we get less profit than this number and one more thing I wanted to add there is too much speculation is listed around in YouTube. What are you doing in this regard to control this news?
Niranjan Banodkar: Mrunal j i your voice is not coming clear. We were not able to hear you well. I think the first part of the question which we could gather was around tha

t the market expectation wa s a certain number and we had delivered a certain number below expectations is that a fair question?
Mrunal Shekhar: Yes.
Niranjan Banodkar: So, let me respond to that and maybe we can come back to the second question. So, Mrunal ji to be honest we will not be able to comment and let's say on every quarter expe ctation that markets will have. I think at the start of the year we've been saying that there is a certain path to our profitability to a 1% ROA and which is a journey which req uires a lot of execution focus. It was a two -to-three -year journey that we that had highlighted number one.
Number two as the kind of period plays out of course there are l ot of external factors that also

come in and you would appreciate that over the last one year there has been a s ignificant spike in interest rates , generally in the environment as well , which resulting into NIM compression not on ly for us but across all th e banks.

But I think there are certain principles with which we work. There is a certain strategy which is in place, and we are sticking to that strategy a nd just from a profit standpoint because that was a specific question that you had for us it's very i mportant to get the N NPA and Security Receipts also below 1%. So, it's important that we keep improving our PCR for the Bank , we keep reducing the drag and keep working on expanding the operating profit a nd that's t he work which we keep executing day in day out.

We also take by the way through this question of a feedback that maybe t he expectation itself in the first place needs to be managed better and that's something we will be h appy to communicate more emphatically and effectively on an ongoing basis.

Moderator: Thank you. We move on to the next question sir which is from the line of Sreenivasan an Individual Investor . Please go ahead .

Sreenivasan: I have two questions . What is the guidance for this ROA accretive products on the current level of 55% as at the end of FY 25 where would we expect it to be and what would be the impact on the bottom line? And sec ond question is like Prashant sir was saying that f rom INR 8,000 Crs odd levels , Security Receipts on the A RC portfolio have come down to INR 6,000 Crs odd, 25% recoveries has happened , but if we see the presentation like the S ecurity Receipts as a percentage of Advances is only 0.8% that comes to roughly INR 1,850 crores. So, what is this difference between INR 1,850 Crs and INR 6,000 crores and INR 4,000 plus crores, c an we assume that like once the provision becomes zero, entirely this INR 4,000 crores would be accretion to the profit , bottom line?

Prashant Kumar : So, basically 0.8% is the net carrying value of SR security receipt after making the provision and once like if N et Carrying Value comes down to zero, then whatever recovery would come would be direc tly addition to the P&L.

Sreenivasan: Second question?

Niranj an Banodkar: On the ROA accretive products again the first point there is we are talking about large scale distributions . Therefore, the path towards migrating towards a higher ROA accretive product is someth ing that we keep calibrating over a period of time, currently which we are running at about 55%.

The trajectory wo uld be - continue to improve that. Y ou will continue to see about 5% to 10% improvement in that mix over the next 6 months to 9 months. I think that's really wher e we will continue to work.

Now what does that mean from an R oA perspective. Ultimately, some of these products on the margin I will say again there are two elem ents. One is on the margin and what it does to the book. O n the margin which means to the disbursement mix, these products are already generating an ROA which could be about 60 basis points to 70 basis points higher than what

let's say the oth er products w ould be, b ut for those to get expressed on the book coul d take about anywhere between 2 years to 3 years.

So, it is on the margin you might end up making today about 2-3 basis points on the book every quarter, but it will take some amount of time before i t starts getting reflected on the book.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now hand over the conference to Mr. Prashant Kumar for his closing remar ks. Over to you s ir.

Prashant Kumar: Again , thank you everyone for joining our earnings call so early in the day. Thank you so much and wish you all the very best.

Moderator: Thank you very much s ir. Ladies and gentlemen this brings the conference call to an end. Thank you, members of the management . On behalf of YES Bank , we thank you for joining us. You may now disconnect your line. Thank you.

Call: May 2024

YBL/CS/202 4-25/27

May 6 , 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Tel.: 2659 8235/36 8458 Tel.: 2272 8013/15/58/8307
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the audited Financial Results of the Quarter (Q 4) and year ended March 31, 202 4
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on April 29, 2024 for the audited Financial Results of the Quarter (Q4) and year ended March 31, 202 4. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/pdf?name=yesbank_q4_fy24_analyst_call_transcript.pdf
You are requested to take the same on record and acknowledge the receipt.

Yours faithful ly,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

"YES Bank Limited Q4 FY'24 & FY'24 Earnings
Conference Call"

April 29, 2024

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , YES BANK LIMITED
MR. RAJAN PENTAL – EXECUTIVE DIRECTOR , YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER , YES BANK LIMITED
MR. MANISH JAIN – COUNTRY HEAD, WHOLESALE BANK ING, YES BANK LIMITED
MR. PANKAJ SHARMA – CHIEF STRATEGY AND TRANSFORMATION OFFICER , YES BANK
MR. SUNIL PARNAMI – HEAD (INVESTOR RELATIONS), YES BANK LIMITED

Moderator : Ladies and Gentlemen, good day, and welcome to the YES Bank 's Q4 FY '24 & FY'24 Earnings Conference Call.
On the Management Panel, we have with us today, Mr. Prashant Kumar – MD and CEO; Mr. Rajan Pental – Executive Director; Mr. Niranjan Banodkar – Chief Financial Officer; Mr. Manish Jain – Country Head - Wholesale Bank ing; Mr. Pan kaj Sharma – Chief Strategy and Transformation Officer ; and Mr. Sunil Parnami – Head of Investor Relations.
Mr. Prashant Kumar will give an "Overview " of the "Results ", which will be followed by a question -and-answer session.
As a reminder, all particip ant lines will be in the listen -only mode . Should you need assistance during th e conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Kumar. Thank you, and over to you, sir.
Prashant Kumar: A very Good Morning and thank you for joining us so early in the day for our Quarter 4 and Full-Year FY '24 Earning Call .
On this call, I am accompanied by the Senior Team members of the Bank .
Moving straight on to the Results , as a Bank last fiscal, we continue d to make consistent improvements across all the core operating m etrices and progress well on the key strategic objective of Improving the Profitability of the Bank .
As I take you through the key highlights of the "Financial Performance " across Deposits and Loan growth, NII and NIM, Fee income, Asset Quality and Provisioning, Profitability and lastly but importantly of the progress made towards shortfall in the P SL subcategories.
You may also refer Page #6 to #14 of our Investor Presentation to get more detailed insights as to how the Bank is working on each of the Key Business Levers. But fundamentally, the key for us has been and will continue to be the disciplin ed execution towards the fulfillment of the stated objective.
Moving on to the "Key Performance Highlights":
• Fiscal '24 marks the third straight year of full -year profitability for the Bank since the year of reconstruction. This is yet another important milestone particularly in the context of eligibility of the Bank towards empanelment for Government and PSU businesses. Bank reported FY'24 Net Profit at INR 1,251 crores , which is up by 74.4% Y -o-Y.

Bank ended the year with Quarter 4 '24 ROA at 0.5%, again st 0.2% in Quarter 3 and Quarter 4 FY '23, and this is despite incremental PSLC -related cost and stepping up the PCR.
• Full-year FY ' 24 Net Interest Margin (NIM) came in at 2.4% against 2.6% in Fiscal '23 due to negative drag because of the RIDF deposit placed for the PSL shortfall , which has further marginally inched up and now peaked at 11% of our total assets compared to 9% in March '23. This increase is due to calls related to the prior period shortfall.
However, in line with our guidance, in Fiscal '24 itself the Bank has made substantial progress on PSL compliance , and I am pleased to share that from here on the Bank will start seeing a gradual redu ction in these balances. The Bank has concluded Fiscal '24 with NIL shortfall in the overall PSL and subcategories of Small and Marginal Farmer s (SMF) and Weaker Section (WS) .
Further the shortfall in the Non-Corporate Farmer (NCF) subcategory has been brought down to around 1.4%. This was done through a combination of organic accretion as well as through purchasing of PSL Cs.
As a result, beginning Fiscal '25 at an overall level , we would start seeing a reduction in the RIDF balances and Bank expects that gradually and by the end of Fiscal '27 , these balances would eventually further reduce to below 5% of our total assets , bringing it much closer to the average levels , similar to th

at of some of our other large Private Sector Bank
peers. With that Bank would also start seeing a reduction in its negative drag on our margins and profitability.
Sequentially , NIM for Quarter 4 was flat at 2.4 %, with net spread marginally im proving by 2 basis points compared to Quarter 3 . Net Interest Income for the quarter at INR 2,153 crores was up 2.3% Y-o-Y and 6.8% sequentially.
• As regards Non-Interest Income, the Bank saw strong momentum sustained across all diverse and granular fee income streams. In Fiscal '24 , Non-Interest Income has grown by 39% Y-o-Y to INR 5,114 crores.
Over the last two years, the Bank has seen a meaningful increase in its Fee-to-Average

Asset, which has increased from 1.1% in FY ‘22 to 1.3% in FY‘24 . Within Non-Interest Income , the share of Retail Fee has increased from 55% to 66% over the same period. The sustained momentum in our Fee Income was driven by strong traction in Third-party Fees and continued traction in other fee lines such as Trade and Remittance, Interchange and Cash Management.

This momentum is expected to continue, driven by our strong customer acquisition engine, which is very well integrated with our Spectrum Bank ing and Relationship Bank ing channels , our distinctive m oat in our payments, APIs and Digital and Transaction Bank ing leadership , and also our refreshed YES Bank brand , and lastly our service orientation and disciplined execution.

Sequentially reported Non-Interest Income at INR 1,566 crores has grown by 56% Y-o-Y and 31% quarter -on-quarter. Normalizing for interest on Income Tax Refund of INR 118 crores, Quarter 4 non-interest income has grown 21% quarter -on-quarter.

• For Fiscal ‘24 , Cost-to-Income Ratio (normalized for P SLC cost and Interest on Income Tax Refund) was 72.2% against 72.6% in FY ‘23. For full -year FY‘24 , total cost of INR 9,824 crores included cost amount into INR 377 crores incurred on purchase of PSLC Certificate against NIL expenses in FY ‘23.

For Quarter 4 FY‘24 , while on a reported basis, costs were up 27% Y-o-Y. However, normalizing for PSL cost of INR 254 crores incurred during Quarter 4 , the Y-o-Y growth was 15.6%. The Quarter 4 FY‘24 cost also included a variable pay cost of INR 109 crores. The Quarter 4 FY‘24 Cost-to-Income ratio (adjusted for PSLC costs and Interest on Income Tax Refund) was at 71.2% against 70.9% in Quarter 3 FY‘24 .

• For Fiscal ‘24 , Bank reported PPOP of INR 3,386 crores, which has grown by 6.4% Y-o-Y.

The salient highlights pertaining to “Asset Quality, Slippages, Recovery , and Provisions ” are as follows :

• Compared to Quarter 3 FY‘24 , both the Gross as well as Net NPA improved to 30 basis points to 1.7% and 0.6% respectively.

• Resolution momentum remained strong during the last quarter as well with Recoveries and Upgrade s of INR 2,092 crores during the quarter and for full year FY‘24 , the Total Recoveries of INR 5,978 crores in line with our guida nce.

• Recoveries from Security Receipts and realization from ARC s ales during the quarter were prudently utilized in further strengthening the asset quality m etrices as evidenced through more than 50% reduction in the Net NPA and Net carrying value of Security Receipts (as percentage of Advances) to 1.1% against 2.4% in same quarter last year. Nearly half of that reduction has come in Quarter 4 alone.

• NPA Provision Coverage Ratio (PCR) was stepped up to 66.6% against 56.6% last qua rter and 62.3% in Quarter 4 ‘23. Including Technical write -offs, PCR now stands at 79.3% against 71.9% in Quarter 3 and 7 2.3% in Quarter 4 FY ‘23.

• Non-tax provision cost for Quarter 4 at INR 471 crores and for full year at INR 1,886 crores and as a percentage to Total Assets were in line with our guidance of 50 basis points.

• The Gross Slippage s for Quarter 4 was at INR 1,356 cro

res. against INR 1,233 crores in Quarter 3 . Slippages net of recover ies and upgrade s in Quarter 4 at INR 370 crores against INR 574 crores last quarter. Retail Segment Gross Slippage for Quarter 4 at INR 977 crores has come down against INR 1,051 crores last quarter. Net Slippage at INR 567 crores also has come down against INR 644 crores last quarter. One account in Mid-Corporate classified as NPA during the quarter has actually NIL financial overdue s. Gross Slippage for FY’24 at INR 5,334 crores. However, the Slippage Ratio as percentage of Advances for FY’24 was flat at 2.3%.

Moving over to “Business, Balance Sheet and other Highlights”:

• Bank ’s Balance Sheet c rossed INR 4 lakh crores mark, registering a Y-o-Y growth of ~14%. CD ratio improved to 85.5% from 89.9 % in Quarter 3 .

• Robust accretion continued in Deposit as it came in highest ever in the history of Bank at INR 2.6 lakh crores , clocking a healthy growth of 22.5% Y-o-Y and 10% quarter -on-quarter. For the full year and quarter ended 31st March 2024, the CASA ratio came in at 30.9% as compared to 29.7 % in Quarter 3 and 30.8 % in Quarter 4 FY ‘23. During the year, Bank added 1.7 million new CASA accounts. We remained committed to judiciously

expand our distribution and added 134 new branches since January ‘23 in CASA rich clusters.
CASA balances at the end of Quarter 4 were up 23% over Quarter 4 ‘23 and 15% over Quarte r 3 of the FY‘24 . The average daily current account and average daily saving account balances have also grown by 12.3% and 13.5% respectively in Quarter 4 . Retail and Small Business Deposits, as per the Gross LCR definition, at INR 1.17 lakh crores has grown by 18% Y -o-Y. CASA + Retail TD s are at 57.2% of the Total Deposits.
As we continue to leverage branches as the fulcrum of our business, the contribution of Retail and Branch Bank ing Deposit increased to 53.1% of Total Deposit compared to 52.1% in FY ‘23. For Fiscal year ‘23-’24, the incremental CASA ratio was 31.5% and the incremental CASA ratio in deposit sourced by our branch Bank ing channel was even higher at 37.5%.
• Year -end Net Advances (excluding reverse repo) has grown by 13.8% Y-o-Y, aided by sustained growth momentum in SME and Mid-Corporate Advances (at 25% plus Y-o-Y) and resumption of growth in Corporate Segment.
• As guided earlier, we expect that within Advances, the Ratio of Retail + SME Segment Advances to Wholesale Segment Advances (Mid-Corporate and Large-Corporate) would remain at the similar level of 62 :38 from here on over the near -to-medium term. Within Advances, while we would continue to drive a steadfast growth in SME and Mid-Corporate Segment and further enhance our focus on profitability improvement within retail, we would expect Corporate Advances Segment to grow in high single d igits going forward.
• In Quarter 4 FY‘24 , the Bank ’s average quarterly LCR remained healthy at 116.1%.
• Regarding Capital Position, while CET -1 and Capital Adequacy at the year -end was at 12.2% and 15.4% respectively, however , including the effect of the warrants exercise by CA Basque in the month of April 24, the proforma CET -1, as on March 31, including the proceeds from warrants conversion, works out to 12.7%.
“Other Highlights ”:
• YES Bank has joined hands with Indian Olympic Association as Principal Sponsor for Team India for Paris Olympics 2024. This reflects our dedication and commitment to National pride and to showcase our commitment to support Team India in Paris Olympics ‘24. The Bank also launched a special saving account proposition called “Yes Glory ” along with a campaign “Milkar Jitayenge ”.

• Another notable highlight was a partnership with a skilled player in payment ecosystem as the PSP Payment Bank , reflecting the inherent strength in the capabili

ties and technology
infrastructure of the Bank . This partnership is expected to further aid our market share in Digital Payment Ecosystem, Merchant Acquisition, Current Account Balances and Transaction Bank ing flow s and thereby resulting in some improvement to our fee.
• We have also launched YES Pay Next , a cutting -edge, next -gen UPI payment app , which provides a seamless, secure and smarter way to manage transactions.
• Further, I am humbled to share that last quarter, YES Bank got certified as a Great Place to Work by GPTW Institute India and is ranked amongst the Top 50 in India ’s best workplaces in BFSI 2024 – 2nd year in a row.
• The Bank has also received top award for Best Bank for promoting Government schemes in the private sector and we are also named runner s-up for best MSME Bank in the private sector at MSME Bank ing Excellence Award 2023.
• Lastly, we also became the first Indian Bank to conduct export finance transactions at Receivable Exchange of India Limited (RXIL) , an International Trade Finance Service (ITFS) platform in India.
I would like to conclude that as we enter the fifth year of the journey of YES Bank of today, we remain focused on diligently executing the ROA expansion roadmap and remain absolutely resolved around our disciplin ed execution.
We thank you for your continued support. And w ith this, we can now take your questions.
Moderator : Thank you very much , sir. We will now begin the question -and-answer session. The first question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: So, there are a couple of questions I had , firstly with respect to margin. So, with the reduction in margin, with the help of CASA and improvement in asset quality, we had a stable margin for this quarter. So, how it is expected to pan out maybe in FY ‘25, if you can help us understand that, sir?
Niranjan Banodkar: Rakesh, margins for us, we discussed this in the past as well. There are three drivers for us on driving margins. And I don ’t want to give kind of a very specific guidance in the really near term but talk about a more two-to-three -year journey.

One, very emphatically we have said that there is RIDF balances , which are causing a drag on the margins. And we have also actually given a pro forma number i n our presentation to say that the current drag on the stock is about 70 basis points on NI I to assets. So, that's one.
So, as the balances of RIDF come down, and like Prashant mentioned in his opening remarks, we are fully compliant with the PSL requirements even at a subcategory level in Fiscal '24 , there's a marginal shortfall in the NCF category. But as a consequence, we will now start seeing

reductions on a year -on-year basis. And that will start flowing int o the margins over the next two to three years. As I said, the total stock hit is about 70 basis points.
The second point is what we are also doing is on our assets and especially on the Retail Assets mix. There is also a calibration towards moving into more ROA accretive products , which also inherently give better yields.
Of course, this journey that we are pivoting towards means that the growth that is incrementally coming on this book is coming at a slightly lower rate and you would have seen retail has been growing at about 35 %-40% and has kind of now come into the 20s and we should possibly see the growth taper also to, let 's say, the teens , right?
The point is, in the process of tha t, we will however see improvement from a margin standpoint. As we speak, the retail disbursements actually are clocking at a yield , which is already 100 basis points more than the stock of the retail portfolio yield , right? . So, that is already an indicat ion that on the margin we are moving into better selling products.
The third is really th

e focus on getting the cost of funding improved through a better CASA,
through making sure that you are not just putting rates on the table for accreting deposits. And again, if I just give an example, if you look at Fiscal '24 and if I look at, let 's say, the blended savings account rate, over the last one year, we would actually not have increased our blended savings account rate despite the backdrop of a tight liquidity and real struggle or difficulties that the industry has witnessed on Savings Account , right?
And not only that, on the incremental market share, we have actually done better on savings account. And we have numbers till December. We have actually done much more than what our stock market share is. So, the focus on deposit and funding is also to make sure that relative to the market, keep improving the rates. So , we don 't want to just put rates for acquiring deposits.
So, it's a combinati on of all these three. There is, of course, we continue to see a reduction in our non -accruing assets, which is the NPA stock coming down. That will, of course, also add to margins. But just the first two, which is the mix of our RIDF coming down, and we d o see a trajectory where in the next two to three years, this should be below 5% of our Total Assets. All and the Retail Assets mix , both of these, we believe, will add to about 80 to 100 basis points of margins for the next three -year period .
Rakesh Kuma r: Sir, just to understand the CASA progression in this quarter, so if we have to build this number to FY '25, so what is the sticky part? What is the one -off part? If you can help us get some clarity?
Niranjan Banodkar: So, Rakesh, what happens is we do see some transient flows that do happen in March and to be honest , it is not peculiar to only this March . It is peculiar to almost every year end that goes through because there are also businesses who like to maintain cash for their year -end

transactions. They also demonstrate good amount of sales that come through. This year was also a little bit peculiar bec ause there were also holidays . There was a weekend that kind of coincided. Some of our FinTech partners also end up keeping certain balances in excess to make sure that there is absolutely seamless flow of transactions. So, you could possibly look at , let's say a 5% adjustment to the number , but to be honest , as I said the peculiarity of the CA balances do continue mostly on all year end.
Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Good morning Sir, and thanks for the detailed presentation, to which you keep on add ing relevant disclosures. I have two questions. First on recovery itself, so last year we had set out a target of INR 5,000 crore and we very well achieved that. In your assessment , how should one look at recovery quantum for FY '25?
Prashant Kumar: So, Jai, this year we have done the ecovery and upgradation to almost like 6 ,000 crores and we are quite confident that FY '25 also we will see a similar trend , but definitely more than INR 5,000 crores.
Jai Mundhra: So, sir, just to understand , so hypothetically let's say we achieve INR 6,000 crores of recovery.

If I look at our current Net NPA plus unprovided Security Receipts, that is like 1.1%, right? So, that would mean that the excess of that would flow into negative provisions. So, you may have a negative provisioning for full -year FY '25. Is that the right understanding?
Prashant Kumar: Absolutely, like if you see the current Net NPA plus net carrying v alue of SR is 1.1%, okay. And w hen we are talking of recoveries, the first thing that recoveries also include the upgradations, right. But in terms of recoveries and the right way of provision would be definitely there.
Niranjan Banodkar: The cre

dit cost will also take into account slippages that we will have for next year and the consequent provisioning of that. Like we have mentioned, we do believe that every time we get recoveries and recoveries are in excess, we keep strengthening the balance sheet.
So, in terms of prioritization, we will make sure that our SR book is completely off. So, currently, the carrying value of our SR book is about 50 basis points. The redemption that will come through in Fiscal '25 , we will make sure that , that balance becom es zero by the end of Fiscal '25, right. That is the first priority.
The second is that the NNPA that we have in our books, which is currently at 60 basis points, adjusted for the slippages that we will have next year. We will want the PCR also to actual ly go past 70%.

I think that 's the broad endeavor that we have to say how can we further take the PCR in excess of 70%. Although, to be honest, the recovery rate that we do exhibit on our existing portfolio are actually much better than , let's say , a loss rate of 70%. But I think it 's prudent to keep that , right ?
So, both of these, if we add, adjusted for the recoveries that we will get from SRs, we do believe that the non -tax provisioning that we will end up for Fiscal '25 should again be containe d below 50 basis points. Of course, the more recoveries we get, it kind of plays into the P&L, but at least there is an endeavor to keep further strengthening the quality of our balance sheet. And j ust to clarify, when I say sub -50 basis points of non -tax provisioning, it is to average assets just for abundance clarity.
Jai Mundhra: And Niranjan, how should one look at the slippages? I mean , earlier one, two quarters that we had some slight uptake in the retail slippages. Now this quarter and full -year basis , it is more or less INR 5,000 odd crores of the total slippages that we have seen. How should one think of the slippages for next year?
Niranjan Banodkar: So, Jai, if you recall , again , last year , we did indicate that we would operate the slippages between a 2 % to 2.5% range. That was the broad range, and the range was slightly wider given the fact that we were seeing some early signs on the retail portfolio. I think what we are kind of pleased to report is that while the retail slippages did go up d uring Fiscal '2 4 but we are already seeing now the signs of that settling as we exit Fiscal '24 , right?
So, on a blended basis , this year we did have a slippage ratio on the average loan book at about 2.4%. We do believe that for next year the slippage ratio should be on the lower end of the 2 % to 2.5%. I think that is really how we see it. It might not come off immediately, but I think we are seeing H1 should be closer to the higher side of the range of 2 % to 2.4%, but as we exit , we should start moving into the 2% or below slippage rate.
Jai Mundhra: And Prashant sir, in your opening remarks you mentioned something around that , something related to asset quality in mid -corporate. I actually missed that comment. If you could please repeat that ? I think you said something related to slippages or asset quality in the mid -corporate segment.
Niranjan Banodkar : So, during the quarter we had one account slip into NPA from our mid -corporate segment. So, this was actually an account on the road . It's a road project, where because there is a date of commencement of commercial operations, if you don 't meet that, then you slip into NPA. So, this is a largely completed road project. In fact, there is no delinquency on this particular account, but it's just that because it crossed the date, it had to be classified as an NPA. So, that was just one callout that we wanted to ma ke in the mid -corporate segment.
Jai Mundhra: And then last question, we have given a very good number, I mean , disclosure in terms o

f what
would be normalized P&L assuming the PSL or RIDF branch type. But in your assessment, the way PSL will work, or the PSL requirement will keep coming down on incremental basis, but

how should one look at the FY 25-26 ROA progression from current levels onwards considering the RIDF or PSL, they will not go away straigh taway, they will go away only maybe in three

years' time out. So, in the intermediate time, how should one look at blended ROA?
Niranjan Banodkar: So, Ja i, we have actually, as I said, we have not given a very specific guidance in the near term. We kind of refrain from speaking about that. But the trajectory that we maintain from an ROA perspective is an improving ROA. And I am happy to kind of take you through again on the two-to-three -year roadmap that we have, which largely includes that our NII to asset s should actually expand quite materially for the reasons that I mentioned.
There will be some room for improvement on non -interest income for us. So, we currently operate at about, let 's say, full year, it will be about 1.3%. We do believe that over the next two to three years, we will see about 8 -10 basis points of accretion, let 's say, typically every year.
On operating expenses, despite the PSLC, we have been calling out that our operating expenses to assets should be contained in the range of ab out 2.6%, 2.7%. In fact, we have said it should be below 2.6% . However , adjusted for PSLCs, we might end up at about 2.65% or something. And we do believe that we should operate at sub -2.6%.
There are certain initiatives that we are also playing out on t he operating expenses. We think there is room of about 10 to 15 basis points over the next two to three years. All of that just, I would say from an ROA perspective, over the next two to three years, it 's all flowing in materially from the NII. And as I mentioned right at the start, it 's about 8 0 to 1 00 basis points that we do see flowing in into the ROA, ultimately.
Jai Mundhra: And sorry, last clarification . The PSL, we are compliant on overall as well as sub -segment basis in all sub -segments. And the incremental RIDF or PSLC certificate purchase, that should not be there from, let 's say, this quarter onwards, right? Is that the understanding?
Niranjan Banodkar: So, I will clarify , Jai, on that. So, Fiscal '24 we are fully compliant. I mean, again, I just want to, for the sake of abundant transparency, there is a marginal shortfall in the NC F category, which is about 1.4% of the Average Net Bank Credit, which is nominal compared to some of the shortfalls we have had in the past. So, which means that for Fiscal '24 , we will not get calls to place deposits with RIDF or NABARD in subsequent years. Right?
That does not mean that for Fiscal '25 , if I have to comply with PSL, we will not purchase PSLCs. So, we will also purchase PSLCs to make sure that we are also complying with Fiscal '25 requirements, such that the non -compliance does not trigger a, rather the, you know, we do not get calls for our RIDF deposits in subsequent years after Fiscal '25 .
So, the compliance component typically is driven by three different ways. One is you purchase PSLCs, and you can buy for the entire quantum, or you can buy for a limited quantum, but it is

completely a function of what is your organic accretion of PSLCs. So, first is PSLCs, which we used with a total cost of about INR 377 crores in Fiscal '24 .
The second is, we also lend to MFIG s and Financial Institutions, who onwards , in turn, lend to, let's say, some of the SMF or NCF category borrowers , right . So, it's not a direct lending, but it is effectively a Balance Sheet that, in turn, will give you the PSL. It, of course, comes at a slightly lower yield than you would otherwi

se do organically.
The third is you do it organically on the balance sheet. Again, there are two different models to that. You can do it through a business correspondent, or you do it directly through your own branches.
Now, in the order of what I mentioned, which is PSLC, then you have lending to MFIGs and IFIs, then you have a BC mo del and then you have a direct model. In the order that I mentioned is where you have the, from a cost of, let 's say, ballpark 2.5% to an ROA accretive model of, let's say, anywhere between 3 % to 4%, is the spread that operates.
And the endeavor is, as we kind of keep building our skill set in this particular space, we want to move away from having the contribution made from PSLCs to actually having more and more organic accretion coming in from our organic businesses. So, that th e cost that we are paying today for PSL compliance, which is about, let 's say, 2.5%, that actually moves into not only recouping the cost, but into an RO A accretive model of about , let's say, 3% to 4%. So, that's the journey that will play out also over th e next few years. I hope I have answered that well.
Jai Mundhra: Yes, that is very, very clear.
Moderator: Thank you. The next question is from the line of M. B. Mahesh from Kot ak Securities. Please go ahead.
M. B. Mahesh: Niranjan , just a question on the security receipts. Can you just give us an update? What is the carrying value which got unwound in this financial year and against that , what was it in terms of ga ins that you booked?
Niranjan Banodkar : Sorry, what was the carrying value t hat we unwound during the year is what you are saying?
M. B. Mahesh: I think when you started off this journey, you had approximately about INR 5,000 crores, if I have the numbers right.
Niranjan Banodkar: So, let me, so I will just pull out the exact carrying value as of March '23. Give me a minute .

But March ‘23, if I go back, Mahesh, our NNPA + SR was cumulatively 2.4% and against that 2.4%, the SR value was about 1.4% and if I look at the, just one minute. So, just bear with me, I am just pull ing out the exact numbers . One minute .

M. B. Mahesh: And while you are answering this, if anyone else can answer, the provisions that we are carrying today, it ’s currently at about closer to 70% on the SR book today. How much more does it have to go up or do you think this is more or less done here?

Niranjan Banodkar: So, Mahesh, to be honest, just from a coverage standpoint, we don ’t need to have a coverage on the security receipt because we believe that the ultimate recovery actually is going to be more than that. The only reason we do end up carrying provisioning is because there is also a concurrent aging related provision requirement that keeps coming in and depending on how we kind of use the redemption that we get, we ultimately use it for making sure that the burden of any aging related provision actually is zero.

So, just from a P &L impact standpoint, let me just answer that. So, Fiscal ‘24 , if I look at a net level, the P&L benefit that we would have got is about INR 700 crores, okay, during the entire Fiscal ‘24 . And a bulk of that actually has come through in Q4 Fiscal ‘24 and this is on account of the write -back s that we would have had as well as the surplus that we would have recovered over the face valu e. So, about INR 740 crores of P&L write back is what we have got from , let’s say, the security receipts.

Going back to the question that you asked, we had about INR 1,700 crores of face value , sorry , not face value, carrying value in our balance sheet as of March 31st, 2023. That ’s come down to about INR 1,250 crores.

M. B. Mahesh: And given that you had classified these in category A, B and C when you had announced this transaction, how has been the performance of t

his book because the expectati on was that the recovery rate should be reasonably healthy on this particular portfolio given where it was sold at that point of sale. Those numbers still hold up?

Prashant Kumar: So, Mahesh, if we see the security receipt at the time of transaction, 45% of that security receipts have been resolved in 15 months. So , I think that way we are seeing a very good progress. And the initial expectation was that the entire security receipt resolution would happen in a period of say around 4 to 5 y ears. So, if we see the 15 months trajectory and 45% SRs have been resolved, I think the progress has been quite good.

Niranjan Banodkar: Mahesh, if I can also add, so the carrying value that we have currently on these security receipts as I mentioned as of 31st March is about INR 1,250 crores. What we have is our rating agencies that effectively give us an estimate of what the recoveries would be. I am not putting management estimates, or I am not relying on what the ARC recovery estimates would be. But rating agencies ascribe a certain value, and that value is about INR 5,000 crores.

Now , clearly the Bank will have its own estimates and as Prashant mentioned, we do see a good run rate of recoveries , not only in terms of absolute recoveries but also the percentage of recoveries that have actually been playing out. So, I just wanted to make sure that there i s a 1,250

crores of carrying value. The rating agencies have put out a recovery estimate of about INR 5,000 crores that will flow into the security receipt s holder.

M. B. Mahesh: Just one last question. Cos t of Funds seems to have stabilized this quarter Q-o-Q. I mean , from the way you are seeing these numbers , you say that they have kind of peaked out for you guys as well?

Niranjan Banodkar : So, Mahesh, I would say yes, TD rates , we have seen some uptick from TD pricing, but to be honest, it also got off set by the mix on CA and SA to some extent. So, I would say nothing material that we also expect, at least as of now, on the ground that will play out in the near term from a cost of funding perspective.

Moderator: Thank you. The next question is from the line of Srinivas , an individual investor. Please go ahead.

Srinivas: My question is about acquisition of a microfinance business, which is, I mean, there on the radar of YES Bank that has been there for quite some time. Any progress on that front? Do we see that forthcoming in this current financial year? Then the second question is, like, as Prashant sir mentioned, like three years of continuous profitability. So, what exactly are the kind of benefits which the Bank is likely to see from Government and PSU bodies? And the third question is, what is the plan regarding the branch expansion, whether the branches that we have added in the last three years or so are being contributing towards the operating leverage? Has that started kicking in operating leverage?

Prashant Kumar: So, Srinivas , I think your first question in terms of MFI, I think we continue to explore that part. But as of now, there is no progress. But let 's see if we are able to do something in the current financial year.
My comments regarding, this is the third year of profitability, we become entitled to do the Government business in terms of the tax collection and the empanelment with the Central Government and the other State Government for doing the government business. And at the same time, for almost most of the PSU s, they deal with the Bank s for their businesses, if you have the three years profitability.
So, I think this three -year profitability would make us entitled to be qualified for empanelment with the Central Government as well as the different state governments to do the tax collection, as well as the small saving scheme and their other business, whic

h would be beneficial fo r the Bank both in terms of fee as well as in terms of the low cost deposits.
Your third question was in terms of expansion . I think we are continuously expanding our branch network through branches as well as through the BCBO model, and w e are seeing like the branches and these touch points are actually adding in terms of both liabilities as well as fee income . So, I think this branch expansion would continue to be our strategy going forward also.

Srinivas: Last question, actually this 3 -year profitability has improved our credit ratings so as to enable us to acquire a refinance from lending institutions, refinance which is a cost-effective source of funds. Have we been able to do that from institutions like NABARD?
Prashant Kumar: No, so I would not be specifically commenting about NABARD, but definitely the third year of the continued profitability and I think the momentum which we are seeing in our performance, we are quite hopeful that it should result into some rating upgrade and when ever there is a rating upgrade, it also results into the lower cost of funding for the Bank .
Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI securities . Please go ahead.
Chintan Shah: Sir, I just had a question on LDR . So, our LDR is around 85% now, which is almost at 5 -6 year low. Even prior to the reconstruction, we had an LDR which was higher than the current one.
So, any qualitative comments on how could the LDR move from the current level? Even in the last quarter, I think we mentioned that we are comfortable with LDR around 90%. So, first question is on that.
Prashant Kumar: So, Chintan, like last time also what we were saying, that we are comfortable with the LDR of less than 90%, okay. So, I think this trajectory or range between 85 % to 90 %, depending on like what happens on some of the loan growths and the deposit (growth) , I think we are quite comfortable. But as a strategy, we would always like to have our deposit growth higher than the loan gro wth, okay. So, I think this range of 85 % to 90 % is quite comfortable for us.
Chintan Shah: So, in that case, if we are seeing surplus deposit inflow, then would we like to cut any of our deposit rates on the SA side or on the TD side? Would that be a case ?
Prashant Kumar: No, I think naturally it would also be a function of what happens in the market and how our deposits are coming . But definitely endeavor of the Bank is to continuously reduce our cost of deposit and cost of funding.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Prashant Kumar for clos ing comments. Over to you, sir.
Prashant Kumar: Again, thank you all of you to join us for this call so early in the day and for your support. Thank you so much.
Moderator: Thank you, members of the Management . Ladies and gentlemen, on behalf of YES Bank , that concludes this conference. We thank you for joining us and you may now disconnect your lines.
Thank you.

Call: Jul 2024

YBL/CS/202 4-25/73

July 26 , 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Tel.: 2659 8235/36 8458 Tel.: 2272 8013/15/58/8307
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results of the Quarter (Q 1) ended June 30 , 202 4
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on July 22 , 2024 for the un -audited Financial Results of the Quart er (Q1) ended June 30, 202 4. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/pdf?name=ybl_q1_fy25_analyst_call_transcript.pdf
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

For Shivanand R. Shettigar
Company Secretary

Encl.: As above

"Yes Bank Limited
Q1 FY'2 5 Earnings Conference Call"
July 22, 202 4

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER – YES BANK LIMITED
MR. RAJAN PENTAL – EXECUTIVE DIRECTOR – YES BANK LIMITED
MR. MANISH JAIN – COUNTRY HEAD, WHOLESALE BANKING – YES BANK LIMITED
MR. PANKAJ SHARMA – CHIEF STRATEGY AND TRANSFORMATION OFFICER – YES BANK LIMITED
MR. SUNIL PARNAMI – HEAD-INVESTOR RELATIONS AND SUSTAINABILITY – YES BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank's Q1 FY '25 Earnings Conference Call.
On the management panel, we have with us today Mr. Prashant Kumar, MD and CEO; Mr. Rajan Pental, Executive Director; Mr. Niranjan Banodkar , Chief Financial Officer; Mr. Manish Jain, Country Head, Wholesale Banking; Mr. Pankaj Sharma, Chief Strategy and Transformation Officer; and Mr. Sunil Parnami, Head -Investor Relations and Sustainability. Mr. Prashant Kumar will now give you an overview of the results, which will be followed by a Q&A session.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Kumar. Thank you, and over to you, sir.
Prashant Kumar: A very good morning and thank you for joining us so early in the day for our Quarter 1 FY '25 earnings call. On this call, I am accompanied by the senior team members of the Bank.
Now moving straight on to the results - continuing from the last quarter, the Bank started the current financial year with an all -around strong performance.
• We delivered highest quarterly profits since the reconstruction of INR 502 crores, which is 46.7%, up Y -o-Y and 11.2% sequentially.
• The Bank maintained its ROA at 0.5% for second consecutive quarter. Quarter 1 FY '25 ROA at 0.5% came in higher by 10 basis points compared to ROA of 0.4% corresponding quarter last year.
• In line with our guidance given last quarter , the Bank reported Nil shortfall for overall , as well as all subcategories of PSL.
• The Bank sequentially further improved the net NPA ratio to 0.5% and the stock of Net NPA and net carrying value of Security Receipts to 0.9% of Advances, which was at 2.4% in Quarter 1 FY '24, meaning a substantial improvement of 1.5% in last four quarters. Since the ARC sale done in

Quarter 3 of FY '23, the Security Receipts have seen a redemption of over 50.0%.
• Even with the seasonality generally seen in Quarter 1, the Bank maintained its Net Interest Margin at 2.4% and CASA ratio at levels broadly similar to last quarter at 30.8%.
As the Bank is continuing to make consistent improvement across all core operating metrics and progress on the key s trategic objectives of , 'Improving the profitability ', we also received a rating outlook upgrade from Moody's on its long -term issuer rating Ba3 to "positive " from "stable ". In addition, ICRA also upgraded its credit rating on the Bank to A from A -.
I am pleased to also report the exercise of outstanding warrants by CA Basque and Verventa Holdings, which are the funds affiliated and managed by Carlyle and Advent International, which boosted the Bank's CET1 by ~100 basis points. These developments reflect positive view of the external stakeholders of the Bank and the reinforcement of their belief in the growth and ROA improvement roadmap of the Bank.
Now I will only briefly cove r the Key Performance Highlights of our Quarter 1 performance, presuming that many of you might have already gone through our detailed results presentation, which was uploaded on Saturday afternoon.
1. For Quarter 1 FY '25, Net Interest Income at INR 2,244 crores registered a growth of 12.2% Y -o-Y and 4.2% sequentially. The Bank's Net Interest Margin, as I stated earlier, at 2.4% remained steady compared to last quarter.
2. The Core Fee Income of the Bank normalizing for realized and unrealized gains on investment and treasury income has grown by 20.5% on a Y -o-Y basis . Core Fee to Average Assets further improved to ~1.21% for Quarter 1 as

compared to 1.15% for the corresponding quarter last year. Bank saw a strong traction in granular and transaction fee income stream s, with

Retail Banking fees saw a growth of 26% Y -o-Y.
We expect this overall momentum in Fee Income to continue, driven by , a) our strong customer acquisition engine, which is well integrated with our Spectrum Banking and Relationship Banking channels , b) our distinctive m oats in our payments, API and digital and transaction banking

leadership ; and finally, c) our refreshed YES Bank brand and lastly ; d) our Service Orientation and Disciplined Execution.

3. For Quarter 1 FY '25, Cost-to-Income Ratio (normalized for PSLC cost; realized, unrealized gain on investment and treasury income) was 71.8% against 76.4% in Quarter 1 FY '24 and largely flattish as compared to last quarter owing to efficiency gains and operating leverage withi n the respective business segments.

Normalizing for PSLC cost of INR 63 crores incurred during Quarter 1, the Y -o-Y growth in operating expenses have been contained at 8.0% in comparison to 15 .0% Y-o-Y growth in our Core Income.

As Bank have achieved NIL PSL shortfalls, it is o n track to start seeing a reduction in the stock of aggregate deposit made in lieu of PSL shortfall starting in the current financial year itself. And it expects that by FY '27, the same would meaningfully reduc e and come down to below 5 .0% of our Total Assets. Bulk of the compliance is targeted to be achieved through focused organic acquisitions besides balance being funded through inorganic means, including purchase of PSL Certificates.

4. Bank reported its Pre-Provision Operating Profit of INR 885 crores, which is up by 8.2% Y -o-Y. Normalized for realized / unrealized gains on investment and treasury income as well as PSLC cost, Operating Profit growth has been higher at 37.6% Y -o-Y.

5. The salient highlights pertaining to asset quality, slippage s, recover ies and provisioning are as under :

a. Gross NPAs were at 1.7% in Quarter 1, improving from 2 .0% in the corresponding quarter last year while remaining steady compared to 1.7% in Quarter 4 of last finan cial year.

b. Net NPA ratio, as I mentioned earlier, has improved to 0.5% against 1 .0% in Quarter 1 FY '24 and 0.6% in Quarter 4 of last financial year.

c. The strong re solution momentum continued during the last quarter with Recoveries and Upgrades of INR 1,581 crores during the quarter.

d. NPA Provision Coverage Ratio (PCR) has been stepped up to 67.6%, against 66.6% last quarter and 48.4% in Quarter 1 FY '24. Including technical write -off, PCR now stands at 80.1% against 79.3% in last quarter, and 67.8% in Quarter 1 of FY '24.

e. Non-tax provision cost s at INR 212 crores and a s a percentage to Total Assets was 0.21% on annualized basis. This was lower by 41.2% Y -o-Y and 55 .0% on sequential basis. Gross Provision write -back s of INR 654 crores from SR redemption during the quarter helped us in containing the credit cost s.

f. The Gross Slippage for Quarter 1 were at INR 1,205 crores against INR 1,482 crores in Quarter 1 of last financial year and INR 1,356 crores in the last quarter. Slippage Ratio as percentage of Advances for Quarter 1 was at 2.1% against 3 .0% in Quarter 1 of FY ‘24 and 2.4% in the last quarter.

Now moving over to Business , Balance Sheet and other highlights .

6. Bank ’s Balance Sheet registered a Y -o-Y growth of 14.6% and CD Ratio stood at 86.6% against 85.5% in the previous quarter.

7. Robust accretion continued in Deposits, growing at 20.8% Y -o-Y and marginally down 0.5% quarter -on-quarter , in line with the seasonality of

first quarter.
CASA ratio , as covered earlier, came in at 30.8% as compared to 30.9% in Quarter 4 and 29.4% in Quarter 1 of the previous financial year. During the quarter, Bank a

dded 3.78 lakh new Retail CASA accounts.
CASA balances at the end of Quarter 1 were up 26.3% over Quar ter 1 of FY '24 and flattish compared to last quarter. The average daily balances however, sustained robust momentum with average daily Current Accounts growing 21.7% Y -o-Y, and average daily Savings Accounts growing 28.5% Y -o-Y. Retail and Small Business Deposits as per LCR definition grew by 13 .0% Y-o-Y.
As we continue to leverage Branches as the fulcrum of our business, the contribution of Retail and Branch Banking Deposits increased to ~54% of Total Deposits compared to 52% in FY '23. We remain committed to

judiciously expand our distribution and added nearly 140 new branches since January '23 in CASA rich clusters including 9 in Quarter 1 of FY '25.
During Quarter 1, we introduced YES Grandeur, a Premier Banking experience for the Elite and Emer ging Affluent segments, and also launched Yes Private for Business, an enterprise banking program that seamlessly blends a full array of business banking solutions along with best-in-class service delivery.
An update on ‘iris by YES Bank ’. This is a new - this is the next -generation super-app for retail. This has been gaining strong traction and adoption since its launch in August '23, with over 27 lakhs registered users, ~67% monthly active users and cumulatively having handled 175 lakh transactions and 87 lakh service requests at the end of Quarter 1 '25.
8. Moving on to Advances . The advances growth was at 14.7% Y -o-Y.

9. In line with our strategic objective, SME and Mid-Corporate Advances continue to grow at a faster pace of 23.8% and 25 .0% Y-o-Y, respectively. Further, there was a pickup in Corporate Advances in line with our recent guidance and which was up by 13.8% Y -o-Y and 6.3% quarter -on-quarter decline seen over the last few years. Retail advances were up 9.4% Y -o-Y while declining s equentially by 3.1% , as our focus continues towards product and sourcing mix calibration - both of which continued to show positive traction during the quarter.
It should be noted that growth rate for Retail, SME and Mid-Corporate are normalized for inter -segment movement of products and customers during the quarter.
Within Advances, the ratio of Retail plus SME segment Advances against Wholesale segment Advances, (Mid and Large corporates) remained at level of 60 :40, in line with our guidance.
Bank announced a strategic partnership with EBANX - a Brazil based global fintech company to empower Cross-Border Commerce and Bank's presence in cross -border payment processing offering for merchants and customers in India.

As regards our market share in UPI transactions, while you may notice that the Bank gained incremental market share in this quarter. However, it expects some moderation going ahead.
10. In Quarter 1, Bank's average quarterly LCR remained healthy at 137.8%.

11. Our Bank's CET1 Ratio stood at 13.3%, with Total Capital Adequacy at 16.5%.
As I conclude, let me reiterate that YES Bank's core franchise is gaining momentum due to past interventions. This momentu m is expected to be further fuelled by our on -going structural initiatives around PSL and Business Transformation , our distinctive retail capabilities and market leadership across digital payments ecosystem with #1 position in UPI and

Aadhaar enabled Payme nt Solution (AePS) transactions , #2 position in NEFT and NACH , and Top 3 position in IMPS.

Having said this, fundamentally the key for us has been and would continue to be Disciplined Execution. And in that, we would like to thank you for your continued support.

And lastly, before we take your questions, as India gears up for Paris Olympic s 2024, we urge you to join us in cheering for Team India at www.yesteamindia.com as we celebrate the collective e fforts b

ehind our athletes' journey to glory on the global stage.

Thank you, and we now take your questions.

Moderator: The first question is from the line of Shreenivas , an individual investor.

Shreenivas: I have seen in the presentation that the gross ga in to P&L is around INR 600-odd crores, whereas the recovery is in excess of INR 700 crores from SRs. Can you explain the difference in the numbers there?

Niranjan Banodkar : Can you just repeat the question, please?

Shreenivas: Yes, what I was saying is like -- in the presentation I have seen that the gross gain to the P&L on account of recovery from SR -- the reduction from SR is around INR 600-plus crores, but actual recovery is in excess of INR 700 crores. I think it's INR 732 crores or something .

Niranjan Banodkar : Yes. So , two parts. Whenever we have cash flow coming in from security receipts, some of it goes for redemption of the face value of the security receipts. And if there is a carrying value, which is sitting on the b alance sheet, there is an appropriation that also goes for reducing the carrying value of such security receipts. Whatever is in excess of the carrying value become the write - back to the P&L.

Shreenivas: Okay. Does that mean the carrying value is on accoun t of additional provisioning requirement?

Niranjan Banodkar: It is -- so sir, you can think of this like any NPA. There is a Gross NPA and there is a net NPA. The Net NPA is effectively the carrying value of those non - performing assets in your balance shee t. Similarly, for security receipts, there is a face value of security receipt and there is a carrying value. The difference is the provisioning that the bank is already carrying in its books. Whenever we receive cash towards redemption of the security receipt, we first use and it depends on which trust we are receiving the money into. For that trust, we will first reduce the carrying value of that security receipt.

Only once it becomes zero for their respective trust, it becomes then a write - back into the P&L. For those trust where the carrying value still not zero, it will go down to reduce the carrying value. For those trust where the carrying value is already zero , if we receive cash, we have taken that into the P&L. So that explains the difference between the cash flow versus -- total cash flow versus the total P&L write -back.

Shreenivas: Okay. Got it. What this means is like the balance provisioning requirement, which is still there to make t he carrying value zero, that would be deduction from the gross recovery. And what remains will be the gains for the P&L.

Niranjan Banodkar: Yes. I mean -- as on 30th June, sir, this -- the number that we have at carrying value of security receipts is about INR 850 crores. Now whenever we receive cash towards the security receipts, it could be in 2 parts. One, either it will reduce the carrying value - from INR 850 crores, it could come down to maybe a INR 650 crores , or it could be a P&L write -back. It depe nds on which trust is the cash coming from.

But just to also give a simple answer to you. So the carrying value is of INR 850 crores that we have in the balance sheet today, the face value of these

security receipts is about INR 3,500 crores and the NAV is actually higher than that. And so what we are expecting over the course of fiscal '25 is clearly for the book value to become zero , rather - the carrying value to become zero and without any hit to the P&L. We don't expect that this should be a hit to the P&L. On the contrary, we will recover more cash than the carrying value we

will have in our security receipts.
Moderator: Next question is from the line of M.B. Mahesh from Kotak Securities.
M.B. Mahesh: Just want an update on the unsecured loan book. We' ve had so

me issues in the
last couple of quarters, is there any kind of an update of what you are seeing in
your portfolio?
Rajan Pental: So yes, unsecured book in line with the market has some issue in particular in
some segments. So accordingly, both for cards and unsecured, we have
undergone the policy change. There are new scorecards in play. We have cut
down on certain markets and certain profiles. And also just to keep you
updated, we have also beefed up our collection machinery. And till the time
we are fully comfortable with all the segments we don't intend to open up. So
as a result, you will also see a muted growth around unsecured.
So I think it's a time to be a little extra careful around the segment, and it could
be a result of the customers ove r-leveraging themselves and stuff like that.
M.B. Mahesh: Well, just to clarify these 2 parts. One, we understand that the forward
originations, at least the fresh origination of the book is likely to be tighter.
About the existing book that you're carryin g today - Any sense of how long the
pain will persist based on what you're seeing in the data?
Rajan Pental: First of all , the new book, which we are creating, obviously, is a much better
quality because of the measures, what I spoke about. The old book, I think,
should reflect in 1 or 2 quarters from here before it stabilizes and start
subsequently coming down.
M.B. Mahesh: Just to clarify. See today, we are looking at these retail slippages. You are
saying that this at a bank level is more or less likely to remain at these levels is
the assumption that you are building, is it?
Rajan Pental: So unsecured will remain a t that level for the next 1 or 2 quarters.

Niranjan Banodkar: Also, just to call out on that. And you would recall that just on unsecured, some
of the interventions that at least from our side, we have been making those
almost 2 quarters prior to this. So sometime September quarter, December
quarter, we had already taken note of some of the early signs of some risk kind
of building on to the portfolio. And those interventions were made. So we are
hoping, like Rajan mentioned, over the next couple of quarter s, this should
stabilize. And in any case, we are lot tighter on the new sourcing.
Moderator: Next question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Firstly, it looks like that -- in the fee income, there is -- of course, there i s a
negative fee on the trading side. But apart from that, is there anything else
which is changing, I think. And is this the negative treasury income is it
because of the -- I mean, what explains this negative treasury gains?
Niranjan Banodkar: Jai, just on the core fees, so the core fees actually have done very well. And if
you look at excluding the treasury on a Y -o-Y basis, we would have grown
20% plus - on the core fees, and this is across all lines. Of course, there have
been some sluggish that we saw in our FX income. We've seen some
acceleration that we've seen in our digital income. So there are pulls and
pushes. But I think on the whole, we've seen actually core fees continue to do
well, growing more than 20% plus.
If you compare the fees sequenti ally, you would appreciate that typically, there
are some -- there are seasonality performances that kind of play out in March,
for example, you see third -party distribution do very well in March quarter as
compared to a June quarter.
Also, between March a nd June, the 2 big callouts were we had received MeitY
incentive , which was also part of the P&L in Q4. So that also meant that June
was subdued as compared to March quarter just from a Digital Banking income
line. And there, of course, if you look at also the overall Non-Interest Income,
there was the income tax refund, which was in excess of about INR 100 crores
that we had in Q4 as compared to Q1.
At least the u

nderlying trends on core fees con tinue to hold good. Yes, of
course, there were some pulls and pushes that played out during the quarter,
but we are confident that the fee trend should hold up about 20% plus.

Jai Mundhra: Right, that is helpful. But anyways the negative income on investme nt gain and treasury income? Is it like some MTM or I mean...
Niranjan Banodkar: That's right. So what happens is in the balance sheet, we run, of course, there's large -- there are large cash flows on foreign currency that also goes through.
There are rev aluation effects that we do have to sometimes take into the P&L.
But the explanation actually is not whether it is negative or not, explanation is that last quarter as well as the prior -- let's say, the prior year we had a large gain on sale of investment s. This quarter, that number was quite muted, and that explains the difference between Q1 of last year and Q1 of this year.
Jai Mundhra: Right. And secondly, on the loan growth side, even in this quarter, it looks like even retail, we have taken a bit a ca librated stance, I would have thought that Retail SME were your growth driver. And you have mentioned that corporate has now resumed the growth trajectory. So , if you can comment on this individual retail, how do you look at Retail growth and maybe the Corporate growth?
Niranjan Banodkar: Sure, Jai. So I will take SME and the Mid-Corporate first. And you would recall that we have very consistently been saying that these are 2 sectors that we will continue to drive about a 25% / mid-20s growth. And we continued to see that over the last 3 or 4 quarters as well as how we see going for ward. We do believe that Mid-Corporate and SME will grow at mid -20s percentage.
On Retail, and we just had a question also prior to yours , there are 2 focus areas on the Retail. But it's, of course, in some segments, there is -- especially on the unsecured side, we have seen that we need to be more cautious and some of the interventions have played out over the last 6 to 9 months to have identified some pockets of stress that has gone up. And we have also, course corrected to make sure that the new sourcing , therefore, is in the right risk framework. As a consequence, what we end up seeing is subdued disbursement there. That's number one.
Number two, and again, we've said this for some time now, that on the overall Retail as well, we are wanting to recalibra te the mix to make sure it is a profitable growth. And as a consequence, FY '25, we do believe , we will see a subdued growth on the book. Once we kind of put through the -- into the right processes, there are some interventions we need to undertake in FY ' 25 as well.

Once all of those are recalibrated, the new disbursement on profitable product will start reflecting on the book in FY '26 and '27. But you will see slightly, I would say, subdued, not the 25% and the 30% growth rates that we would have seen in the past. I think we get calibrated to more like low -- very low double - digit-to-teens kind of a growth.
The third, which is Large Corporate business. Again, you will recall that we have always been saying that the new business generation in large corpora te, momentum has always been there, and it's been there for the last 12 to 18 months. It has now picked up, in fact, even more. There has also been businesses in good client outreach that has resulted into growth coming from some of the large corporate nam es as well.
But I think importantly, what's also playing out is that the rundown of the -- some of the old book or the legacy book, that -- the run rate, which used to be quite fast or high, that has also slowed down. Again, what you're now seeing on the b ook is that the new growth that's coming through is reflecting on the book more emphatically than it has

in the past. But that doesn't mean that we are not sourcing more. I think that run rate is also picking up.
I think that's broadly the landscape of how the growth is. SME and Mid-Corporate will be a mid -20s growth for us. Again, L arge Corporate is now beginning to pick up as the re payment of the past accounts has slowed down.
And Retail, at least for FY '25 will be in a slight product recalibration, but we are confident about the risk that we are sourcing, we will be able to also scale up the growth there.
Jai Mundhra: And in the opening remarks, Mr. Prashant mentioned that you may see a decline in the UPI sh are as per your presentation, it is past 50% or more than

50%. But anything to suggest that why would it come down? Or is this the normal because you have more than 1/3 share?
Prashant Kumar: So Jai, if you recall, in case of 1 company where there was an i ssue, and the whole thing has been migrated to 4 banks, right? But in the first quarter, almost everything is coming to us. And I think going forward, we are going to see equal distribution of that business within the 4 banks.
Jai Mundhra: Sir, does this c hange any of the fee line item also?

Prashant Kumar: So definitely, it helps us in both fee income as well as on the float, which comes through the current account with others.
Niranjan Banodkar: Jai, also just to add to -- see I think the question that we have to ask is how fast is the market also growing, right? If the underlying market is actually growing very fast. And even if, let's say, our volumes grow at a reasonable pace, it helps us deliver the growth rate on fee. So we don't believe that there wi ll be an impact of any materiality on our fees just because of the diversification , because diversification would mean that on the incremental business, maybe there will be a higher share that might go to other banks. But I think the market itself is quite big for us to keep growing. That's one.
Just complete one point on the retail asset calibration. What I also wanted to drive, Jai, there is if you look at the new yields that we have been doing on retail businesses as compared to the portfolio over the la st 3 to 4 quarters, you would see that the spread is already close to 80 to 100 basis points. So the new disbursements are already accreting almost 80 to 100 basis points more than what the portfolio is at, right? That's the calibration journey we are goin g through. And hopefully, over the next year or so, it will start reflecting on the book more emphatically.
Jai Mundhra: Sure. And lastly, I don't know if you can clarify there were some news articles suggesting the largest Bank shareholder may be replaced by another bank, etc. So to the extent possible if you can comment on that.
Prashant Kumar: No, I think on these news items, we have already given the clarification to the stock exchanges, okay. These news items as of now, they are not correct.
Moderator: Next question is from line of Kunal Shah from Citi.
Kunal Shah : Yes. So firstly, on PSL. So given that in Q1 the overall what we have got still like maybe the expenses which have been incurred to and there is INR 63-odd crores. And broadly, we h ave been able to pick up maybe after the buying of the certificates, we have been broadly able to comply with the PSL.
And you had given maybe what is the difference of how much is the drag on margins and the other aspects? What – when should we ideally ex pected to neutralize maybe how long is it going to take before we see that the gap narrowing down between PSL and ex of PSL?

Niranjan Banodkar: So Kunal , on the PSL impact, there are two parts. One is the flow. And when I say the flow, it is what we are do ing to comply with PSL from here on, right? So last year, let ’s say, we had INR 300 crores plus of -- I mean cu

mulative
ballpark INR 300 crores of PSLC expenses that was to comply for FY '24. In addition to that, we had some other loans that we had on our balance sheet, which although were not -- I mean they were not a drag from an earnings standpoint.
But and the question that we have to answer is, from here on, what would be the share of inorganic and organic compliance to PSL? And the good part Kunal is that FY '24, almost 2/3 of the compliance came in from -- more than 2/3 rather came in from some inorganic process, and just 1/3 was from organic.
As we look at -- as we look at June quarter, of course, it's just early indication, but we'll have to see during the course of the year. But the June quarter itself, when we look at the mix of compliance, we are already at a 50 -50 mix, right? Now clearly, from a -- ability to improve our earnings, we will want more and more share coming in from organic and le ss from inorganic. And I mean , including PSLCs also as part of inorganic, right? So that's point number one. And that is a function of be scaling up the MFI book. But of course, we have

to be mindful about the industry headwinds as well. Of course, we will have to put our own investments into that segment there is -- we have been discussing this in the past as well. There is a thought to see if we can look at an inorganic to scale up. But clearly, our focus would be that -- and we are tracking this almost e very day to say, how can the organic share be more than the inorganic and therefore lesser PSLC. That's number one.

Number 2 is that even within the inorganic, how can we make sure that we are more rate effective? The good part is when we look at, let's sa y, PSLC compliance cost last year versus PSLC compliance cost this year, we do believe that we are more effective and optimal this year than we were last year, right? Because the bulk of our compliance also came in at the lag in Q4 as compared to Q1.

So ju st to drive that point. So we are very consciously making sure that the mix of compliance is moving from cost, high -cost contributors like a PSLC to inherently ROA accretive businesses let's say, which is Inclusive & Social Banking (ISB). And I think that journey will -- is not going to be immediate.

It will take about 2 -3 years, but we will keep working hard on that. That's number one.

I think the second part of your question was, which is already a big drag is on the RIDF, right, which are the deposits, w hich are sitting on our balance sheet. That book is about INR 44,000 crores. It was about 11% to our Total Assets. Because we have now been compliant in FY '24 or like we mentioned, we don't believe on incremental basis, we should start seeing the new dema nd come through. And therefore, the rate at which the RIDF book will start falling off, we'll start improving.

So this year itself. When we look at FY '25, the RIDF book, which is about INR 44,000 crores on a net basis should already come below INR 40,000 crores. But I think the key is that FY '26 and '27, this book should come below -- well below 5% by the end of fiscal '27, right? So that's how the book will start falling. And the moment the book start falling, clearly, it's going to aid and add to our margins , right?

So just to summarize, the new business formation, we are making sure that we do more organically. In fact, we've also been -- we have also done our own direct lending to the MFI sector. We've also started that, reduce the PSLC cost. But impor tantly on RIDF, latter half of fiscal '25 is when you'll start seeing the redemptions or the reductions in the RIDF book, but the P&L impact will start materially playing out in FY '26 and '27.

Kunal Shah : Okay. So maybe '26 and '27 is where to look . Okay. And maybe looking at, as you mentioned, will it be well spread through the fiscal better than being or either be upfronted or ma

ybe having. So last year, we had it move towards 4Q, but fair to assume that this will be well spr ead n ow across all the quarters?

Niranjan Banodkar: Absolutely, Kunal. This year, in fact, when we look at the PSLC expense line, which is, I think ballpark about a INR 60-odd crores in Q1, that will be very largely evenly spread out through the remainder of th e year because we have taken bulk of the PSLC expense in Q1 itself as compared to Q4 of last year.

Kunal Shah : Sure. And second is on retail slippages maybe at almost 4 -odd percent. But if you can just give some color in terms of if we just have to look at it in terms of the breakup between secured and the unsecured given that the unsecured, we

have now built it up, say, a proportion of all retail assets . Would this skew be more towards t he unsecured in the entire set of slippages ?

Rajan Pental: Yes. So ou t of the total around INR 800 crores Gross slippage we had in this quarter, around 40% -45% is actually coming from the unsecured, which is where the larger issue lies. And keeping in line, as I said earlier, we have beefed our collection machinery. And als o we have been going one is slow and also we have cut the segments, which were contributing to the default. And we were able to read these signs around 6 -7 months back. And hence, the adequate measures have been taken. But for the slippage already there in place, there is

a complete beefing up of the collection machinery, both on that bucket as well
as on the recovery path.
Kunal Shah : Okay. So INR 1,000 crores of slippage in retail?
Rajan Pental: So, I was -- that is the total of retail, adding up everything, but only if we have
to look at the retail assets slippage. That is what I was talking about.
Moderator: As there are no further questions, I will now hand the conference over to Mr.
Prashant Kumar for closing comments.
Prashant Kumar: Again, th ank you so much for joining us so early in the day. And again, since
26th onwards, the Paris Olympics is starting. I think we again request all of you
to send your wishes for the Indian Olympic team.
Moderator: Thank you very much. On behalf of YES Bank, t hat concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

YBL/CS/2024-25/129

November 04, 2024

National Stock Exchange of India Limited
Exchange Plaza,
Plot no. C/1, G Block,
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: YESBANK BSE Limited
Corporate Relations Department
P.J. Towers, Dalal Street
Mumbai – 400 001
BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results of the Quarter (Q2) and half-year ended on September 30, 2024
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call (Group meeting) hosted by YES Bank Limited ("the Bank") on October 26, 2024 for the un-audited Financial Results of the Quarter (Q2) and half-year ended on September 30, 2024. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/pdf?name=yesbank_analyst_call_transcript_q2_fy25.pdf
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary

Encl.: As above

"YES Bank Limited
Q2 FY 25 Earnings Conference Call"
October 26, 202 4

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL
OFFICER – YES BANK LIMITED
MR. RAJAN PENTAL – EXECUTIVE DIRECTOR – YES
BANK LIMITED
MR. MANISH JAIN – COUNTRY HEAD – WHOLESALE
BANKING – YES BANK LIMITED
MR. PANKAJ SHARMA – CHIEF STRATEGY AND
TRANSFORMATION OFFICER – YES BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank's Q2 FY '25 Earnings Conference Call. On the management panel, we have with us today, Mr. Prashant Kumar, Managing Director, and Chief Executive Officer; Mr. Rajan Pental, Executive Director; Mr. Niranjan Banodkar , Chief Financial Officer; Mr. Manish Jain, Country Head, Wholesale Banking; Mr. Pankaj Sharma, Chief Strategy and Transformation Officer; and Mr. Sunil Parnami, Head of Investor Relations and Sustainability.

Mr. Prashant Kumar will now give you an overview of the results, which will be followed by a Q&A session. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. Participants are requested to ask questions pertaining to the Bank's Q2 results only. For any other information, you may reach out to the corporate communications team separately.

I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you, sir.

Prashant Kumar: A very Good Afternoon and thank you for joining us for YES Bank Q uarter 2 Earnings call. On this call, I am accompanied by the senior team members of the Bank.

The quarter 2 performance of the Bank has been extremely encouraging, especially when seen in the backdrop of industry -wide challenges, particularly in the form of persistent headwinds to deposit acquisition as well as heightened stress in the unsecured segment. I would like to draw your addition to Page 4 and 5 of our Investor Presentation , where we have highlighted our consistent outperformance to the Industry in deposit s - growth which is even more stark in the case of Current Account and Savings Account Deposits . Similarly, despite the heightened stress levels in the unsecured segment, there has been a sustained improvement in our Asset Quality parameters. Moreover, it is important to highlight that this outperformance is not just recent but has been persistent over the last four to six quarters.

Before diving into the details of our quarter 2 results, I would summarize our performance through following few data points :

A. The Bank yet again delivered highest quarterly profit since reconstruction of INR 553 crore s which is up 146% Y -o-Y and 10% sequentially. The Bank maintained its R OA at 0.5% for the third consecutive quarter which compares to 0.2% reported in quarter 2 of FY '24.

B. It is extremely encouraging that this net profit growth has been driven by healthy operating profit growth of 22% Y -o-Y and 10% on a sequential basis.

C. The Bank's Deposit growth momentum continued with 18% Y -o-Y and 5% quarter -on-quarter growth. CASA ratio improved 260 basis points Y -o-Y and 120 basis points quarter -on-quarter to 32%. While the Current Account Deposits have grown 26% Y -o-Y and 11%

quarter -on-quarter, the Savings Bank Deposits have grown 30% Y -o-Y and 7% on a quarter -on-quarter basis. This had aided the Bank in maintaining the Cost of Deposit , Cost of Funds as well as net interest margin s stable on a sequential basis.

D. In line with our strategic objectives, both SME and Mid-Corporate Advances grew at a superior rate of 26% each, while Corporate Advances continued the momentum from last quarter. The Retail segment growth has been calibrated, both on account of mix optimization aimed at profitability improvement as well as risk -based interventions across products. I would provide further insight into this a bit later. However, we are still maintaining NIL PSL shortfall across overall requirements as well as subcategories during this quarter also.

E. T

he Bank sequentially improved the Gross NPA ratio to 1.6% from 1.7% last quarter. The Provision Coverage Ratio continuing to improve and now stands at a healthy 70%. There has been also significant decline in the outstanding amount of restructured accounts at ~INR 2,100 Crores , which is now only 0.9% of advances and down from 2.2% in quarter 2 last year and 1.6% in quarter 1 of this fiscal. The quarter -on-quarter reductions have been primarily on account of resol utions and upgrades. The Fresh Slippage at 2.2% of Advances , remained well within our guidance range.

I would also like to highlight that , the growing strength in our franchise is receiving external validation through Credit Rating upgrades over the last two quarters. During quarter 2, CRISIL and C are have upgraded the ratings on our Basel III Tier II Bonds and the Infrastructure Bonds to A+ from A earlier.

We have also made few key senior appointments in our Management Team during the quarter. In line with our strategy to improve profitability in the Retail Asset segment, we have appointed Mr. Sumit Bali as the Head of the Retail Asset and Debt Management. We have also hired Mr. Mohit Mehta as the Retail Collection Head and Mr. Nirav Dalal has been appointed as Head of Financial Markets.

Now I would like to cover the Key Performance Highlights of our quarter 2 performance, presuming that many of you might have already gone through our detailed results presentation , which was uploaded sometime back.

1. For quarter 2, Net Interest Income at INR 2,200 crores registered a growth of 14% Y-o-Y. The Bank's Net Interest Margin at 2.4% remain ed steady compared to last quarter.
2. The Non-Interest Income at INR1,407 crores has grown 16% Y -o-Y and 17% quarter -on-quarter. Core fee income of the Bank - after normalizing for realized and unrealized gains on Investment and treasury income has grown 13% Y -o-Y basis and 9% on quarter -on-quarter. Core Fee as a % of Average Assets further improved to 1.3% for quarter as compared to 1.2% last quarter.
3. The Cost-to-Income ratio improved to 73% in comparison to 74.4% in quarter 2 and 74.3% in quarter 1 of the current financial year. Normalizing for PSLC cost, Operating Expenses growth was contained at 11% on a Y -o-Y basis and only 2% on sequential basis.
4. In quarter 2, the Bank has once again achieved NIL PSL shortfall in the overall requirement as well as various sub -categories. We remain on track to start seeing a reduction in the stock

of aggregate deposits made in view of PSL shortfall starting second half of the FY '25 itself. This balance is targeted to reduce below 5% of our Total Assets over the next 3 years.
5. The Bank reported its Pre-Provision Operating Profit of INR 975 crores for quarter 2, which is up 22% Y -o-Y and 10% quarter -on-quarter.
6. The salient highlights pertaining to Asset Quality, Slippages, Recoveries, and the Provisioning are as follows:

a. Gross NPAs ratio at 1.6%, improved from 2% in quarter 2 last year and 1.7% in the quarter 1.

b. Net NPA ratio at 0.5% in comparison to 0.9% in the quarter 2 last year and at the similar levels compared to quarter 1.

c. Resolution momentum continued during the last quarter with recoveries and upgrades of INR 1,021 crores during the quarter including INR 258 crores of gross recoveries from Security Receipts . Cumulative recoveries and resolution in the first half of FY '25 have aggregated to INR 2,600 crores.

d. NPA Provision Coverage Ratio was stepped up to 70% against 67.6% last quarter and 56.4% in quarter 2 of last year. Including technical write -off, PCR now stands at 81.5% against 80.1% in quarter 1 and 72.1% in quarter 2 of last financial year.

e. Non-Tax Provision Cost for quarter 2 at INR 297 crores and as a percentage to Average Assets stood at 0.3% on annualized basis. This was lower by 41% on Y -o-Y basis.

f.

Gross Slippage at INR1,314 crores against INR1,263 crores in quarter 2 last year and INR1,204 crores in quarter 1 of this year. Slippage Ratio as a percentage of advances is at 2.2% against 2.4% in quarter 2 last year and 2.1% in the previous quarter.

Moving over to Business, Balance Sheet and Other Highlights

7. Our balance sheet has registered a Y -o-Y growth of 14% and CD ratio improved to 84.8% from 89.2% in quarter 2 last year and 86.6% in quarter 1 of this year.
8. Robust accretion continued in deposits, growing at 18% Y -o-Y and 5% quarter -on-quarter. CASA ratio as covered earlier, came in at 32% as compared to 30.8% in quarter 1 and 29.4% in quarter 2 last year. CASA balances at the end of quarter 2 has grown by 29% Y -o-Y and 9% quarter -on-quarter. While the Current Account Deposits have grown 26.2% Y -o-Y and 11.1% quarter -on-quarter, the Savings Bank Deposits have grown 30.5% Y -o-Y and 6.6% quarter -on-quarter. The average daily balance for Current Account and Savings Account registered similar growth s on Y -o-Y basis.

9. Advances growth is 12.9% Y-o-Y.
10. In line with our strategic objectives, SME and Mid-corporate Advances continue to grow at a faster pace of 26% each on Y -o-Y basis. Further, the momentum in Corporate Advances continued with 22% Y -o-Y and 5% quarter -on-quarter growth .
Retail advances growth is flattish on Y -o-Y basis and marginally lower on quarter -on-quarter basis. I would like to draw your attention to Page 41 of our investor presentation, where we have provided product -wise growth rates. If you notice, there ha s been differential growth across products. This has been on account of a couple of interventions. Firstly, as we have been stating, we are optimizing our product and sourcing mix to improve profitability of our retail asset portfolio. As a result of this, you can see higher growth rates in products such as affordable home loans, u sed car loans, credit cards, et c. The PSL

contributing products are also registering high growth rates such as Rural Banking and ISB which is our MFI portfolio.
The second intervention is based on our risk assessment in certain segments, geography, and products where we have highlighted -- where we have tightened the underwriting parameters to ensure better selection as well as lower the impact of ongoing stress in the Industry. As a result of this, you can see that there has been a slowdown in growth of products such as personal loans. It is important to highlight that the second kind of intervention is more transitory in nature and will be reviewed on frequent basis based on prevailing conditions.
11. The Bank's average quarterly LCR for quarter 2 remained healthy at 132%.
12. Bank's CET 1 ratio stood at 13.2% with total Capital Adequacy at 16.1%. This is despite the Risk-Weighted Asset's increase in select portfolio such as MFI.
As I conclude, let me reiterate that YES Bank's core franchise has now gained significant momentum, and this strength is now enabling the Bank to successfully navigate the various headwinds currently prevalent in the industry. We remain confident in our progress towards building a franchise which delivers superior returns to our stakeholders.
Lastly, I would like to take this opportunity to wish you for the upcoming festival season. On behalf of the YES Bank family, I wish all of you a Very Happy and Prosperous Deepavali .
With this, we can now take your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. W e have the first question from the line of S. Rama Subba Reddy , an In dividual Investor. Please go ahead.
S. Rama Subba Reddy : So I've been an individual investor of YES Bank last 4 years before SBI taking over some last previous management. So here, my question is like we are like delivering the good numbers like every quarter, every ye

ar -on-year basis. Despite all the good performance showing by YES Bank, there is no significant growth in the YES Bank share price. May I know what kind of actions are being taken by management side? That is my first question.
And second question, as mentioned by the new management after three consecutive years of the profit, we will be announcing the dividend. But somehow last year, it has been not given to the shareholders. Maybe is it planned in the next year or how it is if you could address ? So -- and the third question is like basically like from the Japan and Dubai, some big banks are going to buy the stake and because of that we can see that last couple of -- year-to-date, YES Bank share is performing down. So maybe if y ou could address these three questions, it would be helpful for the individual inve stors as a retail investor?
Prashant Kumar: First of all, thank you so much for taking time out and participating in this investor call. Responding to your first question, I think we don't comment in terms of the movement on the stock prices. We, as a management team, I strongly believe that we need to focus ourselves in terms of sustained and continuous performance , both in terms of business as well as the profitability of the Bank. And if you have taken note that Bank has been able to deliver both in

terms of business growth and the profitability on a continuous basis, which is moving upward in the right direction, and we will continue to do this.
Your second question in terms of dividend after 3 years of profitability. We as a Bank have a dividend policy approved by the Board, and the Board would continue to evaluate whenever we find it appropriate to distribute dividend to our shareholders. But at the same time, I would like to reassure you that we as a Management Team would continue to work in terms of optimization of return for all our stakeholders.
Your third question, pardon me, but I think this conference call is limited on the basis of the

performance of the q uarter 2 of the Bank.
S. Rama Subba Reddy: Thank you sir.
Moderator: Thank you. We have the next question from the line of Param Subramanian from Nomura. Please go ahead.
Param Subramanian : My first question is on the margin profile. As we know, I think the broader outlook for interest rates is probably downwards from here. So in that context, considering we have a lower margin profile than our peers and currently a lower overall operating pr ofitability, what measures will be looking at to, say, improve or sustain this margin in the context of, say, moderating rates? That's question one.
Niranjan Banodkar : So why don't you just complete the list of questions, then we'll take all of them.
Param Subramanian : Yes. Secondly, on the retail book, I can see we have a decent chunk of, say, unsecured retail credit cards, personal loans. So how is that book holding up at present? Some color on that would be great. That's it from me.
Niranjan Banodkar : Okay. Thank you, Param. On the margin profile, so we're currently at 2.4%. I think it's important to just understand that there is one big drag that comes from the RIDF assets that we are holding in view of the PSL shortfall of the past. That's almost 11% of our Total Assets. And currently, just on a pro -forma basis is pulling down the margins by almost 70 basis points. So as the proportion of these assets keeps reducing over time, and we've also indicated that by March '27, we expect this proportion to come well below 5% from the current 11%, which will, of course, add to margins for the Bank. That's point number one.
The second point you mentioned was on -- as we kind of look at reducing interest rate backdrop , I think just from matching of the assets and liabilities from an interest rate perspective, I think we believe that we are fairly matched. However, as we kind of start see

ing interest rates coming down, it is possible that you will see some lead and lag in terms of the pricing. So it is possible that your, let's say, repo linked advances get repriced immediate and some of the deposits may not get repriced immediately.
But I think just given the broad combination of assets and liabilities that we have, we do believe that over a 6 month to 12 -month period for most of these things to end up neutralizing, of course, depending on how sharp the movements are. And if there are mismatches in the -- while interest

rates on funding can come down, but let's say, if the asset pricing for whatever reason is depicting a different behaviour , I think in those elements we will have to see. But just the direction of interest rates in itself may not necessarily have an impact on the margin.
I think it will be a function of also what competitive landscape we see in the loan market and the deposit because that will also ultimately determine the spread, and the demand and supply will determine whether the spreads compress or expand. So that's the response to your question number one.
Your second question was on Retail. So just in terms of the proportion, I'm not sure, Param, if you've got the information right way. It's not that we are running a very high unsecured book, yes, although we do admit that the delinquencies that are coming through in recent times, there is about 1/3 of those -- 35% to 40% of those are indeed coming from the unsecured book. And we would actually go back and just see what we've been saying.
We've been consistently saying that there are early signs of delinquency on the unsecured side. In fact, we've also consciously slowed down on some of these products over the last 3 to 4 months. So both, given the asset quality early indicators as well as our focus on asset quality, our focus on improving profitability, we've recalibrated the retail asset growth. And in fact, this quarter, after the disbursement rates having come down quarter -on-quarter is actually - September being the first quarter, the disbursement in retail actually has been higher than June quarter. So yes, I think we are now kind of seeing some improvement, but we will continue to be watchful in this particular segment.
Param Subramanian : Perfect. No, I don't mean to say unsecured retail is higher. I guess from the perspective that our margins are currently lower and, as you said, will improve, the scope to go wrong is a little lower. So that was where it was coming from. But one other thin g just, is there the change in mix towards corporate, does that have any margin implications? Yes, that's it from me, and congratulations on the quarter.
Niranjan Banodkar : Thank you, Param. So yes, I think the mix shift, I think clearly, the yield at which, let's say, Corporate operates versus where the Retail will operate will have a bearing on the margins. But as I said, at least, we are confident that some of the RoA 's that we kind of look at on the retail, we do believe that we will be able to drive better margins, not just from a margin standpoint, but let's say, from a viewpoint of ultimate RoA.
And the second thing what you've to also keep in mind is we also expect the start of the unwinding of the RIDF book kind of picking up speed from H2 fiscal '25, some bit of margins

will also start coming in from that. So while the mix recalibration might b e a near -term phenomenon for us between wholesale and retail, it's not a structural change that we are talking about. It is more an interim phenomenon. And I think we do expect the margins to operate at similar to actually with a positive bias. But again, I'm not giving any real-time guidance on where the margins will end this financial year.

Moderator: Thank you. T he next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, in the BSE release Point 15, in Sub -part 2, that gives the security value realizable bifurcation, right? That shows that there are few security receipts, which have a value of more than 100% and then up to 150%. How to read this number? I mean the outstanding value of SR is INR 843 crores, which is your book value. But is there any mathematical way to understand what could be the potential recovery in absolute amount from this book? Or that is not really too much information there?

Niranjan Banodkar : So Jai, if we look at -- I'm just putting -- I'm going to put 3 numbers here. And again, I think this is something we discussed last time around as well. The book value is about INR 850 crores. The face value of these Security Receipts is in the handle of about INR 3,200 crores. And then there is a fair value, which is getting reflected through the rating letters, right? That number -- again, I'm not kind of putting up a precise number here. The number that we are looking at is in the range of about INR 5,000 crores to INR 6,000 crores .

So I think that's the range that the Rating Agencies is kind of putting on from a recovery standpoint. And yes, I think that's something that we're kind of seeing from a recovery prognosis . Of course, I'm not talking about the timing of these recoveries. These will happen as they have to happen, but that's the number that we're going look at.

Jai Mundhra: Sure. Secondly, I mean, you've mentioned that in the waterfall, CET waterfall, that 10 basis point reduction is because of MFI and others. I believe the MFI number, right, I mean, I think you have given of INR 1 lakh crore s of retail assets, retail loans. MFI is 2% only, right? I mean the IBG number, so is only maybe INR 2,000 crore s roughly, MFI exposure. Is that the right understanding? Or there is more to it, which is causing the 10-basis point decline?

Niranjan Banodkar : So on the risk weights, there were two large -- I wouldn't say large, sorry, my bad for that, but 2 segments in which we've looked at the risk weights going up. One was the MFI and the other was the way we were for certain product lines, the way we were looking at computing the market value. S o there was some minor adjustment that we had to do on the market value from. Let's say, you take a market value versus what is the realizable value, I think concept that we had to use for computing the LTVs.

So both of them combined, the MFI and this adjustment in the LTV, which had an implication on risk weight. Both of these adjustment was, I think, between about 12 to 13 basis points from a CET -1 impact standpoint. So if you actually eliminate that, you would actually see that the Bank has maintained its CET -1 despite actually growing, and that's because we continue to work hard on maximizing the rating letters from our customers. It's also a reflection that when we are lending to, let's say, the corporate NBFC side, these are -- some of them are also good qua lity customers. So it's getting inherently reflected in the weight profile as well.

Jai Mundhra: And sir, in the issue -- I mean we had highlighted some higher stress in the Credit Card book in some media interviews and also, I think, in the last quarter also. If you can quantify the Gross Slippages in Credit Card book? And if I see the growth, right, I mean, the PPT says that we have been growing at 45% kind of a number. And so how do you look at growth as well as asset quality going ahead?

Niranjan Banodkar : In terms of -- I'll just take the question on the specific number on slippage. We have about INR 150 crores, INR 160 crores of growth slippage on the credit card book for this quarter. And I'll hand it over to Rajan on the growth. Thank you.

Rajan Pental: So in line with what are the developments in the market, the growth for Credit Card i

s going to be trending lower. We would be actually looking at a growth of around 30%, 32%. And then we'll be watchful of how the proceedings are actually in the market, how the portfolios are shaping up. So I don't think that probably 40-50% kind of a growth number is what we are looking for going forward anywhere closer. So this would probably be half from the current levels.

Niranjan Banodkar : So Jai, just sequential growth rate is already -- if I just annualize the sequential growth rate, we are already clocking in the 30% range from the 50s. And like Rajan mentioned, we think we will anchor lower than 30%.
Jai Mundhra: Right. And last question, I think did I hear it correct that RIDF proportion should be coming down to below 5% by March '26? Is that the way to look at RIDF?
Niranjan Banodkar : You heard it correct, except for one minor correction there, it is not March '26, March '27.
Jai Mundhra: Okay, sure. And the reason is that incrementally, we may not -- we are not putting any amount in RIDF. And hence, as the book grows and the numerator does not grow, that is how the proportion will come down? Or there is any other way around also?
Niranjan Banodkar : In substance, what you are saying is absolutely right, yes. Just that, again, minor clarification. At a net level, the book will come down. But just in terms of the gross operation, for some of the previous non -compliances that we had even before FY '24, there will be some gross money that we will have to park, but the redemptions will be more than the gross money that we are parking. But the good thing is that the new money that we will be parking is actually at a rate of interest, which will be higher than the stock yields that we have in the book. So either way, we're looking to improve margins through reduction as well as the rate on the RIDF.
Prashant Kumar: But Jai, there would be a change in both numerator as well as denominator. So it is not only overall book is growing, that's why the percentage would come down less than 5%. Stock of RIDF would also start coming because of the repayment.
Moderator: Thank you. Th e next question is from the line of M B Mahesh from Kotak Securities. Please go ahead.
M B Mahesh: Sir, just adding to the previous question again, you said INR 150 crores has come from Cards . Even if you remove this number - the slippage is still running at 4%. Are there any other portf olio like how is the P L doing a nd any other part of the portfolio which is additional cause on stress?
Niranjan Banodkar : So Mahesh, if you look at the total slippage, if I look at, let's say, the unsecured book, including Credit Cards, we would -- I think about INR 1,100 crore s slippage, about 35% to 40% will be unsecured book, including credit cards. So yes, I think there is a play out of the delinquency coming in from personal loans.

M B Mahesh: Sorry, to ask a question again, did you indicate that the stress has peaked out? Or are you saying that it will still run through for a few more quarters?
Niranjan Banodkar : So in terms of the stress that we are seeing right now, we do believe that it will remain in this range for the next couple of quarters till, let's say, March '25. And again, I'm not kind of working through a precise number, but in the same range is where we think that this will remain. We don't expect a material elevation in the stress levels from here on. Although our endeavour is to see, we reduced the numbers from here. But our expectation is largely that we should be range bound over the next 2 quart ers.
M B Mahesh: And just to clarify, in these borrowers that you are writing off today, that is also the personal loans and credit cards?
Niranjan Banodkar : The write -off pool, yes. So the write -off policy that we have, Mahesh, is all non -property -backed Retail loans, we actually write -off at 180 days. So the

write -off will also include some of, let's say, for example, Auto loans. Some of those products will also come and sit as part of the write -off.
M B Mahesh: And one clarification. On the MFI book, how is your portfolio doing? And is tha t contributing to stress today o r will that contribute at a later point in time?
Niranjan Banodkar : Actually, to be honest, it's not a material book. And so far, it has performed quite okay for us.
Moderator: Thank you. The next question is from the line of Dinesh Parekh from DG Parekh & Co. Please go ahead.
Dinesh Parekh: Congratulations to the Management for giving a very good performance. But our equity is too large, INR 3,000 crores equity share, INR 2 fully paid -up. So INR 6,000 crores equity. If you have to pay dividend of 10%, then you have to -- at least INR 650 crores will go over dividend. So at least every year, we have to double the profit minimum. Then by 2027, we can have an EPS of INR 3 or INR 4. That is the only just -- this is not a question. This is just a clarification.
Niranjan Banodkar : No. No, I think we kind of -- we are aware of some of these numbers that you're mentioning, Mr. Parekh. As Prashant mentioned, just from a dividend standpoint, for us, we have to maximize the Shareholder s' returns over, let's say, a longer period of time, right? And you would appreciate that as Banks, we also require Capital to grow just given some of the balancing that we have to do. And then you also mentioned about equity base. But I think feedback taken, like we took from the first investor being who's been with the Bank for more than 4 years. So feedback taken. But we will continue to evaluate this on an ongoing basis just in terms of our ability and what we believe is in the best interest of our stakeholders.
Moderator: Thank you. Th e next question is from the line of Rakesh Kumar from B&K Securities. Please

go ahead.
Rakesh Kumar: So sir, a couple of questions. Firstly, on the Other Interest Income side, so there is quite a lot of acceleration that we have in the first half, so we have posted close to around INR 780 crores.

This number used to be close to half around INR 400 crore s, INR 440 crore s. So where is this number coming from? If you can let me understand that?
Niranjan Banodkar : Rakesh, any other question or should we respond to it?
Rakesh Kumar: Yes. I have a couple of questions other than this.
Moderator: Rakesh, sorry to interrupt, but your line is not very clear.
Rakesh Kumar: Okay. Can you hear me now?
Management : Much better. Please go ahead.
Rakesh Kumar: Yes. So I was asking about the third -party sales -related income, that has also -- there is quite a lot of volatility, like in the last three, four quarters. So that I wanted to understand. Secondly, write -back of Standard Asset Provision. So what has happened there, and the tax rate is low. And then lastly, on this Asset Quality front, as you said just now that this kind of run rate on the Gross Delinquency side would be there. So I was just thinking that in the last 4 years, we had an average credit growth of around 7.5%. We had also sold quite a lot of chunk to ARCs. So now with this kind of Credit Growth, should we have this kind of Asset Quality issues even going ahead? So these are the list of questions that I have like you may respond to ?
Niranjan Banodkar : Thank you, Rakesh. I think there's quite a number of questions. I'll try and tackle one by one. So I think the first question was on Non-Interest Income, and I think absolutely a valid observation. I would say , the volatility that you spoke about in the context of third parties, let me just maybe extend that to some other elements of fees as well. Typically, you observe fee performances at its peak in Q4. Q1 typically ends up being a slightly sluggish, sometimes materially lower than Q4. And then, of cou

rse, the momentum starts picking up again from Q2. So I would encourage that you do use that lens to begin with , when you are looking at the performance of Non-Interest Income. That's one.
The second is if you just look at the absolute delta, we have about INR 200 crores of delta on the Non-Interest Income. In that, about INR 100 crores is actually from the treasury line item. So it's not that all of it is coming from the granular. So treasury, which had -- which at -- across all trading line items, et c., when we kind of sum it up, we've seen about INR 100 crores of uptick on the treasury, because there are also some gain on sale of bonds plus some IPO mandates in which we ended up making some money, right?
If I look at the core fees, of course, there are -- third party has done very well. I would say that it's -- we've also seen some industry trends that premium growth have also gone up. And that's also because there are some regulations that are likely to c ome in from 1st October. So the momentum did kind of pick up or accelerate in H1 because there could be some headwinds that could come in on the way income get recognized on third parties, not material. But yes, some headwinds that could come in, so that's number two.
I think you also had a question on tax rate. So yes, I think there were some tax refunds, which we had to clean up from a tax provision standpoint and that's the reason effective tax rate is

lower in this quarter. I think we covered non-Interest Income. We covered tax rate , Third -party we covered .
Sunil Parnami : Another quest ion was that Asset growth rate has been around 7.5% and at that growth rate will you still have the asset quality issues going forward ?
Niranjan Banodkar : So I think you've to look at the asset growth rate, I would say, from a different perspective. I think we have to look at Retail because the growth rate in Retail, the growth rates in Mid-Corporate were of a very different magnitude. And of course, there were some of the legacy book that we had in the Corporate which was unwinding. And what we are seeing right now, Rakesh, is that vintage is on the Retail growth that played out, let's say, between fiscal '22 and '23, those vintages have caught up here with the book and it's also kind of coinciding with the slowing down. So the ratio, therefore, might look elevated for the Bank because we've also slowed down the Retail denominator. That's number one.
Number two, we are not denying or shying away from the fact that there have been increase in actual delinquencies even on a vintage basis. And that is where over the last 3, 4 quarters, we have been working towards making the right interventions to make su re that we have the right sourcing, right underwriting, but more importantly, also the right collection to drive an effectively better performance on Asset Quality.

Moderator: Thank you. W e have a follow -up question from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Sir first, on CASA right, and SA and CA both, I mean, you have been doing very strong growth. If you have -- apart from the usual deepening or engagement -related stuff, if you have any other thing which is working out for you? And if you have the blended S A cost for the quarter, if that is available?
Rajan Pental : So on the SA and CA momentum, I think what has played out for us is that we have been having a very segmented strategy around both of these, coupled with the surround area, catchment area, penetration, what we have been guiding our field force. But one of the big change, what, in the CA accounts we have made is, first, on the turnaround time, which I think is the Industry best today. We open approximately 50% of our accounts within 4 hours. And this has not been just opening of a SA or a CA account, our approach has been largely to sell the services, whic

h
means that a Current Account customer also needs a CMS. He does need many other allied services from the Bank. And we have equipped our sales machinery to be able to render those services rather than selling of the account. So this is one big attribution.
The second attribution is on the SA where we are able to open most of our accounts in 4 minutes. Because of the wow factor involved, we are also able to cross -sell many other products that leads to a higher PPI and thereby the active accounts playing out with larger margins. That is the second strategy.
Third thing is we have also densified our branches in the last 1 year, wherein we have put adequate resources depending on the catchment area potential and that has yielded results. So I think this is not just 1 or 2 initiatives. There are a series of init iatives what we have taken in

terms of a granular growth of the portfolio, which is yielding results and showing the higher numbers on the trajectory.
But having said that, one thing which we have been conscious and if you compare us with many other Banks, you would see that our Cost of Deposit has not moved in line with some of the other banks. So the Cost of Deposit is limited at 6.1%, and that is largely because we have kept our costs under control. We have kept the rates under control. And we have kept it as per with the Peer Banks, but not shown any irrational exaggeration to going for just the pricing, but rather it is a service -oriented retail expansion strategy. And that is what is p laying out for us.
Niranjan Banodkar : Jai, on blend ed SA rate, I think we should be in the 5.7% - 5.8% range.
Jai Mundhra: And this CASA growth, is it also helped by -- because you have a very disproportionate share in the -- I mean the UPI float. Is it fair to say that at least some -- there is some attribution from that business also in the balances?
Niranjan Banodkar : No, certainly, certainly, Jai. So if you look at the landscape of CASA, right, so clearly, Savings Account is predominantly the Retail distribution, let's say, franchise or balances that you see. Of course, the SME and Retail also can be done on the Current account, right? But on the corporate side, it is predominantly solutioning -oriented. And our Transaction Banking platform, which kind of provides the Current Account offering as well. I don't want to sound boastful , but I think we do a fairly goo d job of providing the solutioning to our Corporate customers so much so that we've said this before, we would have a disproportionately higher share, let's say, in Fintech -led industry.
So the solutioning we provide through the UPI as well, we end up having the flows in our current account, right? Similarly, we have the solutioning that we provide to a lot of our customers that even -- let's say, we may not have a disproportionately larger share on credit, but they're still wanting to come and bank with us from a cash management or a transaction -banking solution. So I think it is a reflection of our, I would say, strength on providing the right solution to o ur set of customers.
Jai Mundhra: Sure. And lastly, we used to give this recovery number and target for the year. I mean last time, we had said around INR 5,000 -odd crores. If you can just update on the -- how are you seeing the overall NPA recovery including NPA T W/Os (Technical Write offs) ?
Niranjan Banodkar : So if you look at our recovery run rate for the full year, this quarter, I think we've cumulatively on the NPA pool, recovered about INR 600 crores. And I think a cumulative number would be -- H1 is about INR 2,600 crores, including the JC Flowers . So I think the trending there continues to be quite strong. I think we basically -- I think we will be in the range of about INR 5,000 crores.
Moderator: Thank you. Th e next question is from the line of Dev Dey from Horsepower

Securities. Please
go ahead.
Dev Dey : Yes. May I ask you why did the provision gone up? Why did this provision go from INR 210

crores to INR 297 crores? What are the factors that made you to raise the provision?

Niranjan Banodkar : So we have over the last few quarters working towards improving the PCR. So if you see, the PCR has gone up from 67.6% to 70%. And that in itself translates to about INR100 crores of additional provision.
Dev Dey : Okay, sir. And my connected question relating to this is at what percentage point of PCR are you comfortable with? From 70%, how much more do you want to increase it to?
Niranjan Banodkar : So PCR, we believe that 70% is a reasonable level to anchor around. For us, just from an actual recoveries and expected loss standpoint, we do believe that we will have recoveries in the ARC book, which is meaning that I'm already running a very significant PCR on that book. So blended PCR, both NPA and security receipts is actually higher tha n 70%. But sorry, just to respond specifically to that question, we believe 70% is a reasonable number on the NPA to be anchored around.
Dev Dey : Okay. And my last question is, your NII has gone down a bit. If you take the quarter -on-quarter number, around INR 40 crores to INR 50 crores, I believe, right?
Niranjan Banodkar : That's right. So just call out, I know you've gone through the numbers well, sir, but to call out. So Y -o-Y, we've actually normalized 14% growth, which is quite healthy. On a sequential basis, we did have some NPA recoveries that were sitting as part of the NII. And also just from an accounting standpoint, there is a dividend that we do get from some of the Equity Investment that did get accounted in the NII as well. So adjusted for that, actually, NII is sequentially higher as well.
Dev Dey : And what about your RIDF fund release, INR 11,000 crores or something like that, would it be released in the next month?
Niranjan Banodkar : So that -- the trending of RIDF reduction is largely concentrated in H2 of this financial year. So we will see a gross redemption of anywhere between INR 10,000 crores to INR 11,000 crores, but we are -- we also believe that there will be some call for new RIDF placement on account of the past non -compliances. So on a net basis, we don't expect INR 11,000 crores of reduction in the net RIDF book. That net reduction should be in the range of about INR 5,000 crores.
Dev Dey : INR 5,000 crores. And from next year onwards, will you need to invest more in your RIDF? I mean what is the picture you are getting right now if you can say?
Niranjan Banodkar : On account of the compliances of fiscal '24 and '25, we don't expect anything material that should come through. But I'll just repeat what we said earlier on the call, at a net level, the book, which is today 11% of our Total Assets, by fiscal '27, we expect that book to be well below 5% of our Total Assets because the absolute value of INR 44,000 crores will keep reducing quite substantially over the next 2.5 years.
Dev Dey : Okay. And your Capital Adequacy Ratio has gone down a bit. Is that because of the change in the risk weightage of the asset?

Niranjan Banodkar : So sir, CET -1 actually has moved from 13.3% to 13.2%. Like I mentioned, the reduction is because we have applied higher risk weightage on the MFI and those other products in which we've increased risk weight. As a consequence, we have consumed about 12 to 13 basis points.
Moderator: That was our last question, ladies, and gentlemen. I would now like to hand the conference over to Mr. Prashant Kumar for closing comments. Over to you, sir.
Prashant Kumar: Thanks, everyone, for participating in this conference for our quarter 2 results. Wish you and your family a Very Happy Deepavali. Thank you.
Moderator: Thank you. Th

is brings the conference call to an end. On behalf of YES Bank, we thank you all for joining us. You may now disconnect your lines.

Call: Jan 2025

YBL/CS/2024-25/171

January 31, 2025
National Stock Exchange of India Limited BSE Limited Exchange Plaza, Plot no. C/1, G Bl ock, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648
Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results of the Quarter (Q3) and Nine Months ended December 31, 2024
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited (“the Bank”) on January 25, 2025 for the un-audited Financial Results of the Quarter (Q3) and nine months ended December 31, 2024. The same is made available on the Bank’s website within the timeline prescribed under the SEBI (Listi ng Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/about-us/investor-relations/financial-information/financial-results/financial-results-detail-page /analyst-call-transcript--2024-25-q3
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

Shivanand R. Shettigar
Company Secretary
Encl.: As above

“YES Bank Limited Q3 FY25 Earnings Conference Call”

January 25, 2025

MANAGEMENT : MR. PRASHANT KUMAR - MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , YES BANK LIMITED
MR. RAJAN PENTAL - EXECUTIVE DIRECTOR , YES BANK LIMITED
MR. MANISH JAIN - EXECUTIVE DIRECTOR , YES BANK LIMITED
MR. NIRANJAN BANODKAR - CHIEF FINANCIAL OFFICER , YES BANK LIMITED
MR. PANKAJ SHARMA - CHIEF STRATEGY AND TRANSFORMATION OFFICER , YES BANK LIMITED
MR. SUNIL PARNAMI - HEAD OF INVESTOR RELATIONS AND SUSTAINABILITY , YES BANK LIMITED

Moderator : Ladies and gentlemen, good day and welcome to YES Bank 's Q3 FY25 Earnings Conference Call.
On the Management Panel , we have with us today Mr. Prashant Kumar – Managing Director and Chief Executive Officer ; Mr. Rajan Pental – Executive Director ; Mr. Manish Jain – Executive Director ; Mr. Niranjan Banodkar – Chief Financial Officer ; Mr. Pankaj Sharma – Chief Strategy and Transformation Officer and Mr. Sunil Parnami – Head of Investor Relations and Sustainability.
Mr. Prashant Kumar will now give you an "Overview " of the Results which will be followed by a Q&A session.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference , please signal an operator by pressing "*" and then "0" on your touch - tone phone. Please note that this conference is being recorded.
Before we proceed further with this call, please note while all efforts will be made that no unpublished price sensitive information would get shared in case of an inadvertent disclosure, the same would in any case would form part of the recording of the c all. Further some of the statements made in today's call could be forward looking in nature. A note to this effect is provided in the Q3 FY25 Results Presentation itself shared on the Bank 's website.
I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you , sir.
Prashant Kumar: Thank you. Very Good Afternoon, everyone. I would like to start by welcoming and thank you all for joining us for Q3 FY25 Earnings Call .
On this call, I am joined by the senior team members of the Bank . On behalf of the entire leadership team at YES Bank , I would like to wish everyone a very Happy and Prosperous New Year 2025.
Moving straight onto our Quarter 3 Results :
As you would recollect, few quarters back we had outlined a detailed profitability improvement roadmap, which at the headline level was essentially centered around improving Banks' operating profitability via improving our margin, fee, and reducing our cost. We had also guided for our sense of recovery and redemption from our security receipt s portfolio.
I am humbled to report that despite multiple headwinds around liquidity and deposits, system wide credit strain and latest economic data indicating some mixed trends, we have remained right on track and delivered five consecutive quarters of sequential expansion in Net Profits. What is more encouraging that the Bank has delivered a ~25% Y -o-Y and 10.6% sequential

growth in our third quarter Pre-Provisioning Operating Profits (PPoP) at INR 1,079 crores. This is second successive quarter of Operating Profit expansion . Further , PPoP as a ratio to average assets improved by 10 basis points both sequentially and on Y-o-Y basis and inched up to 1% from 90 basis point s.
Having said that, as we look to replicate the same over the coming quarters, we would remain extra vigilant of the external macro, be more prudent and calibrated, yet nimble and agile in our approach and action.
Talking of individual components, in Quarter 3 , our net interest margin came in at 2.4 %, flat both sequentially as well as same quarter last year. From a margin 's standpoint, it was the important quarter of inflection as it marked the beginning of meaningful reduction in our outstanding RIDF deposit balances which reduced by over INR 8,000 crores largely towards last week of December '24. These RIDF deposits now stand at around 8% of our Total Assets as against 10.5 % to 11 .0% over the last few quarters. As a result, Bank prudently reduced its borrowing by ~11% quarter -on-quarter. As outlined earlier, going forward , while we may continue to see some RIDF related calls maj

orly for periods prior to FY24, but on net absolute basis, Bank looks to be well on course to reduce the same below 5% over the next 2 to 3 years.
Moving on to Cost of Funds and Cost of Deposits , both of which were largely flattish over quarter 2. Our deposit engine has been firing well with sustained pickup in our CASA balances and CASA ratio, which we believe , over time would start to also meaningfully contribute in our operating margin expansion and profitability. As on at the end of Quarter 3 , Total Deposits at ~INR 2.77 lakh crores, which is up ~14.6% Y -o-Y. CASA and Retail TDs (i.e Balances up to INR 3 crores) is now at 62.6% of our Total Deposit s. In Quarter 3 , our average daily Savings Account balance s have grown ~32% Y -o-Y and Current Account balances have grown by 22.1% Y-o-Y. As you w ould see on page 4 of our investor presentation, over the last 4 quarters, we have improved our CASA ratio by nearly 350 basis points, unlike the industry trend, which has

seen a drop in their CASA ratio over the same period.
This reflects the trust in Yes Bank Brand, strong acquisition engine, a very well -run Deposit franchise which has been consistently delivering through right customer selection, a strong customer value proposition, a motivated team, right incentives and performance scorecards, and an integrated best -in-class tech stack. Not only that, and as we have been articulating in the past, we have also seen really leveraging our branches as the core fulcrum of our business and generating Assets and Fee-based businesse s out of those branches as well.
Talking of our customer value proposition and technology , we recently launched our flagship all-in-one super app for businesses called IRIS Biz, bundling over 100 + features over mobile and web across payments, collections, tax payments, and other business requirements. The Bank continues to see very good traction in its next generation UPI payment app, namely YES PAY NEXT and YES PAY BIZ , strategically targeting Non-YES Bank retail as well as business customers. Details of all these initiatives have been given on page 18, 19, and 20 of our investor

presentation. We believe this coupled with , our leadership in digital payment ecosystem and fast market share gains in NACH and ECS business , gives us a distinctive edge which would further fuel our CASA as well as cross -sell engine.
Speaking of our Fee Income, the same came in at INR 1,512 crores, up 26.6% Y-o-Y and 7.5% sequentially. It is pertinent to highlight that our Fee Income as a percentage of Total Assets, is currently at 1.5% , and has seen a steady ramp up of 20 basis points over the last 8 quarters . It reflects our consistent synchronized execution and going forward we expect this momentum to continue and be added by our distribution ramp up , and sustained improvement in our sourcing, cross -sell, partnership, servicing, customer delight and technology.
Talking now of our Opex Cost, Quarter 3 was second successive quarter wherein further the Bank delivered an improvement in the Cost to Income Ratio. Total Operating Expenses at INR 2,657 crores, up by 13.2% Y -o-Y and only 0.9% sequential ly. As guided earlier , with asset mix largely remaining stable between Wholesale and Retail, coupled with our on -going transformation exercise including right sizing initiatives and greater leverage of technology, productivity and process improvement s, we expect our cost to income ratio to continue to further improve from here on.
So, to summarize, we are well on track with sustained pickup in our Deposits and CASA, 100% compliance in PSL and its sub -categories, RIDF resolution already underway, our cross sell, fees, digital payments, and transaction banking flows thriving well and cost to income ratio is starting to improve.
Now moving over to Advances and Asset Quality :
At a headline level, the

re is no change in our overall strateg y and we would like our current advances mix between retail and wholesale, which is currently around 60 :40, to largely remain the same over the medium term. Though having said that, this ratio may see some transitory movement between quarters owing to change of gears, risks and profitability calibration across segments - a flexibility or advantage that comes with being a trusted universal banking franchise with full range of products catering to various customer segments.
In addition, within the segments as well as between the products, in a particular segment, we would continue with our strategy of profitable growth, though the overall pace of growth may moderate depending upon external macro and our internal risk adjusted returns threshold.
For quarter ended December ‘24, our Advances have grown by 4.1% sequentially and 12.6% Y - o-Y with strong growth in our mainst ay segments of SME and Mid-Corporate, which continue d to deliver growth in excess of 25% on a Y -o-Y basis . On the other hand, our Retail Advances were flat tish quarter -on-quarter and were down around 3% Y -o-Y due to ongoing recalibration aimed at profitability improvement. You can see the differential growth rate across the retail

products on page 44 of our investor presentation. In the Corporate segment, we have maintained the growth momentum of last few quarters.
On Asset Quality, I won't go into the headline details, as all these vectors have performed in line with trend of last several quarters, and you can find them in our disclosures. Our Net NPA, along with Net Carrying value of Security Receipt s (SR) as percentage of Advances, now stand at 0.6%. We had guided for our SR s, security receipts , to have negligible or NIL value by end of FY25 and we are well on track towards that as the net carrying value stand at INR 233 crores as of December 2024.
Another key highlight in overall number s is the strong Recoveries and Resolution s at INR 1,843

crores which takes the cumulative recoveries and resolutions for 9 months of the Current Financial Year to over INR 4,400 crores. We are on track to achieve the guidance of INR 5,000 crores for F Y25 and we would like to highlight that the SR portfolio would continue to contribute towards our recoveries and resolution s even after becoming NIL in terms of net carrying value on our Balance Sheet.

Now I would like to draw your attention to Slide #6 of our Investor Presentation :

Here we have laid out several m etrics with respect to our Retail Asset Quality. As you can see, the Retail Slippages which includes the Rural portfolio , has been flat on a quarter -on-quarter basis despite the adverse operating environment , especially on unsecured products including the microfinance. On a 1 year lagged basis , the slippages have actually marginally improved as percentage of Advances. Within this, the Secure d portfolio has seen sharper improvement in terms of Slippages and even within the Unsecured products, except for microfinance , other products have seen flattish trend in Quarter 3 . Another encouraging trend is that early delinquencies in the form of 31 - 90 days Overdue Loans are now stabilizing across both Secured and Unsecured products. I would like to highlight that this has been an outcome of several interventions and actions with respect to our underwriting, scorecard s, collections taken over the past 9 to 12 months.

As I conclude, let me reiterate that all the key business vectors are progressing in desirable direction, including the two important trends that we have seen this quarter in form of the reduction in RID F balance s and flattening out of Retail Slippage s. I would like to thank you all once again for your continued interest in our franchise and progress.

Lastly, before we take your questions, let me convey my advance wishes for our 76th R

epublic

Day. With this, we can now take your questions.

Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Sir, I have few questions. First if I were to calculate the slippages, the way you have defined PL and Credit Card slippages, it looks like PL slippages in absolute number and percentage are more or less stabilizing whereas Credit Card slippages are rising, whereas the Loan growth is actually the opposite, right? So, PL growth has been lower, declining Y -o-Y 10 -12%, whereas Credit Card growth has been 25% YTD and maybe 30 -40% Y -o-Y. So, I am just not able to understand that of these two unsecur ed product, one is having higher slippages, but higher growth. And another is slippages are stabilizing but lower growth . So, you can elaborate on that?

Rajan Pental: So, your observation is correct. Now in Credit Cards, the way the book grows is always with a lag, because whatever you acquire subsequently builds up as a utilization, and hence the book growth what you see over there while we have also calibrated the growth in Credit Cards vis -a-vis our potential. Now, while in cards, you are seeing a higher slippage. But if you look , when we are looking at the 30 +, 6 MOB, 3 MOB, we are seeing a flattening, like PL, what you see as a trend in the slippages. So, both the portfolios, they actually need to be looked at little differently. But PL , one of the other reasons why you see a slowing up of the business was also in terms of us trying to recalibrate our scorecards in view of how the market is behaving and how the macro factors are impacting. So, you're right, PL has shown a flattish trend in slippages and also in the business growth it has come lower. But from here onwards , PL, we will be in a position to ramp up but to the correct segments and we will again continue to have a calibrated strategy for the Credit Cards as well. But I can tell you both of them are showing at a 6 MOB little flattish , kind of trend , and we expect that to continue.

Niranjan Banodkar: If I can add couple of more points. One, the Credit Card book, if you look at it from a sequential standpoint, is also not growing at the same pace as it was growing in the past. I think that's number one. Number two, and that's the nature of the product, the ability for us to let's say intervene and de -risk the Credit Card works very differently from let's say a PL. In PL, you can slow down the disbursements. In Credit Cards, the mix of revolver can change while you can still have a book that could kind of play out, right? So, I think our approach to unsecured - whether Credit Cards or PL, I think we've been working on it and look at both these sectors with the same lens. It's just that there are nuances to individual products. And we do believe when we look at the 30 + and lead indicators of risk, that some of the plateauing is playing out. In fact, if we look at the new sourcing on Credit Card, while these are very early indicators, if we actually look at new sourcing of credit cards, the vintage curves are actually showing us far better performance on Credit Cards. But anyways, I think we'll have to see how some of that data will also play out over a period of time. But I just wanted to make sure that there is no discerning in the way we will look ultimately from a risk standpoint between the Credit Card and NPL. It's just that sometimes it's the nature of the underlying product.

Jai Mundhra : Just to understand this, if you say within Credit Card, would you say that maybe last 12 month 's origination, their delinquency is lower than the blended one or and hence, can you make that comment that let's say the new origination after your tightening of rules, are they behaving better

than the blended number or they may still be higher than the blended but better than a historical curve ?

Rajan Pental: So, for both PL and Credit Cards, the sourcing quality of the recently acquired portfolio is definitely trending well because, like everybody in the market, there is a fair bit of tightening on the norms .

Jai Mundhra : So, like you said, it is behaving very well, and hence the slippages are stabilizing. But what I wanted to check is, is this better than the blended one, or this is better than a usual vintage curve? That was actually, if you can specify.

Rajan Pental: A portfolio plays on an average, after six months to 12 months, that is how it behaves . But the early indicators are definitely better than the blended. But the blended also has a lot of shape s, the part of portfolio which was doing well and the part of portfolio which had concerning trend. So, vis-à-vis that concerning trend, we are seeing that the pullbacks are better.

Niranjan Banodkar: In any case, Jai, I think we should also keep in mind the fact that if you look at our Unsecured as a proportion to Retail Assets, and actually if you look at that as a proportion to Total Advances, I mean, we are talking about this portfolio adds up ~ 25% of our Retail Assets. So, that kind of gives you a good sense that we are not running like a... I'm sorry, at a Bank -wide level, my bad. So, it's not that we are looking at a very material risk at a full Bank level to kind of come and hit us as well.

Jai Mundhra : Secondly, on savings growth, we have been doing exceptionally well in terms of growth whereas other peers are struggling , and outperformance has been very remarkable. If you can also comment, so we have the graded SA, we have 3 %, 4%, 5% and 7% SA offering. Is this the savings growth also , in a way, inching up your blended SA cost or I mean, of course, apart from execution, its pricing is also paying a little bit of a difference. So, if you can comment, what is your blended SA now, blended SA cost in Q3 and maybe versus last quarter and a year befor e?

Niranjan Banodkar : So, on that, Jai, our blended SA continues to be stable actually over the last almost 3 to 4 quarters and this is despite some of the rate actions that we took more than 12 -months back on across different buckets where we actually took the headline rate higher for balances more than INR 10 lakhs. But despite that over the last one year, in fact our SA cost is largely anchored, I think it hovers around, let's say 5.8 %-5.9%.

Jai Mundhra : And lastly, on Security Receipts, so now unprovided book has come down to INR 233 crores. Assuming you maintain similar INR 1,000 crore kind of a recovery per quarter run rate, does this mean that next quarter onwards, I mean, you will have, assuming the INR 1,000 crore recovery, you will have a negative kind of a provisioning also, negative credit cost , if not in 4 Q then probably from first quarter onwards ?

Prashant Kumar: So, Jai I think if you see the outstanding Security Receipt has come down to somewhere around INR 2,400 crores. So, expecting like we would continue to have a recover ies of INR 1,000 crores per quarter. Definitely not going to happen because this is a case which takes a longer time for resolution. But we would be definitely expecting a recovery of somewhere around INR 1,200 crores every year and over all ~INR 3,000 crores plus from this portfolio .

Jai Mundhra : So, INR 1,200 crores per year, right?

Prashant Kumar: Yes.

Jai Mundhra : And what was the INR 3,000 crores, is it total recovery?

Prashant Kumar: Yes, f rom the pool over a period of time.

Jai Mundhra : Just on credit cost, I mean, how do you look at, now we have come to a very significant milestone where SR book may become almost zero, maybe by next quarter and you are saying that you know Reta

il Slippages are stabilizing. How should one look at credit cost? Could it be like insignificant 20 -30 basis point or it will still be let's say 50 basis point ?

Niranjan Banodkar: So, Jai, on credit cost, we said last year that we will be comfortably below 50 basis points. That is what we had said earlier. I think just from the way the ARC recoveries work, they kind of give us some choppiness. Sometimes in one quarter it might be higher, s ometimes lower. But we do believe on an average , our credit cost should continue to be in the range of about 30 basis points. But again, this is not a guidance, these are just initial estimates, we will frame our guidance and come back at the end of this year.

Just one quick clarification. I don't know if you got that right, but the Unsecured book is actually less than 25% of the Retail. To actually look at that from a Bank -wide perspective, it's less than 10%.

Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: So, firstly, the disbursement run rate seems to be marginally lower. So, anything that we should know about on year -on-year basis?

Niranjan Banodkar: So, that's largely a reflection where our Retail disbursements have come down.

Prashant Kumar : So, Rakesh , we were speaking about the recalibration of our Retail Asset Portfolio, which is also in terms of staying away from the very low yielding asset and also the tightening the underwriting for some of the unsecured loans. That has resulted into a lower disbursement Y -o-Y, but now we are inching back towards the normal which would take some time but next year

we are quite confident that we would come back to the normal disbursement and would result into a growth in the Retail Asset.

Niranjan Banodkar: The details , Rakesh , you will find on slide 44 , we have the disbursement in absolute INR crore given on the presentation.

Rakesh Kumar: And this Cost-to-Income ratio which is coming down for Corporate book, is it due to like loan pricing issue that is prevalent in the system or it is due to the Asset Quality like because interest reversal number. So, what is the reason for that Cost-to -Income in the Corporate segment having gone up?

Niranjan Banodkar: I am assuming , Rakesh , you are referring to the segmental results ?

Rakesh Kumar: Yes.

Niranjan Banodkar: So, see there, ultimately, I mean, it's the nature of the Corporate business where you're able to build a scale and that does not come at any increment in cost effectively. So, you will kind of see that from a Cost-to-Income standpoint. They operate at very low Cost-to-Income.

Prashant Kumar: But fundamentally, like what you were saying, the reason is more in terms of very fine pricing which is happening in the market on the Corporate side, but not because of any kind of slippage s.

Rakesh Kumar: Understood that because in this environment, it is more of a Retail phenomenon. And on the SR side, so net of provisions that we are doing, how should we see the run rate might be in F Y26?

Niranjan Banodkar: So, Rakesh we've not given the guidance on credit cost, but let's say , I think I did allude to that question in the previous question as well, which is this quarter we are at about 20 basis points of credit cost, and if you look at the split of the 20 basis points, we have about 60 basis points that is the write back that we've got from the ARC and we have about 70 basis points of credit cost on the NPA. We do believe that a function of the normalization of this credit cost and we've also kind of assuming that we will not have like INR 600 crores of write back every quarter. We do believe that we might have a 10-15 basis points of up tick in the credit cost, but I think it should still be well below 50 basis points. I mean, our sense is about 30 basis points of range is th

at we
should anchor our credit cost to. And this is to Total Assets , just to clarify.

Moderator: Thank you. The next question is from the line of Dev from Horsepower Securities. Please go ahead.

Dev: I have two questions regarding your result. So, first of all , I want to know if you go by your Segment Result disclosure sheet, Retail segment is still in loss. I mean, how many more quarters would you take to recover the Retail segment into breakeven? Second one is regarding the stake sell. Till the stake sell goes on or goes completed, why don't you go for QIP?

Niranjan Banodkar: Okay, I will take the first question. This is Niranjan, and I will request Mr. Kumar to speak about stake sale. So, on the Retail loss, if you look at the way the retail segmentation is, it's also a reflection of the way the method for the segmentation works out. For entire branch distribution, infra, people cost is all loaded into the Retail segment. And then of course, what we are also encountering for the last 4-5 quarters is the fact that we've been making higher provisioning as a function of the slippages that we've had in the Retail business. And the point that we were making earlier is, so we've slowed the book down with the clear focus that we will want to focus on profitable products. No w, it takes time for the new portfolio to start taking shape and start becoming dominant part of the entire Retail book. That journey, once it starts playing out , you will start seeing the effect of those in your profitability for the Retail segment. But we are kind of working quite meticulously on solving profitability of Retail Assets and that will happen with the change in product mix as well as normalization of the credit cost.

Second, what we are also doing is on our entire branch network, we are making sure that we are

very frugal and efficient by not putting, overloading it with cost to scale up business es. And we've been able to demonstrate that also over the last 12 months. So, if you look at our Cost of Deposits and our Operating Cost growth is actually quite contained as compared to what you see in terms of the Deposit growth that we are delivering. Now it is a matter of, I would say, evolution where the credit cost will ha ve to normalize which we are confident about, but it will take some quarters. Once that happens, you will start seeing contribution from the Retail business go up. In fact, as we look at our ROA journey of 1% over the next three years, the swing or the delta that will come in is actually going to come material ly from the Retail business. And but we are all working towards that but we are very conscious about the observation that you made and we are working , trying to execute each of those aspects. That's number one.
I think the second point you had was on stake sale. Before I hand it over to Mr. Kumar to take that question. I think the one point I wanted to call out is if you look at over the last 3 to 4 quarters, we hardly consumed capital. And this is despite the Advance s book growing in excess of 10%, a trade book growing. And that's because, of course, one is we continue to see improving rating profile, our quality of assets on our Advance s book, but also the discipline with which we are now managing the Balance Sheet as a function of the two, and also improving profitability. So, we reported C ET 1 at 13.3%. If you go back to our pro -forma CET 1 post -warrant exercise, which happened in June, we were at 13.4 %. So, the last nine months, effectively we just consumed 10 basis points. So, just from a Capital standpoint, I think 13.3 % is reasonable. Of course, at some stage we will have to look at capital, but we do believe we have enough capital in play to grow from here on as well. But I'm going to now request Mr. Kumar to speak over the stake sale.
Prashant Kumar: No, I think Niranjan has already

responded in terms of, but we have taken your suggestion, but currently we don't feel the need for raising any equity because our core equity is 13.3% is adequate to take care of our growth requirement .

Dev: And last question if you don't mind , from here on can we expect your provisioning to come down quarter -on-quarter for at least 3 to 4 quarters ?
Prashant Kumar: You are saying provisioning coming down ?
Dev: Yes, provision for NPA
Prashant Kumar: We are currently around ~71% on the provisioning coverage and we would like to see that our provision coverage would remain at the same level.
Dev: At what percentage would you feel comfortable?
Prashant Kumar: Around 70%.
Moderator: Thank you. The next question is from the line of Srinivas, an individual investor. Please go ahead.
Srinivas: As I can see, there is improvement in the CASA ratio and there is also improvement in the RIDF Deposits as a percentage of the Total Assets. But these two things together, they should translate into higher NIMs, Net Interest Margins and consequentially, better bottom line and higher ROA. But NIMs are flat, like it's at 2.4% for the last two quarters or so. So, why this is not happening? The improvements on both these fronts should lead into higher NIMs. Why that is not happening?
Prashant Kumar: So, Mr. Srinivasan, I think you made both the points right. On the RID F, if you see that reduction has happened in the last week of the December quarter. So, its impact will start happening in the current quarter. That is one part. Second thing that NIM expansion is also a function of your Cost of Deposit and Yields on the Advances. If you have observed that , we have recalibrated our strategy on the Retail Asset side, which gives a better Yield and better NIM . And I think we are expecting th at going forward especially the start of the new financial year, we would see the growth on the Retail Asset, which is going to help us in having the better Yields and the NIM expansion.
Moderator: Thank you. The next question comes from the line of M B Mahesh from Kotak Securities. Please go ahead.
M B Mahesh: Just one question on this new ARC guidelines that came in or clarification that has come in with respect to resolution that the ARC can do with their borrowers , does it have any bearing on the expected recovery rates from your side?
Prashant Kumar: I think we are not aware in terms of whether the ARC's are facing any issues in terms of this kind of resolution even as of now , and whether the change in the guidelines would help them in terms of taking the fast track decisions. So, since we don't have any, I would be saying any kind

of, have this kind of business within the Bank , so we are not aware what kind of impact it would be having.
M B Mahesh: But Prashant, just to extend this point, given that we are right now seeing a fairly good recovery from that book, you must be having some conversation around this guideline, right? Because you're also kind of looking at those numbers to see how much of re covery you'll get in the next few quarters ?
Prashant Kumar: No, I think maybe the issue is more in terms of if the guidelines become more stringent, then there is a cause of concern. If there is a relaxation in the guidelines, then I think that concern is not there, and we will be definitely seeing some improvement in that. But we really don't know whether there will be a correlation, because we are not aware that the ARCs are facing any issues in terms of not able to take the decisions because of this.
M B Mahesh: So, far, your assumption is that nothing has changed from your side?
Prashant Kumar: Yes.
M B Mahesh: And just to finish this point, what is the current outstanding gross amount of Security Receipts and the recovery rates expected?
Prashant Ku

mar: So, currently the outstanding SRs with JCF is INR 2,400 crores around that. And I think if we go with the past track record, we would be seeing a recovery of almost INR 3,000 crores from this pool of Security Receipt . And the possibility of also some additional recoveries from the Security Receipts which have been redeemed in full also cannot be ruled out.
Moderator: Thank you. The next question comes from the line of Manish Soni, an individual investor. Please go ahead.
Manish Soni: Sir, I have been an investor of Yes Bank since 2019. I am a retail investor. I am not a big investor. I have seen a lot of questions, sir. You have provided for legacy issues , also did SR provisions, new retail loan provision also done , PSL problems and RIDF, all of this is noticed, but I have no comments on it . Now I have something to say about the ESOP s. Every month ESOP s are being issued , with 17 lakhs issued in January, 27 lakhs issued in February, 28 lakh s issued in September, 14 lakh s issued in November , etc. A total of 3 crore s ESOP s issued in the full year . An employee should get bonus once a year, but this is like getting a bonus every month. Is it a performance based or are they just giving it like you have a printing machine? As a retail investor , I have an issue with equity dilution . If you want to reward the employees, then give them a bonus , by reduc ing from profit. Already Bank’s equity base is large, and we are diluting further by issuing equity . Can we do INR 1,000 crore quarterly profit on a INR 4 lakh balance sheet ? Something is wrong if we cannot do it . For example, Bank of Maharashtra came out of PCA, INR 3 lakh balance sheet with ~INR 1,400 crores profit in Q3. Indian Overseas Bank also came out of PCA. At INR 3.5 lakh crore balance sheet , they have profit of INR 875 crores . IDBI

Bank has INR 3.6 lakh crore and they have profit of ~INR 1,900 crore. While YES Bank is making quarterly profit of only INR 500-600 crore and happy with it. It’s been 5 years since the issues in 2020. While we continue to issue ESOPs, w hen will we see profit of INR 1,000 crore ?
Prashant Kumar: Firstly, your observation is that every month ESOP s are issued, is not correct . ESOP s are granted only once a year. When ESOP s are granted to the employees , they do not exercise it. These are only grant s. They have the option to exercise it whenever they want (as per the vesting schedule) . But the Bank grants the ESOP only once a year. The disclosures that you see every month (on the Stock Exchanges), are for the instances when an employee exercises the ESOPs granted to them. Hence, exercising an ESOP should not be mixed with grant of an ESOP.
Secondly, let me respond on your concern on profitability crossing INR 1,000 crores and mentioned few Bank names and their Balance sheet size. Without naming any Banks referred by you, let me start by pointing out if any of these Bank has seen a journey involving moratorium, or a scenario of deposit s falling from ~INR 2.5 lakh crores to ~INR 99,000 crores . I believe that you should be a little patient. There is improvement visible in Bank’s Performance quarter over quarter . A financial entity should not do activities that are considered very high risk. So, if you see in context of the ind ustry, whether it is about the Deposit s or NPA , quarter after quarter, we are moving on a better performance. I think , the way you have supported so far, we continue to seek your support in the same way going forward . As you would understand that the journey of every Bank is different. The journey of our Bank started when it was about to close down , and it took lot of efforts to reach where we are today. However, I want to reconfirm to you that Bank grants ESOPs only once a year and what you see, on stock exchange disclosures are the instances, when the employees exerc

ise them.
Manish Soni: Okay, Sir, but last year we issued 3 crore ESOP already . There must be alternative s other than equity dilution.

Prashant Kumar: See, we have noted your concerns and suggestions . If you see ESOPs as a percentage of total shares (outstanding) , it is very less. So, the dilution is minimum , even when compared with other Bank s. Further , we have already noted your suggestions . It should be noted that before a decision regarding ESOP is made at Board level and presented to shareholders for approval , there is a detailed comparison done to see what will have least impact on the Balance Sheet of the Bank. We will take care of your suggestion whe never we have to consider such a decision next time .

Moderator: Thank you. The next question is from the line of Sige Rama Subbareddy , an individual investor. Please go ahead.

Sige Rama Subbareddy: Some investor are talking about ESOP. At the end of the day, ESOP has to be distributed to the employees because they are working for our franchise to improve further. And we must respect our Board of Directors because I mean without these members, without their degree, this Bank would not have been in this position. Because we should understand like when Prashant sir and

Rajan Pental, they were taking this company it was posted around INR 16,000 crore s loss , GNPA was 17%, NPA was 7% and to raise the capital .

Prashant Kumar: Thank you so much for understanding. May I request you to please ask your question?

Sige Rama Subbareddy: My question is like if you see quarter -on-quarter , but deposits are flat, 0% . So, maybe like coming quarters, like end of this year and next year this will improve or not, or it will be saturated because as I mentioned, we were coming from INR 99,000 crores and now it is INR 2,60,000 - 2,70,000 approximately. So, is it saturated for our Bank and we expect any growth ? That is one thing. And if you see our NIMs, it's like 2.4 %, there is no improvement though we were showing the profits from other incomes and all. So, can you guide us on that aspect? So, there was one question related to AT-1, in between my call was disconnected . Because all this SBI, other private institutions and even retail investors, the FPO was successful because of write off of AT-1 bonds. Now again, I mean, I'm not asking anything , how the Bank is prepared because we don't want any comments from the management because it is under the Supreme Court right now. So, how well the Bank is prepared in that situation? So, if you could answer this because 62-63 lakh retail investors are there and you all know that how our YES B ank stock is performing, even though other companies are doing well in public sectors, or private sectors in India , our company is like since from last year, if you see, though I understand that market cycles and all, so I would request our management to come and address what is happening in the Bank and how we are preparing ? It's not only me. Okay. I do have patience. I'm going to wait 3 years, 5 years and I wish my Prashant Kumar sir, Rajan Pental sir, to be continued to be on the Board, next 5 years, 10 years, though next year our Prashant Kumar sir tenure is going to be over, but I request Prashant Kumar tenure and other board members that our leader ship should be there in the Board.

Prashant Kumar: So, I will answer all your questions. The first question was in terms of Deposit growth. I think you have seen like flattish growth for this Quarter 3 . But I think you would like to continue to see the Deposit growth. Because how we are targeting that our loan growth, our Deposit growth has to be higher than the Loan growth. So, whenever we see Loan growth is improving, we would increase our Deposit growth but you will see continuous growth in both Deposit and Advances . Your second point was related to expansi

on of NIM s. I think if you just I would like to bring to you r notice one particular data point. If you see last 12 months, we have been able to protect our NIM s despite so many headwinds in the indust ry. Whereas some of the other competition there is a pressure on the NIM s and there is a slight decline in their NIM s. So, I think in these tough times, we have been able to protect our NIM s, we have taken multiple steps, and going forward, you will see the improvement on the NIM s side also. Your third point in terms of AT-1, as you are well aware, this case is pending before the Honorable Supreme Court. And now we are expecting , all the listing has been done in February , in this particular case, Bank is fully prepared in terms of presenting our viewpoints before the Honorable Supreme Court.

Sige Rama Subbareddy: Very all the best for subsequent quarters and we expect the profits to continue the same in the coming quarters. As you know, like, 62 -63 lakh investors are waiting to turn around story and we want to do festival in our homes as well. Thank you, sir. Keep this in mind and hope we will continue our journey with you and other your team members. Thank you.

Prashant Kumar: Thank you very much.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Mr. Prashant Kumar for closing comments. Over to you, sir.

Prashant Kumar: Again, I would like to thank all of you for continuing to support the Bank engaging with our

franchise. We wish all of you with your family members a very happy New Year of 2025 and
best wishes for our Republic Day. Thank you so much.

Moderator: Thank you. This brings the conference call to an end. On behalf of YES Bank, we thank you all for joining us. You may now disconnect your lines.

Disclaimer – A portion of this discussion was conducted in Hindi, and an English translation has been provided for the convenience of the reader. While every effort has been made to ensure the accuracy of the translation, there may be nuances or subtleties in the original Hindi that are not perfectly captured. For the most accurate and complete record of the conversation,
please refer to the original audio recording, which has been uploaded at the Banks website.

Call: May 2025

YBL/CS/202 5-26/019

April 24 , 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the audited Financial Results of the Quarter (Q 4) and year ended March 31, 2025
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on April 19, 2025 for the audited Financial Results of the Quarter (Q4) and year ended March 31, 2025 . The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yesbank.in/about -us/investor -relations/financial -information/financial -results/financial -results -detail -page/analyst -call-transcript -2024 -25-q4
You are requested to take the same on record and acknowledge the receipt.

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary

Encl.: As above

"YES Bank Limited
Q4 FY '25 and FY '25 Earnings Conference Call"
April 19, 202 5

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER – YES BANK LIMITED
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR – YES BANK LIMITED
MR. MANISH JAIN – EXECUTIVE DIRECTOR – YES BANK LIMITED
MR. SUNIL PARNAMI – HEAD OF INVESTOR RELATIONS AND SUSTAINABILITY – YES BANK LIMITE D

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank's Q4 FY '25 and FY '25 Earnings

Conference Call. On the management panel, we have with us today Mr. Prashant Kumar , Managing Director and Chief Executive Officer; Dr. Rajan Pental, Executiv e Director; Mr. Manish Jain, Executive Director; Mr. Niranjan Banodkar , Chief Financial Officer; and Mr. Sunil Parnami, Head of Investor Relations and Sustainability. Mr. Prashant Kumar will now give you an overview of the results, which will be followed b y a question -and-answer session.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during this conference call, please sign al an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.

Before we further proceed with this call, please note, while all efforts will be made that no unpublished price -sensitive information would get shared, in case of any inadvertent disclosure, the same would, in any case, would form the part of recording of the call. Further, some of the statements made on today's call could be forward -looking in nature. A note to this effect i s provided in the Q4 FY '25 and FY '25 results presentation itself, shared on the Bank's website.

I now hand the conference over to Mr. Prashant Kumar . Thank you, and over to you, sir.

Prashant Kumar: Thank you so much. First of all my apologies for dela y in this analyst call. But again thank you so much, and very good afternoon to all of you and thank you for joining us today for our quarter 4 and t he full year '25 earnings call.

On this call, I'm accompanied by the senior team members of the Bank. On our first slide, quarter 4 has marked the completion of 5 years since March '20. And as you might have been noticing, all along in these preceding 5 years, the Bank has put in a lot of effort to continue to strengthen its franchise and steadily worked on several underlying themes to progressively keep improving its overall positioning and profitability.

Some of the key outcomes of the efforts made by the team has been presented on Page 2 to 5 of the Investor Presentation. And as we look ahead, we remain committed to continue to work towards further strengthening the YES Bank franchise and improving its profitability and stay nimble and agile in our approach and action.

Before I come to our results, I would like to sincerely thank all our custo mers, YES Bankers, and all the different stakeholders, regulators, and the shareholders for their continued support to the Bank.

Now talking about our results , last fiscal , we continued to make steady improvements across all the core operating metrics and progressed well on the key strategic objective of improving the Profitability of the Bank. While I would call out a few of the key highlights here, you may kindly refer o ur Investor Presentation for more details.

1. We have reported a Net Profit of INR 2,406 crores, which was up 92.3% Y -o-Y and the highest since March 2020. The Bank's full year Return on Assets has come in at

0.6% against 0.3% in FY '24. Sequentially, the Bank exited the year with an ROA of 0.7% in quarter 4.
2. Despite the competitive macro environment, Bank's full year Net Interest Margin remained stable at 2.4%. The Y -o-Y decline in Yield on Advances from 10.2% to 10.1% has been partially offset by marginally better yields on RIDF balances.
3. However, for quarter 4, the Net Interest Margin saw a sequential uptick of 10 ba sis points and came in at 2.5%. This was actually supported by our efforts in containing the Cost of Deposit s, reduction in high -cost borrowings, and lower RIDF balances. FY '25 Net Interest Incom

e of INR 8,944 crores has actually gone up 10.5% over fiscal '24.
4. In line with our guidance, in FY '25, Bank h ad 100% compliance in PSL and all of its subcategories, which resulted in notable reduction of RIDF and other mandated deposits to 8.7% of Total Assets against 11% as at the end of FY '24. The Bank continues to see a gradual increase in its organic accreti on of PSL across sub - categories.
5. Moreover, during FY '25, the Bank has also sold excess PSL across General, Micro and Agri sub -categories, which resulted in an income of INR 79 crores. The aforesaid sale of excess PSL is expected to also lower the compliance burden for next year.
6. Going forward, the Bank remains well on track to reduce these deposit balances well below 5% by fiscal '27.
7. As regards Non-Interest Income, the Bank saw continued momentum across all diverse and granular fee income streams. Over the last 2 years, the Bank has seen a meaningful increase in its Non-Interest Income to Average Assets, which has increased from 1.1% in FY '23 to 1.4% i n FY '25.
8. Cost-to-income ratio has improved to 71.3% from 74.4% in FY '24. The decline has

been in line with our broad guidance to gradually keep bringing down our Cost-to-Income Ratio, and we expect the momentum to continue.

9. For FY '25, the Bank had Pre-Provisioning Operating Profit of INR 4,254 crores, which has grown 25.6% Y -o-Y. PPOP as a perce ntage to Average Total Assets has improved to 1 .0% against 0.9% for fiscal '24.

Moving over to Asset Quality highlights.

10. We ended FY '25 with a Gross NPA and Net NPA ratio of 1.6% and 0.3%, respectively, the best ever since March '20 quarter. Further, the Provision Coverage Ratio has been further stepped up to 79.7% against 71.2% last quarter and 66.6% in quarter 4 last year . Including technical write -offs, PCR now stands at 87.6% against 82.4% in quarter 3 and 79.3% in quarter 4 last year.

11. The resolution momentum remains strong. The Bank had Total Recoveries and Upgrades of INR 5,923 crores in FY '25, which was ahead of our guidance of INR 5,000 crores.

12. We have made 100% provision on the outstanding Security Receipt. And as a result of that, the Net Carrying value of SR as percenta ge of our Advances are now NIL.

13. Gross slippage s has come in at INR 5,090 crores against INR 5,334 crores in FY '24. And as a result, Slippage Ratio has improved to 2.1% against 2.3% in FY '24. Also

sequentially, a marginal improvement has been seen in the Overall as well as in the Retail Slippages.

Moving over to Balance Sheet and other key highlights.

14. Regarding Advances and Deposits - though the headline growth was moderate , by design, it was anchored around our strategy of Profitable Growth. However, the underlying constituents and the quality of both Advances as w ell as Deposits , continues to be good and broadly in line with our desired mix.

15. Speaking particularly of Deposits, the Bank continues to focus on quality, granularity, and cost. Just to call out, our Cost of Deposits has remained largely around 6% over the last six consecutive quarters , and with our recent rate cut s, we expect it to further improve going forward.

16. For full year and quarter ended 31st March '25, the CASA Ratio came in at 34.3% as compared to 33.1% in quarter 3 and 30.9% in quarter 4 last year . During the year, the Bank added 1.3 million new CASA accounts, and we have also opened 37 new branches in CASA -rich clusters.

17. The CD ratio sequentially further improved to 86.5 % against 88.3 % in quarter 3.

18. In quarter 4, the Average Quarterly LCR remained he althy at 125%.

19. Regarding our Capital Position, the CET, and the Overall Capital stand at 13.5% and 15.6%, respectively.

Now talking of some of the other business highlights.

20. We got authorized by Government of India for collection of GST a

s well as Direct and Indirect taxes. Bank has already gone live with GST collection for both customers as well as non -customers. And we would go live for collection of the direct as well as indirect taxes during the current quarter.

21. Another notable highlight was that the Bank was ranked highest amongst Indian banks in S&P Global and CDP rating for ESG and climate disclosure. This is the third year in a row of the Bank.

22. Lastly, we see g ood traction in new user registration as well as monthly active users in newly launched payment solutions, which are YES Pay and YES Pay Next.

Before taking your questions, I would like to reemphasize that YES Bank's strategy and actions are fully anchore d around improving its overall positioning and profitability.

Towards that, a lot of work has already been put into motion on several underlying themes, which is expected to fully play out in the coming quarters. Some of these key initiatives and the underlying trends are briefly captured on Page 22 of our Investor Presentation.

To conclude, Bank's core franchise has gained significant momentum and is quite well placed to continue to thrive and the Bank remains disciplined and focused on its execu tion. Once again, thank you so much for your continued support, and now we can take your questions. Thank you.

Moderator: The first question is from the line of De v Dey from Horsepower Securities. Please go ahead.

Dev Dey: Good Afternoon , gentlemen, Congra tulations to the management team for delivering such an excellent result in this quarter.

Prashant Kumar: Thank you so much.

Dev Dey: My question is regarding Interest NII trajectory. From here on, do you project that the NII would grow at what rate? And are you going to lag behind your peers in respect of the want of capital and NII growth? Because I'd like to highlight one of your competitors has been planning to rais e INR 7,500 crores to tap the growth opportunity – upcoming growth opportunity. What would be your plan to counter that and tap the upcoming growth opportunity, because your NIIs are not growing as expected by the investors ?

Prashant Kumar: So, I think the re are two parts of your question. One in terms of the growth on the NII side and the second in terms of the capital requirement for the future growth of the Bank. So currently, our Core Capital, which is CET1, is 13.5%. And this capital is sufficient to take care of our growth aspiration for the current financial year. We would continue to explore the requirement of capital if we find more opportunity for the growth going forward. But as of now, this is adequate to take care of our growth aspirations.

Dev Dey: Pardon my interruption. I mean, for upcoming years, what is your projected loan book figure. I mean, it's currently INR 2.46 lakh crores. I mean, within 1 to 2 years, what is the projected figure that you are working on? I mean, do you have any internal target that it may be INR 3 lakh crores or INR 3.5 or less than that? What would be that?

Prashant Kumar: So, I think this is what I was sharing earlier also. We would be targeting a loan growth between, say, around 12% to 15%. And again, this wou ld depend on the opportunity which is available in the market due to various developments which happen domestically as well as globally. But I think this would be the range. And for this range of growth, this capital is sufficient. That is one point which I was making.

Coming to your second part in terms of NII growth, I think you must have seen that because of the tighter liquidity position and a lot of competition in the market on the loan side, I think everybody would see a pressure on the NII growth. I n those kind of scenarios, our NII growth, we think is quite reasonable. And once the loan growth would start moving up, especially coming from the Retail Segment, we would

also see a better growth on the NII side also.

Dev Dey: This would be, gentlemen, my last question. In previous quarters, you expressed your interest to venture into the microfinance segment, right? Are you still interested?

Prashant Kumar: No. I think you must have seen like what is happening in the microfinance sector. Last time also I mentioned maybe there are headwinds in the sector, but business per se remains an attractive proposition. If we get some good opportunity for inorganic growth, we would definitely examine it.

Dev Dey : Okay. But are you still lending to those institutions who are lending directly to the microfinance units?

Prashant Kumar: Again, it depends. Like we are absolutely keeping a very close watch like what is happening in the market. And definitely, when these kind of headwinds are there, you become more selective. It is not like you stop it, but you become more selective. So, I think we keep that kind of cautious approach for financing institutions.

Dev Dey : And what about the stake sale? Is it put in the back burner or still you are exploring the option? I mean, those financial investors, are they still exploring the options or they want to stick to their holdings?

Prashant Kumar: So, I think you are asking a question from a wrong person, okay? Because we don' t have any stake. We only have a stake in the YES Securities and we don't intend to sell our stake.

Moderator: The next question is from the line of Harsh Modi fr om JPMorgan. Please go ahead

Harsh Modi: Hi. Thanks for t aking my question. I just wanted to understand the path of your NIM over next 3 to 4 quarters. So, as we get a rate cut cycle and JPMorgan forecast is for another 100 basis points from here, how do we think about your strategy? Would you try to gain more market share on Deposits in this rate cut environment? Or would you prefer to deliver slightly better NIM over the next 3 to 4 quarters. So, if you could j ust detail the path of Net Interest Margin and Bank's strategy to manage NIM, that will be great. That's all my questions.

Prashant Kumar: So Harsh, I think absolutely, you are right in terms of we have already seen a 50-basis point rate cut, and we ex pect a further rate cut in the current financial year. I think in this backdrop, we have also taken a call in terms of reducing the rate of interest on both Saving Bank as well as on the Term Deposit side, okay? So, one lever in terms of protecting and improving our margins is by reducing the Cost of the Deposits.

The second part is in terms of that, going forward, we are going to see a reasonable growth in our Retail Assets, which gives better yields on the Assets side. And we would like to keep that proportion of Retail and SME at around 60%. And definitely, the Retail Assets gives you a better yield than the Corporate side. We will continue to win this part.

The third part in terms of managing the margins , which was earlier a drag, was our non -compliance on the PSL, okay? Now because of non -compliance on the PSL, almost 11% of our Assets were there in the RIDF, where the yields are very low. We have already seen that 11% coming down to 8.7% at the end of FY '25. And we would be seeing, for the next 8 quarters, this 8.7% coming down to less than 5% to the Assets.
So, I think these 3 factors in terms of continuing to reduce the Cost of Deposit by reducing Rate of Interest, improving the proportion of the Current Accounts, seeing in terms of going for those asset classes where the margins are good, protect the margins, continue to focus on the profitable growth.
I think your question was more in terms of whether we would like to garner just the market share. But I think our focus has been on the profitable growth and the PSL part has been taken care. So I think with these 3 levers, we are quite hopeful that not only we would

be able to

protect, but we would be able to improve margins goi ng forward. Niranjan, would you like to add anything ?
Niranjan Banodkar: No, I think Prashant has covered this well in terms of the levers that we are looking at. But as I think, Harsh, you rightly pointed out, in a falling interest rate scenario, you will , of course, go through leads and lags on timing the Advances repricing versus the Term Deposit repricing, right? So the way at least we are approaching the structure of margins is that at the core level, we will want to protect the spreads between our Term Deposit rates and the Loan Yields. I think that's the spread that we will want to protect.
Of course, we acknowledge that there will be a timing difference that could play out in this period. And therefore, one way to mitigate that is to see how we can improve the mix of CASA, because that kind of protects the spreads in the interim. And second is to see if we can reprice the SA, pricing on the stock, which Prashant has spoken. Now that's really on just the core loan spread structure. I think we are confident that as we kind of go through, let's say, a 3 to 4 -quarter cycle, we believe we should come on the higher side of margins in this period, but it will go through a volatile period.
The second part which is also playing out for us is we are now also beginning to see our slippages trend better. And that also means that the interest accruals that we were foregoing last year will also begin to now showcase in the earnings and therefore, the margin. So that's also another lever that we believe wi ll play to our advantage as compared to the last couple of years. And of course, I think Prashant has already mentioned about how RIDF balances will continue to help us scale margins.
But having said all of this, we also acknowledge that especially on the non-retail segments, we've also seen that there is intense competition, and there are also quite thin margins that we do see. There is intense competition happening there. So we will continue to make sure that we operate within our Profitability threshold , but at the same time, acknowledge that it is a very tight market in that space. I hope this clarifies the question you had in your mind.
Harsh Modi: Thanks for the explanation. So that I get it right, basically, due to the leads and lags, there is a risk of some degree of NIM pressure over the next couple of quarters. But given the levers that you spoke about, 3 to 4 quarters out, we should ultimately get higher NIM. Is my understanding correct?
Niranjan Banodkar: That's correct. And even in the interim, the mitigants will be through -- as Prashant said, the mitigants will also be through a repricing of the entire, let's say, SA book. Those will also aid us -- cushion any impact that kind of comes through a lag transition of Deposit pricing.
Harsh Modi: Got it. And one more question, if I may, is on Asset Quality. As you said, there's improvement, but there's a massive change in some of the global growth outcome. And would you, not today, but let's say, 6 months hence, expect any weakness in any sort of trade supply chain, any sort of SME book, any kind of Retail book, because there are some, let's say, IT companies talking about not increasing salary right away and so on. So as you think about early warnings over the

next 3, 6, 12 months, are there any things that you suggest we should be more focused on? Thank you.
Prashant Kumar: Harsh, we are not seeing currently any such trends, okay, where the weakness in either of those sectors or the portfolios are being observed. Actually, we are seeing a revers e trend, where we are seeing improvement in different sectors. Like the Retail side, we have seen the Retail Credit Cost has been plateaued in quarter 2, 3, and we are see

ing an improvement in quarter 4.
On the Unsecured and Credit Card side, we are also seeing that plateau to happen. And we have seen a very good behavior from our SME and the mid -market customers. So I think currently, we don't see any such signals in any such part where there is an issue around this. But definitely, because of wh atever is happening on the overall global side, we have to be very watchful and cautious, and we are closely monitoring all the sectors.
Harsh Modi: Thank you so much.
Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Hi sir , good evening Thanks for the opportunity. Sir, first question just on this continuation of this Net Interest Margin. So if you can quantify the s hare of maybe the Fixed Rate book and EBLR and maybe MCLR -linked loans? And what would be the blended cost of Savings Account as of March '25?
Niranjan Banodkar : So Jai, the floating rate book that we have is about two-thirds of our loan book, right . It's a combination of repo and also some of them will be linked to T-Bills as well. So that's the first part. The second is , you had a question on the Savings Account blended rate. We have about blended rate of 5.7% to 5.8% and that's the rate in which it is toggling on the entire savings account.
Jai Mundhra: Right. And how do you look at Savings Rate? I think as of now, you are still offering 7% plus on balances a bove INR10 lakhs. A lot of peers have cut the Savings Rate up to INR 50 lakhs and above INR 50 lakhs balance. And your Savings growth so far has been superior. How do you see the Savings Rate that you offer right now? Is there any further scope to cut or you would like to see behavior of this cut at least in the medium term and then would like to have a relook?
Prashant Kumar: So Jai, we have already taken a decision in terms of reducing rate of interest on the savings side, which would be implement ed from Monday. So up to INR 10 lakhs, the revised rates would be 3%. Between INR 10 lakhs to INR 25 lakhs, this would be 3.5%. Between INR 25 lakhs to INR 50 lakhs, this would be 4%, and more than INR 50 lakh, this would be 5%.
Jai Mundhra: Okay, sure. So rry. So I was not aware about this. So that is good. And secondly, so this year, we had a good recovery of more than what we had estimated at the beginning of the year. So we did, I think, INR 5,900 crores recovery. If you can ballpark help us what is the kind of recovery that you are expecting this year?

And within that, how much could be from Security Receipts? Because now that the balance is NIL, anything that comes from that portfolio ideally should directly go to Other Income, right? Is that the accounting right? And how do you look at the overall recovery and SR recovery?
Prashant Kumar: No, I think the first like we have made 100% provision on the security receipts and everything which would come would add to our profits. But in the terms of accounting, it will not add to the Other Income. It actually takes care of the provisioning part, okay? That is one.
The second thing like since now w e are having a 0.3% Net NPA, okay? The stock of the NPAs from the recoveries are made is also coming down. And since now the SR pool has also come down, okay , and where it would take a more effort last year, it would take a little longer time. We are e xpecting something around INR 1,000 crores of recovery coming from the security receipt during the current financial year and another INR 2,000 crores from the assets which are either written off or which are the NPA pool within the Bank. So overall, arou nd INR 3,000 crores.
Jai Mundhra: Okay. Sure, sir. And Restructured Loans, sir, they have declined very sharply from INR 1,900 crores to INR 400 crores. I think you have mentioned that it is primar

ily due to repayment. Is there any sector -specific thing or you have seen some one -off, or if you have any more color there?
Niranjan Banodkar: So this is with respect to a refinancing that happened on one of the hospitality sector exposures that we had. Of course, this went through a restr ucture, but we are now fully repaid on that exposure.
Jai Mundhra: Sure. And last question, sir, I think in the media, there have been a lot of -- a few reports of layoff in the Retail Asset Division of the Bank. The Retail business, as you had also m entioned that the Bank is now focusing more on profitability, you have cut down or scaled back some of the PSLC's and some of those growth.
If you would like to comment, how are you looking at, I mean, the layoff situation? Have you done that? Is that process over? Was there any change in the way you were doing Retail Businesses apart from what you have mentioned in terms of profitable growth?
Prashant Kumar: So Jai, I think the first clarification which I would like to give that this restructuring or the consolidation of the businesses have not been done only in Retail, it has been done across the Bank, which includes Wholesale as well as Retail. And why we have done this consolidation or restructuring, becau se in the life stages of all the organization, you continue to prepare yourself

for the future business plan of the Bank.
So I think, for the next 5 -year Business Strategy, we were thinking in terms of how to conver ge different businesses for better solutions to customers, better efficiency, and also in terms of the very focused business growth by the different business verticals. So what fundamentally we have done?

On the Retail Liability side, we have converged two businesses, two different business lines into the Branch Banking. Because going forward, in our Business Strategy, the Branches would be the fulcrum for acquisition of customers as well as in terms of servicing the customer, okay? That is one part which has been done. The second part that's currently the SME business, which falls under Retail, actually consists of different, I would be saying, the customers.
One is like a Micro SME, okay, which is mostly done by the Branch Banking. Then yo u have a Medium Enterprises, you have a Small Enterprise business. What we have done that on the micro side, which is handled by the Branch Banking, has been consolidated with the Branch Banking, whereas the Medium Enterprise and the Small Enterprise, which actually aligns more with the mid-market, okay?
So we have done a consolidation between the mid -market, small enterprise, and the medium enterprise as a Commercial Banking business segment, which would report into the Executive Director on the Wholesale side. I think these are the two fundamental things which we have done. We have also merged t he financial institution group l ike International Financial Institution group was sitting separately and domestic was separately. We have consolidated that position. Similarly, on the Wholesale side two different business units, which is the Multinational Corporation and the Start-up segment have been merged together. So the entire exercise was more in terms of a business consolidation for giving more outreach to customer by a single business unit. This has been done to ta ke care of our Business Strategy or the requirement for the next 5 years.
So that's why this exercise has already been done, keeping in view a very, very long -term Business Strategy of the Bank. But definitely in all the organizations you continue to review, you continue to see how you can further improve the efficiency. But I think largely, it has been done.
Jai Mundhra : Right. Thank you so much, sir. Thanks and all the very best.
Moderator: Thank you. Th e next question is from the line of Sumeet Kariwala from Morgan Sta

nley. Please
go ahead.
Sumeet Kariwala: Hi, Prashant, Hi Niranjan. S o just wanted to check, one , did you mention that two-third of your loan book is linked to repo and T -bills?
Niranjan Banodkar: It is floating rate the external benchmark, n ot all of it will be -- but yes, bulk of it will be repo and T -Bills.
Sumeet Kariwala: How much is MCLR in that, please?
Niranjan Banodkar: MCLR is a single -digit number.
Prashant Kumar: 10% to 12%.
Niranjan Banodkar: 6% at least.

Sumeet Kariwala: Okay. Got it. And the second question was with respect to recoveries. So you mentioned 20 billion from written -off pool and NPL pool. Can you quantify the written -off pool as well the quantum of recoveries from written -off pool?
Prashant Kumar: No, I think, Sumeet, the one portion is definitely the Security Receipt where 100% provisions have been made. We are expecting something around 10 billion, which is INR 1,000 crores fr om that pool. Now remaining 20 billion would be from the pool of mostly the Retail side, which includes both completely writt en off as well as the NPA pool, but basically it would be coming more from, say, written -off pool because our Net NPA has come down to 0.3%.
Sumeet Kariwala: Very clear, sir. And there's a meaningful cut in Savings Deposit Rates. Broadly, other things remaining the same, how much would Cost of Deposits come down by because of that?
Niranjan Banodkar: So we are expecting overall Cost of Deposits to be lower by approximately 20 basis points.
Sumeet Kariwala: Overall, yes, t his is just because of SA Deposit cut?
Niranjan Banodkar: Yes, SA Deposit. But Sumeet, I would encourage that we should not anchor that for any immediate impact standpoint because like I was mentioning in my earlier conversation, the way this cycle will play out is you would have immediate impacts coming in, let's say, on the loan book. The Deposit Book will -- when I say deposit, the Term Deposit Book repricing will take its own time with some lag.

And, therefore, this cut kind of allows you to off set the interim, let's say, deficit that you might have. But the point I was making is assuming that there are no more rate cuts, let's hypotheti cally take that case, but over a three to four quarters, as you exit as a combination of this, you should have been coming on a positive NIM trajectory.
Sumeet Kariwala: Okay. So ex -RIDF, your margin would log ically be slightly down over a four quarter period ex-RIDF benefit ?
Niranjan Banodkar: No, Sumeet, again, I'm clari fying that's not what I'm saying . If I take the full impact of Cost of Deposit, including the SA, I'm not saying that we will compress margins. So to just answer bluntly, the rate of SA is also to enable that we should not have any compression because of the immediate repricing of the loans.
Sumeet Kariwala: Got it. And last question, sir, you mentioned multiple drivers for margin improvement over a 2 -year period. Just wanted to get an idea on the loan mix as well. Will that be a positive shift?
Prashant Kumar: No, I think on the loan mix, especially, I think it would remain in the range of that 60% to 40%, like 60% would be Retail and SME and 40% Corporate and others. The only thing would be like the 60% on the Retail, which is exactly like almost like 43%, pure Retail, which was not growing in the last finan cial year, we would be seeing a growth of 10% to 12%, where the margins are better as compared to the other part.
But the whole mix on the loan side is not always keeping in view the yields, but also it's a diversification of risk, which actually is now helping us like there was a problem on the Retail,

the Corporate is helping us. Earlier when there was a problem on the Corporate, Retail was helping. So I think this diversification of book give

s you advantage both on th e risk side as well as on the return side.
Sumeet Kariwala: Thanks Prashant and Niranjan for answering those questions. Thanks a lot.
Prashant Kumar: Thank you.
Niranjan Banodkar: Thank you.
Moderator: The next question is from the line of Harkeerat Singh who is an individual investor. Please go ahead.
Harkeerat Singh: Hello. Am I audible?
Moderator: Yes, sir. You are audible. Please proceed, sir.
Harkeerat Singh: Sir I have two questions. First question is regarding the Retail Banking. Our losses from Retail Banking has increased quarter -on-quarter by around 50%. So how are you trying to – when will we see some profits in this division and second is regarding the loans from Retail, how much percentage of Total Retail Loans are you getting from the branches , Yes Bank branches and from other party also, third party vendors?
Niranjan Banodkar: This is Niranjan. Can you hear me, sir?
Harkeerat Singh: Yes.
Niranjan Banodkar: This is Niranjan Banodkar . So sir first question was on the increase in the Retail Losses. Sir as you would have – so if you see in our results we have also said that our PCR in this quarter has increased from 71% in December to 79.7% as of March. The increase in PCR in itself if we just put on a number translates to an excess of INR 300 crores of provisioning and that largely if you ascribe to the Retail Business just in terms of intention of increasing the PCR is resulting into the increase in the loss from that particular unit, that's number one.
Number two, I also want to take the opportunity to also state that what you see as part of the Segmental Result is a regulatory requirement under which we define certain exposures. This is the regulatory definition. However, when we look at definition of Retail from internal segmentation there are other elements of revenue that also get mapped and just, for example, within the Segmental Result t hat you will see there is an Other Income line where you might have the third party distribution , where the income gets mapped, but it 's not shown as part of Retail.
But having said that, we do acknowledge that in Retail, just given the way the credit losses have played out over the last 12 months to 18 months, there has been a drag. But if you look at the performance purely from an Operating Profit perspective, I t hink we do see very strong and encouraging signs from the Retail Business.

I think the last point I wanted to make on segmental, which you will appreciate, sir, is that Retail also includes liabilities, and liability business is a capital -intensive bus iness with Cost to Incomes which are higher than other businesses, because it involves investments in branches, people and those costs effectively also get re flected in the Retail Business.

So as we start seeing normalization of credit losses, as we start seeing growth coming back on our Retail Assets, and as we start seeing operating leverage on our branches playing out, we are confident and that we will be able to deliver profits on the Retail Segment as well.
Your second question was on -- I think the question was on loan from Retail, what is the proportion from what we do internally and what is that we do from DSAs, if that was the question. So we have very consciously been increasing the share of Retail Sourcing from our branches.
And that about 2 years back was 37% of our entire disbursements has actually now touched 50% as we go in this year. Our intent is to keep increasing that share. The reason I also wanted to state is why some of the sourcing was not much higher on day 1 is also because there are -- I mean, there are 2 way s of looking at driving retail.
One is you can wait for a strong liability and a large customer base franchise to get built out and then you can use assets to cross -sell. But it takes time. It

will ha ve its own ways of reaching
scale. The other is to say, I can also have a separate acquisition engine on Retail Assets. And as the book builds, I can now start moving towards more internal sourcing, because the franchise is also growing in size and scale .
And I think you are seeing that play out in our instance, where the internal sourcing proportions are going up, because we are now having a much larger set of customers to deal with as compared to what we had about, let's say, 4 or 5 years back. I hope that answers the question.
Harkeerat Singh: Okay. I have one follow -up question.
Niranjan Banodkar: Yes, go ahead.
Harkeerat Singh: Yes. I'm just asking the Retail Loans -- sorry, Retail Losses, have they peaked in this quarter? Or are you seeing that they could increase further from here on in the coming quarters?
Niranjan Banodkar: So our expectation is that Retail Losses have peaked, and we should not see an increase of Retail Losses from here on.
Harkeerat Singh: Okay, thank you.
Mod erator: Thank you. The next question is from the line of Srinivas , who is an Individual Investor. Please go ahead.
Srinivas : My question is regarding the key drivers which will impact the bottom line of the Bank. This year, we have made a full profit for the entire FY '25, which is INR 2,406 crores. So INR 2,406 crores, I mean, if this has to increase substantially, I mean, I c an see at least 3 metrics wh ich should really fall in line.

One is the ROA, the other is the NIM, and the other is the Total, I mean, Asset base. Asset base also should be increasing. Actually, if we see the last 5 years, like since FY '20, there has be en substantial increase year -on-year in the Total Assets of the Bank. But in the current FY '25, as you compare it with FY '24, the growth rate is quite low as compared to the previous years. So what is the guidance for the Total Asset base growth rat e over the next 5 years and also NIM and the ROA over the next 5 years?
Niranjan Banodkar: So sir, thank you for the inputs that you have given us. When we look at the NIM and ROA target, we have stated this publicly earlier as well. We are confident that we will, as a Bank, deliver a 1% ROA for fiscal '27 in excess of 1%, just to be precise. And we will also deliver a target of 1.5% ROA by either f iscal '29 or max by fiscal '30.
So we are very confident of delivering both t hese targets. Now our ability to drive those targets predominantly will come in from the expansion of the Net Interest Margin, which is currently at 2.5% exit for March '25. Full year was about 2.4%. And we have very clearly identified drivers that are going to contribute towards expansion of the Net Interest Margins from a 2.4% in excess of 3.5%.
So clearly, Net Interest Margins, I would say, is the number one driver for expansion of ROAs. That's number one. Number two, of course, as a Bank, as we scale, we do also believe that we will continue to be very frugal and optimal on our cost structure. I would say a lot more as of now, where we are very prudent and in many ways, you can say, surgical on costs. And that will also result into cost to assets improving over the next 3 to 5 years.
Will that be a dominant par t of the contribution to the ROA expansion? Not necessarily, but it will be one of the contributors . Fees to Assets, we have been doing quite well actually over the last, I would say, 1 year, 1.5 years. And I think it's already now expanded to about 1.4%. We don't expect that Fees to Assets will expand by a much material number. We might see another 10 to 20 basis points of expansion in the Fees to Assets. But like I said, it is the Net Interest Margin that will driv e ultimately the ROA expansion.

Now as the NIM expands, clearly, we are going to see the benefit come through on the NII growth as well, which will ther

efore be faster than the Asset growth that we have. On the Assets,
Prashant did mention earlier, we do expect that the Assets should be growing -- the Advances rather, pardon me, should be grow ing in the range of 12% to 15%.
However, over the next 3 years, we also expect that the RIDF balances will come down. So to that extent, the Total Assets will actually grow slower than the 12% to 15% margin. But yes, I think that's largely the direction with which we operate.
Srinivas : Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to M r. Prashant Kumar for closing comments.

Prashant Kumar: Again, thank you, everyone, for taking a keen interest in joining this earnings call. I think the Bank has been able to consistently deliver on the assurances which has been given to the stakeholders , and we are quite confident that going forward, we would be moving in terms of meeting our business objectives and also in terms of the profitability ta rgets. So thank you so much for your support and the keen interest. Thank you.
Moderator: Thank you. Th is brings the conference call to an end. On behalf of YES Bank, we thank you all for joining us. You may now disconnect your lines.

Call: Jul 2025

YBL/CS/202 5-26/77

July 25, 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the Un-audited Financial Results for the Quarter (Q1) ended June 30, 2025
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on July 19, 2025 for the Un -Audited Financial Results of the Bank for the Quarter (Q1) ended June 30, 2025. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link
https://www.yesbank.in/about -us/investor -relations/financial -information/financial -results/financial -results- detail -page/analyst- call-transcript -2025 -26-q1
The weblink of BSE Limited and National Stock Exchange of India Limited providing the above information is being hosted on the Bank's website www.yesbank.in pursuant to Listing Regulations, as amended.
You are requested to take the same on record .

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary

Encl.: As above

"YES Bank Limited
Q1 FY '2 6 Earnings Conference Call"
July 19, 202 5

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER – YES BANK LIMITED
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR – YES BANK LIMITED
MR. MANISH JAIN – EXECUTIVE DIRECTOR – YES BANK LIMITED
MR. SUNIL PARNAMI – HEAD OF INVESTOR RELATIONS AND SUSTAINABILITY – YES BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to YES Bank's Q1 FY26 Earnings Conference Call. On the management panel, we have with us today Mr. Prashant Kumar, Managing Director and Chief Executive Officer, Dr. Rajan P ental, Executive Director, Mr. Manish Jain, Executive Director, Mr. Niranjan Banodkar, Chief Financial Officer and Mr. Sunil Parnami, Head of Investor Relations and Sustainability.

Mr. Prashant Kumar will now give you an overview of the results, which will be followed by a question and answer session. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

Before we proceed further with this call, please note, while all efforts will be made that no unpublished price -sensitive information would get shared in case of an inadvertent disclosure, the same would, in any case, would form part of the recording of th e call. Further, some of the statements made on today's call could be forward -looking in nature. A note to this effect is provided in the Q1 FY26 results presentation itself, shared on the Bank's website.

I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you, sir.

Prashant Kumar: Thanks. Very good afternoon and thank you for joining us for our Q1 earnings call. I am accompanied by the senior leadership team members of YES Bank .

As a part of our strategy which we shared last time on the profitable growth, I am pleased to share with all of you that Q1 was the seventh straight quarter of sequential expansion of the Bank's Net Profit at INR 801 crores , which is 59.4 % up Y-o-Y and 8.5 % sequential ly.

During the quarter, the Bank improved the ROA by 30 basis points to 0.8 % against 0.5 % in Q1 last year and 10 basis points sequential ly.

Regarding Pre-Provisioning Operating Profit (PPOP) , the Bank reported PPOP of INR 1,358 crores , which is up 53.4 % Y-o-Y and 3.3 % sequential ly. This marked the fourth consecutive quarter of PPOP expansion for the Bank.

The Y-o-Y PPOP growth has been supported by stable NIM s, treasury income and continued discipline in expense management. For Q1, the PPOP to Average Total Asset is 1.3 % against 90 basis points for the same quarter last year, reflecting an improvement of 40 basis points.

NII for the quarter was INR 2,371 crores , which is higher at 5.7 % Y-o-Y. Compared to NIM s in Q1 of last year at 2.4 %, NIM s has trended upward to 2.5 %. The Y-o-Y margin increase can be attributed to reduction in RI DF Deposits and high -cost borrowing , and also the recent retail savings and TD rate cuts, though there was a challenge in terms of asset repricing impact on NIM s due to the reduction in repo rate.

The Bank's core income has grown by 3 % Y-o-Y and we continue to see good traction in granular and transaction fee income streams, with share of Retail Banking segment further improving to 56.4 % in the core fee.

Cost to Income ratio is 67.1 % against 74.3 % in Q1 of last year and if you exclude the expenses on PSLC, the Q1 operating expenses are up only by 5.7 % Y-o-Y and 1.3 % sequential ly.

The overall Asset Quality remained healthy, with Gross and Net NPA ratio remained stable at 1.6% and 0.3 % compared to Q4 '25. NPA provision coverage ratio has further improved to 80.2% against 79.7 % last quarter and 67.6 % in Q1 of last year.

The fresh Gross Slippage is 1,458 crores against 1 ,223 crores in Q4 of last year. Slippage s trended higher from isolated pockets in small groups from Microfinance , Small Enterprise Banking which is now part of the Commercial Banking , Micro

Enterprise book and the mortgage which are part of the Retail Banking . The unsecured segments of Personal Loan and Credit Card are seeing an improvement. The recoveries and upgrades during the quarter have been around INR 1,170 crores.

The Credit Cost at INR 284 crores and as a percentage to Total Asset is 0.3 % on annualized basis, partly supported by recovery of INR 338 crores from fully provided for Security Receipts .

Moving over to business and balance sheet items,

Advances have gone up by 5 % Y-o-Y.

In terms of segmental performance on Advances , Commercial Banking and Corporate and Institutional Banking segments have gone up by 19 % and 3 % respectively. On the other hand, while the headline Retail Banking segment Advances were flat Y-o-Y due to Bank's calibrated approach. However, within Retail Banking , the Micro Enterprise Banking Advances have gone up by 11.2 % Y-o-Y. For Y-o-Y book growth details of other retail asset products, you may please refer page 20 of our investor presentation.

The Total Deposit at INR 2.75 lakh crores has grown by 4 % in line with the Advances growth. But if you see in terms of a deposit growth which is coming from the retail and the branch -led deposit, they have grown by 20 % Y-o-Y and at INR 1.69 lakh crores. Retail and Branch -led CASA ratio is also at 38.2 % which has gone up by 200 basis point Y -o-Y. The Wholesale Deposit degrowth is mainly due to reduction in the term deposit on the wholesale side.

At the quarter end, CD ratio was around 87.5 % and it reflects of our consistent balance sheet optimization and balance asset liability strategy.

The RIDF and other PSL shortfall related deposits are down by 16 % which is a net drop of INR 7,000 crores. Correspondingly, borrowings have also been brought down by 16 % between the quarter 1 last year and the quarter 1 of this financial year.

In quarter 1, the Average Quarterly LCR remained healthy at 135.8 %.

The core equity ratio, the CET1, improved to 14 % with total capital adequacy (CRAR) at 16. 2% on account of the muted growth on the loan side but also helped by the easing regulatory requirements.

We as a Bank have been making steady improvements on multiple fronts over the past several quarters and in that backdrop, I am pleased to share with you that the Bank received multiple credit rating upgrades in June and July which included International Credit Rating Agency Moody's upgrading Banks' long-term foreign and local currency ratings to B a2 with stable outlook.

Further Moody also upgraded YES Bank's baseline credit assessment to BA3 from B1 reflecting stronger loss absorption buffer. Recently, both ICRA and CARE upgraded Banks' Tier 2 bonds and infrastructure bonds to AA - with stable outlook.

I am also pleased to update you that in recognition of our unwavering commitment to deliver secure, seamless and innovative digital solutions, recently YES Bank was honoured with a special mention award at the Digital Payment Award 2025 presented by the Honourable Finance Minister in recognition of the prevention of fraud and customer service. Further , both of our digital super apps i.e. IRIS by YES Bank and IRIS Biz as well as our open market UPI application called YES PAY for both YES Bank and non -Yes Ban k retail customers and YES PAY Biz again for both YES Bank and non -Yes Bank business customers are seeing a very good response and for more details on these you may please refer our investor presentation on page 40 to 44.

As I conclude, let me reiterate that YES Bank's core franchise is gaining momentum due to fast intervention. This momentum is expected to be further fuelled by our ongoing structural initiative around PSL and business transformation, our distinctive digital capabilities and market leadership acro ss digital payment ecosystems.

Having said this, fundamentally the key for us has been a

nd would continue to be disciplined
execution of our strategy and we would like to thank you for your continued support.

With this, we can now take your questions.

Moderator: Our first question comes from the line of Devdey from Ho rse Power Securities. Please go ahead.

Devdey: Congratulations for the splendid bottom line figure and upcoming share purchase deal. My question is regarding the elevated NPA. On which account the elevated NPA came from? And I want to know the structure of the share sale deal. I mean, the share sale deal is only limited to the sale of the share s from the existing shareholders who came to rescue in the time of crisis or will it involve any further preferential allotment to the incoming buyer?

Prashant Kumar: So I think coming to your first question, okay, in terms of elevated NPAs. So I think I would just like to reiterate our gross NPAs remain at 1.6% and this was also 1.6% last quarter and 1.7% in the quarter one of last year. Similarly, our net NPAs continu ed to remain 0.3% this quarter, which was also 0.3% last quarter and 0.5% in the quarter one of last year.

So our NPAs as a percentage has actually not increased. Actually, if you see our loan growth has been only say 5% growth. And despite , this as a percentage, it has remained the same. So we are not seeing the elevated NPA issue at all. Okay. Coming to your second question on whether the transaction would be only a secondary transaction or any primary.

I think as of now, this is a transaction where they would be taking 20% share only from the State Bank of India and other banks who came in at the time of the restructuring of the Bank in March 2020.

Devdey: Yes. Just an addendum question. I mean, your management team has been in discussion with that buyer. So what is his intention? Is the buyer is intending to steep up the shareholding or are they happy with 20%?
Prashant Kumar: So I think at this point of time, I think if you see the transaction has happened between the SMBC, the prospective buyer and the State Bank of India and other banks. Okay. So I think it would be difficult for us to read their mind for future.
Moderator: Our next question is from the line of Ravishankar , an Individual Investor.
Ravishankar: First of all, congratulations on the quarterly results. My question is…
Moderator: Sorry to interrupt. Ravishankar , your line is not very clear.
Ravishankar: Yes. I thought of asking an update about RIDF . We were expecting INR 25,000 crs to be matured this financial year. So any update on that, sir?
Prashant Kumar: Sorry, which one? Can you repeat?
Ravishankar: Rural Infrastructure Development Fund, sir , RIDF .
Prashant Kumar: Not INR 25,000. I think we shared with you this RIDF deposit. There would be a repayment, which would be in the range of around INR 8,000 crores - INR 9,000 crores. And this is exactly what we have shared. RIDF deposit has come down by 16%, which is like INR 7,000 crores in last one year.
Moderator: Our next question comes from the line of Ruchit Kapadia , an Individual Investor.
Ruchit Kapadia: First of all, congratulations and thanks for giving me this opportunity to ask this question. My question is on the digital transformation. I wanted to understand if you can give or share specific examples of how YES Bank is leveraging either enterprise AI or the generative AI to drive the business outcomes, such as improving risk management and increasing operational efficiency ? That's one. The second question on the same lines is that, do you have any plans to include such relevant KPIs as a part of your quarterly investor presentation deck?
Prashant Kumar: I think this is a very, very good point, which you are raising here. I think in the future, there is a lot of opportunities as I spoke , to implement the new technologies, both on artificial intelligence and g

en AI, okay, in terms of reducing costs and bringing efficiency. I think this is one area which is like a work in process.

We are trying to pick up some of the small use cases and would like to see how the AI can be implemented in those pieces, okay. We have picked up two, three cases, but with completely in alignment with you, that there are a lot of opportunities where we ca n start using those new technologies. And definitely, we take your point and going forward in our investor presentation, we would share the development related to the new technology being adopted by the Bank.
Moderator: Our next question comes from the line of Abhijeet Kumar Choudhary from CSC.
Abhijeet Choudhary: Sir I am from Jharkhand. YES Bank results came and it is good result, also I am excited about this. Sir my question is if any small investor is investing in any company, he will expect a regular source of income in the form of dividend. So last year also you said that we are growing continuously from past 3 years , so next year we may get dividend. This year too, you declared good result s with no announcement of dividend , which is a little disappointing. Will request you to please clarify.
Prashant Kumar: Look, your concern is absolutely right. I understand that whenever a person invests, they have an expectation of regular income from such an investment . So, first of all, thank you very much for investing our Bank and also being happy with the Bank’s performance. We will endeavour to consistently perform going forward. However, t I would like to reiterate the difficulties that the Bank faced in 2020. Since then , collectively with support from all stakeholders over last five years, we not onl y stabilized the Bank but improved our profi tability and will continue our efforts in the same direction . As far as dividends are concerned, the Bank has a well -defined dividend policy. Once the prescribed parameters are met, the Board will duly consider the interests of our investors and take an appropriate decision.
Moderator: We have a follow -up question from the line of Devdey from Horse Power Securities .
Devdey: Yes, gentlemen. I want to know regarding the credit growth. In the previous analyst meet, if I am not wrong, you guided at least 12% credit growth, right?
Prashant Kumar: Yes.
Devdey: Yes. But in the first quarter, the credit growth is not up to 12%, I believe, right?
Prashant Kumar: Yes.
Devdey: So, then from which quarter you expect the credit growth to speed up to meet your target?
Prashant Kumar: It is the first quarter. Yes, please continue.
Devdey: No, no, sir. You finish, then I ...
Prashant Kumar: Okay. So, first quarter you know is one of the slowest quarters in the economy , always. And that's why if you see the credit growth for the banking industry in the first quarter is also in the single digits. Last time, we also shared with you that we would like to see a credit growth

between 12 % to 15%. But at the same time, we would be focusing only on that credit growth, which will also give us the profits.

So, I think the profitable business growth was the key message which we gave last time. Quarter 1 was a muted growth, but I think we are quite confident the way the interest rates in the market has come down. There has been an improvement in the GDP. And I think some of the challenges in terms of trade negotiation would also be cleared in maybe next f ew days.
Then I think the overall credit growth in the economy would further pick up, and we would be able to participate in that credit growth. But definitely, I would again like to reiterate, our focus would be on a profitable credit growth. Because just by growi ng credit without making profit would not be good for any of our stakeholders, especially on the investor side. But I think we are q

uite confident that , that we would be able to achieve this kind of credit growth in the future.
Devdey: Okay, I understood. But I want to get a clarification from you, that whatever credit growth is , at 12% to 15% or in between any figure of that, the credit growth would be supported by your raising deposits? Or would your capital position or fund position can easily accommodate that credit growth of 12% to 15%? I mean, are you targeting the credit growth through only raising the deposits or raising of capital is needed?
Prashant Kumar: So basically, there are two aspects of credit growth. One is the Deposits , another is the capital. Capital we have sufficient. If you see our C ET ratio is 14%. So 14% capital ratio is very good in terms of supporting the credit growth. But whenever we would be growing on the credit, it would also be supported by the deposit growth, which we are confident to raise is not an issue.
Like if you see our Branch Banking Deposit has grown by 20%.
So depending on the requirement, we would be able to raise deposit. So either deposit or capital is not a constraint for the loan growth. We would continue to grow.
Devdey: Then what percent of the growth in deposit are you expecting for this financial year? If the credit growth would be 12% to 15%, then there is some expectation at your end that some percentage, this percentage is required in the deposit growth. What would be that percentage?
Prashant Kumar: So whatever percentage we would be able to grow on the loan side, the same percentage we would grow on the deposit side.
Devdey: Okay.
Prashant Kumar: Thank you.
Moderator: Thank you. Our next question comes from the line of Jai from ICICI Securities. Please go ahead.
Jai: Hi, Sir. Thank you for the opportunity. Sir, a few questions. First on slide number nine, which gives the breakup of provisions. So we have collected INR 338 crores from SR. And now I think the book value is zero. Is this number same as provisions for investment, which is minus INR 345 crores? I mean, is this number the same? I mean, whatever recoveries that we are getting from SR in this quarter and next quarter or incoming quarters, that would be come down as negative provision line item?

Niranjan Banodkar: Jai, this is Niranjan. That's right. So whatever recoveries , cash flows we get from the ARC, either as redemptions or excess recoveries, that will flow into the provision for investments as a write back.
Jai: Sure. And Niranjan or Prashant sir, if you have any ballpark number for, let's say, for the next 9 months, how should one look at? For this run rate of INR 340 - INR 350 crores , is this a normalized run rate or there could be some material changes there?
Prashant Kumar: I think this is by and large the run rate kind of thing. So we are looking for something around, say, INR 1,200 crores to come from the Security Receipts for the full year.
Jai: Okay, sure. And secondly, sir, while I understand that you are not a party to the secondary transaction which is happening, but if you can suggest a timeline, I mean, this was -- the proposal went to RBI, for example, in May beginning , we are mid -July. What is your best sense in terms of timeline of their approval from RBI? Does it involve anything from your end?
Prashant Kumar: So, Jai, I think fundamentally, if you see, the transaction was announced in the first week of May, okay . And as per our understanding, application has gone by the May end , okay . So we are expecting, in view of the past experiences, that maybe approvals might be coming in the month of September.
Jai: Sorry, by end September ?
Prashant Kumar: Yes.
Niranjan Banodkar: But Jai, as you know, this is a regulatory process. I think it will run its due course. And it's also not fair on our part to be suggesting a timeline and also expecting that we give you a timeline on

this.
Jai: No, that is right. Just a normal previous experience. Of course, this is not in your hand. Okay, so that is right. And, sir, do you, let's say, in case they get 20% and let us say they want to go a bit higher, do you, I mean, does the Bank need capital or you believe this 14% C ET1 is good, but of course, higher can be even better? Or because the purchaser has, you know, one lending license in the form of NBFC. So getting ahead of 20% can be a tricky thing. Your thoughts there? I mean, I just wanted to get some sense there.
Prashant Kumar: Jai, I can only comment in terms of whether 14% is sufficient for us or not. I think 14% C ET ratio is good for us in terms of meeting our loan growth estimation for the current year. So we don't see any immediate need for the capital. I can't comment on the other part.
Jai: Sure. Okay. And lastly, sir, on your NIM, so of course you have one distinct advantage of RIDF, receding RIDF. But if you can comment, how do you pass the repo rate? Is it T+1? And, you know, what is your sense? Should the NIM be stable to rising only , because you have this receding RIDF or you may also have a NIM decline before it starts to rise up?
Niranjan Banodkar: Jai, if you can just clarify on the point you made on how do we pass on the repo T+1, can you just help us clarify on that piece so that we can respond?

Jai: No. So I wanted to check if the RBI cuts the repo rate on let's say 4th of June. A lot of banks passes on 5th or overnight or maybe 1 or 2 days basis for the EBLR loans. Of course, MCLR is monthly with certain reset. But the repo rate linked loan for a lot of banks is passed on immediate basis. So that is like T +1.
Niranjan Banodkar : No, I understand. So just quickly to respond to that, the rate is passed on the next reset of that loan. And the portfolio typically you can take a safe assumption that will reset every 1st of the month. So, if you have, let's say, a loan that will reset on 1st July, 1st Au gust or 1st September. And therefore, if let's say a rate action has been taken post the 1st of the month, it will only get reflected in the repricing starting the 1st of the next month.
Jai: Right. So, basis this sir and your advantage on RIDF and rate section that you've taken on SA and TD, what is your outlook on the NIM for the next quarter and maybe full year?
Niranjan Banodkar: So, Jai, if you recall, we had specifically called out in our last results as well that and this was in the backdrop of a cumulative 50 basis point rate cut back in April. What we had said is our objective through this interest rate rate cut cycle is to make sure that ultimately we exit out of this cycle while maintaining the spread between TD rates and our loan yields , right.
However, we understand that the TD rates, of course, will take its time to reprice. And therefore, on savings account, we wanted to use that to mitigate the compression that we would see, which is the interim compression in the loan spreads over TD rates. And that's why we did undertake the SA account rate cut in April.
It was also part of a strategic design. So one was that was helping us mitigate the NIM s, but it was also a strategic design on part of the Bank to really move away from a rate induced acquisition thought process to more the customer service and fulfilment thought process. So, I think it's a very material update. But anyways, coming back.
So had just with the 50 basis points of cumulative rate cut, we would have and which we had said earlier as well, that we would have protected margins in this period. And then we would have accreted at the end of the period, end of this financial year.
Now, with another 50 basis points of rate cut that has come through in May, in June, first week, what we are observing is that there is going to be pressure on the loan yields. And that the peak of that press

ure we would see in the immediate future, which is September, because as you also rightly said, with the way the portfolio gets repriced, the maximum imp act of this 50 basis points and a part of the 25 basis points from the previous cut will actually be in the quarter of September. And then December, th e impact will be lower. And then of course, you know, as we exit December, you would have fully absorbed the impact.
Now, from our vantage point, we are working on two principles here in this period. One, we continue to review our deposit rates in line with where we believe it is pegged right. So that's one part which will offset. And the fact that we have corporate deposits as well, which reprice faster also gives us some protection. That's number one.

Number two, there is also some CRR benefit that will also start flowing in as we start looking at towards the end of September into December. And then of course, we have, as you rightly said, the RIDF, right? So, we don't -- we will not want to give a specific guidance here, just given the way there has been quite, I would say, material evolution of loan spreads in the market.

But what we, directionally, you could say that September might face headwinds, which we
believe December should start looking closer to where we are today. And as we look at March,
we should possibly see improvements as a combination of all the actions tha t we are talking
about. But I don't want to kind of pin a specific number.
Having said that, I think the last point I wanted to make on margins is that this is assuming that
the incremental loans that we are seeing are operating, are going to operate at the similar spreads
to where they are today. If the competitive intensity fur ther increases as we go into, let's say,
September and December quarter, that will also have a bearing from a margin standpoint.
Jai: Sure, sure, Niranjan. Thanks. And lastly, sir, I mean, you were giving one detailed backup of
slippages into various retail products, which is now missing in this deck. If you can provide the
-- specifically the slippages, an absolute number for PL and credit card, or if you can sugg est
some direction there for Q1?
Niranjan Banodkar: You're saying at a portfolio level, you wanted to know what the slippage -- gross slippage for …
Jai: Yes, Yes, for PL and credit card is?
Niranjan Banodkar: So, P L gross slippage is actually trending in the range of about, let's say, about INR 225 crores.
And credit cards would be in the range of about INR 180 crores.
Jai: Okay, sure.
Niranjan Banodkar: Thank you. Thank you, Ja i.
Jai: Sorry, you can complete, sir, if you want.
Sunil Parnami : Sorry, Ja i, this one additional data point that PL slippage has seen a reduction from 240 handle
to about 220 this quarter. So, it's important to call.
Dr Rajan Pental : And so is cards, which also is trending down with every quarter.
Jai: Sure.
Moderator: Our next question is from the line of Harsh Modi from JPMorgan. Please go ahead.
Harsh Modi: I just wanted to understand the quantification of NIM decline over the next couple of quarters. I
understand that the biggest impact is in second quarter and also a bit more compression Q -on-Q
in third quarter. So, especially in third quarter, I wanted to understand if that compression Q -on-
Q is right.

And if I could -- if I would want to dimension it, especially given that rate cuts are coming
through, SA rates , coming to TD rate cuts coming through, how much is the deposit beta? And
how should we think about the quantum of decline over the next couple of quarters?
Niranjan Banodkar: So, Harsh, again, I will refrain from specifically speaking about a very near -term trend of how
this plays out. What I can certainly say is, when we look at the Yield on Advances , and I'm just
talking abou

t the stock book, which is floating, which is going to see the impact, that book,
which is floating from a repo standpoint, will see about a 50 basis points impact in September
quarter , right.
Now, if I were to look at what does this mean from a NIM compression and I'm just saying is
that stock book, which is floating. S o our total repo linked loans are about cumulative floating
rate book is about 60% , of that repo is possibly about 60% of that .
So you can possibly do the math to say what that 50 basis point implication works out on Yield
on Advances . But I think the point I wanted to leave with you is, while that impact happens, we
continue to work on improving the yield structure on our loan book as well.
So, for example, when we look at, let's say, retail disbursements, of course, the book is not grown
as much. In fact, it is flat. But if I look at the retail loan yields, they're already operating at about
150 basis points higher than where the stock is. And that, to that extent, we do expect that there
will be mitigation that will come through on the loan yield compression. That's number one.
Number two, we also have our ability to work through an efficient balance sheet where the share
of Advances to Total Asset - how do we kind of work through that in this period when NIMS
are going through to see some pressures.
And t he last is, of course, we've also seen reductions in our borrowing. So there have been
already repayments of some long term borrowing that we've had in the past. So the point I'm
making, Harsh, is at the core level, while there will be pressure on net interest marg ins in the
immediate term. O ur objective is to see how we can best minimize that to possibly target maybe
even a neutral situation. But I think it's a function of how some of the market forces will also
play out.
Harsh Modi : Yes. So thanks to that market forces point, I'm getting a sense, I'm not sure right or wrong, but
there are certain players who are already showing, even in the se early days, some signs of a
degree of indiscipline, either on pricing or on credit standards, because it seems a lot of players
are looking at a certain kind of segments which are not very high yield, mortgages, you can't
really compete with the biggest g uys.
So a lot of the banks are competing for similar debt. Is that something that can play a spoiler?

And the second point, the question related is, if we are unable to manage external forces, if competition is really hard, what else can you do at P&L level to protect your ROAs? Because ROAs are already razor thin , and if Cost of Fund or market discipline is somethin g that can't be managed well. I'm thinking c an LDR go up from 87 to 90 -95 or like what are the other levers you can use?

So two questions here, market forces or indiscipline and what can you do to manage your R OA at current levels?
Management: Sure, Harsh. So on the first part, I think some of what you said is already got reflected in the way you look at our loan growth this year. So, f or example, if you look from a Y -o-Y standpoint, we are operating in the range of 5% to 6% loan growth. Of course, there are specific reasons for that, but I think at a very fundamental level, wherever we believe that the pricing is not conducive or is not meeting the risk filter s that we believe are relevant. We are not going after that growth. So I th ink if I were to look at, let's say, a spectrum of prioritization, there is, of course, profitability and then there is growth. What we keep trying to work is to find a good balance between the two equations with, I would say, a sharper focus on improving the profitability. So I think that's the first point.
The second is from a margin standpoint, we will continue to see redemptions in our RIDF book. So I think that's clearly one part that is playing out from a Net Interest Mar

gin . Second is on our
ability to drive cross -sell and consequent opportunities from a fee. I think we will continue to work hard on that aspect.
And the last is I think and which is also important, is to continue to be very disciplined on our cost. And when I say cost, these are both operating costs and that we have already been able to pull back the growth, which are single -digit growth for the last, I would say, two or three quarters on a Y -o-Y basis. But importantly, also the credit cost. We are already operating at a PCR at 80%.
Our view is that slippages should also start trending lower from here on at a gross level and therefore what net goes into the GNPAs. So while in the immediate term, even if you were to assume that there might be some pressure on the margins, our expectati on is that we will continue to work through our operating cost structure as well as credit cost and look to cross -sell from a fee line.
But I think there are levers from an ROA standpoint that we will continue to unleash. But as I said, we are talking about a very near -term element of one or two quarters. Structurally, as we look to exit fiscal 26, we should already have levers that indicate that Net Interest Margin is on an improving trend and not on a declining trend.
Harsh Modi : Great. I'm sorry, the final question on the market competition, which segments you are letting go in terms of growth to protect profitability?
Niranjan Banodkar : So, Harsh, I think, let me break this again into, I thin k there are three parts. First, if you look at the Corporate segment, the Large Corporate segment, I think there is op portunity not only from banking, but their access to capital markets as well. So to that extent, if we find that the opportunities are wafer -thin on margins, we will not pursue. That's number one.
Number two is when we look at our retail, now retail, if I break that retail book while at a blended level we are operating at a much higher yield, what's happening is that we need to also grow that book faster. But it's just that at this point in time and we'll take the example of unsecured as a

line item, un secured has been effectively de growing for us when I just look at, let's say, the personal loans portfolio and it is de -growing for re asons well known already.
So, we do expect that as the Asset Quality metrics on unsecured now are already stabilizing to already showing early trends of improvements, we can look to also improve that particular book. So once that happens, you will start seeing some benefits play out as well. So I think there are some of the se nuances that are playing out.
But just to respond to your specific question, it is essentially the Large Corporate to Mid-Corpora te, upper end of Mid-Corporate , where I think we do see very, I would say, shrinkage of margins. And on the retail, I think there are products like home loans, auto loans, which in any case, we have been on a bit of a de -focus over the last 4 to 5 quarters.
Moderator: Our next question is from the line of Ravi Shah from EquityDoctor . Please go ahead.
Ravi Shah: Yes, first of all, congratulations on a good set of numbers. Now I have two questions. First, regarding, I know that you are a secondary party, but if you can provide some information that recently the news has arrived that SMBC may go above 20% and make it to 25% also?

And my second question is regarding, if you check the PPT, Page number 54, you have provided
the shareholding pattern for the quarter ended June. Now there is a 0.4% discrepancy. The total,
if we do addition, it is coming 99.6. So...
Niranjan Banodkar: I'll take the second question, Mr. Shah. That's actually been rounded up to one decimal. I think
that is causing the totalling …
Ravi Shah: I think, no, it is not that, because there is a 0.4, exact 0.4, 99.6 is coming. So you need to check
on your end

...
Niranjan Banodkar: We'll be happy to correct ourselves, if that is indeed an error at our part.
Prashant Kumar: And coming to your first question on the news item related to that, I think we would not be in a
position to comment on this.
Ravi Shah: Okay. Thank you, Sir.
Moderator: Thank you. Our next question is from the line of Ayan from Trinova . Please go ahead. Ayan,
your line has been unmuted. You may proceed with your question. As we are not receiving a
response from the current participant, we will proceed to the next questioner.
We have the next question from the line of Madhuchanda Dey from MC Pro (Moneycontrol
Pro). Please go ahead.
Madhuchanda Dey: So my question is on your long -term outlook for ROA. You have had this target of reaching 1%.
So, in the current quarter, of course, it's 0.8%, but aided a lot by the treasury line. So what is the
structural outlook on ROA, especially given the, the slightly subdued outlook on NIM in the
near term because of the systemic trade cuts? Does that 1% target get pushed? And if so, to
which year? And what are the levers that you see that the Bank is having to reach that 1% ROA?

Prashant Kumar: I think what we shared earlier also that we would be aspiring for a 1% ROA in FY '27 and say
by FY '30 would be in the range of 1.5%. We are quite confident and we are on track of achieving
that kind of number. You are right - the current 0.8% is ma inly supported by the treasury income .
But at the same time, this is always a combination. Either you will be getting a better ease on
your loan side or if the rate of interest is coming down, you get an opportunity to make some
money on the treasury side. But fundamentally, going forward, I think the lever for us is
definitely in terms of NIM expansion, which would be mostly happening through the profitable
loan growth, as well as in terms of reducing our Cost of Deposits . That is one part.
The second is also in terms of continuing to work on improving the Non-Interest Income . And
at the same time, I think the measures we have taken for controlling the cost, we will continue
to do that.
The other part would be definitely in terms of the credit cost. The credit cost, which currently
we have seen, I think we have reached almost a peak. In some sectors, it has already started
improving.
So I think going forward, we are quite confident that credit costs would also start coming and
also with the measures on this part. And especially when the RIDF balances would also start
repaying . Already, we have seen 16% balances on RIDF has come down.
We are going to see further reduction in the current year. And I think by FY '27, the RIDF
balances would be less than 5% of our Total Advances . So I think all these things together, we
are quite confident to achieve that 1% ROA by FY '27.
Niranjan Banodkar: If I can just add one more point here, Niranjan here, is while there are near -term pressures at an
industry level from, let us say, re -pricing of loans and therefore potential margin headwinds, it
is not that these margins will not be recovered. And therefore, getting to the point you made,
does that alter our long -term outlook for ROA from a margins lever standpoint ?
The answer to that is no, because while you might have some near -term headwinds, it ultimately,
over a period of, let us say, four quarters or so, will recover to start delivering the normalized
Net Interest Margins . And therefore…
Madhuchanda Dey: I got it. Fully got it. But I have a related question. In fact, I was harbouring that question when
Sir was responding to this. It's like, at 1% ROA, what is your assumption of NIM for the Bank?
Niranjan Banodkar: So we will be operating at about a 3% handle for a 1% ROA.
Madhuchanda Dey: Okay. And that you are reasonably confident that even if, suppose, there is another, say, 25 basis
points kind o

f a rate cut, maybe in three months down the line, you will be able to recoup this
2.5% and go 50 basis points higher by the exit quarter of FY '27. Is that a correct understanding?
Niranjan Banodkar: Ma'am, that's the endeavour. Of course, with evolving market dynamics, I think, we will have
to keep watching and react to individual situations. I was also responding to an earlier question
where if competitive intensity either is very high or very low c an also have bearings on margins.

But from our control lables , we do believe that as we go through FY ‘27, we should be able to
deliver the guidance outcomes.
Madhuchanda Dey: So this, sorry to belabour on this point, so this 1% ROA target is the exit quarter of FY ‘27 or average for FY ‘27?
Prashant Kumar: I think as of now, we are looking for 1% ROA for exit of FY ‘26 and the average for FY ‘27.
Madhuchanda Dey: Okay. Exit FY ‘26 and average for FY ‘27.
Prashant Kumar: Yes.
Moderator: Our next question is from the line of Raghvesh from JM Financial.
Raghvesh: Hi, Sir. Congrats on a great quarterly result. I wanted to understand the math around the RIDF . So, for FY ‘24, it was INR 44,000 crores what you had given in the PPT. Now, y-o-y (year on year) you have mentioned a kind of INR 7,000 crores decline? My calculation indicates from last quarter, it was already at somewhere around INR 36,000 crores. So how much has been the decline in this quarter? And if it's not the fall in RIDF, I mean, how much is the impact of the borrowings which have supported o ur NIM ’s, because the Q-o-Q NIM maintenance is something not other banks have been able to do.
Niranjan Banodkar : Sorry, I'm just trying to note all the questions you've made. So one is on the RIDF.
Raghvesh: Yes.
Niranjan Banodkar : RIDF, the balance that we had was in the range of INR 37,000 crores , as of March. And that number, as we look at closing, is lower at a net level by about, I think, INR 300 crores. So we have -- we continue…
Raghvesh: Okay.
Niranjan Banodkar : We are ballpark in the same range. I think the only -- I mean, there is some play of the recoupment, that redemption that we would have seen in the previous months -- previous quarter's closing stock was at a lower yield. And what has gone out, which is a nominal number, has gone out at a higher yield. To that extent, there is also some play from a basis point, but it may not be as material.
So I think that's one part. I think your question was emanating more from the margin standpoint. So, if I look at, let's say, Yield on Advances , Yield on Advances last quarter to this quarter, we've seen about 15 basis points of reduction. And if I look at our Cost of Funds , we've again seen about 15 basis points of reduction.
So I think to that extent, we continue to operate in a similar zone. And that 15 basis points largely comes from about 20 basis points of reduction in the Cost of Deposits . So that is what is flowing into about 15 basis points of reduction Cost of Funds . And that's getting reflected in, therefore, quite a comparable net interest margin structure for June quarter.

Raghvesh: And you also mentioned during the call that there was a contribution of lower long -term borrowings. So, I mean, that is not hit at this level ?
Niranjan Banodkar : So what happens is, see, there are different mix that also kind of plays out. I think from a net interest margin standpoint, the contribution of that on an average basis during the period, I think those are elements may not be as material while it is impo rtant, because we continue to see improving trends now of redemptions and repayments in our borrowing.
So, for example, there was about 550 crores of Basel III -compliant Tier 2 borrowing that got redeemed towards the fag -end of June. So is that a very substantial number?

The answer is no.
But that’s helping -- that will help us get our borrowing cost lower. There has also been redemptions on our Infra bonds over the last two quarters. So that's, again, going to help.
But it -- for us, there are a lot of these elements and levers that we will keep working on to keep reducing our cost of funding. And there is just from Basel III Tier 2 bond standpoint, we will have cumulatively this year about INR 4,000 crores of redemptions that we will have to go through and that also helps us from a Cost of Borrowing .
So, yes, I think, just going back to a previous question that was also asked, we will want to make sure that the headwinds that we face on the net interest margin from loan repricing, our objective is to see how we can maintain that in a very minimal impact margin in the absolute immediate term and then look to course correct and look to improve.
Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Prashant Kumar for closing comments.
Prashant Kumar: Again, thank you so much for joining our earning call. And as we have stated last time also, you would continue to work on a profitable growth and this quarter result is actually a demonstration of our resolve to achieve that objective. Again, thank you s o much.
Moderator: Thank you. This brings the conference call to an end. On behalf of YES Bank, we thank you all for joining us. You may now disconnect your lines.

Call: Oct 2025

YBL/CS/2025-26/141

October 27, 2025
National Stock Exchange of India Limited BSE Limited Exchange Plaza, Plot no. C/1, G Bl ock, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648
Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the Un-audited Financial Results for the Quarter (Q2) and half-year ended September 30, 2025
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on October 18, 2025, for the Un-Audited Financial Results of the Bank for the Quarter (Q2) and half-year ended September 30, 2025 . The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link.
https://www.yes.bank.in/about-us/investor- relations/financial-information/financial-results/financial-results-detail-page/a nalyst-call---transcript-2025-26-q2
The weblink of BSE Limited and National Stock Exchange of India Limited providing the above information is being hosted on the Bank's website www.yes.bank.in pursuant to Listing Regulations, as amended.
You are requested to take the same on record.

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary
Encl.: As above

"YES B ANK Limited Q2 FY '26 Earnings Conference Call"

October 18, 202 5

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , YES BANK LIMITED
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR , YES BANK LIMITED
MR. MANISH JAIN – EXECUTIVE DIRECTOR , YES BANK LIMITED
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER , YES BANK LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to YES B ANK 's Q2 FY '26 Earnings Conference Call.
On the Management Panel, we have with us today, Mr. Prashant Kumar – Managing Director and C hief Executive Officer ; Dr. Rajan Pental – Executive Director; Mr. Manish Jain – Executive Director; Mr. Niranjan Banodkar – Chief Financial Officer ; and Mr. Sunil Parnami – Head of Investor Relations & Sustainability .
Mr. Prashant Kumar will now give you an overview of the results , which will be followed by a question -and-answer session.
As a reminder, all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during th is conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we further proceed with this call, please note, while all efforts will be made that no unpublished, price -sensitive information would get shared ; in case of an inadvertent disclosure, the same would, in any case, form part of the proceedings or the recording of the call.
Further, some of the statements made in today's call could be forward -looking in nature. A note to this effect is provided in the Q2 FY '26 results presentation itself shared on the Bank 's website.
I now hand the conference over to Mr. Prashant Kumar. Thank you and over to you, sir.
Prashant Kumar: Thank you. A very good afternoon and thank you for joining us for our Quarter 2 Earning s call.
On this call, I am accompanied by the senior leadership team members of the Bank.
At the outset, I would like to wish all of you and your family a very happy and prosperous Dhanteras and D eepavali . I am aware of the fact that there are many results and calls lined up for today. Hence, I would keep my remarks brief and touch only on few of the strategic and thematic trends.
This quarter we saw a good traction across several key operating metrics.
Starting first with Deposits, wherein there was a sustained momentum and continued outperformance vis-à-vis the industry, particularly in CASA Deposits.
a) The Bank 's Total Deposit at INR 2.96 lakh crores have grown 6.9% Y-o-Y and 7.4% quarter -on-quarter . This strong sequential traction, despite the rate cuts action taken by the Bank , is a reflection of our strong YES Bank franchise and of a very well -executed deposit strategy.

b) Within t he overall deposit growth, the CASA Deposits registered stronger growth at 12.5% Y-o-Y, and on average quarterly balances basis, the CASA growth was even higher at 13.6% Y-o-Y.
c) The CASA ratio now stands at 33.7% , which is up by 170 basis point Y-o-Y and 90 basis point quarter -on-quarter .
d) On customer segment basis, Retail and Branch Banking -led Deposits have grown 13.7% Y-o-Y. The CASA ratio in this segment stands at 39.6% , which is up 210 basis point Y-o-Y and 140 basis point quarter -on-quarter .
While the competitive intensity continues to remain high in deposits, we remain confident in executing our strategy with a sharp focus on granular segment s and quality CASA acquisition offering cross -sell and upsell opportunities.
Secondly, on Advances, we crossed a critical milestone of INR 2.5 lakh crores this quarter, registering a growth of 6.4% Y-o-Y and 3.8% quarter -on-quarter.
a) There has been a strong pickup in disbursement on a sequential basis across all the customer segments.
b) We believe that the risk -based calibration in our Retail segment is now largely behind and we should see stronger traction going ahead. Our Retail segment disbursement grew around 20% on quarter -on-quarter basis.
c) In the Commercial and Corporate segments, our sanction and new limit setup s have nea

rly
doubled on a sequential basis.
Moreover, we believe that the conducive macro environment in the form of lower interest rates, consumption boosting measures, as well as ongoing festive season, all could result in a pickup in industry credit growth from here on.

Thirdly, another important trend during the quarter has been improvement in our Asset Quality.
a) Fresh Slippages have reduced to 2% of Advances from 2.4% in previous quarter.
b) Overdue advances have also reduced across segments, including Retail.
c) Our core Credit Cost trajectory has actually improved during the quarter after normalizing for recoveries from Security Receipt and one -offs.
d) We have also improved our Provision Coverage Ratio (PCR) to 81%, which is one of the best amongst peers at the moment.
e) The NPA ratios are flat on quarter -on-quarter basis with GNPA at 1.6% and Net NPA ratio at 0.3%.
The fourth important vector is that during the quarter , we have been able to broadly maintain our Net Interest Margins (NIM) at similar levels as last quarter as the asset repricing impact was largely offset by reduction in RIDF balances and high-cost borrowings, as well as deposit rate cuts and repricing. Sans , any further rate cuts by the RBI, we believe that NIM s have bottomed

in this quarter. While we continue to see intense pressure on loan spreads, particularly within the wholesale segments, we expect the benefit to flow through from term deposit repricing, continued RIDF reduction, and CRR cut. Keeping these dynamics in mind, we continue to balance between growth vis-a-vis profitability.
The fifth important highlight is our good performance during the quarter in Cost-to-Income ratio.
a) Despite lower treasury income during the quarter, our Cost-to-Income ratio has remained flat at 67.1%.
b) In terms of income, I have already spoken about the Net Interest Margin. On fees, we saw a strong traction across Forex , processing fee and third -party distribution fees during the quarter.
c) What has been heartening is that we have been able to achieve this pick up in our business momentum in disbursements, deposits, as well as fees, while keeping a tight control on our operating costs. Our OPEX has grown only by 0.6% on Y -o-Y basis, despite higher PSLC cost and has actually declined 4.2% on quarter -on-quarter basis.
Last theme which I wish to highlight is that the Bank has delivered yet another quarter of robust profitability. Net Profit at INR 654 crores have grown 18.3% Y-o-Y. If we normalize for the income tax refund received last year in Q uarter 2, our profit growth is around 30% on Y-o-Y basis. This has been driven by the robust Operating Profit at INR 1,296 crores, which has grown 32.9% Y-o-Y. Even normalized for treasury gains, the Operating Profit has grown 26.6% Y-o-Y and 31.8% quarter -on-quarter .
Now moving to some of the other highlights.
The SMBC transaction was closed during the quarter and with purchase of further stake from one of the private equity investors, the combined stake for SMBC now stands at 24.2%. State Bank of India continues to be a major shareholder with more than 10% holding in the Bank .
Two of the nominee directors from SMBC have already joined our Board and they bring their vast global expertise , which will be extremely helpful for the Bank in this fast -evolving banking landscape.
We also received credit rating upgrade from two domestic rating agencies during the quarter, namely C RISIL and India Ratings. The Bank is now rated AA - by all the Domestic Credit Rating agencies, which is the highest level since March 2020. This is a reflection of the strengthened capital position, robust governance, and improved business performance of the Bank .
The Bank has set a target of opening 80 new branches for the year and we have successfully opened 43 new branches till date.

In conclusion, I would like to highlight that the Bank has successfully delivered a ROA of 0.7% for the first half year (H1FY26) , and we remain on track to achieve the stated objective of 1% ROA by FY '27.
I once again wish all of you a happy and prosperous Dhanteras and Deepa vali on behalf of the YES Bank team.
We can now open the line for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Harsh Modi from JP Morgan. Please go ahead.
Harsh Modi: The question is more regarding the focus of your larger shareholder now, SMBC, over, let's say, next two -year period. One, you articulated the 1% ROA target. Could you get into some details of how would you reach that target? What are the main levers over next 12 -18 months? And what is additional that SMBC is bringing to the table here?

Niranjan Banodkar : Thank you, Harsh. So, our levers for ROA continue to remain the same. And if you look through the DuPont, I think it is quite easy to pick up that NIM expansion is going to be a material contributor to the ROA because currently we are operating at about 2.5%. And clearly that is not the optimal position to be at.

Now, if I just therefore spend maybe 2 -3 minutes on the NIM drivers , so we have also put out in our presentation that there is this one big drag which comes in from the RIDF deposits, which currently contributed about 8% of stock, but of course, had seen a peak of about 11% of our total assets. Now that book, as it continues to run down, will start accreting margins. Some of the benefits we have seen over the last one year, but clearly there is still a large part of the rundown to play out. So , that is goi ng to be one critical driver over t he next one to two years, which will give us margin. That is number one.

Number two, it is a little bit more, I would say, a journey that has started on the rate reduction on our deposits. Of course, it gets a bit noisy because we have also seen some massive rate reductions by RBI and therefore some of the noise plays out on the mismatch between loan repricing and deposits. But I think there is also, if you kind of eliminate the noise between this timing mismatch, I think the Bank has also structurally taken some decisions to work on reducing rates. So , if you look at our savings account rate, we have seen headline rates actually reduced by 200 basis points on our savings account, and that has meant at a blended level, we have seen more than 150 basis points of reduction in our savings account , right . Now, as the TDs will start repricing and we start accreting value out of our TD repricing, because not all of the TDs have got repriced, the benefit of this SA rate cut will start play ing into the margins effectively. That is the second part on the deposit.

The third, and it is not been an easy journey, I have to admit, but clearly we cannot shy away from the fact that we will have to work hard to keep acquiring more quality customers and keep expanding our CASA ratio because that is really very fundamental to banking. We have a solid liability franchise. We do believe, I think, our journey is firmly underway. And we do believe that with SMBC coming through, we should also get levers to further drive that strategy faster, right? Whet her it is transaction bank ing, cash management, ability to access a lot more corporate clients, and at the same time, look to build granular deposit s. And that gives us the confidence to keep reducing rates on that . So, I think that is the second part.

On the asset side, which is on the advances, Prashant did mention in his opening remarks that if you think about what is playing out in the last year and a half from our vantage point is that the mix of Retail assets ha

s been falling because, of course, we have been taking the relevant and the required course corrective actions to focus on products that build profits and also not undertake products that could contribute to asset quality issues in future, right? So , we have kind of slowed down given both these lengths. But that does have a bearing on the advances yield because the mix of these products are effectively lower, right?

Similarly, let's say, if I look at credit cards, credit card also has seen a reduction in the blended yield because there was a very significant intervention that we brought in. And that meant also that, to some extent, the revolver rates have dropped. Now , of course, if you think from profitability standpoint, we will have to bring that up. But that has some of these, given the confidence that we now have on building the momentum back in Retail, having addressed some of the past issues, we do believe that the Retail contribution in the advance’s growth should keep increasing. And that, again, will have a bearing on our margin.

And we have said this in the past, a combination of RIDF, continued focus on deposit pricing, and third, which is on the increasing share of Retail, or at least increasing contribution in the incremental advances, all of this, you know, we do believe that a 2.5% margin structure should work, clearly work comfortably upwards of 3%, more closer to a 3.25%, 3.3%. Now, I think that is really our endeavor and plan to build the margin .

Now, of course, you know, is there room for improvement on fees? I mean, we can always argue, yes, we can. I think we are doing well, but yes, 10 basis points of DuPont expansion on fees is possible. I would not guide cost to really come up. I think we should still operate in a 2.5% to 2.6% Cost-to-Asset structure. And at least for the next year - two years, we do believe that the ARC redemptions will play out. Of course, they will be choppy at times , they will be noisy. But I think on the whole , some of those will make sure that our credit cost is comfortably below 50 basis points to assets. And that also gives us a comfortable period to normalize our existing credit cost on assets.

So, I think that is really the pathway , it is more grow, but grow with profitabi lity, very sharp profitabi lity focus. And some of these initiatives that we are talking about should play out in the next couple of years.

I missed one important point, just for abundant clarity, which is that once the RIDF runs down, it is not just the RIDF, but there is also the corresponding borrowings because we have used, let's say, large part of the refinance borrowing that is funding the RIDF. So , as those start coming down, we should start benefiting from that as well.

I think you did ask a question about focus o f SMBC over the next two years as well. I think, I will refer that to Prashant. But fundamentally, the way we look at SMBC's thought process and, of course, is a question more relevant to them. But we are a Bank that complements their India strategy. And therefore , the only question to ask is from their vantage point and for us to be asking them is, what can we do together more and better to fast track this journey of growth and ROA expansion?

So, I think both of us are wanting to keep high aspirations, but we want to make sure that we also adopt some of the better and learn better governance and compliance standards because they are a Global -SIB (Global Systemically Important Bank). So, I am sure there will be some learning to do, although we do believe we are quite high on risk and compliance culture. And over time, hopefully, at least in the Wholesale space, we do benefit from lower cost of funding as well as more and more Corporates, we get access to that bas e as well. So, I think that is a long winding answer, but I just thought I will cl

arify on all the points.

Harsh Modi: Just one follow -up. The LCR is down 10 percentage point Q -o-Q, but I did not see any impact on NIM. Is there something technical there? Because I would have expected a much better outcome on NIM with lower LCR.

Niranjan Banodkar: So, I mean, if you just think about loan spreads, because I think that is really a good metric to look at . The advance s yields have actually fallen about 45 basis points, more like 40 to 50 basis points. And if you look at our cost of funding, that is really kind of been at about a 20 basis points to 30 basis points of reduction, right?

So, clearly, the margin shrinkage at a structural level should have been higher. But some of the intervening, I would say, efforts that we kind of keep saying that, okay, how can we be more efficient in balance sheet? So, there is some tactical room to loo k at lowering our LCR.

Now, that ’s helped us also contain some of the loan spread shrinkage that we have seen. But now that, let's say, the TD repricing will start kicking in from December, more emphatically, because a large part of the repricing of the loans has played out, we do believe that we should kind of start looking at comfortable liquidity once a gain. But the idea is to run a very balanced, optimal balance sheet. So, some of those calls also played out in Q2.

Moderator: Our next question comes from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, I also wanted to check the same thing. So , you have also mentioned or you have outlined the key areas where SMBC , you would plan to leverage their expertise, maybe transaction

banking, maybe large corporate relationship. But given the fact they have a 100% subsidiary which does some of the Retail products that we may also be doing , it becomes clear, right, that you would want their expertise more on those areas that you have highlighted, Transaction Banking and Large Corporate relationships versus any incremental thing on the Retail side, right? Because that anyway, you have more or less the full bouquet of products and that part will remain a s it is, right? Is that the understanding, correct?

Prashant Kumar: No, I think Ja i, what we need to see , it is about the entire spectrum where we need to work together in terms of value getting added to YES Bank. Since there is no overlap and it is a complementary structure, I think with this relationship, we would definitely explore in terms of how we can cater to their large corporates, in terms of the transaction banking, providing them the transaction banking services, providing them the digital services, and also offering the Retail Liabilities and Retail Asset products to their employees.

At the same time, these corporates, where the SMBC has a lending arrangement, they also have a supply chain through the various SMEs, which at present, SMBC is not able to take care of their requirements. So , we would also like to explore how we can service those SMEs who are the supply chain for their Corporates.

At the same time, we can't also rule out any, say, arrangements from their NB FC side because currently the Bank is also in the co -lending space with a number of NB FCs. And now RBI has opened up beyond NB FC also. So , we will explore that if we can have a co -lending arrangement where they can originate , and we also participate in those kind of lending. So , it is an entire spectrum, which is not only confined to the Transaction Banking of the Corporate, but the entire suites on the Corporate as well as on the Retail side.

Jai Mundhra: And now, assuming no further rate action from RBI side, and any which way you have a tailwind

of reducing RIDF, so what would be your best guess to achieve 1% ROA and maybe loan growth
similar to system level on an overall book basis?
Prashant Kumar: Jai, I think we have alrea

dy stated in terms of that 1% ROA by FY '2 7. And I think we are
moving quite nicely on that roadmap.
Coming to your second question in terms of loan growth. I think it is important to understand
from where the loan growth is coming for the industry. Instead of just matching a loan growth,
we would be focusing more on profitable loan growth. So , I think the large banks who have a
clear -cut advantage on the cost of funding , I think they are able to do a profitable business growth
on the products like new car loans and the prime home loan s. And we will see . Till the time our
funding cost also becomes nearer to them , we would like to slightly be away from these kind of
product s.

So, I would not like to compare in terms of the peer level loan growth. I would like to compare
with the peer -level product loan growth, especially on the Retail, but definitely on the Wholesale
and the Commercial Banking space, we are already in line with the peer -level.
Jai Mundhra: And lastly, Sir, if you have any preliminary working on the ECL, transition to ECL because we
have had certain , FY '20 was a very not -so-good year. Any preliminary working on how would
you transition to ECL? Would that require , I mean, how do you , if you can share initial estimates
on that ?
Niranjan Banodkar: So, Ja i, again, too early to comment because I think we will have to go through the draft
guidelines quite in detail . But if we look at some of the pro forma trends in the recent times, of
course, this has some of our own assumptions in terms of the computation. We don't expect a
material hit to the opening results as on the date of transition, just from a stage 1, stage 2, stage
3 on the loan book. So , we don 't expect a material hit in any case from this book.
However, we do have , and this is at this point in time . Of course, once we transition, we could
have a different position to be reviewed. But at this point in time, we are also sitting on the
Security Receipts book. We will have to, of course, review the allowance of treatment of the
benefit that we will have upon the restatement of this book in our balance sheet, because
currently there is no carrying value of this book, but we do have, let's say, a rea sonable face
value and an NAV sitting as part of this book.
So, if that benefit also comes through, then I would say at this point in time, I could argue clearly
that we will not have any impact. On the contrary, we could also benefit into our reserves . But
that is something we will want to review more closely and before giving you a firmer output on
this subject.
Moderator: Jai, does that answer your question?
Jai Mundhra: Yes, that answers. I just wanted one clarification. This 1% ROA for FY '27, is it for exit quarter
or for full year?
Niranjan Banodkar: Jai, the target is for full year.
Moderator: We have our next question from the line of Pankaj Agrawal from Prudence Investment Advisors.
Please go ahead.
Pankaj Agrawal: Sir, my question is related to your Retail Banking operations , where the Bank is continuing to
lose money? So, how do you address that in coming time, in coming quarters, the Retail Banking
will make profit?
Prashant Kumar: So, Pankaj, I think if you see in terms of the disclosures for the current quarter, the losses on the
Retail side or basically I would be saying like this is the profit before tax. The losses which were

INR 668 crores at the end of quarter one has already come down to INR 358 crores. And if you
take out or exclude some provisions, excess provisions more than the regulatory requirement
which have been made on this segment, I think we have already reached to the break even .
And this trajectory, we have seen a, like, absolutely on a continuous upward movement. And
you would agree with me, the Retail business

was not like a core business of this Bank prior to
2020. And we have started building and investing in this business after the reconstruction of the
Bank . Initial two years, because of the COVID, it was very very difficult to juice out the return
on that investment. And subsequently, if you see like what happened in terms of credit cycle
starting in 2023, which is again in dustry -wide, if that has not happened, then again, Retail would
be giving us the profit much before what we are talking about.
But I think going through all those challenges in terms of what Bank has undergone, number

two, because of the COVID , number three, because of the credit cycle which happened and also a very steep fluctuation in the repo rate , I think if you include all these things and when you need to make a lot of investment in terms of your branches , people in the initial phases , I think what is happening on the Retail side is as per our strategic objectives. And since we have already reached to the breakeven, we are going to see going forward, Retail would also be contributing to the profitability of the Bank .

Moderator: Our next question comes from the line of Dev J from Horsepower Securities . Please go ahead.

Dev J: My question is regarding the sudden spurt in the amount of provision, other than the provision for NPA. I found that around INR 200 crores amount of NPA provision has been created, more than INR 200 crores, as compared to the last quarter NPA. So, can you please share about the details of such increase in the amount of provision?

Niranjan Banodkar: So, Devji, if you look at the provision break -up that we have, as we speak, provision for investment, where it is a line item where we have seen the Security Receipts write -back play - out. Now that number for last quarter was about INR 345 crores of provision write -back into the P&L. This quarter, that number is a write -back of INR 233 crores. So , that is INR 112 crores of material delta to the Q1 P&L.

Provision for standard advances and other line item largely is similar. It is both writebacks of about INR 40 crores, INR 50 crores. And if you look at provision for Non-Performing Advances, we have seen non -performing advances sequentially actually be flat at about INR 689 crores now. This is despite last quarter actually having one large corporate write back . So, at a core level , provision for Non-Performing Advances is actually operating or trending better than previous quarter.

Now, if you are referring to the line item for provision for taxes because that has gone up by INR 100 crores, that is because last year in the same quarter, we had an income tax refund. That got adjusted in the provision for taxation. And therefore, to that extent, the effective tax rate was

sub-20%. And therefore, maybe when you are looking at the cumulative provision line item, that could appear to be higher. But I can assure you that the Q2 FY '26 performance on core NPA provisioning is actually better than what we have seen in Q1 FY '26 .

Dev J: I will reconnect in the queue.

Moderator: Our next question comes from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: My question is in regard to the discussion that we are having on loan growth only. I understand that now we are talking about the focus on profitable loan growth. In that context, where should we see our FY '26 and FY '27 loan growth? I guess earlier we were targeting somewhere 12% to 15%. So , obviously , we will be having a loan growth plan. So , where do we see that? And within that, how do we see the Retail loan growth? Because I guess that has been pretty low at 2.5% Y-o-Y.

Prashant Kumar: So, I think what I was explaining in terms of targeting a profitable loan growth and where contribution has started coming from all segments, we tried to see to achieve the

double -digit
loan growth for the Bank . And Retail would also start contributing somewhere between 4% to 5% for the entire year.

Mohit Jain: So, just to reconfirm, you are saying double -digit loan growth with Retail growing somewhere around 4.5%, 5%.

Prashant Kumar: Yes, for the current financial year, yes.

Mohit Jain: And next year, obviously, it is early to say, but we are expecting a better growth than this.

Prashant Kumar: Yes, absolutely .

Mohit Jain: Just to check on that, double -digit loan growth will almost take us near to the system growth. So, we are confident of almost at that level.

Prashant Kumar: No, I think if you see the system level growth, it would vary because we really don't know how the second half would play down for the other banks. Some of the other banks are already much higher than us. And maybe like second half year, they would be able to grow faster. So , I am not saying I am comparing with anyone , but definitely we are targeting somewhere around 10%.

Niranjan Banodkar: Mohit, if I can just also add, because just to drive the point Prashant is making, if you look at our loan book , let me break this into two parts. A book that we are quite happy to run it down and we are consciously not growing. So, for example, let's say , in Retail, there are certain products which we are very consciously saying we don't want to grow. And then there is, let's say, the book that we want to grow.

Now, if I just want to contrast some of the growth rates in the book that we want to grow , let's look at, let's say, the Corporate banking. Now, of course, there is a rundown of a historical book, which we were very happy to let it run down. If I exclude that book, the Large Corporate banking book is already growing in the teens. If I look at Commercial banking, that book is already growing at 20%.

Retail, for the right asset quality reasons, we had consciously slowed down. But if you now look at the disbursement, growth rate is already operating at 19%. Now, of course, that will start getting reflected on the book with a lag because there has been s ome repayments that will keep playing out in that book.

So, I think the point we want to drive is wherever we are clear about growth and we are targeting those segments , our ability to deliver growth is actually more than the sector, right? But of course, for reasons that I mentioned, let's say peculiar to Retail, there will be some pockets of corporate, which was really the old legacy book, but some of that is already now kind of wound down.

So, all of that, we do believe that the real growth numbers will start expressing itself more emphatically in about, let's say, three to four quarters . There will be Retail, you know, Retail will not pick up, although disbursements are growing at around ~19%, book will not grow at 19% immediately. But there will be a path towards that over the next four to six quarters. And I think it will then start delivering growth in te ens as well.

So, I think that is really, I just wanted to give you that as a Bank , as a franchise, we do have the confidence to do better than the industry in areas that they want to grow.

Mohit Jain: That is very clear, sir. And s ir, just one follow -up on the ROA. So , we are targeting 1% ROA for FY '27. Do we have any RO E targets for us? Or anything that the management has thought about?

Niranjan Banodkar: We have not provided a target for that, to be honest. But it is not very tough for you to just compute that.

Mohit Jain: And so, we stick to our Security Receipt, the recovery from Security Receipt guidance of around INR 1,200 crores for the current year. That is something which you expect to…

Niranjan Banodkar: Yes, we maintain that, yes.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to han

d the conference over to Mr. Prashant Kumar for closing comments. Over to you, sir.

Prashant Kumar: Again, thank you so much for joining our earning call. If any questions remain unanswered, please connect with our Investor Relations team and they would be very happy to respond to

you. Again, I wish all of you and your family a very happy Dhanteras and Deepavali. Thank you.

Niranjan Banodkar: Thank you.

Moderator: Thank you. This brings the conference call to an end. On behalf of YES Bank, we thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

YBL/CS/ 2025-26/180

January 22, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results for the Quarter (Q3) and nine months ended December 31, 2025
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited (“the Bank”) on January 17 , 2026, for the un-audited Financial Results for the Quarter (Q3) and nine months ended December 31, 2025 . The same is made available on the Bank’s website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link.
https://www.yes.bank.in/pdf?name=ybl_analyst_transcript_q3fy26.pdf
The weblink of BSE Limited and National Stock Exchange of India Limited providing the above information is being hosted on the Bank’s website www.yes.bank.in pursuant to Listing Regulations, as amended.
You are requested to take the same on record .

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary

Encl.: As above

“YES Bank Limited
Q3 FY '26 Earnings Conference Call ”
January 17, 2026

MANAGEMENT : MR. PRASHANT KUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR
MR. MANISH JAIN – EXECUTIVE DIRECTOR
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PARNAMI – HEAD INVESTOR RELATIONS AND SUSTAINABILITY

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank’s Q3 FY ‘26 Earnings Conference Call. On the management panel, we have with us today, Mr. Prashant Kumar , Managing Director and Chief Executive Officer; Dr. Rajan Pental , Executive Director; Mr. Manish Jain, Executive Director; Mr. Niranjan Banodkar , Chief Financial Officer and Mr. Sunil Parnami, Head Investor Relations and Sustainability.

Mr. Prashant Kumar will now give you an overview of the results, which will be followed by a question -and-answer session. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

Before we further proceed with this call, please note, while all efforts will be made that no unpublished price -sensitive information would get shared, in case of an inadvertent disclosure, the same would, in any case, form part of the recording of the cal l. Further, some of the statements made on today's call could be forward looking in nature. A note to this effect is provided in the Q3 FY '26 results presentation itself, shared on the Bank's website.

I now hand the conference over to Mr. Prashant Kumar . Thank you, and over to you, sir.

Prashant Kumar: Thank you, and a very Good Afternoon to all of you. Welcome to our Quarter 3 Earnings call. On this call, I am joined by the senior leadership team of the Bank.

Before we dive into the details, we trust that the New Year has begun on a very positive and prosperous note for all of you and your families.

Now coming to results for Quarter 3.

As we have been articulating over the past several quarters, YES Bank strategy is firmly anchored around Profitable growth. And in that context, Quarter 3 was a breakout quarter within all -around strong core operating performance across Profitability, Asset Quality and Granularity while maintaining a sharp focus on operational efficiency.

Let me first start with the Profitability - Despite the heightened competitive intensity and multiple rate cuts, causing pressure on the margins, the Bank has continued to strengthen its earning s profile. For Quarter 3, the Bank reported Net Profit of INR 952 crores, registering a strong growth of 55% Y -o-Y and 45% on a quarter -on-quarter basis. The reported annualized Return on Assets (ROA) for the quarter further improved to 0.9% against 0.6% in the previous quarter as well as the corresponding quarter last year. Moreover, the annualized reported ROA for 9 months has now improved to 0.8% against 0.5% for 9 months of the last financial year.

It is important to call out that our reported Net Profit for Quarter 3 had an impact of INR 155 crores due to incremental Gratuity provision on account of change in the wage definition under the new Labor codes , as separately called out on Page 6 of the Investor Presentation. Adjusting for this impact, the Net Profit after tax is actually INR 1,068 crores, translating to an annualized ROA of 1%, a guidance of achieving closer to 1% ROA in the exit quarter of FY '26 and for the full year of FY '27.

Similarly, the Bank also reported a sustained improvement in its Pre-Provisioning Operating Profit adjusted for gratuity impact, which improved by 28.7% Y -o-Y, and 7.1% on a sequential basis and actually is INR 1,389 crores. This core Operating Profit has been driven primarily by expansion in our operating jaws with 9.7% Y -o-Y growth in Total Income, against 2% Y -o-Y growth in OpeX adjusted for gratuity impact over the same period. As a result, the Cost -to-Income ratio for the Bank adjusted for gratuity impact for Q3

was 66.1% against 67.1% in Quarter 2 and 71.1% in Quarter 3 last year. Over the last few quarters, as we shifted the franchise towards higher Profitability , the Bank also kept costs well under control, resulting in one of the lowest operating expense growth rates amongst peers, which is also a key driver of our continued improvement in our Cost-to-Income ratio.

The Operating Profit to Assets ratio now stands at 1.2% for both quarter 3 of FY26 and the corresponding quarter last fiscal year .

At the same time, it is important to call out that Bank's four critical Profitability levers continue to perform well . These are namely,

a) The structural rundown of legacy RIDF balances
b) The granular and Profitability -centric deposit and asset engine s
c) The strict focus on cost optimization with productivity enhancement
d) The significant improvement in our Asset Quality.

As we have been highlighting in the past, a critical component of our Profitability improvement is the resolution of the legacy Priority Sector Lending (PSL) shortfall s. Since FY '24, the Bank has maintained 100% compliance across all PSL subcategories, ensuring that no incremental burden is added to our RIDF stock. As a result, our RIDF balances have continued their steady decline from a peak of around 11 % in FY '24, to around 6.9% in quarter 3, and Bank remains well on track to further reduce it to below 5%

of Total Assets by FY '27 in line with our guidance. As these low -yielding RIDF assets mature, we are systematically also retiring our higher cost borrowings as well as redeploying them into higher yielding advances.
Within Advances, we continue to see sustained strong traction in our main segments of SME and Mid-corporate. However, within Retail and Corporate & Institutional Banking (CIB) segment s we continue to remain selective and are strategically expanding our portfolio in those sub -segments that deliver the most attractive risk -adjusted return s.

At the end of Quarter 3, Total Advances stood at INR 2.57 lakh crores with a healthy sequential growth of 2.9% quarter -on-quarter. However, on a Y -o-Y basis, the growth came in at 5.2%. The Advances mix was as follows : Retail segment was around 47%, Commercial and CIB segment each were around 26% to 27%.
Though our headline credit growth currently lacks the system growth, we would like to highlight the following :
1. The Bank's Commercial Banking segment growth continues to be robust and amongst the best in the industry.
2. In the Corporate and Institutional Banking (CIB) segment, despite disadvantage of the Cost of Funds (CoFs) , vis-a-vis the Government Banks as well as bigger Private Banking peers, we are picking up decent traction, especially aided by our comprehensive product suite, which includes differentiated product offering s of Application Programming Interface (API) and Transaction Banking, Financial Markets , and other advisory services.
3. In the Retail segment, it is important to note that the Bank has strategically chosen not to pursue aggressive growth in two major product categories, that is the Home Loans and new Car Loans, as these product sub -segments currently do not generate attractive risk -adjusted returns, given our cost of fund s position and the elevated competitive intensity in the market. Similarly, although Gold Loans have been one of the fastest -growing segments in the recent quarters, the Bank has deliberately deprioritized t his product for the time being.
4. Excluding these three segments, Retail growth momentum has been strengthening over the past two quarters, and this improving trajectory is expected to translate into higher book growth over the coming quarters.
Within the Retail Banking Advances, the Credit Card outstanding has grown by 21% Y -o-Y, driven by a 26% increase in the spend s. Rural banking portfolio h

as also grown by
around 17% during quarter 3.
There is a sustained momentum in our Retail Assets disbursement s, which increased 15% Y -o-Y, supported by improved risk metrics and better vintage performance in both secured and unsecured products. The products which witnessed a Y -o-Y disbursement growth in excess of 20% included Personal Loans and both Secured and Unsecured Business Loans.
Like I said earlier, our focus remains on Profitable growth, being selective in low -yield segment and prioritizing products with superior risk -adjusted returns. Importantly, Asset Quality has seen a marked improvement due to robust underwriting, collection s and monitoring frameworks.
As we have been consistently articulating over the past several quarters, our branches serve as the core fulcrum of our business, acting as the primary hub for both granular customer acquisition and holistic relationship management. Our strategy is designed to

leverage this physical network, not just for gathering liabilities, but as multi -product engine s, capable of generating assets, fee income and high -velocity transaction flows.
During the year, we have expanded our branch network to 1,328 branches by adding 33 new branches in Quarter 3, and overall, 76 branches in the 9 months of current financial year against a full year target of 80 branches. This focus on branch network expansion is already yielding significant structural results , with internal sourcing from our branches, now accounting for approximately 52% of our Retail Asset disbursement s, a substantial increase from just 37% around two years ago.
Our Deposit franchise continues to demonstrate healthy momentum. Our t otal End-of-Period (EOP) Deposits stand at INR 2.93 lakh crores, registering 5.5% growth. On Quarterly Average Balance (QAB) basis, Bank's Total Deposits have grown by 5.7%. This

growth needs to be considered from two perspectives. First, Bank ha s taken sharp rate actions in the deposit space , in fact, one of the highest amongst the peers. Despite this, the Bank has been able to maintain this growth level and actually outperform the industry on the CASA front. Secondly, like in Advances, in Deposit s also, the Bank is prioritizing Profitability and granularity. Bank's incremental Deposit mobilization is increasingly Retail-led and CASA accretive.

On Average Quarterly Balance basis, Retail Deposits have grown 12% Y -o-Y with robust momentum in Retail CASA , and within that , Retail Current Account balances have grown 19.4% Y -o-Y and Retail Saving Account balances have grown by 16.3% Y -o-Y reflecting deeper engagement and growing customer trust while also achieving a lower Cost of Funds. On an EOP basis, Retail balances have grown by 9.1% Y -o-Y. This outpaced Total Deposit s, evidencing a continued shift towards granular Retail funding. Retail and Branch -led Deposits now contribute approximately 60% of Total Deposits, growing at rates faster than that of Bank's Total Deposits, underscoring the strength of our branch network.

Within Saving Accounts, growth in “up to INR 1 crore ” and individual cohort underscores franchise depth , even as wholesale deposit remains subdued, highlighting the resilience and quality of our Retail Deposit engine. The Bank CASA and Retail TD which reflects granularity in our Deposit s, stand at 66.2% of Total Deposits against 62.6% in Quarter 3 of last financial year.

This outperformance in Deposits in a tight liquidity environment is a testament to our Branch -led Deposit engine and our shift to a service -led fulfillment model. Along with this, the Bank has also maintained a strong focus on sustained reduction in its Cost of Deposit s which has reduced to 5.6% from 6.1% last year, driven by higher deposit -rate cuts relative to the rate cuts undertaken by RBI and competitors. This is a reflection of Bank's strong franchise a

nd focus on accretion of better -quality customers with higher NAVs. Simil arly, Cost of Funds have seen a reduction of 60 basis points to 5.9% from 6.5% last year, driven by reduction in high -cost borrowings, which were used to fund the Bank's legacy PSL related Deposits.

All of these aforesaid initiatives in PSL, Asset Mix and , Liabilities have also resulted in gradual improvement in our NIM s, which will be the biggest driver of our ROA expansion journey from here on. The NIM for quarter 3 have come in at 2.6%, which is a 12 basis point expansion on quarter -on-quarter basis and 24 basis points on Y -o-Y basis. Both on quarter -on-quarter and Y -o-Y basis, the balance sheet mix improvement has more than offset the impact of interest rate cuts. On the Assets side, a marked reduc tion in RIDF balances from over 11% to under 7% has reduced the negative drag, while the corresponding improvement in Advances Mix is further contributing to gradual NIM accretion. Similarly , on the Liabilit ies side, a favorable funding -mix shift with shrinking share of high -cost borrowings coupled with a sustained rise in CASA has led to , relatively superior improvement in our Cost-of-Funds in the recent quarter s and even amidst challenging industry backdrop. Moreover, the Profitability traction of last few quarters has led to a gradually increasing contribution of Capital in the funding mix. On the rate s front, it is critical to appreciate that the Bank has significantly contained the impact of interest rate cuts on the loan spread, through proactive action s on the Deposit rates. Here again, the deposit rate reduction achieved by the Bank has been one of the highest among peers.

Now moving on to the next critical aspect, which is Asset Quality. Our growth calibration , and proactive risk management efforts of last 4-6 quarters, which included tightening of sourcing, underwriting, scorecards and improving our collections infrastructure, including early intervention have yielded a marked improvement in our Asset Quality outcome with headline Gross NPAs improving to 1.5% from 1.6%. Similarly, Net NPAs remained stable at 0.3%, while the Provision Coverage Ratio increased to 83.3% agains t 81% in Quarter 2 and sharply higher, compared to levels of 71.2% witnessed in quarter 3 of the last financial year.

Similarly, the Quarter 3 was the second consecutive quarter of improvement in overall Fresh Slippages, which were contained at INR 1,050 crores against INR 1,248 crores in Quarter 2 and INR 1,458 crores in Quarter 1. As a result, the Bank -level Slippage Ratio improved to 1.6% of the period end Advances against 2 .0% in quarter 2 and 2.4% in Quarter 1. This is the lowest slippage level seen in last eight quarters, which is primarily led by a sharp improvement in fresh slippages in the Retail Segment Advances. Within Retail, the slippages have improved across both Secured and Unsecured portfolios.

Similarly, there is a good improvement in the early delinquency overdue bucket of 31 -90 days across the portfolio.

During the quarter, the aggregate Recoveries and Upgrades at INR 1,224 crores. And within this, the Recoveries from the fully provided Security Receipt s (SR) at INR 555 crores which takes our cumulative recoveries from Security Receipt s for the year to almost INR 1,113 crores and in line with our guidance of INR 1,200 crores for the financial year. It is important to highlight that , on the account of P&L gains from the SR portfolio, while the net Credit Costs were negligible for the quarter, even normalized for this impact, if we were to look at just Provision for NPAs, these stood at only 0.5% of the Average Assets against 0.7% for both Quarter 2 as well as Quarter 3 of the last financial year.

As regarding the Non Interest Income, the Core Fees are up by 9.8%

Y -o-Y, driven by
strong traction in fee income streams, which includes the Processing Fee, the Third-Party Distribution and General Banking.

So, if I have to summarize strategically, the Bank's Profitability is being driven by :

1. Firstly, Margin expansion through RIDF rundown, CASA mix improvement and deposit price action. Going forward, we expect to see benefit from Retail mix improvement on the Assets side.
2. Second driver has been S ustained growth in Fee Income, leveraging digital platforms and cross -sell opportunities.
3. Thirdly , our continued focus on cost optimization and productivity enhancement, which has helped us achieve improvement in Cost-to-Income ratio and should further drive operating leverage as income growth accelerates.
4. And lastly, normalization of credit cost s, particularly in the Retail segment.

Looking ahead, YES BANK remains committed to its strategic road map of profitable growth, targeting full year 1% ROA for FY '27 and 1.5% in mid -term, with growth outlook which will be in line or marginally higher than the industry. Having said that, at the same time, we will calibrate the growth depending on our Profitability objectives as well as opportunities in the market.

Once again, I would like to thank you so much for your continued support. And now we can take your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Pankaj Agrawal from Prudence Investment Advisors.

Pankaj Agrawal : Good afternoon, Sir. Many congratulations for outstanding results. I have two questions. The books that had been delivered to J C Flower of around INR 48,000 crores , how much cumulative recovery has been done from that book? And is there any legacy slippage still left? And secondly, Retail Banking continued to slip. So how many more quarters will it take for the bank in getting Profitability from Retail Banking?

Prashant Kumar: So Pankaj, first, thank you so much for continuing to remain interested in YES Bank franchise. To your first question on the recovery from the ARC. Since we have assigned this to ARC, on a cash basis, we have recovered INR 7,500 crores for YES Bank , okay . That is one thing. And we continue to have almost like INR 1,800 crores of outstanding Security Receipt which would be getting monetization of both Security Receipt s as well as the upside from the resolution of those Assets. So still, there are a lot of juice available in that portfolio.

Second, in terms of your question on the Retail, I'm really happy to report that this quarter, our Retail businesses have breakeven, and going forward, we would be going to see a significant contribution in the Profitability of the Bank from the Retail. Because if I would like to bring to your notice that for the last four, five years, especially after COVID, there was a time where we were continuously investing on the Retail side and when you invest,

it takes time to have a return out of that and in between, the industry also faced a very adverse credit cycle on the Retail. I think not only our investments have started yielding the right results, and with that turnaround in our Asset Quality cycle on the Retail, where we are seeing a lower slippage, better recovery, so not only Retail Asset has breakeven, but would contribute, I think, significantly going forward in the Profitability of the Bank.

Niranjan Banodkar: Sir, if I can just clarify, I think what Prashant is saying. So, when you look at our segmental results, you will find that the Retail will still have a negative number, but that is also because we've taken a onetime charge for the gratuity. So if you adjust for that, and there are certain internally, we reported as part of Retail, but for the segmental disclosure, we are classifying them as outside Retail , if we build that b

ack into the Retail business, we have broken even. I think that's the important point we wanted to make.

Pankaj Agrawal : Thank you, very much and best wishes. W e hope that YES Bank will reclaim its earlier position very soon. Thank you, sir.

Moderator: Our next question is from the line of Jayant Kharot e from Axis Capital.

Jayant Kharote: Thank you for the opportunity. The first question is on the Retail disbursals. So I see it's slightly down Q -o-Q by around INR 300-odd crores. I was under the impression that given the Asset Quality trajectory, this should be moving up. I know it's not a sharp decline, but why this calibration over here? And how should we think about the next two, three quarters in the Retail disbursals? That's the first question, I'll come back with the second one.

Prashant Kumar: You can complete your question, then we can respond.

Jayant Kharote: Okay. So, second one is on CASA. Absolute number seems to be not going up meaningfully for the past couple of quarters. So, if you could also shed light over there, I know we've taken a lot of pricing actions. So again, when do we see that growth or uptick being meaningful on the absolute CASA balance?

Prashant Kumar: So, I think there are two things. Like first, in terms of Retail disbursement if you see with the confidence in terms of the underwriting and the collections, I think we have started seeing the disbursement, which is 15% higher on a Y -o-Y basis. We have also seen like since we are not there in the Prime Home Loan and the New Car Loan and the Gold Loan. But we are seeing like every month the disbursement happening at a higher level. So, I think the current quarter should be much better than what we have seen in the past. But I think this is a continuous path where the trend has absolutely improved with continuous improvement. So, we'll see, I think, much better on this. On your CASA, I think, I would just like to make one point. Today, if you see our Overall Deposit Growth and the Deposit Growth of the CASA, is doing much better than what the industry is doing, especially when I talk about the Retail .

I think if we need to grow on the overall liability side, at a rate, which would be higher than the industry, then it means for improving the CASA ratio further, you need to grow on

CASA much higher than the Overall Deposit growth, which in the current times, if we see the trend across the industry, we feel like it's a tough time. But I think the important part is that we have taken actions in terms of reducing our rate of interest on Saving Bank Account , where the cost of Saving Bank Account has come down by almost 150 basis points. And despite this, we are improving. So, I think it would be like a balanced approach where we would continue to have the rate action and have the growth a lso.

Jayant Kharote: If I may squeeze in one more question. If the third quarter disbursements do improve the way you are hinting at, should we now think of next year growth closer to the mid -teen number? Or how should we think about next year's growth?

Prashant Kumar: So absolutely, Jayant, like if we see in terms of the growth for the current quarter, sequential growth, which is 2.9% . We are very confident that we would be sequentially be able to grow more than 3% in the current quarter, which will take our Credit growth to around 8% okay. But definitely, next year, after we are able to solve the issues in terms of better underwriting and better risk policies control on the Retail and, I would be saying the high -risk corporate loans have already been rep aid, I think we would be definitely targeting a loan growth, which would be more or less in line with the market, barring, I think if we need to exclude the growth, especially on the products like Prime Home Loan and the Car Loan.

Jayant Kharote: Very, very helpful.

Niranjan Bano

dkar: I just wanted to maybe add to what Prashant said on the CASA. So, I just wanted to say that, look, one, we did call out that in September, sometimes there are certain transient flows that kind of go in on the Deposit side, especially on the Current Account side. And therefore, if I just bring your attention to the average performances here, both on Current Account and Savings Account at the full Bank level, we have seen almost like an 8% increase in Current Account Y -o-Y and about 17% in Savings Account Y -o-Y.

If I bring that attention more to sequential numbers, both CA and SA have grown by 5% each. So yes, sometimes we do see some noise that kind of comes through the reported numbers. But the fact that Current Account actually has sequentially grown 5% has also been one of the contributors from a Net Interest Margin standpoint as well. So, I just

thought I'll clarify on that.
Jayant Kharote: This is very helpful given that average CASA growth is 5%. I think I missed that coming through, so this is very helpful. I think this puts my concerns to rest.
Moderator: Our next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.
Sucrit D. Patil: I have two questions. My first question is , as the Bank moved beyond stabilization, how do you see YES Bank positioning itself for growth in the Retail and SME lending, while also expanding Digital Banking. Could you share your vision on how the Bank will differentiate itself in the next few years against larger private sector peers? That's my first question. I'll ask my second question after this.

Niranjan Banodkar: Why don't you complete your questions, we'll respond to both.
Sucrit D. Patil: Okay, yes. My second question is regards to Profitability and margins. Again, with Profitability improving, how are you thinking about balancing cost discipline with the investment needs for tech and branch expansion over the next few years? And what steps are you taking to ensure the margins remain stable while the Bank scale itself and the SME business?
Prashant Kumar: So, I think first responding to your second question, in terms of investment for future and also at the same time, maintaining a balance between the Profitability. So, I think if you see last four, five years, we have heavily invested in both technology and our Retail network expansion. And despite this, we have been able to control our Cost to Asset. If you see our Cost to Asset, despite this kind of investment, has not gone up. Actually, we have been able to control within 2.5% to 2.6%. And if you see even the current growth on the Opex is one of the lowest in the industry. And despite continuing to invest in terms of opening new branches, better digital capabilities, so I think we have been able to reach that inflection point where whatever we have invested in the future, it has started giving the results to us. So, it's a cycle where we will continue to invest for the future, and we'll also get the reward for our investment of the past. So, I think we're quite confident that we would be able to invest also and we would be able to have a balance between the cost as well as on the Profitability side, okay .
Coming to your first question in terms of how we need to differentiate in terms of our SME and the digital side, I think if you see on the SME, we are showing one of the best loan growth. And even if you see our Total Advances, 29.3% of our advances are actually the SME advances, which is again one of the highest in the industry.
So I think this is one area on the SME, which offers a huge opportunity in our country, and we have a very good understanding and the distribution network in terms of acquiring new customers having a good turnaround time and meet their requirement, not onl y from the loan purpose, but also in terms of solutions coming from the dig

ital and the tech side.
So I think this is one area where we would like to continue to outpace the industry.
Now o n the Retail side, I think currently, our strategy is definitely in terms of chasing a profitable growth. And we would not like to grow in those Asset classes where the returns are not as per the risk. But definitely, we are looking for some products on the Retail where we are currently not there in terms of building our capabilities and start growing on this. I can name just two things. Maybe one, on the wealth management side, is one area where we would like to explore and build our strength in this side. Plus, we may also look if the products like gold loan offer a good opportunity, how we can start building our capabilities for that product also.
Sucrit D. Patil: I think the last part of the guidance was very important. And I wish the entire team best of luck for the next quarter.
Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Congratulations on a steady quarter, sir. I have two questions. One is, you specified the impact of gratuity under the new labor code, but the number seems relatively very high if you compare other banks, those who have given the preliminary assessment. Any reason, sir? I mean, other banks are saying only very maybe one-fourth , one-sixth number of what you have reported. Any more details that you could share there?
Prashant Kumar: So Jai, in terms of the our understanding of what the wage bill is talking about , that you need to calculate gratuity, assuming that your wages have to be at least 50% of your fixed pay. As per our wages construction, currently, the basic pay is around 30% of the total

fixed pay. So if we have to define as per the new wage bill, then t he gratuity has to be worked on the basis of if the basic becomes almost 50% of that. Now if we take it from 30% to 50%, and this is how we have worked our lia bility. And we have been very very, say I would be saying careful in terms of why don't you make provisions instead of the coming quarters, we continue to have a negative effect. So basically, the strategy was more in terms of workout as per our understanding, make a onetime provision so that the future earnings are not being impacted from any possible interpretation of the wage code .

Jai Mundhra: Right. Sure. And the second question, sir, on SMBC. I mean, right now, they are majority they are one of the largest shareholder, but not a promoter. And they also have share through their four Indian branch, right? So do you see a possibility wherein four Indian branch of SMBC is amalgamated or convert into wholly owned subsidiary? Or how does it work? I mean can they run parallelly? Or do you think there is going to be an impending change there? Or how should one look at that?

Prashant Kumar: Jai, my understanding is almost similar to what understanding you would be having on this. Nothing different, okay? They are currently like 24.9%. We have also seen a new s that they got approval for a wholly owned subsidiary. How things will shape up in the future, I think all of us together we will see that.

Jai Mundhra: No, no, sir. I'm not asking you to sort of give me any future thing. I wanted to check if those four branches can run separately or they have to be sort of mixed with YES Bank current operation as of now, I mean nothing into future.

Prashant Kumar: No, I think because this is the first time this is happening in the Indian banking space. Very, very difficult to give a definite answer in terms of having a complete understanding how the regulator would think about this. So I think at this point of time, let's see h ow that whole thing would take shape in the future.

Jai Mundhra: Sure, sure. And last sir, on asset quality, So this quarter, you've done exceedingly well, the SR redemption contin

ues and the specific provisions are negligible, right? But sir, if I look at last quarter, right? So I mean somehow it is creating a bit more volatility in the specific provision. If you look at last quarter, there was a bump up. And this quarter, there has been significant decline. So I mean, fair to say that if you continue to receive, let's say, INR 500 crores kind of a SR redem ption you can sustain the current negligible kind of a credit cost or that can again have a volatility in this line item?

Niranjan Banodkar: So Jai, I think the right metric to look is really the NPA provisioning because, as you rightly said, SR provisioning can at times be unpredictable. It is not a function of what we are doing. It's a reflection of what the asset reconstruction company is doing, although we keep getting cash flows from them.

So I think just on the NPA provisioning, the credit cost in March, we did see provisions of about INR 900 crores. They kind of came for the next two quarters at about INR 680-odd crores, which has now come down to about INR 533 crores, right? And it's also clearly coinciding with the way our core Asset Quality performance has improved. So Slippages have also come down. Now on the Security Receipts, look, we did see a dip last quarter, we did see some increase now. I think that's the way some of these things will play out. But on the whole, we've always said that we had guided last year that our Net Credit Cost, Non-tax Provisions to Assets should be below 50 basis points for the full year. I think we're happy to state that I think that's something we should be able to continue regardless of the volatility that will happen during different quarters.

Jai Mundhra: Right. Sure. And if you have any rough range of this redemption over the next, let's say, two to four quarters from this SR portfolio?

Prashant Kumar: No, I think, Jai, would be difficult to say, but I think today if you see that out of INR 6,800 crores of Security Receipt s, now we are left with only INR 1,800 crores. INR 5,000 crores have been fully resolved and in addition to INR 5,000 crores, we have also received an upside of almost INR 2,500 crores. So I think if we see that part, definitely for the remaining books, things would become more difficult and it will take more time. But I think we have given a guidance for this year in ter ms of having a recovery of INR 1,200 crores for the entire year. We have already achieved INR 1,113 crores, okay . So I think fortunately like our estimation on this part has been proved correct. But I think next year onwards also we would be seeing maybe recoveries in the range of INR 800 crores .

Jai Mundhra: Right. Understood. And Niranjan, if you have the number in rupees crore for PL and Credit Card slippages because I see that there has been a lot of improvement in the Retail slippages. I mean, just that number in absolute crore will be very, very helpful.

Niranjan Banodkar: If you can bear with me for 30 seconds, we will have that number. So PL, the Gross Slippage number is about INR 180 crores and credit cards would be about INR 140

crores.
Jai Mundhra: Okay. And they are clearly down, right? So if you have the corresponding number last quarter?
Niranjan Banodkar: Yes. So last year, same time this number was about INR 250 crores, Credit Card was about INR 190 - 200 crores. So we've kind of continued to see improvements from those numbers.
Rajan Pental: Just to add to this, one is the Gross Slippage number. The other one also is to look at the entry rates . So entry rates in cards from 20% is down to around 12% which gives us significant confidence on the way things are panning out.

Similarly, for Retail Assets, I don't have here for only PL, but overall for Retail Assets, it is down to 8.7% as compared to a high of around 10

.7% a couple of quarters away , So both in terms of entry rates, resolution and slippage and recovery, each of the product, including cards, is showing a significant improvement.
Jai Mundhra: Sure. And sorry, I did not catch this , did you say entry rate or sorry, what was that?
Rajan Pental: Entry.
Jai Mundhra: Entry, so entry into delinquency.
Rajan Pental: Yes, the check bouncing rate.
Jai Mundhra: Sure. Thank you very much and all the best.
Moderator: Our next question comes from the line of Dev Dey from Horse Power Securities.
Dev Dey: Congratulations on a splendid set of numbers again. My question is regarding the Advance growth, So are you confident to achieve the Advance s growth in the figure of teen, high teen or mid -teen?
Prashant Kumar: No, I think we are not like aspiring for that kind of loan growth, okay? We are more in terms of a Profitable loan growth. We don't want to simply grow for a top line purpose, without having a Profitability . So I think mid -teen or high teen is sometimes a way, okay . Immediately, what we are looking for the current financial year would be somewhere around 8%. And for next financial year, we would like to be in line with the market.
Dev Dey: And can you...
Moderator: Sorry to interrupt, Dev. We request you to please rejoin the queue if you have any further questions.
Dev Dey: Okay, sure. No problem. No problem. No problem.
Moderator: Our next question comes from the line of Nagesh Motamarri, an individual investor. Please go ahead.
Nagesh Motamarri: Hearty congratulations for an excellent set of numbers in this competitive market conditions. I just have a small question. As a Retail individual investor, when can we expect a nominal simple dividend from the Bank in future?
Prashant Kumar: So Nagesh, thank you so much. I think I recall like you were also participating in the earlier earnings calls. I think fundamentally, if you see like from where we started, we have been able to show quite a decent performance in a very tough market. But de finitely, we would like to see that going forward we would continue to perform much better and reward our investors.

Nagesh Motamarri: Yes, any rough tentative time line one year, two years or something like that? Because the equity is very high, servicing this kind of an equity is difficult, I understand.
Prashant Kumar: Nagesh, at this point of time, I think it's very, very difficult. We need to discuss this part in terms of Board and others, but I think at the right time, we would also accomplish.
Nagesh Motamarri: Thank you very much and all the best, sir.
Moderator: Our next question is from the line of Anurag Khurana, an individual investor.
Anurag Khurana: Mr. Prashant Kumar , first of all, my appreciation. I hope my words don't sound bad, but you came in at a time and adopted an orphan and grew it to this level. So to you, personally, and to everybody else who turned around YES Bank , so that it could attract investor like SMBC. And secondly, I'm joining this for the first time, your conference. But I'm a little difficult investor. I don't want to get satisfied with the dividend, but I have my own estimation of the stock price with this SMBC coming in. I know you have already s aid that you're looking for Profitable growth on your loan book. So when can we see a doubling of your loan book so that my stock price can go up to INR 100.
Prashant Kumar: No, but I think first of all, thank you so much for understanding and appreciating the performance of the Bank. I think what we also need to say be cautious of , that, ultimately

what is the expectation . As per our understanding, expectation from the investor is always in terms of Profitable growth, instead of maybe doubling the loan book, where you don't earn and you come across the credit issues going forward.
So I think for any Bank, it'

s very, very important to diversify the loan portfolio, have some time in terms of understanding, doing it better, gradually grow. And this is exactly what we are doing. If you see continuously, every quarter has been better than the previous quart er. I think we would still like to be very, very calibrated, cautious, okay .
I would not like to do anything which can create any pain point for our investors or the depositors. And we are quite , I would be saying confident and feel happy that we are absolutely moving on the right track.
Anurag Khurana: I don't want to even ask about SMBC because I think you've already indicated in a conference, and we will let the things unfold at the natural pace as per your own understanding internally, what you have with them. But I think it's a beautiful chapter, which we are waiting to unfold . and my Best Wishes to you and your team . I think I have a feeling that you're probably underappreciated at this point of time in the Banking industry as the task on your hand, five years back, was very, very difficult. So I'm trying to bring in this point, although it may not matter to people who are listening to this, but I know how difficult it is to keep a team motivated and to bring them to a level of semblance. So Best Wishes.
Prashant Kumar: Thank you. Thank you so much for your understanding and appreciation.
Anurag Khurana: All the best, sir. Thanks for this opportunity and participation. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Prashant Kumar for closing comments. Over to you, sir.
Prashant Kumar: Again, thank you so much for your continued interest in YES Bank , attending the conference call, and asking all the questions . I can only assure you that as a Bank, we would continue to work for showing a better performance and to the benefit of all our depositors and investors. Thank you so much, and I wish all of you and your family a very Happy New Year.
Moderator: Thank you. This brings the conference call to an end. On behalf of YES Bank , we thank you all for joining us. You may now disconnect your lines.

Call: Apr 2026

YBL/CS/202 6-27/018

April 24 , 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the audited Financial Results for the Quarter (Q4) and year ended March 31, 2026
Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited (“the Bank”) on April 18 , 2026, for the audited Financial Results for the Quarter (Q4) and year ended March 31, 2026. The same is made available on the Bank’s website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link :
https://www.yes.bank.in/pdf?name=q4fy26_analyst_call_transcript.pdf
The weblink of BSE Limited and National Stock Exchange of India Limited providing the above information is being hosted on the Bank’s website www.yes.bank.in pursuant to Listing Regulations, as amended.
You are requested to take the same on record .

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary
Encl.: As above

“YES Bank Limited
Q4FY26 and FY26 Earnings Conference Call”
April 18, 202 6

MANAGEMENT : MR. VINAY M. TONSE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR
MR. MANISH JAIN – EXECUTIVE DIRECTOR
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PARNAMI – HEAD INVESTOR RELATIONS AND SUSTAINABILITY

YES Bank Limited
April 1 8, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank's Q4 FY26 and FY26 Earnings Conference Call. On the management panel, we have with us today Mr. Vinay M. Tonse, Managing Director and Chief Executive Officer, YES Bank; Dr. Rajan Pental, Executive Director; Mr. Manish Jain, Executive Director; Mr. Niranjan Banodkar, Chief Financial Officer; and Mr. Sunil Parnami, Head of Investor Relations and Sustainability. Mr. Vinay M. Tonse will now give you an overview of the results, which will be followed by a Q&A session. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. Participants are requested to ask questions pertaining to the bank's Q4FY26 results only. For any other information, you may reach out to the Corporate Communications team separately.

I now hand the conference over to Mr. Vinay M.Tonse. Thank you, and over to you, sir.

Vinay M. Tonse : Yes. Thank you very much. And at the outset, our apologies for getting into this meeting a little late. We got stuck in some other meetings today. Sincere apologies for that. But formally to start, good afternoon, everyone, and thank you for joining us for the YES Bank Q uarter 4 and Full Year FY26 Earnings Conference Call.

While I have interacted with many of you in my earlier role, this is my first earnings interaction as the MD and CEO of the YES Bank, and I'm very pleased to join you today along with my senior leadership team and I also look forward to building a long -term engagement with all of you.

As part of my opening remarks, I will briefly cover my first impressions of the Bank, our take on the current operating environment and key highlights of our quarter 4 as well as the full year FY26.

But, at the outset, I would like to express my sincere appreciation for Mr. Prashant Kumar, my predecessor. Over the past several years, he led YES Bank through a multi - year and truly unique transformation. His leadership was pivotal in stabilizing, strengthening and also re -anchoring the institution. I must also bring in here mention of the strong support of the Government of India, the Reserve Bank of India and the State Bank and other banks who got in together to bring in the reconstruction of the YES Bank. And also, last but not the least, the Board of Directors, which guided us during this period and also our customers and employees, who are a huge source of strength for us.

Thanks to these collective efforts, the Bank, I now have the responsibility to lead, stands on a very stable foundation. Even in challenging periods, the YES Bank ’s brand

remained relevant and trust was rebuilt gradually through steady execution. Today, the Bank operates on a stronger base with resilient Asset Quality, a more granular franchise, a strengthened deposit engine and renewed stakeholder confidence supported by strong shareholders such as SMBC, SBI and Advent International.

Over the last few weeks, I have spent meaningful time across teams and functions, listening, understanding and also observing the nuances of how this Bank operates. My early interactions have highlighted the steady commitment of the YES bankers who have been supportive through challenging periods and contributed to restoring confidence. I've also seen a strong alignment of purpose across all the stakeholders. That's amongst employees, customers, the regulators, the Board and investors, which is very reassuring for the path ahead for us. Alongside this, our modern technology platform, the leadership in digital payments ecosystem

we have and collaborative
embedded bankin g capabilities provide useful strengths as we enter the next phase of growth.

Going forward, we will build on what is working well, strengthen areas that require more attention and pursue growth that is thoughtful, calibrated and also sustainable. Execution discipline and stakeholder trust will remain central to how we operate.

Looking ahead, we will continue to invest steadily across four basic areas: our people, our product, our processes and our technology platforms. These remain important to strengthening the Bank over time. We will also keep building on the Power of One YES Bank to ensure a consistent customer experience across businesses. In addition, our ongoing collaboration with SMBC provides helpful strategic support, particularly in Corporate and cross -border banking.

Now let me talk about the macros as they are evolving.

We are closely observing the fast -evolving global environment, including the AI landscape and the geopolitical conflicts impacting global growth, supply chains, energy and freight costs and also the inflation and interest rate trajectories. Against this backdrop, India remains comparatively resilient, supported by steady domestic demand and a stable financial system. As a Bank, we remain attentive to these trends and their potential implications for our businesses.

To the third part now, I would now share some of the key highlights of our quarter 4 and also the full year FY26 performance.

Despite the ever -evolving macro environment, the Bank closed FY26 with stable and improving financial performance, underscoring our progress on Profitability, productivity and Balance -Sheet quality.

1. For the full year FY26, Net Profit stood at INR 3,476 crores, up 44.5% over FY25 ,Net Profit of INR 2,406 crores, supported by continued improvement in our operating performance. R eturn on Assets (ROA) for the full year was at 0.8% versus 0.6% in FY25.
2. For Q4FY26 , the Bank reported a Net Profit of INR 1,068 crores, reflecting a strong growth of approximately 44.7% over the Net Profit of INR 738 crores in the corresponding quarter of the previous year. In line with our guidance, Bank report ed an ROA for the quarter of 1%.
3. Talking of our Net Interest Income and NIM. NII for the quarter was INR 2,638 crores, which was up 15.9% Y -o-Y.
4. Despite adverse interest rate environment and elevated competitive intensity in Deposits, our NIM saw an improvement of 10 basis points quarter -on-quarter and 20 basis points year -on-year and came in at a number of 2.7%. Even for the full year, the NIM at 2.6% improved 20 basis points vis -a-vis FY25 and in line with our guidance given in Q4 of FY25. Our margin improvement was supported by multiple factors, namely front -loading of our Deposit repricing that happened last April, continued outperformance in CA SA and sustained reduction in high -cost borrowings mirroring continued rundown of the RIDF and PSL -related mandated Deposits. Net Interest Income for FY26 at INR 9,776 crores grew 9.3% year -on-year.
5. In line with our guidance in FY26, the Bank had a second straight year of 100% compliance in PSL and all of its subcategories, which resulted in notable reduction of RIDF and other mandated Deposits to approximately 6% of Total Assets vis -a-vis 9% as at the end of FY25. That was 6% now against 9% last year. The Bank continues to see a gradual increase in its organic accretion of PSL across sub -categories. Going forward, the Bank remains well on track to reduce these Deposit balances to below 5% by fiscal '27, which will aid our margins and Profitability.
6. As regards the Non-interest Income, the Bank saw continued momentum across all diverse and granular fee income streams. Non -interest Income for the FY26 at INR 6,759 crores grew 15.4% year -on-year, driven by healthy tra

ction in Retail fees, SME and Commercial Banking fees and also on the back of strong Transaction Banking performance. We continue to strengthen our fee momentum by deepening client engagement, improving the cross -sell intensity in Wholesale Banking and scaling our digital fee engines. This includes driving higher penetration of forex, trade and CMS flows within our Corporate relationships, while broadening Retail fee contributions through pre -approved programs, cards, payments and wealth offerings.
7. Over the last three years, the Bank has seen a meaningful increase in its Non-interest Income to Average Assets Ratio, which has increased from 1.1% in FY23 to 1.5% this year FY26.

8. Cost-to-Income Ratio for FY26 also saw a big improvement to 66.7% versus
71.3% in FY25. That's 66.7 % now versus 71.3 % last year. The exit for the

financial year came in even lower with the Cost-to-Income Ratio coming at
63% vis -a-vis 66.1% Q3 FY26 and 67.3% the same quarter last year. The
decline has been in line with our broad guidance to gradually keep bringing
down our Cost-to-Income Ratio, and we expect the momentum to continue.

9. Improving core Profitability remains a central theme for us. For FY26, the Bank
had a Pre-Provisioning Operating Profit (PPOP) of INR 5,506 crores, which
grew 29.4% year -on-year. FY26 PPOP as a percentage to Average Total
Assets improved to 1.2% versus 1% for FY25 and 0.9% in FY24. The PPOP
for the quarter was INR 1,618 crores, up 23.1% year -on-year, supported by
income growth outpacing expenses growth, reflecting sustained expansion in
our operating j aws.

10. Asset Quality remained strong during the quarter. As at 31st March '26, the
Bank reported Gross NPA and Net NPA ratio of 1.3% and 0.2%, respectively,
the lowest ever that we have seen in the last 24 quarters and amongst the top
quartile in our peer set. Sequentially, the GNPA and NNPA ratio improved by
20 and 10 basis points, respectively. Further, the Provision Coverage Ratio
(PCR) continues to remain healthy at 81.9%.

11. The Resolution momentum remains strong. The Bank had total Recoveries
and Upgrades of INR 4,795 crores in FY26, which included recoveries from
Security Receipts (SRs) of a little more than INR 1,550 crores against our
guidance of INR 1,200 crores. In line with the rundown in the face value of the
Security Receipts, we expect recoveries to the tune of INR 800 crores to INR
1,000 crores from SRs in FY27.

12. The Bank continues to reduce its overdue exposures, strengthen early
warning mechanisms and enhance the underwriting standards and the
collections infrastructure.

13. Gross slippage ratio in FY26 has improved to 1.8% versus 2.1% last year. This
has been led by improvement in the Retail Asset Slippages, which improved
in FY26 to 3.5% from 4% in FY25 with the exit rate even lower at 2.8% in
Q4FY26 versus 3.4% the last quarter. Retail slippage for Q4 FY26 at INR 888
crores is at its lowest in the past 9 quarters, with improvements visible across
both secured and unsecured products. Together, these trends underscore the
resilience of our asset book and the effectiveness of our ongoing credit risk
management efforts.

14. Overall Credit Costs remained low at 0.2% for the full year FY26 versus 0.3%
last year. Credit Cost for the Q4 FY26 was at 0.17%.

Now moving over to the Balance Sheet highlights.

1. Growth saw a marked uptick during the quarter, aided by acceleration across
business segments. Total Advances registered a growth of 11.1% year -on-
year to INR 2.73 lakh crores. Retail disbursements in particular, have gained

significant momentum, registering approximately 41% year -on-year growth in
Q4FY26.

2. We remain focused on balanced and Profitable growth across Retail,
Commercial and Wholesale businesses, supported by disc

iplined risk
selection and effective pricing.

3. We crossed 2 critical milestones in our Deposits franchise during this quarter.
While overall Deposits crossed the milestone of INR 3 lakh crores, the CASA

balances crossed the milestone of INR 1 lakh crores. Total Deposits increased 12.1% year-on-year to INR 3.18 lakh crores with a strong contribution from Retail and Branch -led Deposits, which grew 13.5% year -on-year and comprised 58.4% of the Total Deposits. CASA balances grew 14.9% year -on-year to INR 1.12 lakh crores. Even on an A verage Quarterly Balance (AQB) basis, the CASA growth was strong at 11.2%. And the CASA ratio also improved 80 basis points year -on-year and 110 basis points Q -o-Q to 35.1%
Strengthening of the liability franchise remains a priority for the Bank. We are working to reduce reliance on the bulk Savings Bank balances , improving Branch -led and digital -led acquisition funnels, enhancing customer journeys and sharpening the pricing strategy, ensuring competitive positioning without compromising stability. Continued improvements in digital onboarding, the KYC processes and RM productivity have enabled us to capture higher primary banking share from our target customer segments and are the key drivers of our continued outperformance to the industry in CASA.

4. Our Credit-to-Deposit (CD) ratio, improved to 85.7% from 88% in Q3FY26 and 86.5% in Q4FY25.
5. Our Capital Adequacy and Liquidity levels remain comfortable to support the growth aspirations of the Bank going forward.

A few other updates from our side.

1. I'm pleased to welcome on Board Mr. S. Anantharaman as the Chief Risk Officer of the Bank. He is an industry veteran with over three decades of experience with rich experience, rich expertise in the risk management domain.
2. We also opened 82 new branches during the year, which was in line with our guidance at the start of the year.
3. Our ESG ratings, which are already the best in the Banking Industry in India, continue to see improvement across agencies such as S&P, FTSE and the ISS Stoxx.
4. YES Bank also has been recognized as a Great Place to Work for the fourth consecutive year.
5. The Bank has rolled out a new business offering in the form of YES Grandeur, which is the premium Banking suite delivering business solutions, digital integration and operational benefits for modern enterprise.

To conclude, as we enter FY27 with stability and renewed momentum, we will be continuing to :

- Invest in our people, products, processes and technology,
- Deepen customer relationships across segments,
- Focus on building a future -ready Bank with very strong resilience.

And finally, I thank you once again for joining us today. We can now take questions. Thank you.

Moderator: Our first question comes from the line of Jayant Kharote from Axis Capital.

Jayant Kharote: Congratulations sir for good set of results . The first question will be going ahead given that I know it's a short st int so far, but how are you looking at growth in the Bank for the next 1 year? Is there anything you're waiting for to accelerate in terms of any of the Balance Sheet metrics? Or do you think we can start with 15% plus growth?
And second, of course, is that if you could help us with the average CASA growth in quarter 4 . And compared to the loan growth, maybe the CASA has held up despite the rate cuts, but how do we sort of grow that in line maybe in that 14 % to 15% on an average basis? So how do you address these 2 questions?

Niranjan Banodkar: So, I'll start with the CASA growth on the average basis. So, on both CA and SA have sequentially grown in the range of about 4%. In fact, CA sequential growth has been slightly more than 4%, but blended is about 4%. And if I actually look at Term Deposits growth, and I'm excluding the CDs that we ended up raising as well, th

e Term Deposits also have grown big picture at about 4%.
So, if I were to characterize the growth for quarter 4 across the Deposits, it's broadly anchored around a 4% CASA and TD. So, I think we're kind of maintaining the CASA

ratio at least from an average performance vantage point, right . If I look at the year -on-year growth on CASA, that is anchored at around 11% growth rate on an average. Again, this is -- we're talking about average Q4 FY26 to average Q4 FY25. So that's on Deposits.

You had a question which you started with was on next year's growth. And we've kind of discussed this on earlier calls as well. We do believe that we are a franchise that indeed should be delivering growth in line with the industry, if not targeting more. But there were reasons which were quite p eculiar to us and conscious why we calibrated the growth lower.

But quite happy to report that we've already seen between December and March that the sequential momentum is beginning to quite accelerate. And that's kind of ending up with a reported number of 11% on a Y -o-Y basis for Advances growth.

We do believe that momentum should certainly continue and not just in certain products or segments. I think what we are now talking about is a lot more secular across segments. Of course, Retail Disbursement growth rates are quite aggressive.

We're moving fast now , given that we now have confidence on the Asset Quality and Profitability. But having said that, the book is slated to grow in double digits next year.

So, net -net, we put all of this together, we should certainly aim to grow in line with the industry, if not more, and that ball broadly anchors around the 14 % to 15% range.

Jayant Kharote: If I could just squeeze in one last question on the margin. This RIDF rundown has been quite healthy last year. Going into next year, should this trajectory on margin expansion continue Q -o-Q? Or could we see this coming back a bit?

Niranjan Banodkar: So, on a year -on-year basis, again, some of the rundowns that we had in RIDF this year also were more heavy from an H2 persp ective. So, to that extent, FY 27 comparison to FY26, even if it is year ended, should have no material bearing. But there is a rundown plan. So, we've ended this year at about INR 27,900 crores , ballpark INR 28,000 crores.

We think that next year, at a minimum, the reduction should be about INR 6,500 crores.

That could also go as high as INR 9,000 crores by the end of March '27.

Moderator: Our next question comes from the line of Jai Mundra from ICICI Securities.

Jai Mundhra: Good afternoon everyone and Congratulations on a good quarter. Sir, first question is on your growth mix, right? So, we have achieved 1% ROA , Asset Quality seems to be holding up reasonably well. But Retail Slippages, while they are improving, they are still 2.93%. And we see that Retail Advances are both up 4% to 5% on both Q -o-Q, Y-o-Y basis.

Given the SMBC induction as the largest shareholder, do you envisage any change in the loan mix between Retail, Wholesale, Commercial as you move towards industry level growth? So that is question number one.

Niranjan Banodkar: So, on the growth mix, I think important to note is the Retail Disbursement growth because that's really an important controllable that we have, which we are driving faster.

So, if you look from a Y -o-Y perspective, in fact, we are kind of way above a 20% Y -o-Y growth. We do believe that it should ultimately get normal ized in the 20 -25% range.

But what we are aiming to grow the Retail Book next year is actually should hit the double -digit growth. So, let's say, about 10 % to 11% is what we do believe it should deliver. If I look at the Corporate Book, that's already growing at about 20%. So, we do believe we have the levers to grow at 20%.

Commercial Banking is something that is a space we like. Hi

storically has been a good growth driver for us, and that continues to also deliver about 18% growth. So, net-net, I think the momentum that is playing out as we are exiting fiscal '26 is quite secular

across all segments. And that, therefore, gives us the confidence to start delivering a

growth in line with industry, if not more.
Now maybe for about a year or so, because Retail is catching up, but they are still maybe, let's say, end up growing maybe 10 % to 11% next year. To that extent, there will be some mix I would say, compression, but that's not going to be material. And as we kind of move forward, I think we will anchor around a reasonably similar mix composition that we have right now.
Jai Mundhra: Sure. That is very helpful. And on the treasury, the bonds, the G -Sec had spiked during the quarter. They ended at more than 7% at quarter end. Do you had any MTM on investment book or if you can specify, was there any MTM loss either in the P&L or in AFS reserves or was there any offset?
Niranjan Banodkar: Sure, Jai, I will take that. So as a market philosophy, we don't run very high open risk through our trading book, whether it's bonds or for that matter even FX. While we've not asked, I can also confirm that even the FX because of some of the changes that came through regulations, it's not had any material bearing on our mark -to-market because as a philosophy, we don't run quite large trading positions on markets.
However, yes, we do acknowledge that the yields did go up and that has had a bearing on our, let's say, the minimum SLR maintenance book, which is largely parked in the HTM. But we do also note that the yields have come up from the reporting period of March . So, we will wait and watch how the yields behave. But that's largely in the HTM book.
There has been some P&L movement through the AFS reserve, but that's already fully baked into our CET -1 computation for December. And you would see that our CET -1 also continues to be healthy from a 13.9%. We just consumed about 10 basis points for the March report as well. So, no material impact from the yield increase. On the contrary, we do believe that this should help us add to some yields in our investment book from a margin perspective.
Jai Mundhra: Right. No, Niranjan, if you have the number for AFS reserves , let's say, Q3 and maybe the Q4, that will give some sense on what was the movement in the AFS reserves?
Niranjan Banodkar: You are saying in terms of the absolute value?
Jai Mundhra: Yes.
Niranjan Banodkar: The AFS reserve, we have a negative balance of about INR 100 crores as of March 31. The swing would be about INR 200 crores.

Jai Mundhra: Okay. Sure. And you have mentioned that INR 340 crores of onetime standard assets provisioning as a step -up provisioning. If you can elaborate on that, is this against any specific exposure? Is this in the run -up to ECL or any more color on that?
Niranjan Banodkar: Sure, Jai. Important question. So, on that before I get into that, just a couple of context setting that I wanted to do. So one, if you see, we continue to have a very strong recovery from SRs this quarter, which was in the range of INR 450 crores. The second is we've also had one Corporate asset that got resolved, which had slipped earlier, much earlier, which was provided for and that also meant that we had a write -back of about INR 288 crores during the quarter.
And third and which is very fundamental and more important is our core NPA Credit Cost is also lower quite substantially quarter -on-quarter. Now these were like the three material contributors to provisioning buffers that we have gives us the ability to create.
Second, what we do is we've usually followed quite conservative policies from a provisioning standpoint. A great example is if you look at our NPA, we've kind of carried PCRs in the range of 80% plus now for the last three quarters. And we've always stated objective to be quite high from an NPA standpoint coverage.
So as part of that philosophy as well, we kind of look through portfolio and our own provisioning policies. And we did realize that there are sometimes evolving and possibly even prudent provisioning policies. And that application we have done in quarter 4 of this year, which translates to about INR 341 crores.
I want to be emphatically clear here that the provisioning that we have done on certain, let's say, product or segments in no way reflect an underlying credit issue or an impairment or our view about that sector. It is just what we thought was prudent in t erms of -- and just being proactive in terms of taking more provisioning.
Jai Mundhra: Understood. Thanks Niranjan. And sorry, I have two more questions. I can ask them

now or maybe if you allow I can speak them now also.
Niranjan Banodkar: Okay.
Jai Mundhra: Sir, on the ROA trajectory, now we have achieved 1% ROA adjusted for Labor Code last quarter and this quarter, maybe more than 1% if I adjust this INR 340 crores contingent provisioning. What is the next milestone as you had hinted that growth you would aim at similar to system? How would you look at ROA trajectory because NIM seems to be having some tailwinds and Asset Quality anyway have reasonably good tailwind. So what would be the next stop maybe exit FY27 or maybe full year FY27, if you c an provide some color there?
Niranjan Banodkar: So it's again something that we've been saying we will want to exit FY26 with a 1% ROA. And as you rightly pointed out, I think we are now beginning to deliver that more

consistent with December also being 1% adjusted for the gratuity cost. Now I would say that directionally having achieved this, of course, there are two important levers. One is sustenance of this is what we have to make sure we are driving. And the important contributor to that sustenance and improvement from here on, further improvement is really going to be on the core ROA. We have to ensure and make sure that we still h ave some more of benefit that we will get from the J.C. Flowers ARC write - backs over the next year.
So as we speak, we still have about INR 1,500 crores of face value of securities, which can get redeemed over the next few quarters. So that what we have to do over the next year or two is really make sure that we have the core ROA construct to offset that, not only offset really expand from a beyond -- reasonably beyond 1% ROA.
So, I don't want to kind of really put out a number from a core ROA perspective. But our objective internally is really to drive 25, 30 basis points of improvement from our core construct, right, where we get the margins higher, get our cost structure high er, get our fees higher. And then, of course, if JC Flower benefits keep coming in, which we are indeed expecting even should play in FY27, and that further adds to our performance.
Jai Mundhra: Right. So thanks again. And then lastly, if you have the number for Credit Card Slippages and maybe PL Slippages, it looks like they are clearly improving. But if you have the number in absolute INR crores , I think last quarter was some INR 180 crores for Credit Card and around INR 140 crores for PL, and that will be very useful.
Niranjan Banodkar: We'll pull that out. I think maybe we might have interchange the numbers, Jai, from your records. The Credit Card was about INR 133 crores and Personal Loans was about INR 180 crores. So that INR 186 crores Personal Loans is down to about INR 160 crores. And Credit Cards continued to be in the range of about INR 135 to 140 crores.
Jai Mundhra: Thank you v ery much and all the very best.
Niranjan Banodkar: Thank you, Jai.
Management:

Thank you.
Moderator: Thank you. Our next question comes from the line of Advait Date from Go Digit Life Insurance Limited.
Advait Date: Thanks for the opportunity. Congrats on the good set of numbers. A few of my questions have been already answered. I had one question I wanted to get some color on. So I wanted to understand a little on our branch expansion strategy. So for the full year, we have added around 82 new branches. I wanted to understand how the contribution of Retail Disbursements has been for the quarter from branches?

And as we move to the next leg of growth, how are we looking at branch expansion, which locations we are prioritizing and how that aligns with the loan sub -segments we are trying to prioritize growth in?
Rajan Pental : For your question, so we had laid out a guidance for the next 4 to 5 years with a plan of

around 400 branches with an average of around 80 branches per annum, and we are on course of that. We opened around 82 branches last year. And we would be going ahead with that plan depending on if there is any upside available to do that. That is point number one.

Point number two is on the disbursements. Our internal customer sourcing is approximately 50% of the overall disbursals we do. Out of that, approximately 60% actually comes from the branches through the branch customers. So we would like to see this actual ly growing going forward.

There have been some calibrated growth strategy on the unsecured loans. And now with the new rule engines and the new platform, when we look at increasing that share as well, this should also result in increasing the contribution coming from the branches.

On the third part, when we look at our branch expansion, we typically look at three points. One, what is the Deposit growth happening in and around that pin code. Second one is how is the credit growth happening? And third is how the quality of credit growth available in and around that Bank. So these are largely the three broader points we keep it in mind while going for any selection of a branch location.

Advait Date: Got it. Got it. That's helpful. Just one quick follow -up question on an earlier question asked on RIDF. You did give out the rundown trajectory for the next 1 -year. I wanted to understand how the mix would look like after 1 -year? Would the decline be sort of linear or would it be accelerated post 1 -year? Thanks.

Niranjan Banodkar: So the reduction of RIDF from here on will -- so for example, FY28 and FY29 will be equally split and then there are some maturities in FY30. So I would say it starts getting thinner in terms of the pace of reduction. So FY28 will be similar to FY27 potentially, but FY29, FY30 will start getting thinner.

Advait Date: Okay. Got it. Thanks. Thank you. That’s it from my side. Thanks and all the best.

Niranjan Banodkar: Thank you.

Moderator: Thank you. Our next question comes from the line of Dev Dey from HorsePower Securities.

Dev Dey: Yes. Good evening, gentlemen.

Vinay M. Tonse : Mr. Dev. Good evening.

Dev Dey: Yes, good evening, everyone. Congratulations on an excellent set of numbers.

Vinay M. Tonse : Thank you so much.

Dev Dey: It seems that the performance has been improving quarter -on-quarter, and it's very pleasant to be part of your story. My question is by the next year, what is your target balance sheet size in terms of loan book?

Niranjan Banodkar: So, we've said we've not put out a specific numerical target. We've said that we will want to have a growth rate in line with the industry, if not be better. And that -- our expectation is that should be in the 13% to 15% range.

Dev Dey: What percentage, I missed it. Sorry?

Niranjan Banodkar: 13% to 15%.

Dev Dey: Okay, okay, okay. And what would be the average targeted yield on the book?

Niranjan Banodkar: So, for yield on advances that we've had as we look to exit March, that has been about 9.2%.

Dev Dey: 9 point?

Niranjan Banodkar: 9.2%.

Dev Dey: Okay. Thank you.

Vinay M. Tonse : Thank you, Mr. Dev.

Dev Dey: Thank you for sharing the details.

Vinay M. Tonse : Thank you for coming. Thanks.

Moderator: Thank you. Our next question is from the line of Rama Subba Reddy, an Individual Investor.

Rama Subba Reddy: Good evening, everyone. So hearty congratulations, Vinay sir, for becoming a new MD and CEO of YES Bank. And yes, the numbers have been very good. I mean yes, the NPA Asset Quality and also look now Deposits like 2020, where we were under 2026, it's like 3x growth, very good. And also like the Profits also looking promising, like last year, like whatever management guided that ROA, we have exited 1%.

So basically, my question is like so this ROA like I mean, FY27 and FY28, FY29 in the upcoming years. So, I think we hope we maintain 1% ROA and also like on top of that, that number will grow quarter -on-quarter on a yearly basis. Can you describe on that

so that we will have good confidence that whatever we built so far, we will not lose the momentum?

Niranjan Banodkar: So, thank you very much, sir, and thank you for being quite supportive on the Bank. So, we really value that. Thank you for that. On the question on ROA, we've said this that March '26, we will look to exit with a 1% ROA. And I did also allude to that in my previous response. I think the most important thing is now to sustain this 1% ROA.

Of course, there is a play that we also have from provision write -back of JC Flowers ARC. But what we have very emphatically worked upon internally is to say , internal , outside of the JC Flowers ARC write -backs, we will look to improve our ROA 25 to 50 basis points.

And it's a function of Net Interest Margin improvement, is a function of making sure we're disciplined on cost and containing the credit cost as well. So really, that's our endeavor. What you've said are exactly our aspirations and our ambitions as well to not only maintain, but to improve ov er the next 2 to 3 years on the ROA trajectory.

Rama Subba Reddy: And even this RIDF is reduced now, like earlier, it was like 11%. Now it is significantly reduced. And I hope this -- I mean, like RIDF funds and also like, it can improve the loan growth and also our NIM also, like any target in the next year like to cros s 3% or any guidance on that, sir? Like currently, it is 2.7%?

Niranjan Banodkar: So, on that, sir, we usually refrain from giving the near -term guidance. We've said that structurally over a 3 -year period, let's say, now about 2 to 3 year period, we do believe that we will want to get into a 3.25% to 3.5% kind of a range from a margin pers pective.

And as you rightly pointed out, RIDF is going to be an important contributor to getting the Net Interest Margins higher as well. So that's really one big driver.

Second, we have to make sure that our loan spreads are quite disciplined, and there's a lot of work that we've already done from a cost of funding standpoint. So, if you look at our Savings Account rate over the last 1 year, we've taken the benefit of this reducing rate cycle to cut our rates by over 150 basis points. So, Savings Account rate, which was blended 6% is now well below 4.5%.

We've taken another rate action in April as well. So, our objective is to also make sure that we are focused on getting our Cost of Deposits, which we believe is very core to a Bank and its liabilities to get that Cost o f Deposit structure lowered as well. So not only RIDF, which anyway is on a bit of an auto mode of rundown but work hard to also get the loan spreads improved through our Cost of Deposits and funding as well that we believe should help margins.

And last is, as the Retail growth is now com

ing back and as the mix starts playing out on the loans as well, that will also indeed help us improve the Asset, Advance yields,

and therefore start playing into our margins as well. So, we will work hard and to make sure that we are driving each of these vectors to the right direction.

Rama Subba Reddy: Yes. And last question, is there any plan...

Moderator: We request you to please rejoin the queue if you have any further questions, please. Our next question comes from the line of Amit Varma, an Individual Investor. Please go ahead.

Amit Varma: Congratulations on maintaining the growth momentum of performance. This is heartening. Can you give us an update on the AT1 bonds case? And what do you think would be the impact on the Balance Sheet in the case of an adverse judgment?

Niranjan Banodkar: So, on the AT1 matter, this matter is subjudice, as you all know. The hearings have taken place at the Supreme Court, and the matter is also reserved for judgment. We

will wait to hear from the Supreme Court -- Honorable Supreme Court on the verdict.
And we w ill make sure that we are also coming back to all our stakeholders and
updating them on what the outcome and its impact on the Bank would be.
I would refrain from passing a judgment on what we expect. We stated this earlier as
well. We do believe the actions we took were in line with the contractual obligations and
the processes that were allowed. But it is important that we respect the proceedings of
the court and allow the judgment to be out.
Moderator: Our next question is from the line of Shreyanth from Sundaram Asset Management
Company.
Shreyanth : Firstly, congrats on an amazing result. I just want your quick view on the West Asia war
and its impact on the MSME segment, given that it's one of your key growth drivers. So
where do you see that? Are you still planning to continue growing it? And how do you
factor the stress over there?
Manish Jain : Sure. Thanks. So, we are proactively monitoring our portfolio, and this is the exercise
that we've already started. It's good to report that all our clients, whether it's an MSME
or larger clients have been managing well. They have not shown any signs of stress.
But this i s a space that we will continue to watch because it will have an impact on the
inflation and there can be second order impact.
So, we continue to monitor our portfolio closely and talk to our clients to understand the
impact and the actions that they're going to take. Currently, since we have had a good
client collections over the years, all our clients have been able to manage this crisis
well.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I
would now like to hand the conference over to Mr. Vinay M. Tonse for closing
comments. Over to you, sir.
Vinay M. Tonse : Yes. Thank you so much, and I must place my sincere appreciation on record for all the
esteemed analysts who could make it today. I know it's -- of course, it's a Saturday
afternoon and also a very busy day because the other 2 Banks also that came in today.
I appreciate you taking time off and then coming and joining us. Thank you very much.
Moderator: Thank you. This brings the conference call to an end. On behalf of YES Bank, we thank
you all for joining us. You may now disconnect your lines.

Call: Jul 2026

YBL/CS/202 6-27/66

July 24, 2026

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot no. C/1, G Block, Corporate Relations Department
Bandra - Kurla Complex, Bandra (E) P.J. Towers, Dalal Street
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: YESBANK BSE Scrip Code: 532648

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for the un-audited Financial Results for the Quarter (Q 1) ended June 30, 202 6
Ref.: Reg. 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Please find attached the transcript of the earnings call hosted by YES Bank Limited ("the Bank") on July 18, 2026, for the un-audited Financial Results for the Quarter (Q 1) ended June 30, 202 6. The same is made available on the Bank's website within the timeline prescribed under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and can be accessed at the following link:
https://www.yes.bank.in/pdf?name=q1fy27_analyst_call_transcript.pdf
The weblink of BSE Limited and National Stock Exchange of India Limited providing the above information is being hosted on the Bank's website www.yes.bank.in pursuant to Listing Regulations, as amended.
You are requested to take the same on record .

Yours faithfully,

For YES BANK LIMITED

Sanjay Abhyankar
Company Secretary

Encl.: As above

"YES Bank Limited
Q1FY27 Earnings Conference Call "
July 18, 2026

MANAGEMENT : MR. VINAY M. TONSE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
DR. RAJAN PENTAL – EXECUTIVE DIRECTOR
MR. MANISH JAIN – EXECUTIVE DIRECTOR
MR. NIRANJAN BANODKAR – CHIEF FINANCIAL OFFICER
MR. SUNIL PARNAMI – HEAD INVESTOR RELATIONS AND SUSTAINABILITY

Moderator: Ladies and gentlemen, good day, and welcome to YES Bank's Q1 FY27 Earnings Conference Call. On the management panel, we have with us today Mr. Vinay M. Tonse, Managing Director and Chief Executive Officer; Dr. Rajan Pental, Executive Director; Mr. Manish Jain, Executive Director; Mr. Niranjan Banodkar, Chief Financial Officer; and Mr. Sunil Parnami, Head Investor Relations and Sustainability.
Mr. Vinay M. Tonse will now give you an overview of the results, which will be followed

by a Q&A session. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Participants are requested to ask questions pertaining to the Bank's Q1 FY27 results only. For any other information, you may reach out to the Corporate Communications team separately.

I now hand the conference over to Mr. Vinay M. Tonse. Thank you, and over to you, sir.

Vinay M. Tonse: Thank you very much. Good afternoon, everyone. And at the outset, thank you for joining us for the Y ES Bank Quarter 1 FY27 Earnings Conference Call. I know today, many other banks are also coming up with their results, and I really appreciate all of you joining us.

Here, I'm joined by my senior leadership team, and we look forward to taking you through the key highlights of the quarter, and we'll be very happy to answer your questions thereafter.

Before I turn to our performance, let me start with a few words on the environment in which we operated this quarter. The Q1 quarter was characterized by resilient domestic demand, strong tax buoyancy and steady manufacturing momentum set against rising cost pressures and a more uncertain global backdrop. Encouragingly, the underlying momentum remains firm. Direct tax collections grew a healthy 16.4%. GST stayed strong at nearly INR 1.95 lakh crores of collections in June. Manufacturing has now been in expa nsion mode for 37 straight months. Industrial production hit a 5 -month high, led by capital goods. The strength is also being reflected in the uptick in the system - level loan growth over the past few months. One area of pressure was inflation, which rose to a 17 -month high of 4.4% on food and fuel costs , prompting RBI to lift its inflation projection to 5.1%, though the monsoon recovered well after a dry start easing some of that concern. However, on a positive note, the GDP growth forecasts have not been impaired.

Now I turn to the highlights of our Q1 performance.

It's against the backdrop which I just gave that at the core, this has been another encouraging quarter for us. Our Net Profit grew 33.7% that is year -on-year to INR 1,071 crores. What I would really like to highlight is the quality of t his quarter's delivery. We

achieved these results even after moderation of some of our non -core income streams such as gains from our Security Receipts (SRs) portfolio, which was significantly lower at INR 86 crores this quarter against INR 338 crores in the same quarter last year and Treasury Income too was lower. There was a one -off interest income on tax refunds of INR 119 crores during this quarter. But even normalizing for that one -off, the underlying performance remains strong.

In many ways, this is precisely the outcome we had spoken about last quarter about our core business gradually taking over from the one -off gains, and that's exactly what's happening now with our recurring , sustainable earnings engine increasingly driving performance, and that's exactly the direction we want to be heading towards.

Our Operating Profit grew 25.5% year -on-year to INR 1,

704 crores. Net Interest Income

was up 17.5% year -on-year at INR 2,786 crores, and our Net Interest Margin improved 20 basis points year -on-year to 2.7%, also holding steady sequentially. We continue to benefit from lower Cost of Deposits even as Yields are impacted by the interest rate cut transmission and the change in mix. Having said this, our near -term aspiration is to move the NIM towards the 3% plus handle over the next 2 years and the underlying levers are well understood. The continued rundown of the low -yielding RIDF and Priority Sector Deposits, disciplined Deposit repricing and improving CASA mix. I would caution that, with the rate cut cycle now on par and Deposit competition intense, margin expansion will be a steady structural climb rather than a straight -line quarter -to-quarter.

Fee momentum has been a real positive for us. Our Core Fees registered a strong 18.7% growth year -on-year with broad -based traction across cards, third -party products, forex as well as transaction banking. Sustained cost discipline remains core to how we run the franchise. Our Cost-to-Income Ratio improved further to 62.8% from 67.1% a year ago, reflecting genuine operating leverage - income growing well ahead of costs. Return on Assets (ROA) for the quarter was 0.9% and Return on Equity (ROE) was 8.3%.

Moving to the Asset Quality.

We see a further improvement of Asset Quality this quarter, and it has been the case despite the seasonality that the first quarter typically carries. On a reported basis, Gross Slippage was lower at 1.4% of Advances against 1.6% in the previous quarter and 2.4% in quarter 1 FY26. Normalized for an intra -quarter account movement in quarter 4, Slippages are at broadly similar levels quarter -on-quarter. And most encouragingly, the improvement in the Retail segment has continued with Retail Slippages at the lowest in the past 10 quarters. And having said that, our work continues. Our GNPA and NNPA ratio stand at 1.3% and 0.2%, respectively, with Provision Coverage healthy at 81.7%. Our Recoveries and Upgrades for the quarter aggregated to INR 564 crores, including INR 86 crores from Security Receipts portfolio. Despite tepid gains from the SR portfo lio in Q1, we maintain our guidance of INR 800 crores to INR 1,000 crores of gains from this portfolio for this financial year '27.

Moving on to the growth and Balance Sheet.
Growth was broad -based across our businesses. Total Advances grew 18.3% year -on-year to INR 2.85 lakh crores. Within this, the Corporate and Institutional Banking grew strongly. Commercial Banking, which largely includes MSME, sustained its momentum at 17% year -on-year and Retail Banking Advances grew 6.9%. I would offer one point of context on the headline number. The part of the Corporate growth is transitional and shorter tenure in nature. However, on an average balance basis, the Bank's underlying loan growth is in the 15% to 16% handle, and that's the growth band we find comfortable for the franchise and it sits squarely with our commitment to grow in line with the industry or slightly ahead of the industry. It's also heartening to see Retail disbursements growing at 27.5% year -on-year for this quarter.
On Deposits, the Total Deposits grew 14.3% year -on-year to INR 3.15 lakh crores. CASA Deposits grew 14.3% year -on-year and stronger still at 15% on an average balance basis, a creditable outcome given the sharp rate actions taken by us during FY26 as well as in Q1FY27. Retail and Branch -led Deposits now comprise close to 60% of our Total Deposits, reflecting the growing granularity of the franchise. In a system where Deposits are the binding constraint, our granular Branch -led liability franchise is exactly where we are choosing to compete. Our capital and liquidity positions remain comfortable with a CET -1 ratio of 14% and LCR of 138.2%.
Now thi

s has also been a quarter of significant external validation, and I would like to specifically highlight the recognition our progress received from th e rating agencies this quarter.
Moody's upgraded our issu er rating to Ba1. CARE upgraded our Basel III Tier 2 and Infrastructure bonds to AA+. ICRA upgraded the same instruments to AA and S&P Global has assigned the Bank its inaugural international rating of BB+. Taken together, these actions are an important independent affirmation of the Bank's strengthening fundamentals, our improving Profitability, better liability profile, enhanced Asset Quality, robust capitalization and the confidence drawn from strong institutional sponsorship. These upgrades also carry tangible benefits for our funding costs, our Wholesale and Financial Institutions relationships and our brand.
A few other updates moving towards the conclusion.
• We were awarded the 'Most Sustainable Bank' at Business Today's India's Most Sustainable Companies 2026, and we were also included in the FTSE4Good Index for the fourth consecutive year.
• We were recognized also among the top 25 India's Best Workpl aces in BFSI for the year 2026.
• Our NRI homecoming campaigns earned several awards for being most disruptive in the use of AI.

To sum up, we operated this quarter in an environment of resilient domestic demand but heightened external uncertainty and against that backdrop, Y ES Bank delivered a set of results that reflect consistency, discipline and steady progress on our stated priorities.
Our compass for the year ahead is unchanged : While our aspiration would be delivering a full year ROA around 1%, our focus would remain on improving the core Profitability and grow Advances and Deposits around in a Profitable and calibrated way ; deepen

our Deposit and CASA franchise ; move margins structurally higher over the medium term; hold the line on Asset Quality with conservative provisioning. All of this anchored in our People -Product -Processes -Technology (PPPT) structure and also along with collaboration with SMBC, all within the strong governance framework.

We are ambitious about where this Bank can go and also as realistic about the environment we operate in. Our foundation is solid , our strategy is clear, and our execution is getting better every quarter - and that gives me a lot of confidence on the road ahead.

Thank you very much again for joining us. We would now be happy to take your questions.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Dev Dey with Horse Power Securities .

Dev Dey: Heartiest c ongratulations to you for maintaining the performance up to the level expected by us. And excellent set of EPS numbers. So again, I would like to ask you about the road map in future. So what would be the net order loan book you are targeting by the end of this year?

Vinay M. Tonse: Yes. So now Dev ji, thank you very much for this question. What we are looking at is , what sort of funding resources we have, and that gives us a lot of comfort as to our liquidity available. So now moving forward, we endeavor to grow at a little above what the industry would be growing at and which is what makes us happy is, it could be in the range of may be 15% to 17%.

Dev Dey: And my another, question would be just a few days ago, your Board has passed a resolution regarding the raising of capital, if I am not wrong?

Vinay M. Tonse: Yes. So as far as the capital is concerned, this is an enabling or enabler for us to keep in readiness. But at the moment, we have sufficient cushion to grow for the next maybe 3 or 4 quarters . But at the same time, we are keeping ourselves open, and this is a market where we keep looking at opportunities. And if there is an opportunity for increasing our capital cushion, we woul

d definitely not mind doing that. And that is where we kept the enabler in place.

And we also have this thought process within ourselves that if our peers are better capitalized than us, is there a point where we should be looking at increasing our own capital , but at the moment, we are comfortable. That's the point I would like to make.

Dev Dey: Okay. So, by the end of this year, are we going to see, very pleasant picture by the end of FY27? What is the view of management?

Vinay M. Tonse: Dev ji, I didn't get you. What was it you said?

Dev Dey: By the end of 2027, will we be able to give a very pleasant picture about this Bank?

Vinay M. Tonse: Yes, we are quite confident the way we are seeing the last few quarters.

Dev Dey: Sure. Let's, hope for the best.

Moderator: Our next question comes from the line of M. B. Mahesh with Kotak Securities.

M. B. Mahesh: Good afternoon sir, 2 questions. One is on the entire FCNR Deposits, just wanted to understand how are you looking at that underlying opportunity? And where are you positioned on it currently?

Vinay M. Tonse: On the FCNR, Mahesh, a couple of things I would like to mention. One is there is a very strong demand that we see. And this comes from 2 aspects. One is the aspect of the pure Deposits that come in. And second is the aspect of leverage.

On both of these, we are seeing very strong demand. And for the leverage part, you may be aware that we need to have certain limits in place. And whatever limits we have already got, we have filled them also on the leverage part. As of now, we have decide d that we'll keep it to 9% - I mean 9x.

And going forward, we may change the leverage also if we feel that the market would look at us that way . If there is an expectation that we should raise it. But otherwise, as of now, we are keeping it at 9x. Though I cannot give a specific number to it, Mahesh, we are quite ahead of the market, I would say, or some of the other banks.

M. B. Mahesh: Sir, just one clarification. On this product, would you be getting any support from your largest investor at this point of time? Or is it still a very arm's length kind of a transaction that is happening on the ground? Second is that how...

Vinay M. Tonse: Sorry, I'll answer this. For this particular transaction, we are not having a constraint of any arm's length. And we are in the process of working out certain limits. So, we are looking actually at getting something out of that.

Manish Jain : So just to add, we are working with many international banks for the limits to make this facility available, including SMBC.

M. B. Mahesh: And how easy or difficult is it on the ground today? Or if I were to ask, what is the constraining factor for this product not having picked up as much as one would have expected it to be.
Niranjan Banodkar: So, if you just think about what's playing out, there are 2 macro themes playing out. One, the borrowing spreads globally have inched up, let's say, for the overseas financial institutions to take a macro view on India for a 5 -year period, the spreads are higher now. That's number one.
Number two, it's also a function of where the Global liquidity is sitting. As you think about it, it's not that it is equally available everywhere because ultimately, some overseas geography or in a set of geographies will have to fund India for the size that we're looking at, for which the risk limit has to go up by that much leverage .
So, it is a function of the process of the risk review and the limits getting set up across different institutions for a period of 3 years to 5 years in a manner that is also commercially viable and conducive is I think that play is underway, and therefor e, it has not been as fast as one would have expected because there are also macro themes of geopolitical issues

going on.
M. B. Mahesh: Perfect. Vinay, sir, you have seen this company now for close to 5 months. And could you tell us in terms of having seen this now for a little longer, the issue that we are seeing from the outside is that the margin is the key problem, there are two sides.
One, we understand the cost side. There is also a problem on the yield side. So, do you have some thought process on how does this improve from here onwards? Or do you think that you will still need some more time to give an answer to this?
Vinay M. Tonse: No, answer I have and of course, this is one of the most important priorities for us also as I came in here. And both these initial thoughts which I had, the drivers of how do I expand the margin, and they're working fairly well, what I have seen in the Q1 . See, basically, you are also aware that since previous financial year April, we have actually substantially come down on the Cost of Deposits . And that has played out very well for us without actually resulting in any attrition of Deposit s, right . So, this is something which gives me a better pricing power. The Cost of Deposits going down, the Cost of Funding going down gives me a better leverage on the type of Assets we are picking up. And also at our discretion, we are also looking at products which are increasingly giving us more yield, right . So, I think that way, this is something which is not too much of a worry for us right now for the NIM expansion.
M. B. Mahesh: Okay. And you do have any number in mind for, let's say, in FY28, where do you want to see the margins?
Vinay M. Tonse: Yes. I think north of 3% is something we would be able to achieve.
Moderator: Our next question comes from the line of Narendra Porwal, an Individual Investor.

Narendra Porwal: Hello. Namaskar sir.
Vinay M. Tonse: Namaskar, Narendra ji.
Narendra Porwal: Thank you, sir, first of all for giving me the opportunity to speak. Sir, we have been observing for some time that our Bank is not able to grow the CASA Deposits ratio as it should, whereas a Bank of our size like IDFC First Bank is growing CASA very well. So, what are the reasons for that? Please look into it because sir, I think that in the coming time, there are many large -sized multiple IPOs coming like NSE, Jio, etc ., and a large number of investors will deposit their money in our Bank to subscribe to those IPOs.
So, sir, let's plan something like our Bank's cut -off time for filling IPOs is 3:30 PM, whereas IDFC Bank gives it until 4:30 PM and State Bank of India keeps the time until 5:00 PM. So, sir, why don't we plan such a thing to increase our CASA? Like sir, I told you a year ago as well, IDFC Bank has increased its customers by doing aggressive marketing and from there you see how its CASA Retail has grown.
So, sir, let's also plan something like this by increasing our timing and aggressively taking Retail customers to growth, so that when large IPOs come, once a customer has opened an account in our Bank and kept a balance, then they don't transfer to another Bank very quickly. Please pay attention to this, sir. This was my suggestion that the Bank can grow well in Retail from here, sir.
Rajan Pental : Sir, thank you very much for your suggestion, and we will definitely work on it. Thank

you.
Narendra Porwal: Because there is a lot of trouble, sir. Many times, for us as well, in the last moment, many IPO subscriptions are left, so it causes a lot of trouble, sir. Please pay attention to this, sir.
Rajan Pental : Definitely. Thank you for your suggestion, sir. We will definitely work on it.
Moderator: Our next question comes from the line of Sajal Raj from Zenflow Finance Private Limited.
Sajal Raj: Good afternoon sir, my first question will be Advances have grown faster than Deposits this quarter. So how do you plan to balance loan growth with Deposit mobil

ization going forward? Should we expect Deposit growth to catch up over the coming quarters?
Niranjan Banodkar: Thanks for the question. So, Advances growth for us is, yes, certainly higher, but we said that in our opening remarks as well that we always go through some transient flows or movements on the end of period balances. And therefore, a metric that we internally track is actually the dai ly average balances.
And if I see the daily average balances for both Advances and Deposits for June quarter versus March quarter, the CD ratio actually has remained the same. So, there's not

been a worsening CD ratio. In fact, both growth rates for Deposits as well as Advances are in line.
Number two, and it's a very important principl e question that we will continue to focus on liability -led Balance Sheet expansion. The idea is never to really aggressively pursue Assets in the absence of a Deposit construct. And you would have seen that over the last 3 years, our singular focus has been to continue to improve the quality of our Balance Sheet. So, improving the CASA ratio, getting the higher share from Branch Banking or Retail Deposits have been areas of focus, and that's getting reflected i n our Cost of Deposits as well.
So, if you look through the last 3 years, our Bank actually has possibly delivered the best outcome on Cost of Deposits as compared to the industry at large. So, I think that's an area that we are absolutely focused on. And I think your point is absolutely well taken that Deposit growth will be an important constituent, and we will make sure that we are not accelerating on Advances in the absence of Deposits.
Moderator: Our next question is from the line of Shreyas Pimple from Nomura.
Shreyas Pimple: Good afternoon sir and thank you so much for the opportunity. My question was on SR recovery. In this quarter, we had SR recoveries of around INR 86 crores versus last quarter of around INR 446 crores and higher in the previous quarter. Can you explain what is the reason for lower recoveries this quarter?
Niranjan Banodkar: So, Shreyas, thank you for the question. So, on Security Receipts, I think absolutely a right observation. We have had SR redem ptions at INR 86 crores as compared to INR 450 crores. We have also been saying that the face value of Security Receipts, which is now outstanding at INR 1,500 crores, it's coming down, right .
So, the recoveries that are going to come through are going to be a little bit more unpredictable, not that there is no stored capital or stored value sitting in the Security Receipts book. It is still very much there. So, we have a face value outstanding of INR 1,500 crores. Against that, actually, the NAVs are upwards of INR 2,000 crores and NAVs are today's present value. So, if you actually look through from a Gross Recovery standpoint, the number could be slightly higher than that.
But the resolution is a function of what J.C. Flower does, their execution, and we have no control on the pace or the timing of those executions. So we will go through these periods where one quarter could have a higher Security Receipts resolution. In another quarter, we may have a much lower.
But at a very structural level, we said that during fiscal '27, we do believe, let's say, anywhere between INR 800 crores to INR 1,000 crores for the full year should be a number that we expect to come through. But as I said, I want to caveat that, it's finally a function of what J.C. Flower does. So it is possible that we could get higher than INR 800 crores to INR 1,000 crores. It is also possible that we could also be slightly lower.

But our sense is INR 800 crores to INR 1,000 crores should be a reasonable probability to ascribe for fiscal '27.
Shreyas Pimple: Yeah. Thank you so much for that explanation. My second qu

estion was on one -off in
Net Interest Margins. You highlighted that INR 119 crores of interest on IT refund. If we remove that, the margins are down around 6, 7 basis points according to my calculations. Can you explain, I mean, what are the things that will help us improve margin from here on?

Niranjan Banodkar: So Shreyas, I think one clarification is that Interest on Refund actually forms part of our Non-Interest Income and not part of the Net Interest Income. Although it is Interest on Income tax refund. We do not include that as part of the NII line. And therefore, it's also not part of the Net Interest Margin computation. So to that extent, there is actually no adjustment.

Our Net Interest Margin continues to be stable on a Q -o-Q basis.

Shreyas Pimple: Understood. Thank you so much for the explanation. Those were my questions.

Niranjan Banodkar: Thank you.

Moderator: Thank you. Our next question comes from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, I wanted to check on your capital raising plan. We have a Board approval in place. And we also have a court case, which is pending. The outcome is still pending. We have a decent 14% CET -1, but just wanted to check your time line and quantum. And would this have any bearing from the court case?

Niranjan Banodkar: So Jai, first quick clarification, which is your second part of the question, whether this capital raise has a linkage with the Board with the AT1 case. So we follow a practice of having an enabling approval in play. And that is something we've continued f rom last year. So we had the same approval for fiscal '26. We also have the same approval effectively for fiscal '27, actually till the date of AGM. So it is not a trigger of any particular event or court case. I think that's the first c larification.

The second point is at 14% Core Equity Ratio, we do believe that we have reasonable capital for at least the next one year of growth. What gives us that confidence is also because we do have the Deferred Tax Asset (DTA), which is available to us. So one, the ROE structure itself is improving.

So let's say, a ROE of about 8% to 8.5% is accreting to my capital. But more importantly, the effect of DTA on that ROE is also playing out, meaning the Bank is able to actually grow at anywhere between 12% to 13% of Risk-Weighted Assets and not consume capital, right .

And therefore, even if the growth were to be in excess of 13%, let's say, 15% to 16%, the quantum of consumption of capital is lower. So the limited point I wanted to make is we believe 14% is reasonable for the next 4 quarters of growth.

Having said that, capital is a subject that the reason we keep an enabling approval is because sometimes capital you want to look through raising capital, which can take the 14%, maybe in line also with some of the peers because it also adds to buffers, right . And we've kind of track some of the other banks, that's the way, let's say, r ating agencies also look at us.

More buffers are always good. And that's something we've worked on over the last three to four years. So if you go back to our last capital raise, we had actually raised it when our CET -1 was at about 11% to 11.5%.

This time around, clearly, we don't want to drop to those levels. We will raise it, let's say, in the 13% handle . So we want to keep adding to our buffers as well. So whenever we think that opportunity is right, available with right players that is in the interest of our shareholders, we do want to keep that optionality available to us, hence, an enabling approval.

Jai Mundhra: Sure. Thanks Niranjan that is very helpful. And regarding the court case, of course, this is a matter and we will be hearing from the court itself. But has the Bank - I mean, there's no pending provisions, right? I mean if it comes, it comes, right? there's no backup for in ca

se the decision is adverse, right? That is how it should be?

Niranjan Banodkar: So there is no adjustment to our financial statements on account of this court case at this point in time.

Jai Mundhra: Right. Okay. Secondly, on the Retail growth, right? So overall growth has been strong. We are now 18%, which is slightly higher or maybe similar to system. But that seems to be driven by Corporate in a large part. Retail is still 7% types. So what is your strategy now Retail Slippages also seem to be multi -quarters low. How should one look at the Retail growth for, let's say, FY27?

Rajan Pental: Retail is actually on a very strong wicket and largely one of the reasons being that the Slippages are under control. And last one year, we have really worked on the platform , scorecards and also policy refresh.

So from here onwards, the trajectory from being flat to a 7%. So this is one journey which you look at from a book perspective. But on an incremental basis, actually, this is a business which is growing between 25% to 30% depending on segment to segment. Where our portfolio remains flat for a year o r so, the book takes some time. But on the momentum on the fresh business, we are in a very steady state at a good state to be in a good range of 25% to 30%. Now this will start reflecting in the subsequent quarters when it comes to the book growth point. But right now, we are very, very strong on the disbursements.

Jai Mundhra: Okay. Sure. So I mean, can we reach like mid -teens number by FY27? That is how at some point of time, the disbursement will translate to loan growth, right?

Rajan Pental: Yes, sure. Absolutely. We are working towards that as well.

Jai Mundhra: That's helpful. And secondly, on recovery target, sir, I mean, if you can specify either from SR Recovery and Overall Recovery, we used to have an INR 5,000 crores -odd- number. But of course, after that, a lot of recovery has already happened. So what would be your sense for FY27 recovery numbers?

Niranjan Banodkar: So the other recoveries that we were talking about, one of the reasons we were talking about the gross recovery number at that stage was because some of it was also predicated from the corporate resolution. To be fair, I think we would not ascribe a lot of value now to the corporate resolutions b ecause that story is behind us.

So what we now sit with is really the J.C. Flower ARC and which, like I mentioned, as compared to last year, about INR 1,500 crores, at least we do believe that anywhere between INR 800 crores to INR 1,000 crores is something we should see in fiscal '27 also playing out.

On the Retail Recoveries and Upgrades, that is anyway now forming part of the Net Credit Cost structure at the NPA. So we are now segregating that and grossing up to give you a headline number on the Recoveries and Resolutions. So I would say a very focus for us is really on the core ROA now. We said this last time as well. Our objective continues to improve the core ROA meaningfully.

Our expectation is fiscal '27, we should see a 15 to 20 basis points expansion in the core ROA. And if the resolutions, let's say, the external factors on bond gains and trading with all of those elements also play out, I think we should be able to also deliver the fully reported 1% ROA for fiscal '27.

Jai Mundhra: Right. That is very clear. And Niranjan, lastly, if you have the Expected Credit Loss (ECL) transitional estimate as to what could be the onetime transitional impact for Bank as you transition to ECL next year? Thank you.

Niranjan Banodkar: So Jai, again, we've not publicly disclosed those numbers yet because we are in the process of putting that together. The ECL number, we've said for us has an offset component from the Security Receipts. So for us, if you allow us the benefit of Security Receipts, actually, there is no impact on ECL.

However, what's going to happen is that the ECL adjustment for Security Receipts will not be allowed in the Balance Sheet. So we have to keep taking that through the P&L for the year. So at the gross level, there is likely to have some ECL impact. We don't expect that to be very material.

Also adjust or take into account the fact that the new circular is also coming in on credit Risk-Weighted Assets from 1st April. So when we kind of look at both these circulars

together, which is the ECL transition impact and the new Capital Adequacy - credit risk weights, we do believe that the impact, if at all is not going to be material on our core equity.

So I think that's really the headline message, but we will come back during the course of this year as we firm up these numbers so that we can give you a better visibility of what impact could play out.

Jai Mundhra: So no w, that is very helpful, Niranjan. Thank you and all the very best.

Niranjan Banodkar: Thank you Jai. Thank you very much.

Moderator: Our next question comes from the line of Shreyanth KT with Sundaram Asset Management Company. Please go ahead.

Shreyanth KT: Hi. Good afternoon team. I hope all of you are doing well. Just a quick question. I believe you had called out earlier that you're going to be more cautious in the Commercial

Banking MSME segment. But then I saw that the Slippages have gone up actually. So could you point out is there any specific segment or cohorts you're seeing stress? And like what is the situation on the ground and impact from the recent Max situation?
Manish Jain : So our Commercial Banking portfolio continues to be of high quality. And the Slippages are quite controlled in Q1 as well. And while we continue to assess and monitor the portfolio very closely for any impacts of the West Asia war, but happy to report that there is very limited impact on the portfolio and the clients have managed th is crisis very, very well. So in a nutshell, the portfolio quality continues to be very good.
Shreyanth KT: Okay. Perfect. And quickly one more. Just on the Retail, again, you've already answered some of my questions over there, but just a few more things. One is what products are you planning to be more aggressive on going forward? And where are you being more cautious? That's one. And second, the disbursement number being lower, is that just seasonality or can it be attributed to any other reason?
Niranjan Banodkar: So, I'll take the second question firstly. On the disbursement, on a Q -o-Q basis, it is actually the seasonality because March typically is very high, plus there is an element of co -lending or partnership -led disbursements that kind of come through. But at an organic level, I think we continue to be quite similar levels this quarter as well. If I were to, however, bring your attention to the Y -o-Y growth in disbursements, that is actually close to 30%.
So, we're quite looking at continuing to focus on growing the disbursements because we know, it is a matter of time before the disbursements will start resulting into the book growth because right now, the run -off factors are also there. But as the run -off start tapering because we had slowed down the loan book between '23 to '24, '25. We started slowing that down.

So as the run -off starts slowing down, these disbursements will start also resulting into a book growth. And we do believe, I think that's about 3 to 4 quarters from now, that we should be able to deliver a double -digit growth as well on Retail.
Shreyanth KT: Okay. Perfect. And regarding the product strategy within Retail?
Niranjan Banodkar: So, from our side, there is a multi -product. So, to begin with, when you think about us, Shreyanth, you have to think that we are an all -weather universal structure of Assets. It's not that we are

dependent on any particular product. So, when Retail has been slower, we have the ability to work through the Corporate engine or the Commercial Banking engine. So likewise, within Retail, we also operate with multiple products. And therefore, it's also sometimes a function of where we see this growth tapering off. So, for example, Personal Loans, we had slowed down quite meaningfully over the last 2 years, but we are now again growing that book. But there are certain channels through which we are growing faster than other channels. So, I think that's one part.
The second, there are certain products like Loan Against Property (LAP), where we will continue to do because we did well in the past, and it's a product that will continue to grow. Then there are products that we are now calling it as franchise products, where , as and when our customers will need, let's say, a Home Loan or an Auto Loan, I think these will be products that we will also be willing to offer to these .
So, you combine all of this, and add to it the fact that we also have co -lending structures in place. It is going to be quite diversified product mix. I think certain guardrails with which we operate is, for example, the secured, unsecured. So we will not allow a whole lot of unsecur ed to be dominant part of this.
So typically, let's say, it's a 75 -25 ratio, we will ensure a 75% secured versus 25% unsecured kind of Retail. So, I think that's really the broad theme. So, I'm not sure if you got the gist of the answer, but I think, it will continue to remain largely diversified.
Shreyanth KT: Okay, perfect. Thank you so much for answering all the queries and wish you the best of luck going forward.
Niranjan Banodkar: Thank you.
Moderator: The next question is from the line of Rama Subbareddy, an Individual Investor. Please go ahead.
Rama Subbareddy: So, my question is like recently, Board has approved a capital raise of INR 16,000 crores where 10% equity dilution. So how do you ensure that the existing shareholders will not be impacted with that kind of capital in the future? Because if you see earlier, right, we were like okay, basically, you have given a lot of discounts fo r the new shareholders such as PE investors. And even SMBC also, they got in good price.

So in future, when you are raising this equity, so how do you ensure that existing shareholders are not going to be impacted? Because we have been s taying for the last 6 years and you have not paid any dividends. And still we are expecting the Bank will deliver the good numbers and been waiting for so many years. And you have to take care. So that is my concern. So, can you please address?
Niranjan Banodkar: Thank you very much for the question. And first and foremost, thank you very much for being a patient supporter of the Bank over the last many years. Our objective clearly has been to solve for what we think is the right strategy and the right quality of the Bank. And you would see that over the last 2 to 3 years, the performance of the Bank has continued to improve.
We had always stated that the Bank will deliver an ROA to exit FY26 with 1%. I think we've delivered that as well. And there are clearly signs of sustenance that's playing out as well. Now as the Bank continues to grow, there will be need for capital because when we compare our Core Equity Ratio compared to others, the other banks are also higher than us.
But there are going to be levers that the Bank will continue to use to make sure that we are not compromising or it is not coming at the cost of shareholder value. I think that's also an important factor that we consider when we think through elements of capital raise.
Having said that, what I want to clarify, which I did in one of the previous questions, is that this resolution is an enabling resolution that we are seeking. This was a resolution that wa

s also approved by the shareholders last year, and we are only refre shing that enabling resolution.
This resolution only gives the Bank the optionality to trigger a capital raise in the event we believe that the raise is going to be beneficial for the Bank for its growth and ultimately for creating value for its shareholders. And that's really the objective with which we have gone about taking this resolution.
Rama Subbareddy: Thank you.
Moderator: Our next question is from the line of Su nil Choksey with Indus Equity Advisors.
Sunil Choksey: Congratulations on stable results. Sir, I have a little different question than normal analysts would ask. Prospects for India, Japan businesses are getting better every day. Infrastructure financing, Japan is taking a big lead in India, be it bullet train , maybe now shipbuilding, many other aspects. Trade is concerned, India is likely to do much better with the country.
And there are certain other specific government -related industry like defense and many other aspects also taking place. Can you throw some light that being a preferred partner in our Bank, we have some scope of business growth in the Indo -Japanese business corridor?

Vinay M. Tonse: Thank you, Choksey sir. Thank you for this question, which you said is a little different to what normally we get in the analyst meet. See, a couple of things which we observe now is that the Indo -Japanese corridor itself is getting strengthened, year afte r year. And particularly after the recent meeting, inter -government meeting, which happened and also between the Prime Ministers as well as the trade teams, we see a lot of traction happening, much more than what has been seen in the last f ew years, I would say.
And now with also the agreements that are in place, the corridor gets busy, that's for sure. Now the aspect of how we would be leveraging our partnership with SMBC is something we have already started working upon. We already have some Memorandum s of Understanding (MOUs) in place. And eventually, our endeavor is to get the max that happens in this corridor between these two countries , should happen through our Bank.
So this is our endeavor, and that's what we are already working towards. And there are certain specifics which at this point of time, I'm not able to mention because of confidentiality reasons. But otherwise, we are very strongly working on these aspects, be it trade or be it investments or what you rightly said that there's a lot of infrastructure investment that is coming in from Japan into the Indian projects .
And there is also a lot of interest that is seen from the Japanese corporates establishing some project or the other in India, be it in the form of a wholly owned subsidiary or a joint venture or even some distribution channels out. I hope that answers.
Sunil Choksey: Yes, that answers. At least there is some visibility visible in your comment.

Vinay M. Tonse: Definitely. Definitely.
Sunil Choksey: It means that we have a very good partner where the Government of India 's new scheme for FCNR (B) by RBI is visible. I am quite sure that we should be doing well because people tap Japan very often for the yields and the rate. No doubt the Japanese are looking upward trend right now. FCNR (B), we should be doing much better than most of the other banks. I had missed the question because there were too many calls at the same hour. So, pardon me for that. Sir, any color which you think you woul d do on a leverage trade or a straight deposit?
Vinay M. Tonse: Yes. So in fact, you're right that this question had come up in the earlier part of this. But then what we are looking at is a max leverage of 9x at this point of time rather. So we will perhaps be sticking to that. And we are seeing a lot of interest that is coming in from various geographies, and one of which is towards the

East also, importantly for us.
And now whatever limits we had for the leveraging, one aspect is, of course, getting the Deposits, the straight one is to one sort of a Deposit, there is a pureplay FCNR (B) Deposit. That is something which we are absolutely no constraint. We are getting quite a bit, which happens in our Branch Banking franchise.

The leveraging part is something which we are also looking at fairly strongly, and we see a good growth that has already happened. And further growth will depend on the limits which we get from some of our partners or the foreign banks. Thank you, Choksey sir.
Sunil Choksey: Thank you, sir. Thank you for answering all my questions and good luck for the years.
Vinay M. Tonse: Thank you so much.
Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Vinay M. Tonse for closing comments. Over to you, sir.
Vinay M. Tonse: Yes. Thank you very much. And to all the participants in this call also, I would like to convey our sincere appreciation for coming in and joining us, knowing fully well that today is the day of many Bank results that are coming up. Thank you very much.
Moderator: Thank you. This brings the conference call to an end. On behalf of Y ES Bank, we thank you all for joining us. You may now disconnect your lines.